

In the opinion of Norton Rose Fulbright US LLP, Los Angeles, California, Bond Counsel, under existing statutes, regulations, rulings and court decisions, and subject to the matters described in "TAX MATTERS – Tax-Exempt Bonds" herein, interest on the Tax-Exempt Bonds is excluded pursuant to section 103(a) of the Internal Revenue Code of 1986 from the gross income for the owners thereof for federal income tax purposes and is not included in computing the federal alternative minimum taxable income of the owners thereof. Interest on the Taxable Bonds will be included in gross income for federal income purposes. See "TAX MATTERS – Taxable Bonds" herein. In the opinion of Bond Counsel, under existing law, interest on the Bonds is exempt from personal income taxes of the State of California.



\$111,530,000
SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
(San Diego County, California)

\$25,000,000
Election of 2008
General Obligation Bonds
Series 2020E-1 (Federally Taxable) and
Series 2020E-2 (Tax-Exempt)

\$30,000,000
Election of 2016
General Obligation Bonds
Series 2020B-1 (Federally Taxable) and
Series 2020B-2 (Tax-Exempt)

\$56,530,000
2020 General Obligation Refunding Bonds
(Federally Taxable)

Dated: Date of Delivery**Due: August 1, or as shown on inside cover.**

The Southwestern Community College District (the "District") Election of 2008, General Obligation Bonds, Series 2020E-1 (Federally Taxable) (the "Series E-1 Bonds") and its Election of 2008, General Obligation Bonds, Series 2020E-2 (Tax-Exempt) (the "Series E-2 Bonds," and together with the Series E-1 Bonds, the "Series E Bonds" or the "Proposition R Bonds") were authorized at an election of the registered voters of the District held on November 4, 2008, at which the requisite 55% or more of the person voting on the bond proposition ("Proposition R") voted to authorize the issuance and sale of \$389 million principal amount of general obligation bonds of the District (the "2008 Election"). The Series E Bonds are the fifth issuance of general obligation bonds of the District authorized at the 2008 Election. The District's 2020 General Obligation Refunding Bonds (Federally Taxable) (the "Refunding Bonds") are refunding bonds originally issued pursuant to Proposition R.

The District's Election of 2016, General Obligation Bonds, Series 2020B-1 (Federally Taxable) (the "Series B-1 Bonds") and its Election of 2016, General Obligation Bonds, Series 2020B-2 (Tax-Exempt) (the "Series B-2 Bonds," and together with the Series B-1 Bonds, the "Series B Bonds" or the "Proposition Z Bonds") were authorized at an election of the registered voters of the District held on November 8, 2016, at which the requisite 55% or more of the persons voting on the bond proposition ("Proposition Z") voted to authorize the issuance and sale of \$400 million principal amount of general obligation bonds of the District (the "2016 Election"). The Series B Bonds are the second issuance of general obligation bonds of the District authorized at the 2016 Election.

The Series E-1 Bonds, the Series B-1 Bonds and the Refunding Bonds are also referred to as the "Taxable Bonds." The Series E-2 Bonds and the Series B-2 Bonds are also referred to as the "Tax-Exempt Bonds." The Taxable Bonds and the Tax-Exempt Bonds will be referred to collectively, as the "Bonds." The Bonds are being issued under the laws of the State of California (the "State") and pursuant to resolutions of the Governing Board of the District, adopted on June 9, 2020.

The Bonds are dated the date of delivery. The Bonds will mature on the dates and in the amounts and bear interest at the rates shown on the inside cover herein. The Bonds will be issued in denominations of \$5,000 principal amount or integral multiples thereof, and are payable as to principal amount or redemption price at the office of the San Diego County Treasurer-Tax Collector (the "Paying Agent"). The Bonds will be issued as current interest bonds. The Tax-Exempt Bonds and the Refunding Bonds are payable semiannually on February 1 and August 1 of each year, commencing February 1, 2021.

The Bonds are issued in fully registered form and, when delivered, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"). DTC will act as securities depository of the Bonds as described herein under the caption "THE BONDS – Book-Entry Only System."

The Bonds are subject to redemption prior to maturity as described herein.* See "THE BONDS – Optional Redemption" and "– Mandatory Sinking Fund Redemption" herein.

The Bonds are general obligations of the District, secured and payable solely from *ad valorem* property taxes collected against taxable properties within the boundaries of the District. The Bonds are general obligations of the District only and are not obligations of San Diego County, the State of California or any of its other political subdivisions. The Board of Supervisors of San Diego County has the power and is obligated to levy and collect *ad valorem* property taxes for each fiscal year upon the taxable property of the District in an amount at least sufficient, together with other moneys available for such purpose, to pay the principal of, and premium, if any, and interest on each Bond as the same becomes due and payable.

MATURITY SCHEDULE
On Inside Cover

THIS COVER PAGE CONTAINS CERTAIN INFORMATION FOR QUICK REFERENCE ONLY. IT IS NOT A SUMMARY OF THIS ISSUE. INVESTORS MUST READ THE ENTIRE OFFICIAL STATEMENT TO OBTAIN INFORMATION ESSENTIAL TO THE MAKING OF AN INFORMED INVESTMENT DECISION.

The Bonds will be offered when, as and if issued and received by the Underwriter subject to the approval of legality by Norton Rose Fulbright US LLP, Los Angeles, Bond Counsel, and certain other conditions. Norton Rose Fulbright US LLP, Los Angeles is also acting as Disclosure Counsel for the issue. Certain legal matters will be passed upon for the Underwriter by its counsel, Katten Muchin Rosenman LLP, New York, New York. It is anticipated that the Bonds will be available through the facilities of DTC on or about August 5, 2020.

RBC CAPITAL MARKETS**MORGAN STANLEY****MISCHLER FINANCIAL GROUP, INC.**

Dated: July 22, 2020

MATURITY SCHEDULES

\$1,860,000
SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
(San Diego County, California)
Election of 2008, General Obligation Bonds
Series 2020E-1
(Federally Taxable)

<u>Maturity Date</u> <u>(October 1)</u>	<u>Principal</u> <u>Amount</u>	<u>Interest</u> <u>Rate</u>	<u>Yield</u>	<u>CUSIP⁽¹⁾</u> <u>(845389)</u>
2020	\$1,860,000	0.250%	0.250%	JW 6

\$23,140,000
SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
(San Diego County, California)
Election of 2008, General Obligation Bonds
Series 2020E-2
(Tax-Exempt)

<u>Maturity Date</u> <u>(August 1)</u>	<u>Principal</u> <u>Amount</u>	<u>Interest</u> <u>Rate</u>	<u>Yield</u>	<u>CUSIP⁽¹⁾</u> <u>(845389)</u>
2022	\$1,675,000	3.000%	0.080%	JX 4
2023	1,820,000	3.000	0.100	JY 2
2024	1,050,000	3.000	0.150	JZ 9
2025	1,075,000	3.000	0.210	KA 2
2026	1,095,000	4.000	0.350	KB 0
2027	1,125,000	4.000	0.480	KC 8
2028	1,155,000	4.000	0.560	KD 6
2029	1,185,000	4.000	0.620 ^(c)	KE 4
2030	1,215,000	4.000	0.700 ^(c)	KF 1
2031	1,240,000	4.000	0.800 ^(c)	KG 9
2032	1,260,000	4.000	0.960 ^(c)	KH 7
2033	1,285,000	4.000	1.120 ^(c)	KJ 3
2034	1,300,000	4.000	1.180 ^(c)	KK 0
2035	1,315,000	4.000	1.280 ^(c)	KL 8
2036	1,325,000	4.000	1.380 ^(c)	KM 6
2037	1,340,000	4.000	1.440 ^(c)	KN 4
2038	1,340,000	4.000	1.500 ^(c)	KP 9
2039	1,340,000	4.000	1.550 ^(c)	KQ 7

^(c) Yield to call at par on August 1, 2028.

⁽¹⁾ CUSIP is a registered trademark of the American Bankers Association. CUSIP data herein is provided by CUSIP Global Services, managed by S&P Capital IQ on behalf of The American Bankers Association. This data is not intended to create a database and does not serve in any way as a substitute for the CUSIP Services. Neither the District nor the Underwriters take any responsibility for the accuracy of the CUSIP numbers, which are being provided for reference only. The CUSIP number for a specific maturity is subject to being changed after the issuance of the Bonds as a result of various subsequent actions including, but not limited to, a refunding in whole or in part or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of certain maturities of the Bonds.

MATURITY SCHEDULES

\$1,485,000
SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
(San Diego County, California)
Election of 2016, General Obligation Bonds
Series 2020B-1
(Federally Taxable)

<u>Maturity Date</u> <u>(October 1)</u>	<u>Principal</u> <u>Amount</u>	<u>Interest</u> <u>Rate</u>	<u>Yield</u>	<u>CUSIP⁽¹⁾</u> <u>(845389)</u>
2020	\$1,485,000	0.250%	0.250%	KR5

\$28,515,000
SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
(San Diego County, California)
Election of 2016, General Obligation Bonds
Series 2020B-2
(Tax-Exempt)

<u>Maturity Date</u> <u>(August 1)</u>	<u>Principal</u> <u>Amount</u>	<u>Interest</u> <u>Rate</u>	<u>Yield</u>	<u>CUSIP⁽¹⁾</u> <u>(845389)</u>
2022	\$10,210,000	3.000%	0.080%	KS 3
2023	1,025,000	3.000	0.100	KT 1
2024	385,000	3.000	0.150	KU 8
2025	435,000	3.000	0.210	KV 6
2026	490,000	4.000	0.350	KW 4
2027	555,000	4.000	0.480	KX 2
2028	625,000	4.000	0.560	KY 0
2029	695,000	4.000	0.620 ^(c)	KZ 7
2030	775,000	4.000	0.700 ^(c)	LA 1
2031	860,000	4.000	0.800 ^(c)	LB 9
2032	945,000	4.000	0.960 ^(c)	LC 7
2033	1,040,000	4.000	1.120 ^(c)	LD 5
2034	1,140,000	4.000	1.180 ^(c)	LE 3
2035	1,250,000	4.000	1.280 ^(c)	LF 0
2036	1,360,000	4.000	1.380 ^(c)	LG 8
2037	1,480,000	4.000	1.440 ^(c)	LH 6
2038	1,610,000	4.000	1.500 ^(c)	LJ 2
2039	1,745,000	4.000	1.550 ^(c)	LK 9
2040	1,890,000	4.000	1.600 ^(c)	LL 7

^(c) Priced to call at par on August 1, 2028.

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MATURITY SCHEDULE

\$56,530,000
SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
(San Diego County, California)
2020 General Obligation Refunding Bonds
(Federally Taxable)

\$35,780,000 Serial Bonds

Maturity Date <u>(August 1)</u>	Principal <u>Amount</u>	Interest <u>Rate</u>	<u>Yield</u>	CUSIP⁽¹⁾ <u>(845389)</u>
2021	\$1,600,000	0.369%	0.369%	JD 8
2022	1,000,000	0.479	0.479	JE 6
2023	1,000,000	0.600	0.600	JF 3
2024	1,000,000	0.741	0.741	JG 1
2025	1,955,000	0.891	0.891	JH 9
2026	2,040,000	1.147	1.147	JJ 5
2027	2,145,000	1.347	1.347	JK 2
2028	2,255,000	1.495	1.495	JL 0
2029	2,370,000	1.595	1.595	JM 8
2030	2,490,000	1.695	1.695	JN 6
2031	2,620,000	1.835	1.835	JP 1
2032	2,760,000	1.925	1.925	JQ 9
2033	2,900,000	2.035	2.035	JR 7
2034	3,050,000	2.135	2.135	JS 5
2035	3,215,000	2.185	2.185	JT 3
2036	3,380,000	2.245	2.245	JU 0

\$20,750,000 – 2.631% Term Bonds due August 1, 2040 – Yield 2.631%; CUSIP⁽¹⁾: 845389JV8

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No dealer, broker, salesperson or other person has been authorized by the Southwestern Community College District (the “District”) to provide any information or to make any representations other than as contained herein and, if given or made, such other information or representation must not be relied upon as having been authorized by this Official Statement. This Official Statement does not constitute an offer to sell, a solicitation of an offer to buy, nor shall there be any sale of the Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale.

The District maintains a website. However, the information presented therein is not part of this Official Statement and should not be relied upon in making investment decisions with respect to the Bonds. The references to internet websites in this Official Statement are shown for reference and convenience only; unless explicitly stated to the contrary, the information contained within the websites is not incorporated herein by reference and does not constitute part of this Official Statement.

The information set forth herein has been obtained from official sources which are believed to be reliable. The information and expressions of opinion herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. Although certain information set forth in this Official Statement has been provided by San Diego County, San Diego County has not approved this Official Statement and is not responsible for the accuracy or completeness of the statements contained in this Official Statement except for the information set forth under the caption “THE SAN DIEGO COUNTY INVESTMENT POOL” herein.

The Underwriters have provided the following sentence for inclusion in this Official Statement. “The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their responsibility to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or the completeness of such information.”

This Official Statement is not to be construed as a contract with the purchasers of the Bonds. Statements contained in this Official Statement which involve estimates, forecasts or matters of opinion, whether or not expressly described herein, are intended solely as such and are not to be construed as a representation of facts.

IN CONNECTION WITH THIS OFFERING, THE UNDERWRITERS MAY OVER ALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS OFFERED HEREBY AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED MAY BE DISCONTINUED AT ANY TIME. THE UNDERWRITERS MAY OFFER AND SELL THE BONDS TO CERTAIN DEALERS, INSTITUTIONAL INVESTORS, BANKS OR OTHERS AT PRICES LOWER OR HIGHER THAN THE PUBLIC OFFERING PRICES STATED ON THE INSIDE COVER PAGE HEREOF AND SAID PUBLIC OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE UNDERWRITERS.

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements” within the meaning of the United States Private Securities Litigation Reform Act of 1995, Section 21E of the United States Securities Exchange Act of 1934, as amended (the “Exchange Act”), and Section 27A of the United States Securities Act of 1933, as amended (the “Securities Act”). Such statements are generally identifiable by the terminology used such as “plan,” “expect,” “estimate,” “budget” or other similar words.

THE ACHIEVEMENT OF CERTAIN RESULTS OR OTHER EXPECTATIONS CONTAINED IN SUCH FORWARD-LOOKING STATEMENTS INVOLVE KNOWN AND UNKNOWN RISKS, UNCERTAINTIES AND OTHER FACTORS WHICH MAY CAUSE ACTUAL RESULTS, PERFORMANCE OR ACHIEVEMENTS DESCRIBED TO BE MATERIALLY DIFFERENT FROM ANY FUTURE RESULTS, PERFORMANCE OR ACHIEVEMENTS EXPRESSED OR IMPLIED BY SUCH FORWARD-LOOKING STATEMENTS. THE DISTRICT DOES NOT PLAN TO ISSUE ANY UPDATES OR REVISIONS TO THOSE FORWARD-LOOKING STATEMENTS IF OR WHEN ITS EXPECTATIONS, OR EVENTS, CONDITIONS OR CIRCUMSTANCES ON WHICH SUCH STATEMENTS ARE BASED OCCUR.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
San Diego County, State of California

Governing Board

Nora E. Vargas, President, Seat 2
Tim Nader, Vice President, Seat 5
Roberto Alcantar, Member, Seat 3
Leticia Cazares, Member, Seat 4
Griselda A. Delgado, Member, Seat 1

District Administrators

Dr. Kindred Murillo, Superintendent/President
Dr. Kelly Hall, Assistant Superintendent/Vice President for Business and Financial Affairs
Dr. Minou Djawdan Spradley, Assistant Superintendent/Vice President for Academic Affairs
Rose DelGaudio Executive Assistant Superintendent/ Vice President for Human Resources
Dr. Tina King, Interim Assistant Superintendent/Vice President for Student Affairs

Municipal Advisor

KNN Public Finance, LLC
Oakland, California

Bond Counsel and Disclosure Counsel

Norton Rose Fulbright US LLP
Los Angeles, California

Paying Agent

San Diego County Treasurer-Tax Collector
San Diego, California

Escrow Agent

U.S. Bank National Association
Los Angeles, California

Verification Agent

Causey, Demgen & Moore, P.C.
Denver, Colorado

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\$111,530,000
SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
(San Diego County, California)

\$25,000,000
Election of 2008
General Obligation Bonds
Series 2020E-1 (Federally Taxable) and
Series 2020E-2 (Tax-Exempt)

\$30,000,000
Election of 2016
General Obligation Bonds
Series 2020B-1 (Federally Taxable) and
Series 2020B-2 (Tax-Exempt)

\$56,530,000
2020 General Obligation Refunding Bonds
(Federally Taxable)

INTRODUCTION

This Official Statement, which includes the cover, inside cover pages and appendices hereto is provided to furnish information in connection with the sale of the Southwestern Community College District (the “District”): (i) \$1,860,000 aggregate principal amount of Election of 2008, General Obligation Bonds, Series 2020E-1 (Federally Taxable) (the “Series E-1 Bonds”), (ii) \$23,140,000 aggregate principal amount of Election of 2008, General Obligation Bonds, Series 2020E-2 (Tax-Exempt) (the “Series E-2 Bonds” and, together with the Series E-1 Bonds, the “Series E Bonds” or the “Proposition R Bonds”), (iii) \$1,485,000 aggregate principal amount of Election of 2016, General Obligation Bonds, Series 2020B-1 (Federally Taxable) (the “Series B-1 Bonds”), (iv) \$28,515,000 aggregate principal amount of Election of 2016, General Obligation Bonds, Series 2020B-2 (Tax-Exempt) (the “Series B-2 Bonds” and, together with the Series B-1 Bonds, the “Series B Bonds” or the “Proposition Z Bonds”) and (v) \$56,530,000 aggregate principal amount of 2020 General Obligation Refunding Bonds (Federally Taxable) (the “Refunding Bonds”). The Proposition R Bonds and the Proposition Z Bonds are together referred to as the “New Money Bonds.” The Series E-1 Bonds, the Series B-1 Bonds and the Refunding Bonds are collectively referred to as the “Taxable Bonds.” The Series E-2 Bonds and the Series B-2 Bonds are also referred to as the “Tax-Exempt Bonds.” The Taxable Bonds and the Tax-Exempt Bonds will be referred to collectively, as the “Bonds.” The Bonds are being issued pursuant to certain provisions of the California Education Code, the California Government Code, other applicable laws and regulations of the State, and pursuant to resolutions adopted by the Governing Board of the District (the “Board”) on June 9, 2020 (together, the “Resolution”). See “THE BONDS – Authority for Issuance and Security for the Bonds” herein.

The New Money Bonds are being issued to (i) finance the acquisition, construction and modernization and equipping of District sites and facilities, (ii) pay a portion of the debt service on the New Money Bonds and (iii) pay certain costs of issuance associated therewith. See “PLAN OF FINANCE.”

The proceeds of the Refunding Bonds will be used to (i) advance refund a portion of the District’s Election of 2008 General Obligation Bonds, Series C (so refunded, the “Refunded Bonds”), and (ii) pay certain costs of issuance associated therewith. See “PLAN OF REFUNDING.”

The Southwestern Community College District, a community college district of the State of California (the “State”), was established in 1961. The District is located in San Diego County (the “County”). The District serves approximately 30,250 students. The District operates one campus, Southwestern College in Chula Vista, and three higher education centers in San Ysidro, National City and Otay Mesa, along with the Crown Cove Aquatic Center. The District’s territory encompasses approximately 162 square miles. Southwestern College (the “College”) is fully accredited by the Accrediting Commission for Community and Junior Colleges (the “ACCJC”). The District is governed

by the Governing Board (the “District Board”), consisting of 5 voting members elected at-large by the voters of the District. Each member of the District Board is elected to a four-year term. Elections for positions to the Board are held every two years, alternating between two and three available positions. The members of the District Board elect a board president (the “President”) each year. Nora E. Vargas is currently serving as the President of the District Board. The management and policies of the District are administered by its Superintendent/President (the “Superintendent/President”) who is appointed by the District Board and is responsible for the day-to-day affairs of the District. Dr. Kindred Murillo is currently serving as the Superintendent/President of the District.

Additional information related to the District is provided in Appendices A and C hereto. See APPENDIX A - “FINANCIAL AND DEMOGRAPHIC INFORMATION OF THE DISTRICT” and APPENDIX C - “AUDITED FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2019” attached hereto.

THE BONDS

Authority for Issuance and Security for the Bonds

The New Money Bonds. The Series E Bonds are being issued pursuant to an authorization obtained at the November 4, 2008 election (the “2008 Election”) conducted within the District, at which the requisite 55% or more of the persons voting on ‘Proposition R’ voted to authorize the issuance and sale of \$389,000,000 aggregate principal amount of general obligation bonds of the District (the “2008 Authorization”). Proceeds from the bonds are to be used for construction, reconstruction and/or rehabilitation of facilities, including the furnishing and equipping of its facilities. The Series E Bonds represent the fifth series of bonds issued under the 2008 Authorization.

The Series B Bonds are being issued pursuant to an authorization obtained at the November 8, 2016 election (the “2016 Election”) conducted within the District, at which the requisite 55% or more of the persons voting on ‘Proposition Z’ voted to authorize the issuance and sale of \$400,000,000 aggregate principal amount of general obligation bonds of the District (the “2016 Authorization” and, together with the 2008 Authorization, the “Authorizations”). Proceeds from the Series B Bonds are to be used for construction, reconstruction and/or rehabilitation of facilities, including the furnishing and equipping of its facilities. The Series B Bonds represent the second series of bonds issued under the 2016 Authorization.

The New Money Bonds are being issued by the District pursuant to the provisions of Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code of the State of California (the “Act”), commencing with Section 53506 *et seq.*, as amended, Article XIII A of the California Constitution, other applicable laws and regulations of the State, pursuant to a resolution adopted by the Board on June 9, 2020 (the “New Money Resolution”) and the respective Authorizations.

The Refunding Bonds. The Refunding Bonds are issued pursuant to the provisions of Articles 9 and 11 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code (the “Refunding Act”), other applicable laws and regulations of the State and pursuant to a resolution adopted by the Board on June 9, 2020 (the “Refunding Resolution,” and together with the New Money Resolution, the “Resolutions”). Pursuant to the Refunding Act, general obligation bonds issued for the purpose of refunding outstanding general obligation bonds previously authorized by the voters that do not increase the debt service obligation of taxpayers do not require additional voter approval, either for issuance of such refunding general obligation bonds or the levy of an *ad valorem* property tax sufficient to pay principal of and interest as due on the refunding general obligation bonds.

Description of the Bonds

The Bonds shall be issued in fully registered form, in denominations of \$5,000 or any integral multiple thereof and shall be dated and shall mature on the dates, in the years and in the Principal Amounts, and interest shall be computed at the rates, set forth on the inside covers of this Official Statement and in the respective Bond Purchase Contract. Interest on each Bond shall accrue from its dated date as set forth in the respective Bond Purchase Contract and as indicated on the inside covers of this Official Statement. Interest on Bonds shall be computed using a year of 360 days comprised of twelve 30-day months and shall be payable on each Interest Payment Date to the Owner thereof appearing on the Bond Register as of the close of business on the fifteenth calendar day of the month next preceding an Interest Payment Date (the "Record Date"). Interest on each Bond will be payable from the Interest Payment Date next preceding the date of registration thereof, unless it is registered after the close of business on any Record Date and before the close of business on the immediately following Interest Payment Date, in which event interest thereon shall be payable on the following Interest Payment Date; or it is registered prior to the close of business on the first Record Date, in which event interest shall be payable from its dated date; *provided, however*, that if at the time of registration of any Bond, interest thereon is in default, interest with respect thereto shall be payable from the Interest Payment Date to which interest has previously been paid or made available for payment. Payments of interest on the Bonds will be made on each Interest Payment Date by check or draft of the Paying Agent sent by first-class mail, postage prepaid, to the Owner thereof appearing on the Bond Register on the Record Date, or by wire transfer to any Owner of \$1,000,000 aggregate principal amount or more of such Bonds, to the account specified by such Owner in a written request delivered to the Paying Agent on or prior to the Record Date for such Interest Payment Date; *provided, however*, that payments of defaulted interest shall be payable to the person whose name such Bond is registered at the close of business on a special record date fixed therefor by the Paying Agent which shall not be more than fifteen days and not less than ten days prior to the date of the proposed payment of defaulted interest. The interest on the Bonds will be payable in lawful money of the United States of America to the person whose name appears on the bond registration books of the Paying Agent as of the Record Date, whether or not such day is a business day, such interest to be paid by check, draft, or wire transfer on such Interest Payment Date to such bank and account number as the registered Owner may have filed with the Paying Agent for that purpose.

Principal on the Bonds shall be due and payable on August 1 or October 1 in each of the years as set forth on the inside covers of this Official Statement. The principal of the Bonds is payable when due upon surrender of the Bonds at the office of the Paying Agent. The Bonds mature on August 1 or October 1 in the years indicated on the inside cover page hereof. The principal of the Bonds will be payable in lawful money of the United States of America to the registered Owner thereof, upon the surrender thereof at the principal office of the Paying Agent.

The Treasurer-Tax Collector of the County (the "Treasurer") will act as the initial registrar, transfer agent, authentication agent and paying agent for the Bonds. As long as DTC (defined below) is the registered owner of the Bonds and DTC's book-entry method is used for the Bonds, the Paying Agent will send any notice of prepayment or other notices to owners only to DTC. The Paying Agent, the District, the County, the Municipal Advisor and the Underwriters of the Bonds have no responsibility or liability for any aspects of the records relating to or payments made on account of beneficial ownership, or for maintaining, supervising or reviewing any records relating to beneficial ownership, or interest in the Bonds.

The Bonds will be issued in fully registered form and, when issued, will be registered in the name of Cede & Co., as registered owner and nominee of The Depository Trust Company, New York, New York ("DTC"). DTC will act as securities depository for the Bonds. So long as Cede & Co. is the

registered owner of the Bonds, as nominee of DTC, references herein to the Owners or registered owners shall mean Cede & Co. as aforesaid, and shall not mean the beneficial owners of the Bonds.

So long as Cede & Co. is the registered owner of the Bonds, principal of and interest or premium, if any, on the Bonds are payable by wire transfer or New York Clearing House or equivalent next-day funds or by wire transfer of same day funds by U.S. Bank National Association, as paying agent (the “Paying Agent”), to Cede & Co., as nominee for DTC. DTC is obligated, in turn, to remit such amounts to the DTC Participants (as defined herein) for subsequent disbursement to the Beneficial Owners. Payments of principal of, interest, and premium, if any, for any Bonds shall be made only upon the surrender of such Bonds to the Paying Agent. See “APPENDIX E – BOOK ENTRY ONLY SYSTEM” herein.

Optional Redemption

The Series E-1 Bonds and Series B-1 Bonds. The Series E-1 Bond and the Series B-1 Bonds are not subject to optional redemption prior to their respective maturity dates.

The Tax-Exempt Bonds. The Tax-Exempt Bonds maturing on or before August 1, 2028 are not subject to optional redemption prior to maturity. The Tax-Exempt Bonds maturing on or after August 1, 2029, may be redeemed before maturity, at the option of the District, from any source of available funds, in whole or in part on any date on or after August 1, 2028, at the principal amount thereof, together with interest accrued thereon to the date of redemption, without premium.

The Refunding Bonds. The Refunding Bonds maturing on or before August 1, 2030 are not subject to optional redemption prior to maturity. The Refunding Bonds maturing on or after August 1, 2031, may be redeemed before maturity, at the option of the District, from any source of available funds, in whole or in part on any date on or after August 1, 2030, at the principal amount thereof, together with interest accrued thereon to the date of redemption, without premium.

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Mandatory Sinking Fund Redemption

The Refunding Bonds maturing on August 1, 2040 (the “2040 Term Bonds”), are subject to mandatory sinking fund redemption prior to their stated maturity from mandatory sinking fund payments on any August 1 on or after August 1, 2037, at a redemption price equal to 100% of their principal amount, together with accrued interest thereon to the date fixed for redemption, without premium, on the dates and in the aggregate principal amounts listed below:

Mandatory Sinking Fund Payment Date (August 1)	Mandatory Sinking Fund Payment
2037	\$3,555,000
2038	3,790,000
2039	4,100,000
2040*	9,305,000
Total	\$20,750,00

*Maturity.

In the event that a portion of the 2040 Term Bond is optionally redeemed prior to maturity, the remaining mandatory sinking fund payments with respect thereto shall be reduced proportionately or as otherwise directed by the District, in integral multiples of \$5,000 principal amount, with respect to the portion of such 2040 Term Bond optionally redeemed.

Selection of Bonds for Redemption

Whenever provision is made for the optional redemption of Bonds and less than all outstanding Bonds are to be redeemed, the Paying Agent, upon written instruction from the District, will select Bonds for redemption as so directed and if not directed, in inverse order of maturity. Within a maturity, if the Bonds are registered in book-entry only form and so long as DTC or a successor securities depository is the sole registered owner of the Bonds, if less than all of the Bonds of a maturity are called for optional redemption, the particular Bonds or portions thereof to be redeemed shall be selected on a “Pro Rata Pass-Through Distribution of Principal” basis in accordance with DTC procedures, provided that, so long as the Bonds are held in book-entry form, the selection for redemption of such Bonds will be made in accordance with the operational arrangements of DTC then in effect and if the DTC operational arrangements do not allow redemption on a Pro Rata Pass-Through Distribution of Principal basis, the Bonds will be selected for redemption in accordance with DTC procedures by lot and in integral multiples of \$5,000.

Transfer and Exchange

Any Bond may be exchanged for Bonds of like tenor, maturity and principal amount and transferred upon presentation and surrender of such Bond at the principal office of the Paying Agent, together with an assignment executed by the Owner or a person legally empowered to do so in a form satisfactory to the Paying Agent. Upon exchange or transfer, the Paying Agent shall complete, authenticate and deliver a new Bond or Bonds of like tenor and of any authorized denomination or denominations requested by the Owner equal to the principal amount of the Bond surrendered and bearing interest at the same rate and maturing on the same date.

The registration of any Bond may be transferred upon to the Bond Register upon surrender of such Bond to the Paying Agent. Such Bond shall be endorsed or accompanied by delivery of the written

instrument of transfer, duly executed by the Owner or such Owner's duly authorized attorney, and payment of such reasonable transfer fees as the Paying Agent may establish. Upon such registration of transfer, a new Bond or Bonds, of like tenor, series and maturity in the same Principal Amount and in authorized denomination or denominations, will be executed and delivered to the transferee in exchange therefor.

The Paying Agent shall deem and treat the person in whose name any Outstanding Bond shall be registered upon the Bond Register as the absolute owner of such Bond, whether the Principal of and premium, if any, or interest on such Bond shall be overdue or not, for the purpose of receiving payment of Principal of and premium, if any, and interest on such Bond and for all other purposes, and any such payments so made to any such Owner or upon such Owner's order shall be valid and effective to satisfy and discharge the liability upon such Bond to the extent of the sum or sums so paid, and the District or the Paying Agent shall not be affected by any notice to the contrary.

Bonds may be exchanged at the office of the Paying Agent for Bonds of like series, tenor and maturity of other authorized denominations. All Bonds surrendered in any such exchange shall thereupon be cancelled by the Paying Agent. The Paying Agent may charge the Owner a reasonable sum for each new Bond executed and delivered upon any exchange (except in the case of the first exchange of any Bond in the form in which it is originally delivered, for which no charge shall be imposed) and the Paying Agent may require the payment by the Owner requesting such exchange of any tax or other governmental charge required to be paid with respect to such exchange.

The Paying Agent shall not be required to register the transfer or exchange of any Bond during the period beginning at the close of business on any Record Date through the close of business on the immediately following Interest Payment Date, or that has been called or is subject to being called for redemption, during a period beginning at the opening of business 15 days before any selection of Bonds to be redeemed through the close of business on the applicable redemption date, except for the unredeemed portion of any Bond to be redeemed only in part.

Notice of Redemption

When redemption is authorized or required pursuant to the Resolutions, the Paying Agent, upon written instruction from the District, shall give notice (each, a "Redemption Notice") of the redemption of the Bonds. Such Redemption Notice shall specify: (a) the Bonds or designated portions thereof (in the case of any Bond to be redeemed in part but not in whole) which are to be redeemed, (b) the date of redemption, (c) the place or places where the redemption will be made, including the name and address of the Paying Agent, (d) the redemption price, (e) the CUSIP numbers (if any) assigned to the Bonds to be redeemed, (f) the numbers of the Bonds to be redeemed in whole or in part and, in the case of any Bond to be redeemed in part only, the principal amount of such Bond to be redeemed, and (g) the original issue date, interest rate and stated maturity date of each Bond to be redeemed in whole or in part. Such Redemption Notice shall further state that on the specified date of redemption there shall become due and payable each Bond or designated portion thereof being redeemed the redemption price thereof, and that from and after such date, interest on the Bonds shall cease to accrue.

The Paying Agent shall take the following actions with respect to each such Redemption Notice: (i) at least 20 days but not more than 45 days prior to the redemption date, such Redemption Notice shall be given to the respective Owners of the Bonds designated for redemption by first-class mail, postage prepaid, at their addresses appearing on the bond register; (ii) in the event the Bonds shall no longer be held in book-entry form, at least 35 but not more than 45 days prior to the redemption date, such Redemption Notice shall be given by (1) first-class mail, postage prepaid, (2) telephonically confirmed facsimile transmission, or (3) overnight delivery service, to the Securities Depositories and the Municipal

Securities Rulemaking Board (“MSRB”). Such Redemption Notice shall be given to such other persons as may be required by the Continuing Disclosure Undertaking.

“MSRB” shall mean the Municipal Securities Rulemaking Board, through its Electronic Municipal Market Access (“EMMA”) website located at <http://emma.msrb.org>, or any other entity designated or authorized by the Commission.

The “Securities Depositories” shall mean DTC and, in accordance with then-current guidelines of the Securities and Exchange Commission, such other securities depositories as the District may designate in a certificate delivered to the Paying Agent.

A Redemption Notice may be rescinded by written notice given to the Paying Agent by the District and the Paying Agent shall provide notice of such rescission as soon thereafter as practicable in the same manner, and to the same recipients, as notice of such redemption was given, but in no event later than the date set for redemption.

Neither failure to receive any Redemption Notice nor any defect in any such Redemption Notice so given shall affect the sufficiency of the proceedings for the redemption of the affected Bonds. Each check issued or other transfer of funds made by the Paying Agent for the purpose of redeeming Bonds shall bear the CUSIP number identifying, by issue and maturity, the Bonds being redeemed with the proceeds of such check or other transfer.

Conditional Notice of Redemption. With respect to any notice of optional redemption of Bonds as described above, unless upon the giving of such notice such Bonds (or portions thereof) shall be deemed to have been defeased as described in “— Discharge and Defeasance” herein, such notice will state that such redemption will be conditional upon the receipt of an independent escrow agent selected by the District on or prior to the date fixed for such redemption of the moneys necessary and sufficient to pay the principal of, and premium, if any, and interest on such Bonds (or portions thereof) to be redeemed, and that, if such moneys shall not have been so received, said notice shall be of no force and effect, no portion of the Bonds will be subject to redemption on such date and such Bonds will not be required to be redeemed on such date. In the event that such Redemption Notice contains such a condition and such moneys are not so received, the redemption will not be made and the Paying Agent will within a reasonable time thereafter (but in no event later than the date originally set for redemption) give notice in the same manner, and to the persons to whom and in the manner in which the Redemption Notice was given, that such moneys were not so received. In addition, the District will have the right to rescind any Redemption Notice, by written notice to the Paying Agent, on or prior to the date fixed for such redemption. The Paying Agent will distribute a notice of such rescission in the same manner, and to the same recipients, as the Redemption Notice was originally provided, but in no event later than the date set for redemption.

Partial Redemption of Bonds

Upon the surrender of any Bond redeemed in part only, the Paying Agent shall execute and deliver to the Owner thereof a new Bond or Bonds of like tenor and maturity and of authorized denomination or denominations equal in Transfer Amount to the unredeemed portion of the Bond surrendered. Such partial redemption shall be valid upon payment of the amount required to be paid to such Owner, and the District shall be released and discharged thereupon from all liability to the extent of such payment.

“Transfer Amount” shall mean, with respect to any Bonds, the aggregate principal amount of thereof.

Effect of Notice of Redemption

Notice having been given as required in the respective Resolutions, and the moneys for redemption (including the interest to the applicable date of redemption) having been set aside in the District's applicable Debt Service Fund or deposited with a duly appointed escrow agent, the Bonds to be redeemed shall become due and payable on such date of redemption.

If on such redemption date, money for the redemption of all the Bonds to be redeemed, together with interest to such redemption date, shall be held by the Paying Agent or deposited with a duly appointed escrow agent, so as to be available therefor on such redemption date, and if notice of redemption thereof shall have been given, then from and after such redemption date, interest on the Bonds to be redeemed shall cease to accrue and become payable.

Discharge and Defeasance

All or any portion of the outstanding Bonds shall be paid and discharged in any one of the following ways:

1. by paying or causing to be paid the principal of, premium, if any, and interest on such Bonds outstanding, and when the same become due and payable;
2. by depositing with the Paying Agent, or with a duly appointed escrow agent, at or before maturity, cash which, together with the amounts then on deposit in the applicable Debt Service Fund plus the interest to accrue thereon without the need for further investment, is fully sufficient to pay all Bonds outstanding at maturity thereof, including any premium and all interest thereon, notwithstanding that any Bonds shall not have been surrendered for payment; or
3. by depositing with an institution which meets the requirements for acting as a successor Paying Agent pursuant to the Resolution selected by the District, in trust, lawful money or noncallable direct obligations issued by the United States Treasury (including State and Local Government Series Obligations) or obligations which are unconditionally guaranteed by the United States of America and permitted under Section 149(b) of the Code and Regulations which, in the opinion of nationally recognized bond counsel, will not impair the exclusion from gross income for federal income tax purposes of interest on the Bonds, in such amount as will, together with the interest to accrue thereon without the need for further investment, be fully sufficient to pay and discharge all Bonds outstanding at maturity thereof, including any premium and all interest thereon, for which notice has been given or provided for, notwithstanding that any Bonds shall not have been surrendered for payment;

then all obligations of the District and the Paying Agent under the applicable resolution with respect to the affected Bonds shall cease and terminate, except only the obligation of the Paying Agent to pay or cause to be paid to the Owners of the Bonds all sums due thereon, and the obligation of the District to pay the Paying Agent amounts owing to the Paying Agent under the applicable resolution.

Book-Entry Only System

The Bonds will be issued in fully registered form and, when issued, will be registered in the name of Cede & Co., as registered owner and nominee of DTC. DTC will act as securities depository for the Bonds. So long as Cede & Co. is the registered owner of the Bonds, as nominee of DTC, references herein to the Owners or registered owners shall mean Cede & Co. as aforesaid, and shall not mean the Beneficial Owners of the Bonds. For further information regarding DTC and the book-entry system, see APPENDIX D – "BOOK-ENTRY ONLY SYSTEM" hereto.

PLAN OF FINANCE

The proceeds of the New Money Bonds are being applied to (i) finance the construction, acquisition, furnishing and equipping of District facilities, all as included in the respective Project Lists (defined below) approved at the 2008 Election or 2016 Election, respectively (ii) pay a portion of the debt services on the New Money Bonds, and (iii) pay certain costs of issuance associated with the respective New Money Bonds.

The “Strict Accountability in Local School Construction Bonds Act of 2000,” comprising Section 15264 *et seq.* of the Education Code, controls the method by which the District will expend amounts derived from the sale of the New Money Bonds on its capital improvements. Prior to the respective Elections, the District prepared and submitted to the Governing Board for approval a facilities master plan containing capital improvement projects to be built, acquired, constructed or installed with the proceeds of the Proposition R Bonds (the “2008 Project List”) and the Proposition Z Bonds (the “2016 Project List”).

With respect to the projects included in the 2008 Project List, the District has evaluated facility needs to continue to provide for safety, infrastructure and information technology capacity; and the District has appointed an independent citizens’ oversight committee to oversee the implementation of the projects. Several key projects include:

- Institutional Technology Building

With respect to the projects included in the 2016 Project List, the District has evaluated facility needs to continue to provide for safety, infrastructure and information technology capacity; and the District has appointed an independent citizens’ oversight committee to oversee the implementation of the projects. Several key projects include:

- Design – Instructional Building No. 1
- Design – Student Union
- Design – Landscape Nursery Technology
- Design – Auto Technology
- Design – Operations and Warehouse
- Mayan Hall Demolition

The allocation of Bond proceeds and the timely completion of projects could be affected by the District’s ability to receive State matching funds as well as the final costs of each project. The estimated costs for each Project may be affected by outside factors beyond the District’s control. The timing of projects will be established and shall be subject to revision by the Governing Board and will be subject to review by the citizen’s oversight committee.

Financing Structure. As State law requires premium received by the District to be deposited in the interest and sinking fund of the District, the Series E-1 Bonds and the Series B-1 Bonds are being issued to efficiently utilize such premium and reduce the principal amount of bonds outstanding.

PLAN OF REFUNDING

The net proceeds of the Refunding Bonds will be applied to: (i) advance refund a portion of the District’s Election of 2008 General Obligation Bonds, Series C (the “2008 Series C Bonds” or the “Refunded Bonds”), and (ii) pay the costs of issuance of the Refunding Bonds.

On the date of delivery of the Refunding Bonds, a portion of the net proceeds of sale of the Refunding Bonds shall be transferred to U.S. Bank National Association, in its capacity as Escrow Agent (the “Escrow Agent”) for deposit into the Escrow Fund, established pursuant to that certain Escrow Agreement, dated as of August 1, 2020 (the “Escrow Agreement”), in an amount, which will be held as uninvested cash and/or invested in Defeasance Securities, that will be sufficient to pay and redeem the Refunded Bonds on the date selected for the redemption thereof.

Accrued interest, if any, and except as shall otherwise be directed by the District in accordance with applicable law, any original issue premium received by the District from the sale of the Refunding Bonds, shall be kept separate and apart in a separate fund designated as the “Southwestern Community College District 2020 General Obligation Refunding Bonds Debt Service Fund” (the “Refunding Bond Debt Service Fund”). Amounts in the Refunding Bond Debt Service Fund may be used only for payment of Principal of and interest on the Refunding Bonds. Any excess proceeds of the Refunding Bonds not needed for the authorized purposes set forth in the Resolution for which the Bonds are being issued shall be transferred to the Refunding Bond Debt Service Fund and applied to the payment of the Principal of and interest on the Refunding Bonds. The Treasurer is directed to create any accounts and subaccounts in the Refunding Bond Debt Service Fund as provided in the Resolution. Interest earned on the investment of monies held in the Debt Service Fund shall be retained in the Refunding Bond Debt Service Fund and used to pay the Principal of and interest on the Refunding Bonds when due.

All Pledged Moneys, as defined in the Resolution, shall be deposited upon collection by the County into the Debt Service Fund and used for the payment of the principal of, premium, if any, and interest on the Refunding Bonds.

On or before the Business Day immediately preceding each Interest Payment Date, the District shall transfer, or cause to be transferred, from the Debt Service Fund to the Paying Agent, an amount, in immediately available funds, sufficient to pay all the principal of, premium, if any, and interest on the Bonds coming due (collectively, “Debt Service”) on such payment date. Debt Service on the Bonds shall be paid by the Paying Agent in the manner provided by law for the payment of Debt Service.

The specific maturities of the 2008 Series C Bonds, or portions thereof, to be refunded and which shall comprise the Refunded Bonds, shall be selected by the District on or about the date of sale of the Refunding Bonds.

SUMMARY OF THE REFUNDED BONDS

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT (San Diego County, California) Election of 2008 General Obligation Bonds, Series C

Redemption Date: August 1, 2021

Maturity Date <u>(August 1)</u>	<u>Principal Amount</u>	Interest <u>Rate</u>	CUSIP Number⁽¹⁾ <u>(845389)</u>
2022	\$ 775,000	5.00%	EK7
2023	900,000	5.00	EL5
2024	1,035,000	5.00	EM3
2025	1,180,000	5.00	EN1
2026	1,325,000	5.00	EP6
2027	1,490,000	5.00	EQ4
2028	1,665,000	5.00	ER2
2029	1,850,000	5.00	ES0
2030	2,045,000	5.00	ET8
2036 ⁽²⁾	17,245,000	5.25	EU5
2040 ⁽²⁾	23,965,000	5.00	EV3

⁽¹⁾ CUSIP® is a registered trademark of the American Bankers Association. CUSIP data herein is provided by CUSIP Global Services, managed by S&P Capital IQ on behalf of The American Bankers Association. This data is not intended to create a database and does not serve in any way as a substitute for the CUSIP Services. Neither the District, the Municipal Advisor, nor the Underwriters take any responsibility for the accuracy of the CUSIP numbers, which are being provided for reference only. The CUSIP number for a specific maturity is subject to being changed after the issuance of the Bonds as a result of various subsequent actions including, but not limited to, a refunding in whole or in part or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of certain maturities of the Bonds.

⁽²⁾ Term Bonds.

ESTIMATED SOURCES AND USES OF FUNDS

The estimated sources and uses of funds in connection with the Bonds are as follows:

<i>Sources of Funds</i>	<i>Proposition R Bonds</i>	<i>Proposition Z Bonds</i>	<i>Refunding Bonds</i>	<i>Total</i>
Principal Amount	\$25,000,000.00	\$30,000,000.00	\$56,530,000.00	\$111,530,000.00
Plus Original Issue Premium	<u>4,412,286.65</u>	<u>4,251,285.30</u>	<u>-</u>	<u>8,663,571.95</u>
Total Sources	<u>\$29,412,286.65</u>	<u>\$34,251,285.30</u>	<u>\$56,530,000.00</u>	<u>\$120,193,571.95</u>
<i>Uses of Funds</i>				
Deposit to Prop R Building Fund	\$24,912,971.85	-	-	\$24,912,971.85
Deposit to Prop R Debt Service Fund ⁽¹⁾	4,321,036.65	-	-	4,321,036.65
Deposit to Prop Z Building Fund	-	\$29,895,566.21	-	29,895,566.21
Deposit to Prop Z Debt Service Fund ⁽¹⁾	-	4,141,785.30	-	4,141,785.30
Deposit to Escrow Fund	-	-	\$56,120,647.34	56,120,647.34
Costs of Issuance ⁽²⁾	<u>178,278.15</u>	<u>213,933.79</u>	<u>409,352.66</u>	<u>801,564.60</u>
Total Uses	<u>\$29,412,286.65</u>	<u>\$34,251,285.30</u>	<u>\$56,530,000.00</u>	<u>\$120,193,571.95</u>

⁽¹⁾ Includes funded debt service on the bonds through and including August 1, 2023.

⁽²⁾ Costs of issuance includes, but is not limited to, Underwriters' discount, printing and rating costs, demographics, fees and expenses of the Paying Agent, Fiscal Agent, Escrow Agent, Municipal Advisor, Bond and Disclosure Counsel and the Verification Agent.

SECURITY AND SOURCES OF PAYMENT FOR THE BONDS

General

The Bonds are general obligations of the District, and the Board of Supervisors of the San Diego County has the power and is obligated to levy and collect *ad valorem* taxes upon all property within the District subject to taxation by the County, without limitation as to rate or amount (except certain personal property which is taxable at limited rates) for payment of both principal of and interest on the Bonds. See “ – Assessed Valuations” herein for further information regarding the assessed valuation and property tax collection information within the District.

Assessed Valuations – Constitutional and Statutory Initiatives

Article XIII A of the California Constitution. Article XIII A of the California Constitution limits the amount of any *ad valorem* tax on real property, to 1% of the full cash value thereof, except that additional *ad valorem* taxes may be levied to pay debt service on indebtedness approved by the voters prior to July 1, 1978, and on bonded indebtedness for the acquisition or improvement of real property which has been approved on or after July 1, 1978 by two-thirds of the voters on such indebtedness or 55% of voters voting on the proposition. Article XIII A defines full cash value to mean “the county assessor’s valuation of real property as shown on the 1975-76 tax bill under “full cash value,” or thereafter, the appraised value of real property when purchased, newly constructed, or a change in ownership have occurred after the 1975 assessment.” The full cash value may be increased at a rate not to exceed 2% per year to account for inflation.

Article XIII A has subsequently been amended to permit reduction of the “full cash value” base in the event of declining property values caused by damage, destruction or other factors, to provide that there would be no increase in the “full cash value” base in the event of reconstruction of property damaged or destroyed in a disaster and in other minor or technical ways.

Legislation Implementing Article XIII A. Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any property tax (except to pay voter-approved indebtedness). The 1% property tax is automatically levied by the county and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1979.

Increases of assessed valuation resulting from reappraisals of property due to new construction, change in ownership or from the 2% annual adjustment are allocated among the various jurisdictions in the “taxing area” based upon their respective “situs.” Any such allocation made to a local agency continues as part of its allocation in future years.

All taxable property is shown at full market value on the tax rolls, with tax rates expressed as \$1 per \$100 of taxable value. All taxable property value included in this Official Statement is shown at 100% of market value (unless noted differently) and all general tax rates reflect the \$1 per \$100 of taxable value.

San Diego County has adopted, subject to future discontinuance, the “Teeter Plan,” as discussed herein, allocating 100% of the District’s total secured tax and general obligation bond taxes. See “SECURITY AND SOURCES OF PAYMENT – Teeter Plan.”

Assessed Valuations

The assessed valuation of property in the District is established by the County Assessor, except for public utility property which is assessed by the State Board of Equalization. Assessed valuations are reported at 100% of the full value of the property, as defined in Article XIII A of the California Constitution.

The State-reimbursed exemption currently provides a credit of \$7,000 of the full value of an owner-occupied dwelling for which application has been made to the County Assessor. The revenue estimated to be lost to local taxing agencies due to the exemption is reimbursed from State sources. Reimbursement is based upon total taxes due upon such exempt value and is not reduced by any amount for estimated or actual delinquencies.

In addition, certain classes of property such as churches, colleges, not-for-profit hospitals and charitable institutions are exempt from property taxation and do not appear on the tax rolls. No reimbursement is made by the State for such exemptions.

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For fiscal year 2020-21, the District's total assessed valuation is \$63,306,863,538. Shown in the following tables is information relating to the assessed valuation of property in the District during the past five fiscal years, assessed valuation by jurisdiction, assessed valuation and parcels by land use, and per parcel assessed valuation of single-family homes.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
Summary of Assessed Valuations
Fiscal Years 2016-17 through 2020-21

<u>Fiscal Year</u>	<u>Local Secured</u>	<u>Utilities</u>	<u>Unsecured</u>	<u>Total</u>
2016-17	48,434,630,174	569,695,367	1,193,533,841	50,197,859,382
2017-18	51,550,718,593	663,287,367	1,255,161,308	53,469,167,268
2018-19	54,585,199,185	587,553,982	1,311,577,562	56,484,330,729
2019-20	57,956,366,866	597,653,982	1,330,149,513	59,884,170,361
2020-21	61,248,829,409	587,853,982	1,470,180,147	63,306,863,538

Source: California Municipal Statistics, Inc.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
2019-20 Assessed Valuation by Jurisdiction

<u>Jurisdiction:</u>	<u>Assessed Valuation in District</u>	<u>% of District⁽¹⁾</u>	<u>Assessed Valuation of Jurisdiction</u>	<u>% of Jurisdiction in District</u>
City of Chula Vista	\$30,596,088,455	51.09%	\$30,596,088,455	100.00%
City of Coronado	9,594,786,198	16.02	\$9,594,786,198	100.00
City of Imperial Beach	2,415,209,870	4.03	2,415,209,870	100.00
City of National City	4,326,962,321	7.23	4,331,128,916	99.90
City of San Diego	9,850,808,871	16.45	264,495,510,966	3.72
Unincorporated San Diego County	<u>3,100,314,646</u>	<u>5.18</u>	77,548,929,915	4.00
Total District	\$59,884,170,361	100.00%		
San Diego County	\$59,884,170,361	100.00%	\$556,205,983,982	10.77%

(1) Totals may not add due to rounding.

(2) Assessed valuation of San Diego County, and is not the sum of preceding numbers in column.

Source: California Municipal Statistics, Inc.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
2019-20 Assessed Valuation and Parcels by Land Use

	2019-20 Assessed Valuation ⁽¹⁾	% of Total	No. of Parcels	% of Total
Non-Residential:				
Rural/Undeveloped	\$288,264,303	0.50%	599	0.51%
Commercial	7,257,445,845	12.52	2,801	2.39
Vacant Commercial	237,453,386	0.41	479	0.41
Industrial	3,147,195,985	5.43	1,398	1.19
Vacant Industrial	512,716,501	0.88	607	0.52
Recreational	217,575,168	0.38	155	0.13
Government/Social/Institutional	<u>36,878,514</u>	<u>0.06</u>	<u>222</u>	<u>0.19</u>
Subtotal Non-Residential	\$11,697,529,702	20.18%	6,261	5.34%
Residential:				
Single Family Residence	\$30,180,170,943	52.07%	71,940	61.36%
Condominium/Townhouse	8,875,847,852	15.31	24,764	21.12
Mobile Home	147,260,088	0.25	2,204	1.88
Mobile Home Park	220,508,855	0.38	92	0.08
Timeshare Parcels	20,702,649	0.04	3,296	2.81
2-4 Residential Units	1,769,172,158	3.05	4,699	4.01
5+ Residential Units/Apartments	4,520,103,121	7.80	1,298	1.11
Miscellaneous Residential	11,741,663	0.02	270	0.23
Vacant Residential	<u>513,329,835</u>	<u>0.89</u>	<u>2,426</u>	<u>2.07</u>
Subtotal Residential	\$46,258,837,164	79.82%	110,989	94.66%
Total	\$57,956,366,866	100.00%	117,250	100.00%

⁽¹⁾ Local Secured Assessed Valuation; excluding tax-exempt property.

Source: California Municipal Statistics, Inc.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
Per Parcel 2019-20 Assessed Valuation of Single-Family Homes

	<u>No. of Parcels</u>	<u>2019-20 Assessed Valuation</u>	<u>Average Assessed Valuation</u>	<u>Median Assessed Valuation</u>
Single-Family Residential	71,940	\$30,180,170,943	\$419,519	\$377,084

<u>2019-20 Assessed Valuation</u>	<u>No. of Parcels⁽¹⁾</u>	<u>% of Total</u>	<u>Cumulative % of Total</u>	<u>Total Valuation</u>	<u>% of Total</u>	<u>Cumulative % of Total</u>
\$0 - \$49,999	882	1.226%	1.226%	\$ 34,623,973	0.115%	0.115%
\$50,000 - \$99,999	6,266	8.710	9.936	455,708,666	1.510	1.625
\$100,000 - \$149,999	4,023	5.592	15.528	505,556,827	1.675	3.300
\$150,000 - \$199,999	4,739	6.587	22.116	834,702,120	2.766	6.066
\$200,000 - \$249,999	5,514	7.665	29.780	1,242,014,451	4.115	10.181
\$250,000 - \$299,999	5,557	7.724	37.505	1,528,668,604	5.065	15.246
\$300,000 - \$349,999	5,556	7.723	45.228	1,807,571,693	5.989	21.235
\$350,000 - \$399,999	6,349	8.825	54.053	2,380,876,258	7.889	29.124
\$400,000 - \$449,999	6,692	9.302	63.356	2,842,044,915	9.417	38.541
\$450,000 - \$499,999	6,198	8.616	71.971	2,936,291,184	9.729	48.270
\$500,000 - \$549,999	4,743	6.593	78.564	2,481,843,779	8.223	56.494
\$550,000 - \$599,999	3,865	5.373	83.937	2,215,230,448	7.340	63.834
\$600,000 - \$649,999	3,064	4.259	88.196	1,908,526,630	6.324	70.158
\$650,000 - \$699,999	2,389	3.321	91.517	1,604,625,335	5.317	75.474
\$700,000 - \$749,999	1,355	1.884	93.400	975,658,978	3.233	78.707
\$750,000 - \$799,999	923	1.283	94.683	713,953,185	2.366	81.073
\$800,000 - \$849,999	561	0.780	95.463	460,568,954	1.526	82.599
\$850,000 - \$899,999	406	0.564	96.027	354,601,614	1.175	83.774
\$900,000 - \$949,999	295	0.410	96.437	272,045,463	0.901	84.675
\$950,000 - \$999,999	286	0.398	96.835	278,405,670	0.922	85.598
\$1,000,000 and greater	<u>2,277</u>	<u>3.165</u>	100.000	<u>4,346,652,196</u>	<u>14.402</u>	100.000
	71,940	100.000%		\$30,180,170,943	100.000%	

⁽¹⁾ Improved single family residential parcels. Excludes condominiums and parcels with multiple family units.
Source: California Municipal Statistics, Inc.

Tax Rates, Levies, Collections and Delinquencies

Taxes are levied for each fiscal year on taxable real and personal property as of the preceding January 1. Real property which changes ownership or is newly constructed is reassessed at the time the change occurs or the construction is completed. The current year property tax rate is applied to the reassessed value, and the taxes are then adjusted by a proration factor that reflects the portion of the remaining tax year for which taxes are due.

For assessment and collection purposes, property is classified either as “secured” or “unsecured” and is listed accordingly on separate parts of the assessment roll. The “secured roll” is that part of the assessment roll containing real property the taxes on which have a lien sufficient, in the opinion of the county assessor, to secure payment of the taxes. Other property is assessed on the “unsecured roll.”

Property taxes on the secured roll are due in two installments, on November 1 and February 1 of each fiscal year, and become delinquent on December 10 and April 10, respectively. A penalty of ten percent attaches immediately to all delinquent payments. Properties on the secured roll with respect to which taxes are delinquent become tax defaulted on or about June 30 of the fiscal year. Such property

may thereafter be redeemed by payment of a penalty of 1.5% per month to the time of redemption, plus costs and a redemption fee. If taxes are unpaid for a period of five years or more, the County notifies the State Controller, and the property may be sold at public auction by the County Treasurer.

Property taxes on the unsecured roll are due as of the January 1 lien dates and become delinquent on August 31. A ten percent penalty attaches to delinquent unsecured taxes. If unsecured taxes are unpaid at 5 p.m. on October 31, an additional penalty of 1.5% attaches to them on the first day of each month until paid. The County has four ways of collecting delinquent unsecured personal property taxes: (1) a civil action against the taxpayer; (2) filing a judgment in the office of the County Clerk specifying certain facts in order to obtain a lien on certain property of the taxpayer; (3) filing a certificate of delinquency for record in the County Recorder's office in order to obtain a lien on certain property of the taxpayer; and (4) seizure and sale of personal property, improvements or possessory interests belonging or assessed to the assessee.

A portion of the property tax in the District is derived from utility property subject to assessment by the State Board of Equalization (the "SBE"). State-assessed property, or "unitary property," is property of a utility system with components located in many taxing jurisdictions assessed as part of a "going concern" rather than as individual parcels of real or personal property. Unitary and certain other state-assessed property is allocated to the counties by the SBE, taxed at special county-wide rates, and the tax revenues are distributed to taxing jurisdictions (including the District) according to statutory formulae generally based on the distribution of taxes in the prior year.

San Diego County has adopted, subject to future discontinuance, the "Teeter Plan," as discussed herein, allocating 100% of the District's total secured tax and general obligation bond taxes. See "SECURITY AND SOURCES OF PAYMENT – Teeter Plan."

The following tables set forth secured tax charges levied and delinquencies in the District for fiscal years 2014-15 through 2018-19.

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SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
Secured Tax Charges and Delinquencies
Fiscal Years ended June 30, 2015 to June 30, 2019

Fiscal Year ended June 30	1% General Fund Apportionment			District's General Obligation Bond Debt Service Levy		
	Secured Tax Charge ⁽¹⁾	Amount Delinquent ⁽²⁾ (June 30)	Percent Delinquent ⁽²⁾ (June 30)	Secured Tax Charge ⁽³⁾	Amount Delinquent ⁽²⁾ (June 30)	Percent Delinquent ⁽²⁾ (June 30)
2014-15	\$ 20,721,983.21	(2)	(2)	\$15,418,887.48	(2)	(2)
2015-16	21,877,858.71	(2)	(2)	18,049,975.56	(2)	(2)
2016-17	23,213,159.62	(2)	(2)	18,000,281.30	(2)	(2)
2017-18	24,618,845.37	(2)	(2)	25,757,563.19	(2)	(2)
2018-19	25,893,102.62	(2)	(2)	25,600,145.15	(2)	(2)

(1) 1% General Fund appointment.

(2) San Diego County utilizes the Teeter Plan for assessment levy and distribution. This method guarantees distribution of 100% of the assessments levied to the taxing entity, with the county retaining all penalties and interest.

(3) District's general obligation bond debt service levy.

Source: California Municipal Statistics, Inc.

The following table sets forth typical tax rates levied in Tax Rate Area (1-000) for fiscal years 2015-16 through 2019-20:

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
Typical Total Tax Rate Per \$100 Assessed Value (TRA 1-000)

	<u>2015-16</u>	<u>2016-17</u>	<u>2017-18</u>	<u>2018-19</u>	<u>2019-20</u>
General	1.000000	1.000000	1.000000	1.000000	1.000000
Chula Vista School District	.01898	.01781	.01686	.01574	.01498
Chula Vista School District SFID 2012-1	.02403	.02542	.01908	.02343	.02245
Sweetwater Union High School District	.05169	.05162	.05156	.05283	.05159
Southwestern Community College District	.03961	.03856	.04981	.04671	.04482
Metropolitan Water District	.00350	.00350	.00350	.00350	.00350
Total	1.13781%	1.13691%	1.14081%	1.14221%	1.13734%

The fiscal year 2019-20 assessed valuation of TRA 1-000 is \$2,874,933,728.

Source: California Municipal Statistics, Inc.

Factors Affecting Assessed Valuation. The annual tax rate will be based on the assessed value of taxable property within the District. Changes in the annual debt service on the District's outstanding general obligation bonds and the assessed value of taxable property within the District may cause the annual tax rate to fluctuate. Economic and other factors beyond the District's control, such as economic recession, deflation of land values, global pandemics, such as the novel coronavirus 2019 ("COVID-19"), relocation of businesses out of the District's territory or financial difficulty or bankruptcy by one or more major property taxpayers, or the complete or partial destruction of taxable property caused by, among other eventualities, earthquake, flood, drought, fire or other natural disaster, could cause a reduction in the assessed value of taxable property in the District and, all other factors being equal, necessitate a corresponding increase in the annual tax rate. Conversely, factors such as increased assessed value of taxable property and/or an increase in the numbers of property taxpayers within the District could, all other factors being equal, cause a corresponding decrease in the annual tax rate.

The level of property tax delinquencies is affected by economic factors beyond the District's control, including the ability or willingness of property owners to pay property taxes during an economic recession. The District cannot predict whether the COVID-19 pandemic will have a significant effect on the rate of delinquency in the payment of property taxes in the District. See "LEGAL AND OTHER MATTERS – Risks Related to COVID-19" and "SECURITY AND SOURCES OF PAYMENT – Teeter Plan." herein.

Largest Taxpayers

The 20 largest local secured taxpayers in the District and their assessed valuations for 2019-20 are shown in the following table.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT 2019-20 Largest Local Secured Taxpayers

	<u>Property Owner</u>	<u>Land Use</u>	<u>2019-20 Assessed Valuation</u>	<u>% of Total⁽¹⁾</u>
1.	BSK Del Partners LLC	Hotel	\$721,690,413	1.25%
2.	Rohr Inc.	Industrial	248,261,089	0.43
3.	Chelsea San Diego Finance LLC	Shopping Center	226,236,516	0.39
4.	GGP-Otay Ranch LP	Shopping Center	205,718,700	0.35
5.	PR III / Broadstone Coronado LLC	Apartments	177,475,202	0.31
6.	Greenfield Otay LP	Apartments	163,644,968	0.28
7.	John Hancock Life Insurance Co. USA	Apartments	152,798,189	0.26
8.	Centermark Properties Inc.	Shopping Center	148,244,718	0.26
9.	Corrections Corporation of America	Correctional Facilities	128,137,991	0.22
10.	Plaza Bonita LLC	Shopping Center	123,597,412	0.21
11.	Regulo Place Apartments Investors LLC	Apartments	118,036,342	0.20
12.	Siempre Viva Industrial LLC	Industrial	115,545,141	0.20
13.	Wal-Mart Real Estate Business Trust	Commercial	115,001,015	0.20
14.	Homefed Otay Land II LLC	Residential Facilities	109,461,478	0.19
15.	Brisa Acquisitions LLC	Industrial	100,316,854	0.17
16.	Vista Pacific Villas LP	Apartments	99,044,746	0.17
17.	N M Pulse LLC	Apartments	98,957,104	0.17
18.	Host Hotels & Resorts LP	Hotel	95,774,946	0.17
19.	51st St. & 8th Avenue Corporation	Hotel	86,950,000	0.15
20.	BRE-FMCA LLC	Apartments	<u>82,543,665</u>	<u>0.14</u>
			\$3,317,436,489	5.72%

⁽¹⁾ 2019-20 Local Secured Assessed Valuation: \$57,956,366,866.

Source: California Municipal Statistics, Inc.

Debt Service Schedule

The following table summarizes the debt service requirements of the District for all of its outstanding general obligation bonds and the Bonds, assuming no optional redemptions:

Bond Year Ending August 1	Debt Service for Existing Bonds⁽¹⁾	<u>Prop R 2020E Bonds</u>		<u>Prop Z 2020B Bonds</u>		<u>Refunding Bonds</u>		<u>Total Debt Service</u>
		<u>Principal</u>	<u>Interest</u>	<u>Principal</u>	<u>Interest</u>	<u>Principal</u>	<u>Interest</u>	
2021	\$ 17,923,293.76	\$1,860,000.00	\$ 860,463.33	\$ 1,485,000.00	\$ 1,009,293.61	\$ 1,600,000.00	\$ 1,112,435.72	\$ 25,850,486.42
2022	17,766,043.76	1,675,000.00	869,400.00	10,210,000.00	1,020,050.00	1,000,000.00	1,119,031.00	33,659,524.76
2023	18,596,343.76	1,820,000.00	819,150.00	1,025,000.00	713,750.00	1,000,000.00	1,114,241.00	25,088,484.76
2024	23,368,043.76	1,050,000.00	764,550.00	385,000.00	683,000.00	1,000,000.00	1,108,241.00	28,358,834.76
2025	24,541,543.76	1,075,000.00	733,050.00	435,000.00	671,450.00	1,955,000.00	1,100,831.00	30,511,874.76
2026	26,155,343.76	1,095,000.00	700,800.00	490,000.00	658,400.00	2,040,000.00	1,083,411.96	32,222,955.72
2027	27,445,743.76	1,125,000.00	657,000.00	555,000.00	638,800.00	2,145,000.00	1,060,013.16	33,626,556.92
2028	28,790,493.76	1,155,000.00	612,000.00	625,000.00	616,600.00	2,255,000.00	1,031,120.00	35,085,213.76
2029	25,515,743.76	1,185,000.00	565,800.00	695,000.00	591,600.00	2,370,000.00	997,407.76	31,920,551.52
2030	20,659,243.76	1,215,000.00	518,400.00	775,000.00	563,800.00	2,490,000.00	959,606.26	27,181,050.02
2031	21,650,493.76	1,240,000.00	469,800.00	860,000.00	532,800.00	2,620,000.00	917,400.76	28,290,494.52
2032	22,687,043.76	1,260,000.00	420,200.00	945,000.00	498,400.00	2,760,000.00	869,323.76	29,439,967.52
2033	23,765,643.76	1,285,000.00	369,800.00	1,040,000.00	460,600.00	2,900,000.00	816,193.76	30,637,237.52
2034	24,899,443.76	1,300,000.00	318,400.00	1,140,000.00	419,000.00	3,050,000.00	757,178.76	31,884,022.52
2035	26,076,643.76	1,315,000.00	266,400.00	1,250,000.00	373,400.00	3,215,000.00	692,061.26	33,188,505.02
2036	27,310,343.76	1,325,000.00	213,800.00	1,360,000.00	323,400.00	3,380,000.00	621,813.50	34,534,357.26
2037	28,589,743.76	1,340,000.00	160,800.00	1,480,000.00	269,000.00	3,555,000.00	545,932.50	35,940,476.26
2038	29,886,943.76	1,340,000.00	107,200.00	1,610,000.00	209,800.00	3,790,000.00	452,400.46	37,396,344.22
2039	31,154,143.76	1,340,000.00	53,600.00	1,745,000.00	145,400.00	4,100,000.00	352,685.56	38,890,829.32
2040	27,336,986.76	--	--	1,890,000.00	75,600.00	9,305,000.00	244,814.56	38,852,401.32
2041	40,735,400.00	--	--	--	--	--	--	40,735,400.00
2042	42,443,972.00	--	--	--	--	--	--	42,443,972.00
2043	44,226,654.30	--	--	--	--	--	--	44,226,654.30
2044	46,031,032.00	--	--	--	--	--	--	46,031,032.00
2045	27,709,114.45	--	--	--	--	--	--	27,709,114.45
2046	28,553,200.00	--	--	--	--	--	--	28,553,200.00
2047	10,992,800.00	--	--	--	--	--	--	10,992,800.00
2048	--	--	--	--	--	--	--	--
2049	--	--	--	--	--	--	--	--
2050	--	--	--	--	--	--	--	--
Total	<u>\$734,811,440.95</u>	<u>\$25,000,000</u>	<u>\$9,480,613.33</u>	<u>\$30,000,000.00</u>	<u>\$10,474,143.61</u>	<u>\$56,530,000.00</u>	<u>\$16,956,143.74</u>	<u>\$883,252,341.63</u>

⁽¹⁾ Figures exclude the debt service for the general obligation bonds to be refunded. Figures exclude the District's Lease Revenue Bonds issued through the California Community College Financing Authority in 1999 and refunded in October, 2010. See "APPENDIX C – AUDITED FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2019."

District Debt

Prior to delivery of the Bonds, the District's general obligation indebtedness as of June 1, 2020 was \$415,123,676, which is approximately 0.69% of its total 2019-20 assessed valuation. Set forth below is a direct and overlapping debt report for the District prepared by California Municipal Statistics, Inc. on May 1, 2020 for debt outstanding as of June 1, 2020. The debt report is included for general information purposes only. The District has not reviewed the debt report for completeness or accuracy and makes no representation in connection therewith.

The Debt Report generally includes long-term obligations sold in the public credit markets by public agencies whose boundaries overlap the boundaries of the District in whole or in part. Such long term obligations generally are not payable from revenues of the District (except as indicated) nor are they necessarily obligations secured by land within the District. In many cases long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

Column 1 in the table names each public agency which has outstanding debt as of the date of the report and whose boundaries overlap the District in whole or in part. Column 2 shows the percentage of each overlapping agency's assessed value located within the boundaries of the District. This percentage, multiplied by the total outstanding debt of each overlapping agency (which is not shown in the table) produces the amount shown in Column 3, which is the apportionment of each overlapping agency's outstanding debt to taxable property in the District.

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SOUTHWESTERN COMMUNITY COLLEGE DISTRICT DIRECT AND OVERLAPPING BONDED INDEBTEDNESS

2019-20 Assessed Valuation: \$59,884,170,361

<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>	<u>% Applicable</u>	<u>Debt 6/1/20</u>
Metropolitan Water District	1.543%	\$ 575,539
Southwestern Community College District	100.000	415,123,676⁽¹⁾
Coronado Unified School District	100.000	7,080,000
Sweetwater Union High School District	99.992	395,727,672
Chula Vista School District	100.000	95,458,285
Chula Vista School District School Facilities Improvement District No. 2012-1	100.000	79,580,000
National School District	99.899	25,304,417
San Ysidro School District	100.000	115,873,131
South Bay Union School District	100.000	62,271,811
City of National City	99.904	3,077,043
Otay Municipal Water District, I.D. No 27	100.000	2,105,000
City of Chula Vista Community Facilities Districts	100.000	127,550,000
School District Community Facilities Districts	100.000	69,550,602
City 1915 Act Bonds	100.000	6,450,000
California Statewide Communities Development Authority 1915 Act Bonds	100.000	10,038,515
TOTAL DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		\$1,415,765,691
 <u>DIRECT AND OVERLAPPING GENERAL FUND DEBT:</u>		
San Diego County General Fund Obligations	10.767%	\$ 24,909,455
San Diego County Pension Obligation Bonds	10.767	49,101,827
San Diego County Superintendent of Schools Obligations	10.767	1,006,715
Southwestern Community College District General Fund Obligations	100.000	595,000
Sweetwater Union High School District Certificates of Participation	99.992	38,056,955
Coronado Unified School District Certificates of Participation	100.000	6,905,000
Chula Vista City School District Certificates of Participation	100.000	152,895,000
San Ysidro School District Certificates of Participation	100.000	51,844,715
City of Chula Vista General Fund Obligations	100.000	149,435,000
City of National City General Fund Obligations	99.904	5,068,154
City of San Diego General Fund Obligations	3.724	18,483,233
TOTAL DIRECT AND OVERLAPPING GENERAL FUND DEBT		\$498,301,054
 <u>OVERLAPPING TAX INCREMENT DEBT (Successor Agency):</u>		 \$218,808,523
 COMBINED TOTAL DEBT		 \$2,132,875,268⁽²⁾

Ratios to 2019-20 Assessed Valuation:

Direct Debt (\$415,123,676)	0.69%
Total Direct and Overlapping Tax and Assessment Debt	2.36%
Combined Direct Debt (\$415,718,676)	0.69%
Combined Total Debt	3.56%

Ratio to Redevelopment Incremental Valuation (\$6,288,353,830):

Total Overlapping Tax Increment Debt	3.48%
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⁽¹⁾ Excludes issues to be sold; includes the Refunded Bonds.

⁽²⁾ Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and tax allocation bonds and non-bonded capital lease obligations.

Source: California Municipal Statistics, Inc.

Pledge of Tax Revenues

Pursuant to the Resolution, the District pledges all revenues from *ad valorem* property taxes collected from the levy by the County Board of Supervisors for the payment of the Bonds and amounts on

deposit in the debt service fund of the District for the payment of the principal or redemption price of and interest on the Bonds.

This pledge is valid and binding from the date of adoption of the Resolution for the benefit of the owners of the Bonds and successors thereto. The Resolution provides that the *ad valorem* property taxes and amounts held in the debt service fund of the District are immediately subject to this pledge, and the pledge constitutes a lien and security interest which immediately attaches to the *ad valorem* property taxes and amounts held in the debt service fund of the District to secure the payment of the Bonds and is effective, binding, and enforceable against the District, its successors, creditors and all others irrespective of whether those parties have notice of the pledge and without the need of any physical delivery, recordation, filing, or further act. “Bonds” for purpose of this pledge means all bonds of the District heretofore or hereafter issued pursuant to voter approved measures of the District, including any refunding bonds thereof, as all such Bonds are required by State law to be paid from the respective debt service fund of the District.

The Resolution provides that the pledge is an agreement between the District and the bondholders to provide security for the Bonds in addition to any statutory lien that may exist, and the Bonds and each of the other bonds secured by the pledge are or were issued to finance one or more of the projects specified in the applicable voter-approved measure or to refinance outstanding general obligation bonds.

Statutory Lien for General Obligation Bonds

Pursuant to Senate Bill 222 (2015) (“SB 222”) codified at State Government Code Section 53515 provides that all general obligation bonds issued by local agencies on or after January 1, 2016, including the Bonds, will be secured by a statutory lien on all revenues received pursuant to the levy and collection of the *ad valorem* taxes. SB 222 provides that the lien will automatically arise, without the need for any action or authorization by the District or its governing board, and will be valid and binding from the time the bonds are executed and delivered. See also “LEGAL AND OTHER MATTERS – Possible Limitations on Remedies; Bankruptcy – *Statutory Lien*” herein.

Dedicated Unlimited *Ad Valorem* Property Tax Collection

Factors Affecting Assessed Valuation. The annual tax rate will be based on the assessed value of taxable property in the District. Changes in the annual debt service on the District’s outstanding general obligation bonds and the assessed value of taxable property in the District may cause the annual tax rate to fluctuate. Economic and other factors beyond the District’s control, such as economic recession, deflation of land values, relocation of businesses out of the District or financial difficulty or bankruptcy by one or more major property taxpayers, or the complete or partial destruction of taxable property caused by, among other eventualities, global pandemic such as COVID-19, earthquake, flood, drought, fire, debris flow or other natural disaster, could cause a reduction in the assessed value of taxable property in the District and, all other factors being equal, necessitate a corresponding increase in the annual tax rate. Conversely, factors such as increased assessed value of taxable property and/or an increase in the numbers of property taxpayers within the District could, all other factors being equal, cause a corresponding decrease in the annual tax rate.

Wildfire. In recent years, portions of California, including adjacent counties, have experienced wildfires that have burned thousands of acres and destroyed thousands of homes and structures. Property damage due to wildfire could result in a significant decrease in the assessed value of the District. It is not possible for the District to make any representation regarding the extent to which wildfires could cause reduced economic activity within the boundaries of the District or the extent to which wildfires may impact the value of taxable property within the District.

Sea Level Rise. A wide range of critical infrastructure, such as roads, airports, hospitals, schools, emergency facilities, wastewater treatment plants, power plants, and ports may be vulnerable to impacts associated with sea level rise. Continued development in vulnerable areas will put additional assets at risk and raise protection costs. The District is unable to predict whether sea level rise or other impacts of climate change or flooding from a major storm will occur, when they may occur, and if any such events occur, whether they will have a material adverse effect on the financial condition of the District and the local economy.

Prospective purchasers of the Bonds should be aware that, notwithstanding any decrease in assessed valuation for any fiscal year, the County is required to levy sufficient taxes to pay debt service on the Bonds. The consequence of any decrease in assessed valuation is a concomitant increase in the tax rate on taxable property so that sufficient tax revenues may be collected from taxpayers to cover debt service on the Bonds in full.

Proposition 50 and Proposition 171. On June 3, 1986, the voters of the State approved Proposition 50. Proposition 50 amends Section 2 of Article XIII A of the State Constitution to allow owners of property that was “substantially damaged or destroyed” by a disaster, as declared by the Governor (the “Damaged Property”), to transfer their existing base year value (the “Original Base Year Value”) to a comparable replacement property within the same county, which is acquired or constructed within five years after the disaster. At the time of such transfer, the Damaged Property will be reassessed at its full cash value immediately prior to damage or destruction (the “Original Cash Value”); however, such property will retain its base year value notwithstanding such a transfer. Property is substantially damaged or destroyed if either the land or the improvements sustain physical damage amounting to more than 50% of either the land or improvements full cash value immediately prior to the disaster. There is no filing deadline, but the assessor can only correct four years of assessments when the owner fails to file a claim within four years of acquiring a replacement property.

Under Proposition 50, the base year value of the replacement property (the “Replacement Base Year Value”) depends on the relation of the full cash value of the replacement property (the “Replacement Cash Value”) to the Original Cash Value: if the Replacement Cash Value exceeds 120% of the Original Cash Value, then the Replacement Base Year Value is calculated by combining the Original Base Year Value with such excessive Replacement Cash Value; if the Replacement Cash Value does not exceed 120% of the Original Cash Value, then the Replacement Base Year Value equals the Original Base Year Value; if the Replacement Cash Value is less than the Original Cash Value, then the Replacement Base Year Value equals the Replacement Cash Value. The replacement property must be comparable in size, utility, and function to the Damaged Property.

On November 2, 1993, the voters of the State approved Proposition 171. Proposition 171 amends subdivision (e) of Section 2 of Article XIII A of the State Constitution to allow owners of Damaged Property to transfer their Original Base Year Value to a “comparable replacement property” located within another county in the State, which is acquired or newly constructed within three years after the disaster.

Intra-county transfers under Proposition 171 are more restrictive than inter-county transfers under Proposition 50. For example, Proposition 171 (1) only applies to (a) structures that are owned and occupied by property owners as their principal place of residence and (b) land of a “reasonable size that is used as a site for a residence;” (2) explicitly does not apply to property owned by firms, partnerships, associations, corporations, companies, or legal entities of any kind; (3) only applies to replacement property located in a county that adopted an ordinance allowing Proposition 171 transfers; (4) claims must be timely filed within three years of the date of purchase or completion of new construction; and (5)

only applies to comparable replacement property, which has a full cash value that is of “equal or lesser value” than the Original Cash Value.

Within the context of Proposition 171, “equal or lesser value” means that the amount of the Replacement Cash Value does not exceed either (1) 105% of the Original Cash Value when the replacement property is acquired or constructed within one year of the destruction, (2) 110% of the Original Cash Value when the replacement property is acquired or constructed within two years of the destruction, or (3) 115% of the Original Cash Value when the replacement property is acquired or constructed within three years of the destruction.

Teeter Plan

The County, since the 1993-94 Fiscal Year, has operated under provisions of Revenue and Taxation Code Sections 4701-4716 (commonly referred to as the “Teeter Plan”) pursuant to which public agencies in the County will receive their total secured tax levies and special assessments irrespective of actual collections and delinquencies. Pursuant to such provisions, the County establishes a delinquency reserve and assumes responsibility for all secured delinquencies.

Because of this method of tax collection, the District is allocated 100% collection of its total secured tax levies. Under County policy, taxes for general obligations bonds are covered by the Teeter Plan. This method of tax collection and distribution is, however, subject to future discontinuance if demanded by the participating entities or upon action by the County Board of Supervisors. Further, the County may take action to discontinue the Teeter Plan with respect to any tax levying agency in the County if the rate of secured tax delinquency in any year exceeds 3% of the total of all taxes and assessments of that agency. The County has reported that the delinquency rate for taxes collected in the District are currently under 3%. See “Secured Tax Changes and Delinquencies” herein.

The Teeter Plan of the County is to remain in effect unless the Board of Supervisors of the County orders its discontinuance or unless, prior to the commencement of any Fiscal Year of the County (which commences on July 1), the Board of Supervisors of the County receives a petition for its discontinuance joined in by a resolution adopted by at least two-thirds of the participating revenue districts in the County. In the event the Board of Supervisors of the County orders discontinuance of its Teeter Plan, only those secured property taxes and special assessments actually collected would be allocated to political subdivisions (including the District) for which the County acts as the tax-levying or tax-collecting agency.

The District is not aware of any plans for the discontinuance of the Teeter Plan now pending in the County.

An economic recession or depression could be caused by many factors outside the control of the District, including high interest rates, reduced consumer confidence, reduced real wages or reduced economic activity as a result of the spread of COVID-19 or other outbreak of disease or natural or manmade disaster. See “LEGAL AND OTHER MATTERS – Risks Regarding COVID-19 Outbreak” herein. However, notwithstanding any possible future change to or discontinuation of the Teeter Plan, State law requires the Counties to levy *ad valorem* property taxes sufficient to pay the Bonds when due.

TAX MATTERS

Tax-Exempt Bonds

Tax Exemption. The delivery of the Tax-Exempt Bonds is subject to delivery of the opinion of Bond Counsel, to the effect that interest on the Tax-Exempt Bonds for federal income tax purposes under existing statutes, regulations, published rulings, and court decisions (1) will be excludable from the gross income, as defined in section 61 of the Internal Revenue Code of 1986, as amended to the date of initial delivery of the Tax-Exempt Bonds (the “Code”), of the owners thereof pursuant to section 103 of the Code, and (2) will not be included in computing the alternative minimum taxable income of the owners thereof. The delivery of the Tax-Exempt Bonds is also subject to the delivery of the opinion of Bond Counsel, based upon existing provisions of the laws of the State of California, that interest on the Tax-Exempt Bonds is exempt from personal income taxes of the State of California. A form of Bond Counsel’s anticipated opinion is included in Appendix B. The statutes, regulations, rulings, and court decisions on which such opinion will be based are subject to change.

In rendering the foregoing opinions, Bond Counsel will rely upon the representations and certifications of the District made in a certificate of even date with the date of delivery of the Tax-Exempt Bonds pertaining to the use, expenditure and investment of the proceeds of the Tax-Exempt Bonds (the “Tax Certificate”) and will assume continuing compliance with the provisions of the New Money Resolution by the District subsequent to the issuance of the Tax-Exempt Bonds. The New Money Resolution and the Tax Certificate contain covenants by the District with respect to, among other matters, the use of the proceeds of the Tax-Exempt Bonds and the facilities and equipment financed or refinanced therewith by persons other than state or local governmental units, the manner in which the proceeds of the Tax-Exempt Bonds are to be invested, if required, the calculation and payment to the United States Treasury of any “arbitrage profits” and the reporting of certain information to the United States Treasury. Failure to comply with any of these covenants may cause interest on the Tax-Exempt Bonds to be includable in the gross income of the owners thereof from the date of the issuance of the Tax-Exempt Bonds.

Except as described above, Bond Counsel will express no other opinion with respect to any other federal, State or local tax consequences under present law, or proposed legislation, resulting from the receipt or accrual of interest on, or the acquisition or disposition of, the Tax-Exempt Bonds. Prospective purchasers of the Tax-Exempt Bonds should be aware that the ownership of tax-exempt obligations such as the Tax-Exempt Bonds may result in collateral federal tax consequences to, among others, financial institutions, life insurance companies, property and casualty insurance companies, S corporations with subchapter C earnings and profits, certain foreign corporations doing business in the United States, individual recipients of Social Security or Railroad Retirement benefits, individuals otherwise qualifying for the earned income tax credit, owners of an interest in a financial asset securitization investment trust (“FASIT”), and taxpayers who may be deemed to have incurred or continued indebtedness to purchase or carry, or who have paid or incurred certain expenses allocable to, tax-exempt obligations. Prospective purchasers should consult their own tax advisors as to the applicability of these consequences to their particular circumstances.

Bond Counsel’s opinion is not a guarantee of a result, but represents its legal judgment based upon its review of existing statutes, regulations, published rulings and court decisions and the representations and covenants of the District described above. No ruling has been sought from the Internal Revenue Service (the “IRS”) or the State of California with respect to the matters addressed in the opinion of Bond Counsel, and Bond Counsel’s opinion is not binding on the IRS or the State of California. The IRS has an ongoing program of auditing the tax-exempt status of the interest on municipal obligations. If an audit of the Tax-Exempt Bonds is commenced, under current procedures, the

IRS is likely to treat the District as the “taxpayer,” and the owners of the Tax-Exempt Bonds would have no right to participate in the audit process. In responding to or defending an audit of the tax-exempt status of the interest on the Tax-Exempt Bonds, the District may have different or conflicting interests from the owners of the Tax-Exempt Bonds. Public awareness of any future audit of the Tax-Exempt Bonds could adversely affect the value and liquidity of the Tax-Exempt Bonds during the pendency of the audit, regardless of its ultimate outcome.

Existing law may change to reduce or eliminate the benefit to Bondholders of the exclusion of interest on the Tax-Exempt Bonds from gross income for federal income tax purposes. Any proposed legislation or administrative action, whether or not taken, could also affect the value and marketability of the Tax-Exempt Bonds. Prospective purchasers of the Tax-Exempt Bonds should consult with their own tax advisors with respect to any proposed or future changes in tax law.

Tax Accounting Treatment of Discount and Premium on Certain Tax-Exempt Bonds

The initial public offering of certain of the Tax-Exempt Bonds (the “Discount Tax-Exempt Bonds”) may be less than the amount payable on such Tax-Exempt Bonds at maturity. An amount equal to the difference between the initial public offering price of a Discount Tax-Exempt Bond (assuming that a substantial amount of the Discount Tax-Exempt Bonds of that maturity are sold to the public at such price) and the amount payable at maturity constitutes original issue discount to the initial purchaser of such Discount Tax-Exempt Bond. A portion of such original issue discount, allocable to the holding period of such Discount Tax-Exempt Bond by the initial purchaser, will, upon the disposition of such Discount Tax-Exempt Bond (including by reason of its payment at maturity), be treated as interest excludable from gross income, rather than as taxable gain, for federal income tax purposes, on the same terms and conditions as those for other interest on the Bonds described above. Such interest is considered to be accrued actuarially in accordance with the constant interest method over the life of a Discount Tax-Exempt Bond taking into account the semiannual compounding of accrued interest at the yield to maturity on such Discount Tax-Exempt Bond, and generally will be allocated to an initial purchaser in a different amount from the amount of the payment denominated as interest actually received by the initial purchaser during the tax year.

However, such interest may be required to be taken into account in determining the amount of the branch profits tax applicable to certain foreign corporations doing business in the United States, even though there will not be a corresponding cash payment. In addition, the accrual of such interest may result in certain other collateral federal income tax consequences to, among others, financial institutions, life insurance companies, property and casualty insurance companies, “S” corporations with “subchapter C” earnings and profits, individual recipients of Social Security or Railroad Retirement benefits, individuals otherwise qualifying for the earned income tax credit owners of an interest in a FASIT, and taxpayers who may be deemed to have incurred or continued indebtedness to purchase or carry, or who have paid or incurred certain expenses allocable to, tax-exempt obligations. Moreover, in the event of the redemption, sale or other taxable disposition of a Discount Tax-Exempt Bond by the initial owner prior to maturity, the amount realized by such owner in excess of the basis of such Discount Tax-Exempt Bond in the hands of such owner (adjusted upward by the portion of the original issue discount allocable to the period for which such Discount Tax-Exempt Bond was held) is includable in gross income.

Owners of Discount Tax-Exempt Bonds should consult with their own tax advisors with respect to the determination for federal income tax purposes of accrued original issue discount on Discount Tax-Exempt Bonds and with respect to the state and local tax consequences of owning and disposing of Discount Tax-Exempt Bonds. It is possible that, under applicable provisions governing determination of state and local income taxes, accrued interest on Discount Tax-Exempt Bonds may be deemed to be received in the year of accrual even though there will not be a corresponding cash payment.

The purchase price of certain Tax-Exempt Bonds (the “Premium Tax-Exempt Bonds”) paid by an owner may be greater than the amount payable on such bonds at maturity. An amount equal to the excess of a purchaser’s tax basis in a Premium Tax-Exempt Bond over the amount payable at maturity constitutes premium to such purchaser. The basis for federal income tax purposes of a Premium Tax-Exempt Bond in the hands of such purchaser must be reduced each year by the amortizable bond premium, although no federal income tax deduction is allowed as a result of such reduction in basis for amortizable bond premium. Such reduction in basis will increase the amount of any gain (or decrease the amount of any loss) to be recognized for federal income tax purposes upon a sale or other taxable disposition of a Premium Tax-Exempt Bond. The amount of premium that is amortizable each year by a purchaser is determined by using such purchaser’s yield to maturity (or, in some cases with respect to a callable Tax-Exempt Bond, the yield based on a call date that results in the lowest yield on the Tax-Exempt Bond). Purchasers of the Premium Tax-Exempt Bonds should consult with their own tax advisors with respect to the determination of amortizable bond premium on Premium Tax-Exempt Bonds for federal income tax purposes and with respect to the state and local tax consequences of owning and disposing of Premium Tax-Exempt Bonds.

Taxable Bonds

General. The delivery of the Taxable Bonds is subject to delivery of the opinion of Bond Counsel, based upon existing provisions of the laws of the State, that interest on the Taxable Bonds is exempt from personal income taxes of the State of California.

The following is a general summary of the United States federal income tax consequences of the purchase and ownership of the Taxable Bonds. The discussion is based upon laws, Treasury Regulations, rulings and decisions now in effect, all of which are subject to change or possibly differing interpretations. No assurances can be given that future changes in the law will not alter the conclusions reached herein. The discussion below does not purport to deal with United States federal income tax consequences applicable to all categories of investors. Further, this summary does not discuss all aspects of United States federal income taxation that may be relevant to a particular investor in the Taxable Bonds in light of the investor’s particular personal investment circumstances or to certain types of investors subject to special treatment under United States federal income tax laws (including insurance companies, tax exempt organizations, financial institutions, brokers-dealers, and persons who have hedged the risk of owning the Taxable Bonds). The summary is therefore limited to certain issues relating to initial investors who will hold the Taxable Bonds as “capital assets” within the meaning of section 1221 of the Code, and acquire such Taxable Bonds for investment and not as a dealer or for resale. Prospective investors should note that no rulings have been or will be sought from the IRS or the State of California with respect to any of the U.S. federal income tax consequences discussed herein, and no assurance can be given that the IRS or the State of California will not take contrary positions. A form of Bond Counsel’s anticipated opinion is included on page B-4 of Appendix B.

INVESTORS SHOULD CONSULT THEIR OWN TAX ADVISORS IN DETERMINING THE FEDERAL, STATE, LOCAL, FOREIGN AND ANY OTHER TAX CONSEQUENCES TO THEM FROM THE PURCHASE, OWNERSHIP AND DISPOSITION OF THE TAXABLE BONDS.

Payments of Stated Interest on the Taxable Bonds. The stated interest paid on the Taxable Bonds will be included in the gross income, as defined in section 61 of the Code, of the beneficial owners thereof and be subject to U.S. federal income taxation when received or accrued, depending on the tax accounting method applicable to the beneficial owners thereof.

Original Issue Discount. If a substantial amount of the Taxable Bonds of any stated maturity is purchased at original issuance for a purchase price (the “Issue Price”) that is less than their face amount

by more than one quarter of one percent times the number of complete years to maturity, the Taxable Bonds of such maturity will be treated as being issued with “original issue discount.” The amount of the original issue discount will equal the excess of the principal amount payable on such Taxable Bonds at maturity over its Issue Price, and the amount of the original issue discount on the Taxable Bonds will be amortized over the life of the Taxable Bonds using the “constant yield method” provided in the Treasury Regulations. As the original issue discount accrues under the constant yield method, the beneficial owners of the Taxable Bonds, regardless of their regular method of accounting, will be required to include such accrued amount in their gross income as interest. This can result in taxable income to the beneficial owners of the Taxable Bonds that exceeds actual cash distributions to the beneficial owners in a taxable year.

The amount of the original issue discount that accrues on the Taxable Bonds each taxable year will be reported annually to the IRS and to the beneficial owners. The portion of the original issue discount included in each beneficial owner’s gross income while the beneficial owner holds the Taxable Bonds will increase the adjusted tax basis of the Taxable Bonds in the hands of such beneficial owner.

Premium. If a beneficial owner purchases a Taxable Bond for an amount that is greater than its stated redemption price at maturity, such beneficial owner will be considered to have purchased the Taxable Bond with “amortizable bond premium” equal in amount to such excess. A beneficial owner may elect to amortize such premium using a constant yield method over the remaining term of the Taxable Bond and may offset interest otherwise required to be included in respect of the Taxable Bond during any taxable year by the amortized amount of such excess for the taxable year. Bond premium on a Taxable Bond held by a beneficial owner that does not make such an election will decrease the amount of gain or increase the amount of loss otherwise recognized on the sale, exchange, redemption or retirement of a Taxable Bond. However, if the Taxable Bond may be optionally redeemed after the beneficial owner acquires it at a price in excess of its stated redemption price at maturity, special rules would apply under the Treasury Regulations which could result in a deferral of the amortization of some bond premium until later in the term of the Taxable Bond. Any election to amortize bond premium applies to all taxable debt instruments held by the beneficial owner on or after the first day of the first taxable year to which such election applies and may be revoked only with the consent of the IRS.

Medicare Contribution Tax. Pursuant to section 1411 of the Code, as enacted by the Health Care and Education Reconciliation Act of 2010, an additional tax is imposed on individuals beginning January 1, 2013. The additional tax is 3.8% of the lesser of (i) net investment income (defined as gross income from interest, dividends, net gain from disposition of property not used in a trade or business, and certain other listed items of gross income), or (ii) the excess of “modified adjusted gross income” of the individual over \$200,000 for unmarried individuals (\$250,000 for married couples filing a joint return and a surviving spouse). Holders of the Taxable Bonds should consult with their tax advisor concerning this additional tax, as it may apply to interest earned with respect to the Taxable Bonds as well as gain on the sale of a Taxable Bond.

Disposition of Taxable Bonds and Market Discount. A beneficial owner of Taxable Bonds will generally recognize gain or loss on the redemption, sale or exchange of a Taxable Bond equal to the difference between the redemption or sales price (exclusive of the amount paid for accrued interest) and the beneficial owner’s adjusted tax basis in the Taxable Bonds. Generally, the beneficial owner’s adjusted tax basis in the Taxable Bonds will be the beneficial owner’s initial cost, increased by the original issue discount previously included in the beneficial owner’s income to the date of disposition. Any gain or loss generally will be capital gain or loss and will be long-term or short-term, depending on the beneficial owner’s holding period for the Taxable Bonds.

Under current law, a purchaser of Taxable Bonds who did not purchase the Taxable Bonds in the initial public offering (a “subsequent purchaser”) generally will be required, on the disposition of the Taxable Bonds, to recognize as ordinary income a portion of the gain, if any, to the extent of the accrued “market discount.” Market discount is the amount by which the price paid for the Taxable Bonds by a subsequent purchaser is less than the sum of Issue Price and the amount of original issue discount previously accrued on the Taxable Bonds. The Code also limits the deductibility of interest incurred by a subsequent purchaser on funds borrowed to acquire Taxable Bonds with market discount. As an alternative to the inclusion of market discount in income upon disposition, a subsequent purchaser may elect to include market discount in income currently as it accrues on all market discount instruments acquired by the subsequent purchaser in that taxable year or thereafter, in which case the interest deferral rule will not apply. The re-characterization of gain as ordinary income on a subsequent disposition of Taxable Bonds could have a material effect on the market value of the Taxable Bonds.

Legal Defeasance. If the District elects to defease the Taxable Bonds by depositing in escrow sufficient cash and/or obligations to pay when due outstanding Taxable Bonds (a “legal defeasance”), under current tax law, a beneficial owner of Taxable Bonds may be deemed to have sold or exchanged its Taxable Bonds. In the event of such a legal defeasance, a beneficial owner of Taxable Bonds generally would recognize gain or loss in the manner described above. Ownership of the Taxable Bonds after a deemed sale or exchange as a result of a legal defeasance may have tax consequences different from those described above, and each beneficial owner should consult its own tax advisor regarding the consequences to such beneficial owner of a legal defeasance of the Taxable Bonds.

Backup Withholding. Under section 3406 of the Code, a beneficial owner of the Taxable Bonds who is a United States person, as defined in section 7701(a)(30) of the Code, may, under certain circumstances, be subject to “backup withholding” on payments of current or accrued interest on the Taxable Bonds. This withholding applies if such beneficial owner of Taxable Bonds: (i) fails to furnish to payor such beneficial owner’s social security number or other taxpayer identification number (“TIN”); (ii) furnishes the payor an incorrect TIN; (iii) fails to report properly interest, dividends, or other “reportable payments” as defined in the Code; or (iv) under certain circumstances, fails to provide the payor with a certified statement, signed under penalty of perjury, that the TIN provided to the payor is correct and that such beneficial owner is not subject to backup withholding.

Backup withholding will not apply, however, with respect to payments made to certain beneficial owners of the Taxable Bonds. Beneficial owners of the Taxable Bonds should consult their own tax advisors regarding their qualification for exemption from backup withholding and the procedures for obtaining such exemption.

Withholding on Payments to Nonresident Alien Individuals and Foreign Corporations. Under sections 1441 and 1442 of the Code, nonresident alien individuals and foreign corporations are generally subject to withholding at the rate of 30% on periodic income items arising from sources within the United States, provided such income is not effectively connected with the conduct of a United States trade or business. Assuming the interest received by the beneficial owners of the Taxable Bonds is not treated as effectively connected income within the meaning of section 864 of the Code, such interest will be subject to 30% withholding, or any lower rate specified in an income tax treaty, unless such income is treated as portfolio interest. Interest will be treated as portfolio interest if: (i) the beneficial owner provides a statement to the payor certifying, under penalties of perjury, that such beneficial owner is not a United States person and providing the name and address of such beneficial owner; (ii) such interest is treated as not effectively connected with the beneficial owner’s United States trade or business; (iii) interest payments are not made to a person within a foreign country which the IRS has included on a list of countries having provisions inadequate to prevent United States tax evasion; (iv) interest payable with respect to the Taxable Bonds is not deemed contingent interest within the meaning of the portfolio debt

provision; (v) such beneficial owner is not a controlled foreign corporation, within the meaning of section 957 of the Code; and (vi) such beneficial owner is not a bank receiving interest with respect to the Taxable Bonds pursuant to a loan agreement entered into in the ordinary course of the bank's trade or business.

Assuming payments with respect to the Taxable Bonds are treated as portfolio interest within the meaning of sections 871 and 881 of the Code, then no backup withholding under section 1441 and 1442 of the Code and no backup withholding under section 3406 of the Code is required with respect to beneficial owners or intermediaries who have furnished Form W-8BEN, Form W-8EXP or Form W-8IMY, as applicable, provided the payor does not have actual knowledge that such person is a U.S. person.

Foreign Account Tax Compliance Act. Sections 1471 through 1474 of the Code impose a 30% withholding tax on certain types of payments made to a foreign financial institution, unless the foreign financial institution enters into an agreement with the U.S. Treasury to, among other things, undertake to identify accounts held by certain U.S. persons or U.S.-owned entities, annually report certain information about such accounts, and withhold 30% on payments to account holders whose actions prevent it from complying with these and other reporting requirements, or unless the foreign financial institution is otherwise exempt from those requirements. In addition, the Foreign Account Tax Compliance Act ("FATCA") imposes a 30% withholding tax on the same types of payments to a non-financial foreign entity unless the entity certifies that it does not have any substantial U.S. owners or the entity furnishes identifying information regarding each substantial U.S. owner. Failure to comply with the additional certification, information reporting and other specified requirements imposed under FATCA could result in the 30% withholding tax being imposed on payments of interest and principal under the Taxable Bonds and sales proceeds of Taxable Bonds held by or through a foreign entity. In general, withholding under FATCA currently applies to payments of U.S. source interest (including OID) and will apply to "foreign pass-through payments" but no earlier than two years after the date of publication of final regulations defining the term "foreign pass-through payment." Prospective investors should consult their own tax advisors regarding FATCA and its effect on them.

Reporting of Interest Payments. Subject to certain exceptions, interest payments made to beneficial owners with respect to the Taxable Bonds will be reported to the IRS. Such information will be filed each year with the IRS on Form 1099 which will reflect the name, address, and TIN of the beneficial owner. A copy of Form 1099 will be sent to each beneficial owner of a Taxable Bond for U.S. federal income tax purposes.

LEGAL OPINION

The validity of the Bonds and certain other legal matters are subject to the approving opinions of Norton Rose Fulbright US LLP, Bond Counsel to the District. Complete copies of the proposed forms of Bond Counsel opinion are contained in Appendix B herein. Bond Counsel undertakes no responsibility for the accuracy, completeness or fairness of this Official Statement. Compensation to be paid to Bond Counsel, Disclosure Counsel, Municipal Advisor, the Underwriters and Underwriter's Counsel is contingent upon the issuance of the Bonds.

LEGALITY FOR INVESTMENT

Under provisions of the California Financial Code, the Bonds are legal investments for commercial banks in California to the extent that the Bonds, in the informed opinion of the investing bank, are prudent for the investment of funds of depositors. Under provisions of the California Government Code, the Bonds are eligible to secure deposits of public moneys in California.

VERIFICATION AGENT

The arithmetical accuracy of certain computations included in the schedules provided by the Underwriters relating to the computation of the projected payments of principal and interest (i) to pay debt service coming due on the Refunded Bonds and (ii) to retire the Refunded Bonds will be verified by Causey, Demgen & Moore, P.C., as Verification Agent. Such computations will be based solely on assumptions and information supplied by the District and the Underwriters. The Verification Agent will restrict its procedures to verifying the arithmetical accuracy of certain computations and will not make any study to evaluate the assumptions and information on which the computations are based, and will express no opinion on the data used, the reasonableness of the assumptions or the achievability of the projected outcome. See “PLAN OF REFUNDING” herein.

RATINGS

Moody’s Investors Service, Inc. (“Moody’s”) and S&P Global Ratings, a business unit of Standard & Poor’s Financial Services LLC (“S&P”) have assigned their municipal bond ratings of “Aa2” and “AA-” to the Bonds, respectively. Such ratings reflect only the views of S&P and Moody’s, respectively, and an explanation of the significance of such ratings may be obtained as follows: S&P at Municipal Finance Department, 55 Water Street, New York, New York 10041, tel. (212) 208-8000 and Moody’s, at 7 World Trade Center at 250 Greenwich Street, New York, New York 10007, tel. (212) 553-0300. The District furnished each rating agency with certain information and materials relating to the Bonds that may not be included in this Official Statement. Generally, rating agencies base their ratings on the information and materials so furnished and on investigations, studies and assumptions by rating agencies. A rating may be changed, suspended or withdrawn as a result of changes in, or unavailability of, information. There is no assurance that such ratings will continue for any given period of time or that they will not be revised downward or withdrawn entirely if, in the judgment of the rating agencies, circumstances so warrant. The District has not undertaken any responsibility to bring to the attention of the owners of the Bonds any proposed revision or withdrawal of a rating of the Bonds or to oppose any such proposed revision or withdrawal. Any such downward revision or withdrawal of such ratings may have an adverse effect on the market price of the Bonds.

LEGAL AND OTHER MATTERS

Continuing Disclosure

Current Undertakings. In accordance with the requirements of Rule 15c2-12 (the “Rule”) promulgated by the SEC, the District will enter into a Continuing Disclosure Undertaking (the “Continuing Disclosure Undertaking”) in the form of APPENDIX D hereto, on or prior to the sale of the Bonds in which the District will undertake, for the benefit of the Beneficial Owners of the Bonds, to provide certain financial information and operating data relating to the District (the “Annual Reports”) by not later than nine months following the end of the District’s fiscal year (which currently ends June 30), commencing with the report for fiscal year 2019-20, and to provide notices of the occurrence of certain listed events, as set forth therein. The covenants contained in the Continuing Disclosure Undertaking have been made to assist the Underwriters in complying with the Rule. See APPENDIX D – “FORM OF CONTINUING DISCLOSURE UNDERTAKING” hereto.

Prior Undertakings. The District has conducted a review of the compliance of the District, with their respective previous continuing disclosure undertakings pursuant to the Rule. This review has concluded that, within the past five years, in connection with the California Community College Financing Authority Lease Revenue Refunding Bonds, Series 2010B, issued in October of 2010 (in which the District was a participant along with Miracosta Community College District and Palomar Community

College District), the filing of the associated Fiscal Years 2014-15 and 2015-16 Audited Financial Statements and Annual Reports, as well as the Fiscal Years 2015-16 and 2016-17 Budgets, were not properly attached to all outstanding original CUSIPs for the transaction. Missing filings have been made.

The District has retained KNN Public Finance, LLC as its dissemination agent to assist it in preparing and filing the annual reports and notices of listed events required under its existing continuing disclosure obligations, as well as the undertaking entered into in connection with the Bonds.

Risks Related to COVID-19 Outbreak

The recent outbreak of the novel strain of coronavirus called COVID-19, which has been designated a global pandemic by the World Health Organization, is impacting local and global economies, as governments, businesses, and citizens react to, plan for, and try to prevent or slow further transmission of the virus. Financial markets, including the stock market in the United States and globally, have seen significant recent volatility and decline that have been attributed to COVID-19 concerns, economic output has fallen, and unemployment has increased. The California Department of Public Health and the United States Centers for Disease Control and Prevention have been providing regular updates and guidelines to the public and to State and local governments. On March 4, 2020, California Governor Gavin Newsom declared a state of emergency. In addition, stock markets in the U.S. and globally have seen significant declines that have been attributed to coronavirus concerns. The District cannot predict the extent or duration of the outbreak or what impact it may have on the District's financial condition or operations of the District, or the assessed values of property within the District. See "SECURITY AND SOURCES OF PAYMENT — Assessed Valuation," and "-- Tax Rates, Levies, Collections and Delinquencies." **In response to guidelines and directives from the County, State and Federal agencies, including the State Chancellor's Office, in an effort to ensure the continuity of education for students and essential business, Southwestern College and its higher education centers are currently operating business remotely and offering instruction through distance learning and online through Fall semester 2020.**

On March 17, 2020, the Governor signed Senate Bill 89 ("SB 89"), which amends the Budget Act of 2019 by appropriating \$500,000,000 from the State General Fund for any purpose related to executing the emergency proclamation issued by the Governor on March 4, 2020. On March 19, 2020, the Governor ordered all California residents to stay home or at their place of residence to protect the general health and well-being, except as needed to maintain continuity of 16 critical infrastructure sectors described therein (the "Stay Home Order").

On March 27, 2020 the Coronavirus Aid, Relief, and Economic Security Act (the "CARES Act") was signed by the President of the United States. The CARES Act appropriates over \$2 trillion to, among other things, (i) provide cash payments to individuals, (ii) expand unemployment assistance and eligibility, (iii) provide emergency grants and loans for small businesses, (iv) provide loans and other assistance to corporations, (v) provide funding for hospitals and community health centers, (vi) expand funding for safety net programs, including child nutrition programs, and (vii) provide aid to state and local governments. The CARES Act includes approximately \$14.25 billion in funding for higher education, including California community college districts, principally in the form of direct emergency aid to students and institutional grants. The CARES Act also waives a number of federal regulatory requirements to provide institutions greater flexibility in addressing the effects of the COVID-19 outbreak. The CARES Act addresses needs in multiple arenas, including the Higher Education Emergency Relief Fund (HEERF) which includes \$13.9 billion in "flexible funding" to help Institutions of Higher Education (IHEs) defray expenses and other fiscal impacts. The District's allocation under the HEERF 18004(a)(1) is \$9,253,264. A minimum of 50% of these funds must be distributed in direct aid to

students. As a Hispanic, Asian, Native American, and Pacific Islander serving institution, the District will also receive \$628,337 under Section 18004(a)(2) of the CARES Act.

During certain emergency conditions, state regulations provide that a community college district may be provided an “emergency conditions allowance,” calculated to approximate the same general purpose apportionment that such district would have received in absence of the emergency. Emergency conditions are defined to include epidemics, an order from a city or county board of health or the State Board of Health, or another emergency declared by the State or federal government. Districts are required to demonstrate that the occurrence of the emergency condition prevented the district from maintaining its schools during a fiscal year for a period of 175 days, or caused the district’s general purpose apportionment to be materially decreased in that year or in subsequent years. To receive the emergency conditions allowance, a district must demonstrate to the satisfaction of the Chancellor that the district made good faith efforts to avoid material decreases in general purposes apportionments. Community college districts may also seek a waiver of the 175-day requirement. The District filed for and was granted an emergency conditions allowance on May 12, 2020. Finally, the Board of Governors of the California Community Colleges (the “Board of Governors”), on March 16, 2020, granted the Chancellor temporary emergency powers to suspend or waive State regulatory requirements and local rules and regulations that present barriers to the continuity of educational services. This temporary grant is in addition to standing emergency powers the Chancellor has to hold community college districts financially harmless in the wake of campus closures.

Other potential impacts to the District associated with the COVID-19 outbreak include, but are not limited to, increasing costs and challenges relating to establishing distance learning programs or other measures to permit instruction while District facilities remain closed, disruption of the regional and local economy with corresponding decreases in tax revenues (including property tax revenue, sales tax revenue and other revenues), potential declines in property values, and decreases in new home sales and real estate development. The economic consequences and the declines in the U.S. and global stock markets resulting from the spread of COVID-19, and responses thereto by local, State, and the federal governments, could have a material impact on the investments in the State pension trusts, which could materially increase the unfunded actuarial accrued liability of the STRS Defined Benefit Program and PERS Schools Pool, which, in turn, could result in material changes to the District’s required contribution rates in future fiscal years. See “APPENDIX A – FINANCIAL AND DEMOGRAPHIC INFORMATION OF THE DISTRICT—THE DISTRICT– Retirement Systems” herein.

The COVID-19 outbreak is ongoing, and the ultimate geographic spread of the virus, the duration and severity of the outbreak, and the economic and other of actions that may be taken by governmental authorities to contain the outbreak or to treat its impact are uncertain. The ultimate impact of COVID-19 on the District’s operations and finances is unknown. Additional information with respect to events surrounding the outbreak of COVID-19 and responses thereto can be found on State and local government websites, including but not limited to the State Governor’s office, the California Department of Public Health, the County, and the Chancellor’s Office. <https://www.gov.ca.gov/>; <https://www.cdph.ca.gov/>; <https://www.sandiegocounty.gov/>; <https://www.cccco.edu/About-Us/Chancellors-Office>. *The District has not incorporated by reference the information on such websites, and the District does not assume any responsibility for the accuracy of the information on such websites.* There can be no assurances that the spread of COVID-19, or the responses thereto by local, State, or the federal government, will not materially adversely impact the local, state and national economies or the assessed valuation of property within the District, or adversely impact enrollment or average daily attendance within the District and, notwithstanding Executive Order N-26-20 and the Stay Home Order, materially adversely impact the financial condition or operations of the District. **However, the Bonds are general obligations of the District payable solely from unlimited *ad valorem* property taxes and are not payable from the general fund of the District.**

Possible Limitations on Remedies; Bankruptcy

General. Following is a discussion of certain considerations in the event that the District should become a debtor in a bankruptcy proceeding. It is not an exhaustive discussion of the potential application of bankruptcy law to the District. The discussion is based on the United States Bankruptcy Code (“the Bankruptcy Code”) as now in effect and the few relevant judicial decisions to date. The Bankruptcy Code could be amended or construed differently in future judicial decisions (including as a result of possible future decisions in the pending analogous insolvency proceedings for the Commonwealth of Puerto Rico). Any such action could affect the possible application of bankruptcy law to the District.

State law contains a number of safeguards to protect the financial solvency of community college districts. See “APPENDIX A – FINANCIAL AND DEMOGRAPHIC INFORMATION OF THE DISTRICT.” If the safeguards are not successful in preventing a community college district from becoming insolvent, the Chancellor of the California Community Colleges (the “State Chancellor”), operating through a special trustee appointed by the State Chancellor, may be authorized under State law to file a petition under Chapter 9 of the United States Bankruptcy Code (the “Bankruptcy Code”) on behalf of the District for the adjustment of its debts, assuming that the District meets certain other requirements contained in the Bankruptcy Code necessary for filing such a petition. Under current State law, the District is not itself authorized to file a bankruptcy proceeding, and it is not subject to an involuntary bankruptcy proceeding.

Bankruptcy courts are courts of equity and as such have broad discretionary powers. If the District were to become the debtor in a proceeding under Chapter 9 of the Bankruptcy Code, bondholders may be prohibited from taking any action to collect any amount from the District (including *ad valorem* tax revenues) or to enforce any obligation of the District, without the bankruptcy court’s permission, except possibly as described below in the case of pledged “special revenues.” In such a proceeding, as part of its plan of adjustment in bankruptcy, the District may be able to alter the priority, interest rate, principal amount, payment terms, collateral, maturity dates, payment sources, covenants (including tax-related covenants), and other terms or provisions of the Bonds and other transaction documents related to the Bonds, including the obligation of the County and the District to raise taxes if necessary to pay the Bonds, if the bankruptcy court determines that the plan is fair, equitable, not unfairly discriminatory to creditors as a whole, is in the best interests of creditors and otherwise complies with the Bankruptcy Code. There also may be other possible effects of a District bankruptcy proceeding that could result in delays or reductions in payments on the Bonds. Regardless of any specific adverse determinations in any District bankruptcy proceeding, the fact of a District bankruptcy proceeding could have an adverse effect on the liquidity and market price of the Bonds.

Limitations on Plans of Adjustments. Chapter 9 of the Bankruptcy Code does not limit or impair the power of a state to control, by legislation or otherwise, a political subdivision of the state in the exercise of its political or governmental powers, including expenditures for the exercise. In addition, Chapter 9 prevents a bankruptcy court from interfering with the political or governmental powers of a political subdivision debtor, any of its property or revenues or the use or enjoyment of its income producing property, unless the political subdivision debtor confirms a plan of adjustment to that effect or consents to that action. State law provides that *ad valorem* taxes may be levied to pay the principal of and interest on the Bonds and other voted general obligation bonds of the District in an unlimited amount, and that proceeds of such a levy must be used for the payment of principal of and interest on the District’s general obligation bonds, including the Bonds, and for no other purpose. Under State law, the District’s share of the 1% limited tax imposed by the County is the only *ad valorem* tax revenue that may be raised and expended to pay liabilities and expenses of the District other than its voter-approved debt, such as its general obligation bonds. If the District should become a debtor in a Chapter 9 proceeding, then it must

propose a plan of adjustment of its debts. The plan may not become effective until confirmed by the bankruptcy court.

The court may not confirm a plan unless it finds, among other conditions, that the District is not prohibited by law from taking any action necessary to carry out the plan, and that the plan is fair, equitable, does not unfairly discriminate among creditors as a whole, is in the best interests of creditors, and is feasible. If the State law restriction on the levy and expenditure of *ad valorem* taxes is respected in a bankruptcy case, then *ad valorem* tax revenue levied by the County for prepayment of the Bonds could not be used by the District for any purpose under its plan other than to make payments on the Bonds and its other voted general obligation bonds. It is possible, however, that a bankruptcy court could conclude that the restriction is not required to be respected in a confirmed plan.

Statutory Lien. Pursuant to Senate Bill 222 (2015) (“SB 222”) that became effective on January 1, 2016, all general obligation bonds issued by local agencies, including the Bonds, are secured by a statutory lien on all revenues received pursuant to the levy and collection of the *ad valorem* taxes. SB 222 provides that the lien will automatically arise, without the need for any action or authorization by the local agency or its governing board, and will be valid and binding from the time the bonds are issued. As a result, the lien on debt service taxes will continue to be valid with respect to post-petition receipts of debt service taxes, should the District become a Chapter 9 debtor. The automatic stay provisions of the Bankruptcy Code would apply, however, thereby preventing bondholders from enforcing their rights to payment from such taxes (with the result that any payments becoming due and owing on the Bonds during the pendency of the Chapter 9 proceeding could be delayed), except as described under “--Special Revenues” below. It is also possible that the bankruptcy court could approve an alternate use of such taxes, if the bondholders are afforded protection that the court determines to be adequate.

Special Revenues. If the *ad valorem* tax revenues that are pledged to the payment of the Bonds are determined to be “special revenues” within the meaning of the Bankruptcy Code, then the application by the County (or others with possession) of pledged *ad valorem* tax revenues that are collected after the date of the bankruptcy filing should not be subject to the automatic stay, and bondholders may be able to compel their immediate use to pay debt service, subject to the matters discussed below, including a recent decision by the United States Court of Appeals for the First Circuit.

“Special revenues” are defined to include, among others, taxes specifically levied to finance one or more projects or systems of the debtor, but excluding receipts from general property, sales, or income taxes levied to finance the general purposes of the debtor. The District has specifically pledged the *ad valorem* taxes for payment of the Bonds. The Bonds and the District’s other general obligation bonds were approved at elections held on propositions that described the projects for which such bonds may be issued. As noted above, State law prohibits the use of the proceeds of the District’s debt service tax for any purpose other than payment of its general obligation bonds, and the bond proceeds may only be used to fund the acquisition or improvement of real property and other capital expenditures included in the proposition, so such tax revenues appear to fit the definition of special revenues. However, there is no binding judicial precedent dealing with the treatment in bankruptcy proceedings of *ad valorem* tax revenues collected for the payment of general obligation bonds in California, so no assurance can be given that a bankruptcy court would not hold otherwise.

Even if the *ad valorem* tax revenues that are pledged to the payment of the Bonds are determined to be “special revenues” within the meaning of the Bankruptcy Code, bondholders may not be able to compel that they be used to pay debt service during the pendency of a Chapter 9 proceeding. While the application of special revenues is exempt from the automatic stay by Section 922(d) of the Bankruptcy Code, the United States Court of Appeals for the First Circuit has interpreted that section to exempt only voluntary applications by the debtor and voluntary applications by creditors or others of property in their

possession, and not to exempt actions by creditors to compel an application by others, and has held that a bankruptcy court lacks authority to compel the application of special revenues. *In re: The Financial Oversight and Management Board for Puerto Rico*, 919 F.3d 121 (1st Cir. 2019). The U.S. Supreme Court declined to review the First Circuit decision. If the First Circuit's interpretation is upheld and applied by courts in the Ninth Circuit and the State Superintendent (or State-appointed administrator) were to file a petition to initiate a Chapter 9 proceeding in respect of the District, the bondholders would be stayed from seeking to compel the application of pledged *ad valorem* taxes to pay debt service on the Bonds during the pendency of the proceeding (in either federal or state court), if the County failed to do so as required by State law or was instructed not to do so by the District, which would leave bondholders with only state court remedies. Accordingly, even if the *ad valorem* tax revenues that are pledged to the payment of the Bonds are determined to be "special revenues," a Chapter 9 proceeding could result in a substantial delay in the payment of debt service, if the County failed to apply pledged *ad valorem* taxes to pay debt service on the Bonds.

In addition, the Bankruptcy Code provides that any consensual lien on special revenues "derived" from a project or system is subject to necessary operating expenses of the project or system. This rule applies regardless of the provisions of transaction documents. If a bankruptcy court were to conclude that the District's tax collections are "derived" from a District project or system, then even if pledged *ad valorem* tax revenues are determined to be "special revenues," the court could determine that such revenues may not be ordered (by itself or a state court) to pay debt service to the extent that they are needed to pay necessary operating expenses of the District and may lawfully be applied for that purpose.

Possession of Tax Revenues; Remedies. If the County or the District goes into bankruptcy and has possession of tax revenues (whether collected before or after commencement of the bankruptcy), and if the County or the District, as applicable, does not voluntarily pay such tax revenues to the owners of the Bonds, it is not clear what procedures the owners of the Bonds would have to follow to attempt to obtain possession of such tax revenues, how much time it would take for such procedures to be completed, or whether such procedures would ultimately be successful.

Amounts Held in County Treasury Pool. The County on behalf of the District is expected to be in possession of the annual *ad valorem* property taxes and certain funds to repay the Bonds and may invest these funds in the County's Treasury Pool, as described in "SECURITY FOR AND SOURCES OF PAYMENT FOR THE BONDS" and "APPENDIX F – THE SAN DIEGO COUNTY INVESTMENT POOL." Should those investments suffer losses, there may be delays or reductions in payments on the Bonds.

Opinion of Bond Counsel Qualified. The proposed form of opinion of Bond Counsel, attached hereto as APPENDIX B, is qualified by reference to bankruptcy, insolvency and other laws relating to or affecting creditor's rights.

UNDERWRITING

Purchase of Bonds. RBC Capital Markets, LLC, as Representative (the "Representative") of itself, Morgan Stanley & Co. LLC, and Mischler Financial Group, Inc. as underwriters (the "Underwriters") have agreed to purchase the New Money Bonds from the District at the purchase price of \$63,462,821.95 (being the aggregate principal amount of the New Money Bonds, \$55,000,000.00, plus original issue premium of \$8,663,571.95, and less an Underwriters' discount of \$200,750.00), at the rates and yields shown on the inside cover hereof.

The Underwriters have agreed to purchase the Refunding Bonds from the District at the purchase price of \$56,323,665.50 (being the aggregate principal amount of the Refunding Bonds, \$56,530,000.00,

and less an Underwriters' discount of \$206,334.50), at the rates and yields shown on the inside cover hereof.

The respective Purchase Contracts for the Bonds provides that the Underwriters will purchase all of the Bonds if any are purchased, the obligation to make such purchase being subject to certain terms and conditions set forth in said agreements, the approval of certain legal matters by counsel and certain other conditions. The Underwriters may offer and sell Bonds to certain dealers and others at prices lower than the offering prices stated on the inside cover pages. The offering prices may be changed from time to time by the Underwriters.

Underwriter Disclosures. The Underwriters have provided the following information for inclusion in this Official Statement. The District does not guarantee the accuracy or completeness of the following information, and the inclusion thereof should not be construed as a representation of the District.

RBC Capital Markets, LLC ("RBC") and its respective affiliates are full-service financial institutions engaged in various activities that may include securities trading, commercial and investment banking, municipal advisory, brokerage, and asset management. In the ordinary course of business, RBC and its respective affiliates may actively trade debt and, if applicable, equity securities (or related derivative securities) and provide financial instruments (which may include bank loans, credit support or interest rate swaps). RBC and its respective affiliates may engage in transactions for their own accounts involving the securities and instruments made the subject of this securities offering or other offering of the District. RBC and its respective affiliates may make a market in credit default swaps with respect to municipal securities in the future. RBC and its respective affiliates may also communicate independent investment recommendations, market color or trading ideas and publish independent research views in respect of this securities offering or other offerings of the District; provided, however, that potential investors are advised that the offering of the Bonds is made only by means of the Official Statement. No dealer, broker, salesperson or other person has been authorized by the District to give any information or to make any representation other than as contained in the Official Statement.

Morgan Stanley & Co. LLC, an underwriter of the Bonds, has entered into a distribution agreement with its affiliate, Morgan Stanley Smith Barney LLC. As part of the distribution arrangement, Morgan Stanley & Co. LLC may distribute municipal securities to retail investors through the financial advisor network of Morgan Stanley Smith Barney LLC. As part of this arrangement, Morgan Stanley & Co. LLC may compensate Morgan Stanley Smith Barney LLC for its selling efforts with respect to the Bonds.

MUNICIPAL ADVISOR

KNN Public Finance, LLC is employed as Municipal Advisor to the District in connection with the issuance of the Bonds. The Municipal Advisor's compensation for services rendered with respect to the sale of the Bonds is contingent upon the issuance and delivery of the Bonds. KNN Public Finance, LLC, in its capacity as Municipal Advisor, does not assume any responsibility for the information, covenants and representations contained in any of the legal documents with respect to the federal income status of the Bond, or the possible impact of any present, pending or future actions taken by any legislative or judicial bodies.

The Municipal Advisor to the District has provided the following sentence for inclusion in this Official Statement. The Municipal Advisor has reviewed the information in this Official Statement in accordance with, and as part of, its responsibilities to the District and, as applicable, to investors under the

federal securities laws as applied to the facts and circumstance of this transaction, but the Municipal Advisor does not guarantee the accuracy or completeness of such information.

NO LITIGATION

No litigation is pending or threatened concerning the validity of the Bonds. The District is not aware of any litigation pending or threatened questioning the political existence of the District or contesting the District's ability to receive *ad valorem* property taxes or to collect other revenues or contesting the District's ability to issue the Bonds.

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OTHER INFORMATION

References are made herein to certain documents and reports which are brief summaries thereof which do not purport to be complete or definitive and reference is made to such documents and reports for full and complete statements of the contents thereof. Copies of the Resolutions are available upon request from the offices of the Assistant Superintendent/Vice President, Business and Financial Affairs, Southwestern Community College District, 900 Otay Lakes Road, Chula Vista, California 91910. A fee may be charged for copying and handling.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not be construed as a contract or agreement between the District and the purchasers or owners of any of the Bonds.

The execution and delivery of this Official Statement has been duly authorized by the District.

SOUTHWESTERN COMMUNITY COLLEGE
DISTRICT

By: /s/ Dr. Kelly Hall
Assistant Superintendent/Vice President for Business
and Financial Affairs

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APPENDIX A
FINANCIAL AND DEMOGRAPHIC INFORMATION
OF THE DISTRICT

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APPENDIX A

FINANCIAL AND DEMOGRAPHIC INFORMATION OF THE DISTRICT

This Appendix A provides information concerning the operations and finances of the Southwestern Community College District (the “District”). The Bonds are general obligation bonds of the District, secured and payable from ad valorem property taxes assessed on taxable properties within the District. The Bonds are not an obligation of the San Diego County (the “County”), the State of California or any of its other political subdivisions or of the general fund of the District. Prospective purchasers of the Bonds should be aware that the following discussion of the financial condition of the District, its fund balances, budgets and obligations, is intended as general information only, and no implication is made that the payment of principal of or interest on the Bonds is dependent in any way upon the District’s financial condition. The District neither receives nor accounts for ad valorem tax revenues collected by the County to pay debt service on the Bonds (or its other general obligation bonds) in the following tables or in its annual financial statements. Pursuant to Section 15251 of the California Education Code, all tax revenues collected for payment of debt service on the Bonds must be deposited into the County treasury to the credit of the debt service fund of the District. The Bonds are and will continue to be payable solely from ad valorem taxes levied and collected by the County within the boundaries of the District. See the body of this Official Statement under the caption “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS.”

THE DISTRICT

District General Information

The District was established in 1961 and provides higher education in the County. The District operates one campus, Southwestern College in Chula Vista, and three higher education centers in San Ysidro, National City and Otay Mesa, along with the Crown Cove Aquatic Center. The District’s territory encompasses approximately 162 square miles. The College is fully accredited by the Accrediting Commission for Community and Junior Colleges (“ACCJC”). For fiscal year 2019-20, the District budgeted its FTES (defined herein) count at 14,840 students. The actual 2019-20 FTES is approximately 15,009 (consisting of 14,750 actual FTES and an additional 259 FTES as a result of the California Community College Chancellor’s emergency conditions allowance due to COVID-19). Taxable property within the District has a fiscal year 2020-21 assessed valuation of \$63,306,863,538.

District Organization

The District is governed by a five-member Governing Board (the “Board”). The members of the Board are elected at-large to overlapping four-year terms at elections held in staggered years. If a vacancy arises during any term, the vacancy is filled by either an appointment by the majority vote of the remaining members of the Board or by a special election. Each December, the Board elects a President and a Vice President to serve one-year terms. The years in which the current terms for each member of the Board expire are set forth below:

**SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
GOVERNING BOARD**

<u>Name</u>	<u>Office</u>	<u>Term Expires</u>
Nora E. Vargas	President	November 2022
Tim Nader	Vice President	November 2022
Roberto Alcantar	Member	November 2020
Leticia Cazares	Member	November 2022
Griselda A. Delgado	Member	November 2020
Melkitsedeq Jorge Hernandez	Student Trustee	May 2020

Key Personnel

The following is a listing of the key administrative personnel of the District:

<u>Name</u>	<u>Title</u>
Dr. Kindred Murillo	Superintendent/President
Dr. Kelly Hall	Assistant Superintendent/Vice President for Business and Financial Affairs
Dr. Minou Djawdan Spradley	Assistant Superintendent/Vice President for Academic Affairs
Rose DelGaudio	Executive Assistant Superintendent/Vice President for Human Resources
Dr. Tina King	Interim Assistant Superintendent/Vice President for Student Affairs

The Superintendent/President of the District is appointed by the Board and is responsible for administering the affairs of the District in accordance with the policies of the Board.

Brief biographies of the Superintendent/President and the Assistant Superintendent/Vice President for Business and Financial Affairs follow:

Dr. Kindred Murillo, Superintendent/President. Dr. Murillo has served as the Superintendent/President at the District since January 2017. Immediately prior to joining the District, she served as Superintendent/President of Lake Tahoe Community College District. Her previous positions at community college districts also include: Vice Chancellor at Contra Costa Community College District, Vice President of Pasadena City College, and Vice President Business Services/Chief Business Officer and Director of Fiscal Services at Copper Mountain Community College District. Dr. Murillo earned a B.S. in Business Administration from the University of Redlands and a Master's in Organizational Development and an Ed.D. in Organizational Leadership, each from Pepperdine University.

Dr. Kelly Hall, Assistant Superintendent/Vice President for Business and Financial Affairs. Prior to her appointment at the District, Dr. Hall was with College of the Desert for over 15 years in a variety of leadership roles. Before moving into higher education, she was the Chief Financial Officer at Western Railroad Supply, Inc., in San Bernardino, California. Dr. Hall is a Certified Public Accountant who earned a Bachelor of Science in Business Administration with a focus in Accounting, *Suma Cum Laude*. She also holds an MBA in Corporate Management and a PhD in Management and Organizations.

Accreditation

The Accrediting Commission for Community and Junior Colleges is one of seven institutional accrediting bodies recognized by the Commission on Recognition of Postsecondary Accreditation and the U.S. Department of Education. Accreditation is a voluntary system of self-regulation developed to evaluate overall educational quality and institutional effectiveness and to provide public assurance of the quality of education based upon such evaluation. Each institution affiliated with ACCJC voluntarily accepts the obligation to participate in a seven year cycle of evaluation that requires a comprehensive evaluation visit by an external team of peers. The cycle includes a mandatory midterm report in the third year as well as any other reports requested by ACCJC.

The District has maintained its accredited status since it opened in 1961. Its last comprehensive evaluation was September 28 - October 1, 2015 and its next comprehensive evaluation is currently scheduled for Fall 2021. Accreditation reports are available on the District's website. Information made available on such website is not incorporated herein by reference.

District Employees

The District currently employs 647 full-time staff members. Full-time staff members include 243 certificated professionals, 321 classified employees, 53 Administrators, 18 confidential employees, and 12 non-represented staff members. The District also employs 760 part-time staff (not including student workers).

<u>Labor Organization</u>	<u>Number of Employees Represented</u>		<u>Contract Expiration</u>
	<u>Full-Time</u>	<u>Part-Time</u>	
Southwestern College Education Association (SCEA)	243	736	6/30/2020 ⁽¹⁾
California School Employees' Association (CSEA)	321	24	4/30/2021
Southwestern Community College District Administrators Association (SCCDAA)	53	0	6/30/2022

⁽¹⁾ MOU extends contract to December 31, 2020.
Source: The District.

Insurance

The District maintains insurance or self-insurance in such amounts and with such retentions and other terms providing coverages for property damage, fire and theft, general public liability and worker's compensation as are adequate, customary and comparable with such insurance maintained by similarly situated community college districts. In addition, based upon prior claims experience, the District believes that the recorded liabilities for self-insured claims are adequate.

The District participates in a joint powers agreement ("JPA") entity called the Statewide Association of Community Colleges ("SWACC"). The relationship between the District and the JPA is such that the JPA is not a component unit of the District for financial reporting purposes. The JPA is governed by a board consisting of a representative from each member district. The board controls the operation of SWACC, including the selection of management and approval of board members beyond their representation on the board. Each member shares in the surpluses and deficits proportionally to its participation in SWACC. This entity has budgeting and financial reporting requirements independent of member units.

Based upon prior claims experience, the District believes it has adequate insurance coverage through the JPAs and its own self-insurance.

District Enrollment

The table below sets forth the Resident Full-Time Equivalent Students (“FTES”) for the District for the Fiscal Years ending June 30, 2015 through 2020.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
Full-Time Equivalent Students
Fiscal Years Ending 2014-15 through 2019-20

Fiscal Year	Resident Total FTES
2014-15	15,409.89
2015-16	13,767.43
2016-17	15,877.07
2017-18	13,317.72
2018-19	14,694.29
2019-20 ⁽¹⁾	15,008.59

⁽¹⁾ The District received additional funding under the Hold Harmless provision of the SCFF in Fiscal Years 2018-19 and 2019-20.

Source: California Community College Chancellor’s Office FTES Report and the District.

District Investments

The Treasurer-Tax Collector (the “Treasurer”) of the County manages, in accordance with California Government Code Section 53600 *et seq.*, funds deposited with the Treasurer by County school and community college districts, various special districts, and some cities within the State. State law generally requires that all moneys of the County, school and community college districts and certain special districts be held in the County’s Treasury Pool.

The composition and value of investments under management in the Treasury Pool vary from time to time depending on cash flow needs of the County and public agencies invested in the pool, maturity or sale of investments, purchase of new securities, and due to fluctuations in interest rates generally.

For a further discussion of the Pooled Investment Fund, see APPENDIX F - “THE SAN DIEGO COUNTY INVESTMENT POOL” hereto.

Financial Statements of the District

The District's General Fund finances the legally authorized activities of the District. General Fund revenues are derived from such sources as State fund apportionments, taxes, use of money and property, charges for current services, aid from other governmental agencies and other revenue. The General Fund of the District is a combined fund comprised of moneys which are unrestricted and available to finance the legally authorized activities of the District and restricted funds and moneys which are restricted to specific types of programs or purposes. Certain information from the District's financial statements follows. The District's audited financial statements for fiscal year ended June 30, 2019 are attached hereto as APPENDIX C. The District has not requested and its auditor has not provided any review or update of such statements in connection with the inclusion thereof in this Official Statement.

The financial statements included herein were prepared by the District using information from the Annual Financial Reports which are prepared by the District and audited by independent certified public accountants each year. The data included in this Official Statement for the District beyond fiscal year 2018-19 is unaudited and has not been reviewed by the District's independent certified public accountants.

Accounting Practices

The accounting policies of the District conform to generally accepted accounting principles in accordance with policies and procedures of the California Community Colleges Budget and Accounting Manual. Revenues are recognized in the period in which they become both measurable and available to finance expenditures of the current fiscal period. Expenditures are recognized in the period in which the liability is incurred.

The financial resources of the District are divided into separate funds for which separate accounts are maintained for recording cash, other resources and all related liabilities, obligations and equities. The major fund classification is the general fund, which accounts for all financial resources not required to be accounted for in another fund. The District's fiscal year begins on July 1 and ends on June 30. All governmental funds and fiduciary funds are maintained on the accrual basis of accounting, and so revenues are recognized when earned, and expenses are recorded when an obligation has been incurred. Property taxes are recognized in the year in which they are levied. For more information on the District's accounting method, see "APPENDIX C – AUDITED FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2019" hereto.

The Governmental Accounting Standards Board ("GASB") published its Statement No. 34 "Basic Financial Statements – and Management's Discussion and Analysis – for State and Local Governments" on June 30, 1999. GASB No. 34 provides guidelines to auditors, state and local governments and special purpose governments such as school districts, community college districts and public utilities, on new requirements for financial reporting for all governmental agencies in the United States. Generally, the basic financial statements and required supplementary information should include (i) Management's Discussion and Analysis; (ii) financial statements prepared using the economic measurement focus and the accrual basis of accounting; (iii) fund financial statements prepared using the current financial resources measurement focus and the modified accrual method of accounting; and (iv) required supplementary information.

The District's Audited Financial Statements for the Fiscal Year Ended June 30, 2019 were prepared by The Pun Group, LLP, San Diego, California, and are attached as APPENDIX C.

The District considers its audited financial statements to be public information, and accordingly, no consent has been sought or obtained from the auditor in connection with the inclusion of such statements in this Official Statement. The auditor has made no representation in connection with inclusion of the audit in this Official Statement.

Budgets of District; State Chancellor Oversight

The fiscal year of the District begins on the first day of July of each year and ends on the 30th day of June of the following year. On or before July 1* of each year the District adopts a fiscal line-item budget setting forth expenditures in priority sequence so that appropriations during the fiscal year can be adjusted if revenues do not meet projections.

The District is required by provisions of the California Education Code to maintain a balanced budget each year, where the sum of expenditures plus the ending fund balance cannot exceed the revenues plus the carry-over fund balance from the previous year. The State Chancellor imposes a uniform budgeting format for each community college district in the State.

State law grants to the Board of Governors of the California Community Colleges and to the State Chancellor certain oversight with respect to the budget development process and financial reporting of community college districts. Pursuant to California Education Code Section 84040 *et seq.* and the California Code of Regulations Section 58310 *et seq.*, the chief executive officer or other designee of the governing board of each community college district is required to regularly report the financial condition of such community college district to the governing board thereof. Further, the chief executive officer or other designee is required to submit reports showing the financial and budgetary conditions of its community college district, including outstanding obligations, to the governing board at least once every three months. Each community college district is also required to submit a copy of a certified quarterly report to the appropriate county office of education and the State Chancellor no later than forty-five days following the completion of such quarter. The State Chancellor is required to develop and maintain procedures for the administration of fiscal monitoring of community colleges districts pursuant to the California Education Code Section 84040 *et seq.*

In the event that a community college district's financial information indicates to the State Chancellor a high probability that, absent corrective actions, the district will need an emergency apportionment within three years or that the district is not in compliance with the principles of sound fiscal management as set forth in the California Code of Regulations, the State Chancellor has the authority to further intervene in the affairs of the district. The State Chancellor may, among other things, require additional reports from a community college district, require such community college district to respond to specific concerns or direct the community college district to adopt a detailed plan for fiscal stability and an educational plan which shows the impact of the fiscal plan on such community college district's educational program.

The California Code of Regulations grants the State Chancellor the authority to take certain actions if the State Chancellor determines that a community college district's plans are inadequate to solve the financial problems or to implement the principles of sound fiscal management, such community college district substantially fails to implement the plans, or if a college operated by such community college district is in imminent jeopardy of losing its accreditation which would create severe fiscal problems. The State Chancellor may, among other thing, (i) conduct a comprehensive management review of a community college district and its educational programs and an audit of the financial

* Due to the COVID-19 pandemic, the District's Tentative Budget adoption was extended to July 14, 2020. Often, there are significant changes made in the budget planning process between adoption of the Tentative Budget and the final budget, known as the "Adopted Budget" in September.

condition of such community college district; (ii) direct a community college district to amend and readopt the fiscal and educational plans based on the findings of the comprehensive audits; (iii) review and monitor the implementation of the plans and direct a community college district to make any further modifications to the fiscal and educational plans he or she deems necessary for such community college district's achievement of fiscal stability; (iv) appoint or assign a special trustee (a "Special Trustee"). The Special Trustee, if appointed, may review and monitor plans, reports, and other financial material, and may modify the fiscal and educational plans, review and prioritize expenditures in order to further the community college district's achievement of fiscal stability, approve or disapprove actions of such community college district which affect or relate to the implementation of the fiscal and educational plans. The Special Trustee may assume management and control of a community college district if authorized by the Board of Governors based on the recommendation of the State Chancellor. The State Chancellor may authorize the Special Trustee to exercise such powers as are approved by the Board of Governors for a period of no more than one year, unless the Board of Governors approves one or more one-year extensions.

In the event the State Chancellor deems that the aforementioned procedures have not stabilized the financial condition of a community college district, the State Chancellor may seek an appropriation for an emergency apportionment to be repaid over a period of three years. However, the State Chancellor is not authorized to approve any diversion of revenue from *ad valorem* taxes levied to pay debt service on district general obligation bonds.

In the event the State elects to provide an emergency appropriation to a community district, such appropriation may be accomplished through the issuance of "State School Fund Apportionment Lease Revenue Bonds" to be issued by the California Infrastructure and Economic Development Bank, on behalf of the community college district. State law provides that so long as such bonds are outstanding, the recipient community college district cannot file for bankruptcy.

District Finances

The following table describes the District's audited financial results for the fiscal years 2017-18 through 2018-19, estimated actuals for 2019-20 and the District's adopted budgets for the fiscal years 2017-18 through 2020-21.

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SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
2017-18 through 2020-21 Budgets and
2017-18 and 2018-19 Audited Actual Results, 2019-20 Estimated Actuals
Combined General Fund

	2017-18		2018-19		2019-20		2020-21
	<u>Budgeted</u>	<u>Actuals</u>	<u>Budgeted</u>	<u>Actuals</u>	<u>Revised Budget</u>	<u>Estimated Actuals</u>	<u>Tentative Budget</u>
REVENUES:							
Federal	\$ 3,524,856	\$ 4,044,343	\$ 3,524,856	\$ 4,394,379	\$ 4,738,923	\$ 6,740,811	\$ 6,741,411
State	79,546,723	85,858,949	79,546,723	86,123,619	87,899,389	85,920,834	83,397,699
Local	<u>38,361,531</u>	<u>37,690,122</u>	<u>37,539,398</u>	<u>40,625,288</u>	<u>44,071,327</u>	<u>42,976,080</u>	<u>39,733,474</u>
Total Revenues	\$121,433,110	\$127,593,414	\$120,610,977	\$131,143,286	\$136,709,639	\$135,637,725	\$129,872,584
EXPENDITURES:							
Academic Salaries	\$ 47,095,682	\$ 46,542,095	\$ 46,095,682	\$ 49,025,587	\$ 51,881,971	\$ 53,643,171	\$ 52,420,785
Classified Salaries	30,487,654	29,844,559	30,487,654	32,739,131	33,299,348	31,614,950	33,241,903
Employee Benefits	23,047,422	25,678,682	24,047,422	27,803,784	29,622,983	30,343,486	30,457,997
Supplies and Materials	4,979,376	4,016,511	4,979,376	3,810,811	5,272,559	3,372,460	3,793,803
Other Operating Expenses and Services	12,018,705	12,482,976	12,018,705	15,157,118	17,081,116	16,690,433	14,681,653
Capital Outlay	<u>476,979</u>	<u>767,959</u>	<u>476,979</u>	<u>775,311</u>	<u>935,213</u>	<u>401,773</u>	<u>404,657</u>
Total Expenditures	\$118,105,818	\$119,332,782	\$118,105,818	\$129,311,742	\$138,093,190	\$136,066,273	\$135,000,798
Excess (Deficiency)	3,327,292	8,260,632	2,505,159	1,831,544	(1,383,551)	(428,548)	(5,128,214)
Other Financing Sources	0	1,042,706	822,133	1,360,996	0	0	0
Other Outgo	4,327,292	3,088,822	4,327,292	2,478,122	3,204,513	2,118,653	4,127,497
Change in Fund Balance	(1,000,000)	6,214,516	(1,000,000)	714,418	(4,588,064)	(2,547,201)	(9,255,711)
Beginning Fund Balance July 1	14,122,863	14,122,863	20,337,379	20,337,379	20,913,925	20,913,925	18,366,724
Prior Years Adjustments		0		(137,872)			
Adjusted Beginning Balance		<u>14,122,863</u>		<u>20,199,507</u>			
Ending Fund Balance June 30	\$13,122,863	\$20,337,379	\$19,337,379	\$20,913,925	\$16,325,861	\$18,366,724	\$9,111,013

Source: California Community College Chancellor's Office 311 Report and the District.

Southwestern College Foundation

The Southwestern College Foundation (the “Foundation”) is a not-for-profit public benefit corporation organized under Section 501(c)(3) of the Code. The Foundation was established in 1982 to support the District and its students, specifically by providing scholarships to students and contributing directly to the District. Under GASB rules, the Foundation is a component unit of the District for financial reporting purposes. As of the June 30, 2019 Financial Audit, the Foundation had net assets valued at \$1,628,501. The Foundation contributed \$542,207 to the District in fiscal year 2018-19.

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Long-Term Debt

A schedule of the District's changes in long-term debt for the fiscal year ended June 30, 2019 is shown below:

	<u>Balance July 1, 2018</u>	<u>Additions</u>	<u>Deductions</u>	<u>Balance June 30, 2019</u>	<u>Due Within One Year</u>
Bonds Payable					
Lease Revenue Bonds	\$ 795,000		\$(100,000)	\$ 695,000	\$ 100,000
G.O. Bond 2004	12,993,974		-	12,993,974	-
G.O. Bond 2005, Refunding Series B	465,000		(465,000)	-	-
G.O. Bond 2008, Series C	65,835,370		(345,000)	65,490,370	440,000
G.O. Bond 2008, Series D	116,119,325		(135,000)	115,984,325	-
G.O. Bond 2015, Refunding	23,080,000		(2,040,000)	21,040,000	2,230,000
G.O. Bond 2016, Refunding Series A	3,400,000		-	3,400,000	-
G.O. Bond 2016, Refunding Series B	84,335,000		-	84,335,000	-
G.O. Bond 2016, Series A	140,000,000		(12,100,000)	127,900,000	13,350,000
Unamortized premium	<u>34,198,781</u>		<u>(2,107,575)</u>	<u>32,091,206</u>	=
Total bonds payable	\$481,222,450		(17,292,575)	\$463,929,875	16,120,000
Compensated absences	<u>3,375,374</u>	<u>2,539,034</u>	<u>(2,852,580)</u>	<u>3,061,828</u>	<u>2,500,000</u>
Total Long-Term Obligations	<u>\$484,597,824</u>	<u>\$2,539,034</u>	<u>\$(20,145,155)</u>	<u>\$466,991,703</u>	<u>\$18,620,000</u>

For more information on the District's existing general obligations, see "APPENDIX C – AUDITED FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2019" hereto.

Retirement Systems

General. The District currently participates in the California State Teachers' Retirement System ("STRS") and California Public Employees' Retirement System ("PERS" and, together with STRS, the "Retirement Plans"). Academic employees are members of STRS, and most full-time classified (non-academic) employees participate in the School Employer Pool under PERS. The amounts of the District's contributions to STRS and PERS are subject to, among other things, modifications to or approvals of collective bargaining agreements. See APPENDIX C – AUDITED FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2019 for additional information.

STRS. The District participates in the State Teachers' Retirement System. STRS is a defined benefit plan that covers all full-time certificated employees and some classified employees, which are employees employed in a position that does not require a teaching credential from the State. STRS provides retirement, disability and survivor benefits to plan members and beneficiaries under a defined benefit program (the "STRS Defined Benefit Program"). The STRS Defined Benefit Program is funded through a combination of investment earnings and statutorily set contributions from three sources: employees, employers, and the State. Benefit provisions are established by State legislation in accordance with the State Teachers' Retirement Law. STRS is operated on a Statewide basis and, based on publicly available information, has substantial unfunded liabilities. Additional funding of STRS by the State and the inclusion of adjustments to such State contributions based on consumer price changes were provided for in 1979 Statutes, Chapter 282.

As part of the 2014-15 State Budget, the Legislature enacted AB 1469 (Chapter 47, Statutes of 2014) ("AB 1469"), a comprehensive funding solution intended to eliminate the projected STRS unfunded liability on the STRS Defined Benefit Program by 2046. Under AB 1469, the funding plan began in Fiscal Year 2014-15 and will be phased in over several years. The employer contribution rate increased by 1.85% of covered payroll annually beginning July 1, 2015 and will continue to increase until the employer contribution rate is 19.10% of covered payroll. Beginning in Fiscal Year 2021-22 through Fiscal Year 2045-46, AB 1469 authorizes the STRS Board to adjust the employer contribution up or down 1 percentage point each year, but no higher than 20.25% total and no lower than 8.25%, to eliminate the remaining unfunded obligation that existed on July 1, 2014.

In addition, the STRS Board is authorized to modify the percentages paid by employers and employees for Fiscal Year 2021-22 and each fiscal year thereafter in order to eliminate STRS' unfunded liability by June 30, 2046 based upon actuarial recommendations. The STRS Board would also have the authority to reduce employer and State contributions if they are no longer necessary.

The actuarial assumptions and methods adopted by the STRS Board for funding the STRS Defined Benefit Program include: the "Entry Age Normal Cost Method", with the actuarial gains/losses and the unfunded actuarial obligation amortized over a closed period ending June 30, 2046, an assumed 7.25% investment rate of return (net of investment and administrative expenses) for Fiscal Year 2015-16 and a 7.00% investment rate of return (net of investment and administrative expenses) for Fiscal Year 2016-17, an assumed 3.00% interest on member accounts (based on the STRS Board's short-term interest crediting policy), projected 3.50% general wage growth, of which 2.75% is due to inflation and 0.75% is due to expected gains in productivity, and demographic assumptions relating to mortality rates, length of service, rates of disability, rates of withdrawal, probability of refund, and merit salary increases.

In May 2019, STRS released an update on the financial position of the pension system, including estimates of the unfunded liability and contribution rates required for districts, employees and the State. The May funding update reflected an estimated unfunded liability of \$107.2 billion for the valuation period ending June 30, 2018.

Pursuant to Assembly Bill 1469, school districts' contribution rates will increase in accordance with the following schedule:

**K-14 SCHOOL DISTRICT CONTRIBUTION RATES
STRS (Defined Benefit Program)**

Effective Date ⁽¹⁾	K-14 School District Employer Contributions
July 1, 2017	14.43%
July 1, 2018	16.28
July 1, 2019	17.10
July 1, 2020	16.15

⁽¹⁾ The State's 2020-21 Budget redirecting funds paid to STRS towards long-term unfunded liabilities to further reduce employer contribution rates in fiscal years 2020-21 and 2021-22. This reallocation will reduce the STRS employer contribution rates to approximately 16.15% in fiscal year 2020-21 and to 16.02% in fiscal year 2021-22. See "FUNDING OF COMMUNITY COLLEGE DISTRICTS IN CALIFORNIA -- State Budget -- 2020-21 State Budget."
Source: STRS and California Assembly Bill 1469

Based on the multi-year CalSTRS Experience Analysis (spanning from July 1, 2015, through June 30, 2018) (the "2020 Experience Analysis"), on January 31, 2020, the STRS Board adopted a new set of actuarial assumptions that were first reflected in the STRS Defined Benefit Program Actuarial Valuation, as of June 30, 2019 (the "2019 STRS Actuarial Valuation"). While no changes were made to the actuarial assumptions discussed above, which were established as a result of the 2017 Experience Study, certain demographic changes were made, including: (i) lowering the termination rates to reflect a continued trend of lower than expected teachers leaving their employment prior to retirement, and (ii) adopting changes to the retirement rates for both employees hired before the Implementation Date and after the Implementation Date to better reflect the anticipated impact of years of service on retirements. The 2019 STRS Actuarial Valuation continues using the Entry Age Normal Actuarial Cost Method.

Based on salary increases less than assumed, additional State contributions and actuarial asset gains recognized from the current and prior years, the 2019 STRS Program Actuarial Valuation reports that the unfunded actuarial obligation decreased by \$1.5 billion from the 2018 Actuarial Valuation and the funded ratio increased by 2.0% to 66.0% over such time period.

According to the 2019 STRS Actuarial Valuation, the future revenues from contributions and appropriations for the STRS Defined Benefit Program are projected to be approximately sufficient to finance its obligations with a projected ending funded ratio in fiscal year ending June 30, 2046 of 99.9%, except for a small portion of the unfunded actuarial obligation related to service accrued on or after July 1, 2014 for member benefits adopted after 1990. AB 1469 provides no authority to the STRS Board to adjust rates to pay down that portion of the unfunded actuarial obligation. This finding reflects the scheduled contribution rate increases directed by statute, assumes additional increases in the scheduled contribution rates allowed under the current law will be made, and is based on the valuation assumptions and valuation policy adopted by the STRS Board, including a 7.00% investment rate of return assumption and includes the \$1.117 billion State contribution made in July 2019 pursuant to SB 90.

The actuary for the STRS Defined Benefit Program notes in the 2019 STRS Actuarial Report that, since such report is dated as of June 30, 2019, the significant declines in the investment markets that have occurred in the first half the 2020 calendar year are not directly reflected in the 2019 STRS Actuarial Report. The actuary notes that such declines will almost certainly impact the future of the STRS Defined Benefit Program funding, and that, all things being equal, it is expected that the actuarial valuation for the

fiscal year ending June 30, 2020 will show a greater increase in the projected State contribution rate (and possibly the employer rate) and a possible decline in the funded ratio.

The District's employer contributions to STRS for fiscal years ended June 30, 2016 through June 30, 2019 (together with the projection for fiscal year ended June 30, 2020) are set forth in the table below, and equal 100 percent of the required contributions for each year. See APPENDIX C – AUDITED FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2019 for additional information.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT STRS CONTRIBUTIONS

Fiscal Years Ended June 30	District Employer Contributions
2016	\$4,510,356
2017	5,732,704
2018	5,286,689
2019	7,178,963
2020 ⁽¹⁾	7,556,991

⁽¹⁾ Projected.

Source: The District.

To provide local educational agencies and California community colleges with increased fiscal relief, the 2020-21 State Budget redirects \$2.3 billion appropriated in the 2019 Budget Act to STRS and PERS for long-term unfunded liabilities to further reduce employer contribution rates in Fiscal Years 2020-21 and 2021-22. See “FUNDING OF COMMUNITY COLLEGE DISTRICTS IN CALIFORNIA – State Budget - 2020-21 *State Budget*” herein.

PERS. The District also participates in the State Public Employees’ Retirement System. PERS is a defined benefit plan that covers classified personnel who work four or more hours per day. Benefit provisions are established by State legislation in accordance with the Public Employees’ Retirement Law. The contribution requirements of the plan members are established by State statute. The actuarial methods and assumptions used for determining the rates are based on those adopted by Board of Administration of PERS (the “PERS Board”).

Active plan miscellaneous members hired on or before December 31, 2012 are required to contribute 7.0% of their monthly salary and those hired on or after January 1, 2013 are required to contribute 6.5% of their monthly salary. The required contribution rate is the difference between the actuarially determined rate and the contribution rate of employees. The actuarial methods and assumptions used for determining the rates are based on those adopted by PERS Board. School districts are currently required to contribute to PERS at an actuarially determined rate, which was 11.847%, 13.888% and 15.531% of eligible salary expenditures for fiscal years 2015-16, 2016-17 and 2017-18 respectively, and 18.062% of eligible salary expenditures for fiscal year 2018-19 and 19.721% of eligible salary for fiscal year 2019-20.

On April 17, 2019, the PERS Board established the employer contribution rates and released certain information from the PERS Schools Pool Actuarial Valuation as of June 30, 2018 (the “2018 PERS Schools Pool Actuarial Valuation”). The actuarial funding method used in the 2018 PERS Schools Pool Actuarial Valuation is the “Entry Age Normal Cost Method.” The 2018 PERS Schools Pool Actuarial Valuation assumes, among other things, 2.625% inflation and payroll growth of 2.875%

compounded annually. The 2018 PERS Schools Pool Actuarial Valuation reflects a discount rate of 7.25% compounded annually (net of administrative expenses) as of June 30, 2018 and 7.00% compounded annually (net of administrative expenses) as of June 30, 2019. The PERS Board adopted new demographic assumptions on December 19, 2017, including a reduction in the inflation assumption from 2.625% as of June 30, 2018 to 2.50% as of June 30, 2019. The reduction in the inflation assumption results in decreases in both the normal cost and the accrued liabilities in the future. Based on the changes in the discount rate, inflation rate, payroll growth rate and demographic assumptions, the addition of \$904 million contributed by the State in July 2019, along with expected reductions in normal cost due to the continuing transition of active members from those employees hired prior to January 1, 2013, to those hired after such date, the projected employer contribution (as a percentage of payroll) is 22.8% and 24.9% for fiscal year 2020-21 and fiscal year 2021-22, respectively. According to the PERS Schools Actuarial Valuation as of June 30, 2018, the funded ratio as of June 30, 2018 is approximately 70.4% on a market value of assets basis, as compared to the funded ratio of 72.1% reported in the Actuarial Valuation as of June 30, 2017. The funded ratio, on a market value basis, as of June 30, 2016, June 30, 2015, June 30, 2014, June 30, 2013 and June 30, 2012 was 71.9%, 77.5%, 86.6%, 80.5%, and 75.5%. On December 21, 2016, the PERS Board voted to lower the PERS discount rate to 7.0% over the next three years in accordance with the following schedule: 7.375% in Fiscal Year 2017-18, 7.25% in Fiscal Year 2018-19 and 7.00% in Fiscal Year 2019-20. The discount rates went into effect July 1, 2017 for the State and went into effect July 1, 2018 for K-14 school districts and other public agencies.

On June 27, 2019, PERS informed school employers that the employer and employee pension contribution rates approved by the PERS Board of Administration on April 17, 2019 were modified by Senate Bill 90 and codified at California Government Code Section 20825.2. The employer contribution rate for Fiscal Year 2019-20 would be 19.721%, representing a reduction of 1.012% in the employer contribution rate from the 20.733% adopted by the PERS Board on April 17, 2019. The employer contribution rate of 19.721% for fiscal year 2019-20 was the first fiscal year that employer contributions were impacted by demographic assumptions adopted by the PERS Board in December 2017. The 19.721% contribution rate became effective with the first payroll period beginning July 2019. The employer contribution rate for fiscal year 2020-21 will be 22.68%, which reflects an initial actuarially determined rate of 23.35% that has been reduced by 0.67% pursuant to Senate Bill 90. Participants enrolled in PERS prior to January 1, 2013 contribute at a rate established by statute, which is 7% of their respective salaries in fiscal year 2019-20 and will be 7% of such salaries in fiscal year 2020-21, while participants enrolled after January 1, 2013 contribute at an actuarially determined rate, which is 7% in fiscal year 2019-20 and will be 7% in fiscal year 2020-21. The Fiscal Year 2020-21 State Budget redirects State funding paid to PERS in fiscal year 2019-20 towards long-term unfunded liabilities to further reduce employer contribution rates in fiscal years 2020-21 and 2021-22. As a result, the PERS employer contribution rate will be reduced to 20.7% in fiscal year 2020-21 and to 22.84% in fiscal year 2021-22.

The PERS Board established the employer contribution rates for 2020-21 on April 21, 2020, releasing certain information from the Schools Pool Actuarial Valuation as of June 30, 2019, ahead of its release date in the latter half of 2020. From June 30, 2018 to June 30, 2019 the funded status for the Schools Pool decreased by 1.9% (from 70.4% to 68.5%); mainly due to the reduction in the discount rate from 7.25% to 7.00% and investment return in 2018-19 being lower than expected. The funded status as of June 30, 2019 does not reflect the State's additional payment of \$660 million that was made pursuant to SB 90, since PERS received the payment in July 2019. PERS attributes the decline in the funded status over the last five years to recent investment losses in excess of investment gains, adoption of new assumptions, both demographic and economic, lowering of the discount rate, and negative amortization. Assuming all actuarial assumptions are realized, including investment return of 7% in fiscal year 2019-20, that no changes to assumptions, methods of benefits will occur during the projection period, along with the expected reductions in normal cost due to the continuing transition of active members from those

employees hired prior to the Implementation Date (defined below), to those hired after such date, the contribution rate was projected to increase annually, resulting in a projected 26.2% employer contribution rate for fiscal year 2026-27. As of the April 21, 2020, PERS reported that the year to date return for the 2019-20 fiscal year was well below the 7% assumed return. See “FUNDING OF COMMUNITY COLLEGE DISTRICTS IN CALIFORNIA—State Budget—2020-21 State Budget.”

The District’s employer contribution to PERS for fiscal years ended June 30, 2016 through June 30, 2019 (together with the projection for fiscal year ended June 30, 2020) are set forth in the table below, and equal 100 percent of the required contributions for each year. See APPENDIX C – AUDITED FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2019 for additional information.

**SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
PERS CONTRIBUTIONS**

Fiscal Years Ended	District
June 30	Employer Contributions
2016	\$2,824,088
2017	3,424,643
2018	3,203,022
2019	5,119,561
2020 ⁽¹⁾	4,642,404

⁽¹⁾ Projected.

Source: The District.

Both PERS and STRS are operated on a Statewide basis and, based on available information, both PERS and STRS have unfunded actuarial accrued liabilities. (Additional funding of STRS by the State and the inclusion of adjustments to such State contributions based on consumer price changes were provided for in 1979 Statutes, Chapter 282.) The amounts of the pension/award benefit obligation (PERS) or actuarially accrued liability (STRS) will vary from time to time depending upon actuarial assumptions, rates of return on investments, salary scales, and levels of contribution. See “State Pension Trusts” below. The District is unable to predict what the amount of liabilities will be in the future, or the amount of the contributions which the District may be required to make.

California Public Employees’ Pension Reform Act of 2013. The Governor signed the California Public Employee’s Pension Reform Act of 2013 (the “Reform Act”) into law on September 12, 2012. The Reform Act affects both STRS and PERS, most substantially as they relate to new employees hired after January 1, 2013 (the “Implementation Date”). As it pertains to STRS participants hired after the Implementation Date, the Reform Act changes the normal retirement age, increasing the eligibility for the 2% “age factor” (the percent of final compensation to which an employee is entitled to for each year of service) from age 60 to 62 and increasing the eligibility of the maximum age factor of 2.4% from age 63 to 65. For non-safety PERS participants hired after the Implementation Date, the Reform Act changes the normal retirement age by increasing the eligibility for the 2% age factor from age 55 to 62 and also increases the eligibility requirement for the maximum age factor of 2.5% to age 67.

The Reform Act also implements certain other changes to PERS and STRS including the following: (a) all new participants enrolled in PERS and STRS after the Implementation Date are required to contribute at least 50% of the total annual normal cost of their pension benefit each year as determined by an actuary, (b) STRS and PERS are both required to determine the final compensation amount for

employees based upon the highest annual compensation earnable averaged over a consecutive 36-month period as the basis for calculating retirement benefits for new participants enrolled after the Implementation Date (currently 12 months for STRS members who retire with 25 years of service), and (c) “pensionable compensation” is capped for new participants enrolled after the Implementation Date at 100% of the federal Social Security contribution and benefit base for members participating in Social Security or 120% for STRS and PERS members not participating in social security.

On April 17, 2013 the PERS Board of Administration (the “PERS Board”) approved new actuarial policies aimed to fully fund the pension system’s obligations within 30 years. The new policies included a rate-smoothing method with a 30-year fixed amortization period for gains and losses, a five-year increase of public agency contribution rates, including the contribution rate at the onset of such amortization period, and a five year reduction of public agency contribution rates at the end of such amortization period. The new actuarial policies were first included in the June 30, 2014 actuarial valuation and were implemented in respect of the State, K-14 school district and all other public agencies in Fiscal Year 2015-16.

In 2014, PERS completed a 2-year asset liability management study incorporating actuarial assumptions and strategic asset allocation. On February 19, 2014, the PERS Board adopted relatively modest changes to the current asset allocation that will reduce the expected volatility of returns. The adopted asset allocation is expected to have a long-term blended return that continues to support a discount rate assumption of 7.5 percent. On November 17, 2015, the PERS Board approved a new funding risk mitigation policy to incrementally lower the PERS discount rate by establishing a mechanism whereby such rate is reduced by a minimum of 0.05% to a maximum of 0.25% in years when investment returns outperform the existing PERS discount rate by at least four percentage points. On December 21, 2016, the PERS Board voted to lower the PERS discount rate to 7.0% over the next three years in accordance with the following schedule: 7.375% in fiscal year 2017-18, 7.25% in fiscal year 2018-19 and 7.00% in fiscal year 2019-20. The new discount rate will go into effect July 1, 2017 for the State and July 1, 2018 for K-14 school districts and other public agencies. Lowering the PERS discount rate means employers that contract with PERS to administer their pension plans will see increases in their normal costs and unfunded actuarial liabilities. Active members hired after January 1, 2013, under the Reform Act will also see their contribution rates rise. The three-year reduction of the discount rate to 7.0% is expected to result in average employer rate increases of approximately 1-3% of normal cost as a percent of payroll for most miscellaneous retirement plans and a 2-5% increase for most safety plans. The PERS Board also approved several changes to the demographic assumptions that more closely align with actual experience. The most significant of these changes is the inclusion of mortality improvement to acknowledge the greater life expectancies among PERS membership and expected continued improvements.

Pursuant to the PERS Board’s decision in February 2014, the new actuarial assumptions were incorporated in the June 30, 2015 valuation for the schools portion of the PERS pool (the “School’s Pool”). The increase in liability due to the new actuarial assumptions will be amortized over 20 years and phased in over 5 years in accordance with PERS Board policy, beginning with the contribution requirement for fiscal year 2016-17. The projected impact of the assumption change on the Schools Pool rate is estimated to be an increase of 1.6 percent of payroll in 2016-17 with approximate annual increases of 0.8 percent of payroll in each of the next 4 years with an estimated total increase of 4.8 percent of payroll by 2020-21.

In February 2018, the PERS Board voted to shorten the period over which PERS amortized actuarial gains and losses from 30 years to 20 years for new pension liabilities, effective for the June 30, 2019 actuarial valuations. Amortization payments for all unfunded accrued liability bases will be computed to remain at a level dollar amount throughout the amortization period, and certain 5-year ramp-

up and ramp-down periods will be eliminated. As a result of the shorter amortization period, the contribution required to be made by employers may increase beginning in fiscal year 2020-21.

In February 2017, the STRS Board voted to adopt revised actuarial assumptions to reflect the increasing life expectancies of its members and the then-current economic trends. The revisions to the actuarial assumptions included changes to the generational mortality methodology that reflect prior improvements in life expectancies and more dynamic assessments of future life spans. In addition, the STRS Board determined to decrease the investment return assumption over a two-year period as follows: (i) a decrease from 7.50% to 7.25% for the June 30, 2016 actuarial valuation that is to be presented to the STRS Board in April 2017 and (ii) a decrease from 7.25% to 7.00% for the June 30, 2017 actuarial valuation to be presented to the STRS Board at the April/May 2018 meeting. The changes reflect the less than 50% probability that the then-current return assumptions would be met over the long term. The STRS Board also decreased some of the economic-related assumptions to reflect continued trends. As a result, the wage-growth assumption was reduced to 3.50% from 3.75% while the price inflation factor was also reduced to 2.75% from 3.00%.

State Pension Trusts

The following information on the State Pension Trusts has been obtained from publicly available sources and has not been independently verified by the District, is not guaranteed as to the accuracy or completeness of the information and is not to be construed as a representation by the District or the Underwriter. Furthermore, the summary data below should not be read as current or definitive, as recent losses on investments made by the retirement systems generally may have increased the unfunded actuarial accrued liabilities stated below.

Both STRS and PERS have substantial Statewide unfunded liabilities. The amount of these unfunded liabilities will vary depending on actuarial assumptions, returns on investments, salary scales and participant contributions. The PERS Schools Pool had an unfunded liability, based on the market value of assets, of \$27.2 billion as of June 30, 2018, and STRS had unfunded actuarial liabilities of \$107.2 billion as of June 30, 2018. The amount of unfunded actuarially accrued liability will vary from time to time depending upon actuarial assumptions, rates of return on investments, salary scales, and levels of contribution.

STRS and PERS each issue separate comprehensive annual financial reports that include financial statements and required supplementary information. Copies of the STRS annual financial report may be obtained from STRS, P.O. Box 15275, Sacramento, California 95851-0275 and copies of the PERS annual financial report and actuarial valuations may be obtained from the PERS Financial Services Division, P.O. Box 942703, Sacramento, California 94229-2703. The information presented in these reports is not incorporated by reference in this Official Statement.

GASB Statement Nos. 67 and 68

On June 25, 2012, the Governmental Accounting Standards Board (“GASB”) approved two new standards (“Statements”) with respect to pension accounting and financial reporting standards for state and local governments and pension plans. The new Statements, No. 67 and No. 68, replace GASB Statement No. 27 and most of Statements No. 25 and No. 50. The changes impact the accounting treatment of pension plans in which state and local governments participate. Major changes include: (1) the inclusion of unfunded pension liabilities on the government’s balance sheet (currently, such unfunded liabilities are typically included as notes to the government’s financial statements); (2) more components of full pension costs being shown as expenses regardless of actual contribution levels; (3) lower actuarial discount rates being required to be used for underfunded plans in certain cases for purposes of the

financial statements; (4) closed amortization periods for unfunded liabilities being required to be used for certain purposes of the financial statements; and (5) the difference between expected and actual investment returns being recognized over a closed five-year smoothing period. In addition, according to GASB, Statement No. 68 means that, for pensions within the scope of the Statement, a cost-sharing employer that does not have a special funding situation is required to recognize a net pension liability, deferred outflows of resources, deferred inflows of resources related to pensions and pension expense based on its proportionate share of the net pension liability for benefits provided through the pension plan. Because the accounting standards do not require changes in funding policies, the full extent of the effect of the new standards on the District is not known at this time. The reporting requirements for pension plans took effect for the fiscal year beginning July 1, 2013 and the reporting requirements for government employers, including the District, took effect for the fiscal year beginning July 1, 2014. For more information, see the fiscal year 2018-19 audited financial statements of the District included in Appendix C hereto.

Post-Employment Benefits

In June 2004, the Governmental Accounting Standards Board (“GASB”) pronounced Statement No. 45, *Accounting and Financial Reporting by Employers for Post-Employment Benefits Other Than Pensions*. The pronouncement required public agency employers providing other postemployment benefits (“OPEB”) to retirees to recognize and account for the costs for providing these benefits on an accrual basis and provide footnote disclosure on the progress toward funding the benefits (“GASB 45”). In June 2015, GASB issued Statement Nos. 74 and 75, respectively, *Accounting and Financial Reporting for Post-Employment Benefits Other Than Pension Plans and Pensions, respectively*. The objectives of these statements are to (i) improve the usefulness of information related to postemployment benefits other than pensions (other postemployment benefits or “OPEB”) included in the general purpose external financial reports of State and local governmental OPEB plans for making decisions and assessing accountability and (ii) improve accounting and financial reporting by State and local governments for OPEB, respectively. GASB Statement No. 74 replaces Statements No. 43 and 57 and Statement No. 75 replaces GASB Statement No. 45.

Plan Description. The District provides post-employment health care benefits for eligible retirees. The retiree must have worked for at least ten years (administrators) to fifteen years (classified/academic). For more information, see the fiscal year 2018-19 audited financial statements of the District included in Appendix C hereto.

Plan Membership. At June 30, 2019, the Plan membership consisted of 268 inactive employees entitled to but not yet receiving benefits and 677 active employees, for a total of 945 plan participants.

Contribution Information. Through June 30, 2013, the District contributed \$3.2 million to an irrevocable trust with the Community College League of California – Joint Powers Authority (CCLC-JPA). The District contributed \$878,349 during fiscal year 2019. At June 30, 2019, the market value of the irrevocable trust was \$5,446,752. The obligation of the District to contribute to the plan is established and may be amended by the Board of Directors. The Board of Directors has established a policy of funding the actuarially determined contribution (ADC). For the fiscal year ended June 30, 2019, the District’s average contribution rate was 0.33% of covered-employee payroll. Employees are not required to contribute to the plan.

Net OPEB Liability of the District. The District’s net OPEB liability of \$19,441,790 was measured as of June 30, 2018, and the actuarial valuation used to calculate the net OPEB liability was as of June 30, 2017. For additional information, see “APPENDIX C – AUDITED FINANCIAL STATEMENTS FOR THE FISCAL YEAR ENDED JUNE 30, 2019” hereto.

FUNDING OF COMMUNITY COLLEGE DISTRICTS IN CALIFORNIA

Major Revenues

General. California community college districts (other than “community supported” Basic Aid districts, as described below) receive a majority of their funding from the State, and the balance from local and federal sources. State funds include general apportionment, categorical funds, capital construction, lottery funds, and other minor sources. Every community college district receives the same amount of State lottery funds on a per-student basis (which is generally less than 3%), although lottery funds are not categorical funds as they are not for particular programs or students. The initiative authorizing the lottery requires the funds to be used for instructional purposes, and prohibits their use for capital purposes.

The major local revenue source is local property taxes that are collected from within district boundaries, with student enrollment fees accounting for most of the remainder. A small part of a community college district’s budget is from local sources other than property taxes and student enrollment fees, such as interest income, donations, educational foundation contributions and sales or leases of property.

The sum of property taxes, student enrollment fees, Education Protection Account (“EPA”) funds, and State aid comprise a district’s revenue limit. State funding is generally subject to the appropriation of funds in the State’s annual budget. Thus, decreases in State revenues may affect appropriations made by the State Legislature to community college districts.

“Basic Aid” community college districts (also referred to “community supported” districts) are those districts whose local property taxes, student enrollment fee collections, and Education Protection Account funds exceed the revenue allocation determined by the current State funding model. Thus, Basic Aid districts do not receive any general apportionment funding from the State. The current law in the State allows these districts to keep the excess funds without penalty. The implication for Basic Aid districts is that legislatively determined annual COLAs and other politically determined factors are less significant in determining such districts primary funding sources. Rather, property tax growth and the local economy become the determining factors. The District is not currently a Basic Aid district.

Enrollment Based Funding. California community college districts apportionments were previously funded pursuant to a system established by Senate Bill 361 (“SB 361”). SB 361 provided for a basic allocation (a “Basic Allocation”) based on the number of colleges, state-approved education centers and total enrollment, together with funding based on per-student rates for credit FTES, non-credit FTES and career development and college preparation (“CDCP”) non-credit FTES.

SB 361 specified that, commencing with the 2006-07 fiscal year the minimum funding per FTES would be: (a) not less than \$4,367 per credit FTES; (b) at a uniform rate of \$2,626 per non-credit FTES; and (c) \$3,092 per CDCP FTES. Although CDCP FTES were initially funded at a lower rate than credit FTES, subsequent legislation effective as of the 2015-16 fiscal year set the minimum funding for CDCP FTES at the same level as credit FTES. Each such minimum funding rate was subject to cost of living adjustments (each, a “COLA”), if any, funded through the State budgeting legislation in each fiscal year.

One unit of FTES is equivalent to 525 student contact hours, which is determined based on a State formula of one student multiplied by 15 weekly contact hours multiplied by 35 weeks. Accordingly, the number of FTES in the District may not equal the number of students enrolled in the District.

In each fiscal year, the State budget previously established an enrollment cap on the maximum number of resident FTES, known as the “funded” FTES, for which a community college district would receive a revenue allocation. A district’s enrollment cap was based on the previous fiscal year’s reported FTES, plus the growth allowance provided for by the State budget, if any. All student hours in excess of the enrollment cap were considered “unfunded” FTES. Nonresident and international students were excluded from the State funding formula and pay full tuition.

Student Centered Funding Formula. Assembly Bill 1809 (“AB 1809”), the higher education trailer bill passed as part of the State budget for fiscal year 2018-19, implemented a new funding mechanism for community college districts referred to as the “Student Centered Funding Formula,” (the “SCFF”). The SCFF includes three components: (1) a base allocation (the “Base Allocation”) driven primarily by enrollment, (2) a supplemental allocation (the “Supplemental Allocation”) based on the number of certain types of low-income students, and (3) a student success allocation (the “Student Success Allocation”) calculated using various performance-based metrics.

The SCFF includes several provisions to provide districts greater financial stability in transitioning to the new formula: (i) for fiscal years 2018-19 through 2021-22,* community college districts will receive no less in total apportionment funding than they received in 2017-18, adjusted for COLAs; (ii) for fiscal year 2022-23 and onward, districts will receive no less in apportionment funding per-student than they received in fiscal year 2017-18; and (iii) beginning in fiscal year 2018-19, districts will receive the greater of the amount calculated by the SCFF for the current or prior year (excluding amounts districts receive pursuant to the provision summarized in (i) above).

The 2020-21 State Budget extends the formula’s existing hold harmless (minimum revenue) provision by two years, through 2023-24. Under this provision, the District will earn at least their 2017-18 total computational revenue, adjusted by COLA each year, in years without base reductions.

Base Allocation. The Base Allocation is composed of (1) the Basic Allocation, determined consistent with the prior funding formula (see “- *Enrollment Based Funding*” above), and (2) funding for credit, non-credit and CDCP FTES. The Base Allocation is expected to constitute approximately 70% of Statewide funding for community college districts in fiscal year 2018-19 and in fiscal year 2019-20. The 2019 Budget Act tasked the Chancellor’s Office with determining the formula’s final 2019-20 funding rates based on total computational revenue of \$7.43 billion as determined by the Department of Finance. Beginning in 2020-21, these funding rates are to be adjusted by COLA and other base adjustments, and the distribution of funds across the three allocations (base, supplemental, and student success) is to be determined by changes in the underlying factors.

The SCFF provides minimum funding levels for credit FTES for the first fiscal year at \$3,727 for fiscal year 2018-19. For fiscal year 2019-20 the 2019-20 State Budget recalculates funding rates in the base, supplemental and student success allocations so that 70% of SCFF funds would be allocated to the base allocation. Beginning in 2020-21 those funding rates are codified in trailer bill language and are to be adjusted by COLA. Notwithstanding the foregoing, the SCFF provides higher credit FTES funding rates for certain districts that were entitled to higher funding rates under the prior funding formula. Beginning in fiscal year 2021-22, the provision of COLAs and other adjustments will be subject to appropriation therefor in the annual State budget. Total funding for credit FTES will be based on a rolling three-year average of the funded credit FTES from the current fiscal year and the two immediately preceding fiscal years. Credit FTES associated with enrollment growth proposed in the annual budget act shall be excluded from the three-year average and shall instead be added to the computed three-year

* The 2020-21 State Budget extend the formula’s existing hold harmless (minimum revenue) provision by two years, through 2023-24. Under this provision, districts will earn at least their 2017-18 total computational revenue, adjusted by COLA each year, in years without base reductions.

rolling average. In computing the three-year average, credit FTES generated by incarcerated and special admit students shall be excluded and funded consistent with the prior funding formula.

Funding levels for non-credit and CDCP FTES are determined consistent with the prior funding formula. See “- *Enrollment Based Funding*” herein. Total funding for these categories will be based on actual non-credit and CDCP FTES for the most recent fiscal year.

Supplemental Allocation. The Supplemental Allocation, accounting for approximately 20% of Statewide funding, will be distributed to districts based on their headcounts of students that receive Federal Pell Grants, a student who is granted an exemption from nonresident tuition pursuant to Section 68130.5 (AB540), and student fee waivers under California Education Code 76300 (California College Promise Grant). The SCFF provides \$919 per qualifying student for fiscal year 2018-19. Beginning in fiscal year 2019-20, the 2019-20 State Budget recalculates funding rates for supplemental allocation so that in 2019-20, 20% of the SCFF funds would be allocated for the supplemental allocation. The final SCFF rate per qualifying student as calculated in the 2020 Budget Act is \$948. Beginning in 2020-21 those rates would be adjusted by COLA. Headcounts are not unduplicated, such that districts will receive twice or three times as much supplemental funding for a student that falls into more than one of the aforementioned categories.

Student Success Allocation. The Student Success Allocation will be distributed to districts based on their performance in a various student outcome metrics, including obtaining various degrees and certificates, completing transfer-level math and English courses within a student’s first year, and having students obtain a regional living wage within a year of completing community college. The Student Success Allocation is expected to account for 10% of statewide funding for community college districts in fiscal year 2018-19, 10% in fiscal year 2019-20 and is expected to 15% in fiscal year 2020-21, and to 20% in fiscal year 2021-22; however, such increases in future fiscal years are subject to change. Each metric is assigned a point value, with some metrics are weighted more than others. A single student outcome with more points will generate more funding. Outcome metrics for students that qualify for Federal Pell Grants and California College Promise Grants are eligible for additional funding.

Beginning in fiscal year 2019-20 the student success allocation will count only the highest of all awards a student earned in the same year and will only count the award if the student was enrolled in the district in the year the award was granted. The student success allocation will also calculate based on the three-year rolling average of each metric. Outcome metrics for students that qualify for Federal Pell Grants, AB 540 and California College Promise Grants are eligible for additional funding.

The District received \$2,509,807 more in fiscal year 2018-19 than in fiscal year 2017-18 in Total Computational Revenue from State and local sources included in the State Chancellor’s apportionment calculation. The increase in revenue consisted of a cost of living increase of 2.71% and \$2,022,702 provided by the new funding formula’s hold harmless adjustment. As the funding formula is phased-in, a district can be “held harmless” where, at a minimum, it will receive resources at least equal to the amounts received in fiscal year 2017-18 plus a cost-of-living adjustment. If at any time during the hold harmless period a district would do better under the new funding formula than the hold harmless amount, they will receive the higher of the two.

The 2020-21 State Budget extends the existing minimum revenue provisions of the SCFF, specifying that districts will receive at least the 2017-18 total computational revenues, adjusted by COLA each year, through 2023-24. COLA for fiscal year 2019-20 was 3.26%, which provided an estimated additional \$3,100,997 for the District. However, the revenue may be constrained by up to \$3,000,000 due to an overall State budget shortfall. COLA for fiscal year 2020-21 is 0.00%.

There can be no assurances that the spread of COVID-19, or the responses thereto by local, State, or the federal government, will not materially adversely impact the local, State and national economies or the assessed valuation of property within the District, or adversely impact enrollment or FTES within the District and, notwithstanding Executive Order N-26-20 and the Stay Home Order, materially adversely impact the financial condition or operations of the District. Accordingly, the District's FTES count and State funding may be affected by the ongoing COVID-19 outbreak. See "LEGAL AND OTHER MATTERS –Risks Related to COVID-19 Outbreak" and "APPENDIX A – FINANCIAL AND DEMOGRAPHIC INFORMATION OF THE DISTRICT – FUNDING OF COMMUNITY COLLEGE DISTRICTS IN CALIFORNIA - State Budget" herein.

Ad Valorem Property Taxes

Taxes are levied for each fiscal year on taxable real and personal property which is situated in the County as of the preceding January 1. However, upon a change in ownership of property or completion of new construction, State law permits an accelerated recognition and taxation of increases in real property assessed valuation (known as a "floating lien date"). For assessment and collection purposes, property is classified either as "secured" or "unsecured" and is listed accordingly on separate parts of the assessment roll. The "secured roll" is that part of the assessment roll containing State assessed property and locally assessed property secured by a lien which is sufficient, in the opinion of the assessor, to secure payment of the taxes. Other property is assessed on the "unsecured roll."

The County levies a 1% property tax on behalf of all taxing agencies in the County. The taxes collected are allocated on the basis of a formula established by State law enacted in 1979. Under this formula, the County and all other taxing entities receive a base year allocation plus an allocation on the basis of "situated" growth in assessed value (new construction, change of ownership, inflation) prorated among the jurisdictions which serve the tax rate areas within which the growth occurs. Tax rate areas are specifically defined geographic areas which were developed to permit the levying of taxes for less than county-wide or less than city-wide special and school districts. In addition, the County levies and collects additional voter-approved property taxes and assessments on behalf of any taxing agency within the County.

Property taxes on the secured roll are due in two installments, on November 1 and February 1. If unpaid, such taxes become delinquent after December 10 and April 10, respectively, and a ten percent penalty attaches to any delinquent payment. In addition, property on the secured roll secured by the assessee's fee ownership of land with respect to which taxes are delinquent is declared tax-defaulted on or about June 30. Those properties on the secured roll that become tax-defaulted on June 30 of the fiscal year that are not secured by the assessee's fee ownership of land are transferred to the unsecured roll and are then subject to the Treasurer's enforcement procedures (i.e., seizures of money and property, liens and judgments). Such property may thereafter be redeemed by payment of the delinquent taxes and the delinquency penalty, plus costs and redemption penalty of one and one-half percent per month to the time of redemption. If taxes are unpaid for a period of five years or more, the tax-defaulted property is subject to sale by the Treasurer.

Property taxes on the unsecured roll are currently due as of the January 1 lien date prior to the commencement of a fiscal year and become delinquent, if unpaid, on August 31. A ten percent penalty attaches to delinquent taxes on property on the unsecured roll and an additional penalty of one and one-half percent per month begins to accrue on November 1. The taxing authority has four ways of collecting unsecured personal property taxes: (1) a civil action against the taxpayer; (2) filing a certificate in the office of the County Clerk specifying certain facts in order to obtain a judgment lien on certain property of the taxpayer; (3) filing a certificate of delinquency for recordation in the County Recorder's office in

order to obtain a lien on certain property of the taxpayer; and (4) seizure and sale of personal property, improvements, bank accounts or possessory interests belonging or assessed to the taxpayer.

The County levies and collects all property taxes for property falling within its taxing boundaries.

State Budget

The District's principal funding formulas and revenue sources are derived from the budget of the State of California. *The following information concerning the State of California's budgets has been obtained from publicly available information which the District believes to be reliable; however, the State has not entered into any contractual commitment with the District, the County, the Underwriters, Bond and Disclosure Counsel nor the Owners of the Bonds to provide State budget information to the District or the owners of the Bonds. Although they believe the State sources of information listed above are reliable, none of the District, the County, Bond and Disclosure Counsel nor the Underwriters assume any responsibility for the accuracy of the State budget information set forth or referred to herein or incorporated by reference herein. Additional information regarding State budgets is available at various State-maintained websites including www.ebudget.ca.gov, which website is not incorporated herein by reference.*

Since the adoption of the 2019-20 State Budget preceded the COVID-19 pandemic, it did not take into account the significant adverse impacts COVID-19 would have on the State's financial condition beginning in fiscal years 2019-20, 2020-21 and beyond. Certain limited information from the 2019-20 State Budget relating to the funding of education is provided herein as a historical baseline solely for context and reference.

2019-20 State Budget. On June 27, 2019, Governor Newsom signed a final State budget for Fiscal Year 2019-20 (the "2019-20 State Budget") in the total amount of \$214.8 billion, including \$147.8 billion from the State General Fund. The 2019-20 State Budget projects that the State will end Fiscal Year 2018-19 with total reserves of \$19.2 billion, of which \$16.5 billion is in the Rainy Day Fund, \$1.4 billion in the Special Fund for Economic Uncertainties, \$900 million in the Safety Net Reserve, and approximately \$380 million in the Public School System Stabilization Account. See APPENDIX A – "CONSTITUTIONAL AND STATUTORY INITIATIVES – Proposition 2" herein. The 2019-20 State Budget makes an additional payment of \$9 billion over the four succeeding Fiscal Years to pay down unfunded pension liabilities, including \$3 billion to PERS, \$2.9 billion to STRS on behalf of the State, and \$3.15 billion to STRS and PERS on behalf of schools. The 2019-20 State Budget also invests \$4.5 billion to eliminate the so-called 'Wall of Debt' and reverses the debt deferral undertaken during the last recession.

Significant features of the 2019-20 State Budget pertaining to community colleges include the following:

- **Settle-Up Payment.** An increase of \$686.6 million for K-14 school districts to pay the balance of past-year Proposition 98 funding owed through Fiscal Year 2017-18.
- **Student Centered Funding Formula.** An ongoing increase of \$254.7 million in Proposition 98 funding to support the SCFF, including (i) an increase of \$230 million to support a 3.26% COLA for total apportionment growth, and (ii) an increase of \$24.7 million to fund 0.55% of enrollment growth.
- **Pension Costs.** A \$3.15 billion payment from non-Proposition 98 funds to STRS and PERS, to reduce long-term liabilities for K-14 school districts. Of this amount, \$850 million would

be provided to buy down employer contribution rates in Fiscal Years 2019-20 and 2020-21. With these payments, STRS employer contributions will be reduced from 18.13% to 17.1% in Fiscal Year 2019-20, and from 19.1% to 18.4% in Fiscal Year 2020-21. The PERS employer contribution will be reduced from 20.7% to 19.7% in Fiscal Year 2019-20, and the projected PERS employer contribution is expected to be reduced from 23.6% to 22.9 % in Fiscal Year 2020-21. The remaining \$2.3 billion would be paid towards employers' long-term unfunded liability.

- **Enrollment Fee Waiver.** \$42.6 million in ongoing Proposition 98 funding to support a second academic year of the California College Promise to waive enrollment fees for first-time, full-time students.
- **Deferred Maintenance.** A one-time increase of \$13.5 million in Proposition 98 funding for deferred maintenance, instructional equipment and specified water conservation projects.
- **Student Support.** An ongoing increase of \$9 million in Proposition 98 funding to provide support to community college students who are homeless or are experiencing housing insecurity. The 2019-20 Budget also provides a one-time increase of \$3.9 million in Proposition 98 funding to address student basic needs, including housing and food insecurity.
- **Veterans Resources.** An ongoing increase of \$5 million in Proposition 98 funding for the establishment or enhancement of veterans resource centers at community colleges. In addition, the 2019-20 Budget also provides an increase of \$2.25 million in Proposition 98 settle-up funds to expand veterans resource centers at specified colleges.
- **Workforce Development.** A one-time increase of \$4.75 million in one-time, Proposition 98 settle-up funds to support the improvement of workforce development programs at specified community colleges.
- **Proposition 51.** The Kindergarten Through Community College Public Education Facilities Bond Act of 2016 (also known as Proposition 51) is a voter initiative approved at the November 8, 2016 election that authorizes the sale and issuance of \$9 billion in State general obligation bonds for the new construction and modernization of K-14 facilities. See "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS CONSTITUTIONAL AND STATUTORY INITIATIVES – Proposition 51." The 2019-20 Budget allocates \$535.3 million of Proposition 51 bond proceeds to critical fire and life safety projects at campuses statewide.

State Department of Finance Budget Letter. On March 24, 2020, the State Department of Finance (the "DOF") released Budget Letter 20-08 which stated that the DOF anticipates a severe drop in economic activity in California as a result of the COVID-19 pandemic, which could negatively impact anticipated revenue levels in fiscal year 2019-20, and will certainly produce impacts in fiscal year 2020-21 and beyond.

CARES Act. The Coronavirus Aid, Relief, and Economic Security Act, also known as the CARES Act (S. 3548 and H.R. 748), was signed into law on March 27, 2020. The CARES Act addresses needs in multiple arenas, including the Higher Education Emergency Relief Fund (HEERF) which includes \$13.9 billion in "flexible funding" to help Institutions of Higher Education (IHEs) defray expenses and other fiscal impacts. The District's allocation under the HEERF 18004(a)(1) is \$9,253,264. A minimum of 50% of these funds must be distributed in direct aid to students. As a Hispanic, Asian,

Native American, and Pacific Islander serving institution, the District will also receive \$628,337 under Section 18004(a)(2) of the CARES Act.

Fiscal Update from State Department of Finance. The DOF released a fiscal update memorandum (the “Fiscal Update”) on May 7, 2020 reflecting the economic forecast for the May Revision to the Proposed 2020-21 Budget. The Fiscal Update makes it clear that the onset of COVID-19 has had a severe and immediate impact on the State’s economy, including in excess of 4.4 million claims for State and federal unemployment benefits since mid-March 2020 and disproportionate job losses in lower-wage sectors of the economy. The DOF also projects that the 2020 unemployment rate will be as high as 18% and states that the May Revision economic forecast projects that COVID-19 will continue to cause economic losses in 2020, including a projected drop in State personal income by nearly 9% on an annual basis and a projected drop of 21% in permits for new housing construction, a key economic indicator. Consequently, compared to the projections included in the Proposed 2020-21 Budget, the State’s three main revenues sources are projected to drop as follows: (i) personal income taxes by 25.5%, (ii) sales and use taxes by 27.2%, and (iii) corporation taxes by 22.7%. As a result, the DOF projects that State general fund revenues will decline by \$41.2 billion from the projected level included in the Proposed 2020-21 Budget, including \$9.7 billion allocable to fiscal year 2019-20 and \$32.2 billion allocable to fiscal year 2020-21. This revenue decline would result in a reduction of the Proposition 98 minimum funding guarantee by approximately \$19 billion.

These revenue declines, together with \$7.1 billion in caseload increases supporting health and human services programs and other expenditures of approximately \$6.1 billion largely attributable to the COVID-19 outbreak, are projected to result in an overall State budget deficit of approximately \$54.3 billion. Of this amount, \$13.4 billion occurs in fiscal year 2019-20 and \$40.9 billion would occur in fiscal year 2020-21. For additional information regarding the Fiscal Update, see the DOF website at www.dof.ca.gov. However, the information presented on such website is not incorporated herein by reference.

2020-21 State Budget. On June 29, 2020 Governor Newsom signed into law the Fiscal Year 2020-21 State Budget (the “2020-21 State Budget”), closing a \$54.3 billion gap in Fiscal Year 2020-21 and reducing the State’s structural deficit, balancing the State’s budget by drawing \$8.8 billion in reserves from the Rainy Day Fund (\$7.8 billion), the Safety Net Reserve (\$450 million), and all of the funds in the Public School System Stabilization Account. The 2020-21 Budget (i) includes \$11.1 billion in reductions and deferrals that will be restored if at least \$14 billion in federal funds are received by October 15, 2020; (ii) relies on \$10.1 billion in federal funds that provide General Fund relief, including \$8.1 billion already received; (iii) temporarily suspends the use of net operating losses for medium and large businesses and temporarily limits to \$5 million the amount of business incentive credits a taxpayer can use in any given tax year (generating \$4.4 billion in additional revenues in Fiscal Year 2020-21); and (iv) relies on \$9.3 billion in special fund borrowing and transfers, as well as other deferrals for K-14 schools.

In addition, the 2020-21 Budget reflects estimated spending of \$5.7 billion to respond directly to the COVID-19 pandemic, including personal protective equipment, hospital surge preparation, and other expenditures to support populations at greater risk of contracting COVID-19. Of the \$9.5 billion in Coronavirus Relief Fund received by the State, \$4.5 billion is allocated to local school districts, \$1.3 billion is allocated to counties, and \$500 million to cities. The 2020-21 Budget also includes \$750 million General Fund to provide support for counties experiencing revenue losses due to the pandemic. The 2020-21 Budget also temporarily suspends for three years net operating loss tax deductions for medium and large businesses and limits business tax credits, with an estimated increase in tax revenues of \$4.3 billion in fiscal year 2020-21.

For Fiscal Year 2019-20, the 2020-21 Budget projects total general fund revenues and transfers of \$137.6 billion and authorizes expenditures of \$146.9 billion and the State is projected to end Fiscal Year 2019-20 with total available general fund reserves of \$17 billion, including \$16.1 billion in the Budget Stabilization Account (“BSA”) and \$900 million in the Safety Net Reserve Fund. For Fiscal Year 2020-21, the 2020-21 Budget projects total general fund revenues and transfers of \$137.7 billion and authorizes expenditures of \$133.9 billion. The State is projected to end the Fiscal Year 2020-21 with total available general fund reserves of \$11.4 billion, including \$2.6 billion in the traditional general fund reserve (of which \$716 million is earmarked for COVID-related responses), \$8.3 billion in the BSA and \$450 million in the Safety Net Reserve Fund.

California Community Colleges (“CCC”). The 2020-21 Budget enacts certain statutory changes in an effort to assist CCCs to recover from the impacts of the recession caused by the COVID-19 pandemic, including the following: (i) exempting direct COVID-19-related expenses incurred by community college districts (excluding revenue declines) from the “50 Percent Law” (which requires community college districts to spend at least half of their current expense of education in each fiscal year on salaries and benefits of classroom instructors); (ii) providing a hardship exemption for community college districts unable to meet their financial obligations due to the deferrals enacted in the 2020-21 Budget; (iii) extending the Student-Centered Funding Formula hold harmless provisions for an additional two years, as well as authorizing the use of past-year data sources that have not been impacted by the COVID-19 pandemic for the calculation of the Student-Centered Funding Formula for Fiscal Year 2020-21; and (iv) encouraging and expediting the development of short-term career technical education courses to address the impacts of the COVID-19 pandemic.

Proposition 98 Guarantee. As a result of declining State revenue, the 2020-21 Budget states that the constitutional Proposition 98 guarantee level of \$70.9 billion is more than \$10 billion below the minimum guarantee at the 2019 Budget Act, a loss which is offset by the 2020-21 Budget and defers \$12.9 billion in payments to preserve programs and to provide K-12 schools and CCCs, the resources necessary to safely reopen. In addition, the 2020-21 Budget commits to making supplemental appropriations above the Proposition 98 guarantee for several years starting in Fiscal Year 2021-22, which will accelerate General Fund support for schools over the multi-year forecast period.

Supplemental Appropriations – The 2020-21 Budget provides for a new, multi-year payment obligation to supplement K-14 education funding. The total obligation would equal approximately \$12.4 billion, and reflects the administration’s estimate of the additional funding K-14 school districts would have received in the absence of COVID-19-related reductions. Under this proposal the State will make annual payments toward this obligation beginning in Fiscal Year 2021-22. These payments would equal 1.5% of State general fund revenue. The 2020-21 Budget also increases the share of State general fund revenue required to be spent on K-14 school districts from 38% to 40% by Fiscal Year 2023-24.

Other significant features of the 2020-21 Budget affecting CCCs include the following:

- ***Fiscal Year Deferrals*** - A deferral of approximately \$330.1 million Proposition 98 General Fund of community college apportionments from Fiscal Year 2019-20 to Fiscal Year 2020-21 and a deferral of approximately \$662.1 million Proposition 98 General Fund of community college apportionments from Fiscal Year 2020-21 to Fiscal Year 2021-22.
- ***Fiscal Year 2020-21 Deferrals Subject to Control Section 8.28*** - As a result of the COVID-19 Recession and absent the receipt of additional federal funds to assist the State with the fiscal crisis, reductions are necessary to balance the state budget. To the extent the federal government provides sufficient federal funds by October 15, 2020, which are eligible for purposes identified below, funds will be appropriated for the Fiscal Year 2020-21 as follows: a deferral of

approximately \$791.1 million Proposition 98 General Fund of community college apportionments from Fiscal Year 2020-21 to Fiscal Year 2021-22.

- *COVID-19 Response Block Grant for CCCs* - A one-time increase of approximately \$120.2 million, which is comprised of approximately \$54 million from the Coronavirus Relief Fund (CARES Act) and approximately \$66.3 million Proposition 98 General Fund, for a COVID-19 Response Block Grant for the community colleges to support student learning and mitigate learning loss related to the COVID-19 pandemic.
- *Dreamer Resource Liaisons* - An increase of \$5.8 million Proposition 98 General Fund to fund Dreamer Resource Liaisons and student support services, for immigrant students including undocumented students in community colleges, pursuant to Chapter 788, Statutes of 2019 (AB 1645). These services provide an opportunity to address disparities and advance economic justice by supporting educational attainment, career pathways and economic mobility for students who may face barriers related to their immigration status.
- *Legal Services* - An increase of \$10 million ongoing Proposition 98 General Fund to provide legal services to immigrant students, faculty, and staff on community college campuses.
- *Revised PERS/STRS Contributions* - To provide local educational agencies and CCCs with increased fiscal relief, the Budget redirects \$2.3 billion appropriated in the 2019 Budget Act to STRS and PERS for long-term unfunded liabilities to further reduce employer contribution rates in Fiscal Years 2020-21 and 2021-22.
- *CCC Facilities* - An increase of general obligation bond funding of \$223.1 million, including \$28.4 million to start 25 new capital outlay projects and \$194.7 million for the construction phase of 15 projects anticipated to complete design by spring 2021. This allocation represents the next installment of the \$2 billion available to CCCs under Proposition 51.
- *Local Property Tax Adjustment* - A decrease of \$60.9 million Proposition 98 General Fund as a result of increased offsetting local property tax revenues.
- *Employee Protections* - Includes the intent of the State Legislature that school districts, community college districts, joint powers authorities, and county offices of education retain all classified employees in Fiscal Year 2020-21.

Future Budgets. The District cannot predict how State income or State education funding will vary over the term of the Bonds, and the District takes no responsibility for informing owners of the Bonds as to actions the State Legislature or Governor may take affecting the current year's budget after its adoption. Future State budgets will be affected by national and State economic conditions, over which the District has no control, and other factors over which the District will have no control. To the extent that the State budget process results in reduced revenues deferred revenues or increased expenses for the District, the District will be required to make adjustments to its budget and cash management practices. In the event current or future State Budgets decrease the District's revenues or increase required expenditures by the District from the levels assumed by the District, the District will be required to generate additional revenues, curtail programs or services, or use its reserve funds to ensure a balanced budget.

Information about the State budget and State spending for education is regularly available at various State-maintained websites. Text of proposed and adopted budgets may be found at the website of

the Department of Finance, www.dof.ca.gov, under the heading “California Budget” or www.ebudget.ca.gov. An impartial analysis of the budget is posted by the Office of the Legislative Analyst (“LAO”) at www.lao.ca.gov. The information referred to is prepared by the respective State agency maintaining each website and not by the District, and the District can take no responsibility for the continued accuracy of these internet addresses or for the accuracy, completeness or timeliness of information posted there, and such information is not incorporated herein by these references.

CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS

Article XIII A of the California Constitution. On June 6, 1978, California voters approved Proposition 13, which added Article XIII A to the California Constitution (“Article XIII A”). Article XIII A limits the amount of any ad valorem tax on real property to one percent of the full cash value thereof, except that additional ad valorem taxes may be levied to pay debt service on indebtedness approved by the voters prior to July 1, 1978 and (as a result of an amendment to Article XIII A approved by California voters on June 3, 1986) on bonded indebtedness for the acquisition or improvement of real property that has been approved on or after July 1, 1978 by two-thirds of the voters voting on such indebtedness and (as a result of a constitutional amendment approved by California voters on November 7, 2000) on bonded indebtedness for school facilities and equipment approved by 55 percent of the voters voting on the bond measure. See “Proposition 39” below. Article XIII A defines full cash value to mean “the county assessor’s valuation of real property as shown on the 1975-1976 tax bill under full ‘cash value,’ or thereafter, the appraised value of real property when purchased, newly constructed, or a change in ownership have occurred after the 1975 assessment.” This full cash value may be increased at a rate not to exceed two percent per year to account for inflation. This system results in widely varying amounts of tax on similarly situated properties based on differences in the taxpayer’s date of acquisition of the property. On June 18, 1992, the United States Supreme Court issued a decision upholding the constitutionality of Article XIII A (*Nordlinger v. Hahn*, 112 S. Ct. 2326, 120 L. Ed. 2d 1 (1992)).

Article XIII A has subsequently been amended to permit reduction of the “full cash value” base in the event of declining property values caused by damage, destruction or other factors, to provide that there would be no increase in the “full cash value” base in the event of reconstruction of property damaged or destroyed in a disaster and in other minor or technical ways.

Legislation Implementing Article XIII A. Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any property tax (except to pay voter-approved indebtedness). The one percent property tax is automatically levied by the county and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1979.

Increases of assessed valuation resulting from reappraisals of property due to new construction, change in ownership or from the two percent annual adjustment are allocated among the various jurisdictions in the “taxing area” based upon their respective “situs.” Any such allocation made to a local agency continues as part of its allocation in future years.

Article XIII B of the California Constitution. An initiative to amend the California Constitution entitled “Limitation of Government Appropriations” was approved on September 6, 1979 thereby adding Article XIII B to the California Constitution (“Article XIII B”). Under Article XIII B state and local governmental entities have an annual “appropriations limit” and are not permitted to spend certain moneys which are called “appropriations subject to limitation” (consisting of tax revenues, state subventions and certain other funds) in an amount higher than the appropriations limit. Article XIII B

does not affect the appropriations of moneys which are excluded from the definition of “appropriations subject to limitation,” including debt service on indebtedness existing or authorized as of January 1, 1979, or bonded indebtedness subsequently approved by the voters. In general terms, the appropriations limit is to be based on certain 1978-1979 expenditures, and is to be adjusted annually to reflect changes in consumer prices, populations, and services provided by these entities. Among other provisions of Article XIII B, if these entities’ revenues in any year exceed the amounts permitted to be spent, the excess would have to be returned by revising tax rates or fee schedules over the subsequent two years.

Article XIII C and Article XIII D of the California Constitution. On November 5, 1996, the voters of the State approved Proposition 218, the so-called “Right to Vote on Taxes Act.” Proposition 218 added Articles XIII C and XIII D to the State Constitution, which contain a number of provisions affecting the ability of local agencies, including school districts, to levy and collect both existing and future taxes, assessments, fees and charges. Among other things, XIII C establishes that every tax is either a “general tax” (imposed for general governmental purposes) or a “special tax” (imposed for specific purposes); prohibits special purpose government agencies such as school districts from levying general taxes; and prohibits any local agency from imposing, extending or increasing any special tax beyond its maximum authorized rate without a two-thirds vote. Article XIII C also provides that no tax may be assessed on property other than ad valorem property taxes imposed in accordance with Articles XIII and XIII A of the California Constitution and special taxes approved by a two-thirds vote under Article XIII A, Section 4.

Article XIII C also provides that the initiative power shall not be limited in matters of reducing or repealing local taxes, assessments, fees and charges. Legislation adopted in 1997 provides that Article XIII C shall not be construed to mean that any owner or beneficial owner of a municipal security assumes the risk of or consents to any initiative measure that would constitute an impairment of contractual rights under the contracts clause of the U.S. Constitution.

Article XIII D deals with assessments and property-related fees and charges. Article XIII D explicitly provides that nothing in Article XIII C or XIII D shall be construed to affect existing laws relating to the imposition of fees or charges as a condition of property development; however, it is not clear whether the initiative power is therefore unavailable to repeal or reduce developer and mitigation fees imposed by the District.

Proposition 62. In 1986, California voters adopted Proposition 62, a statutory initiative which amended the California Government Code by the addition of Sections 53720-53730. Proposition 62 requires that (i) any local tax for general governmental purposes (a “general tax”) must be approved by a majority vote of the electorate; (ii) any local tax for specific purposes (a “special tax”) must be approved by a two-thirds vote of the electorate; (iii) any general tax must be proposed for a vote by two-thirds of the legislative body; and (iv) proceeds of any tax imposed in violation of the vote requirements must be deducted from the local agency’s property tax allocation. Provisions applying Proposition 62 retroactively from its effective date to 1985 are unlikely to be of any continuing importance; certain other restrictions were already contained in the Constitution.

Most of the provisions of Proposition 62 were affirmed by the 1995 California Supreme Court decision in *Santa Clara County Local Transportation Authority v. Guardino*, which invalidated a special sales tax for transportation purposes because fewer than two-thirds of the voters voting on the measure had approved the tax. Following the California Supreme Court’s decision upholding Proposition 62, several actions were filed challenging taxes imposed by public agencies since the adoption of Proposition 62, which was passed in November 1986. On June 4, 2001, the California Supreme Court released its decision in one of these cases, *Howard Jarvis Taxpayers Association v. City of La Habra, et al.* (“La Habra”). In this case, the court held that public agency’s continued imposition and collection of a

tax is an ongoing violation, upon which the statute of limitations period begins anew with each collection. The court also held that, unless another statute or constitutional rule provided differently, the statute of limitations for challenges to taxes subject to Proposition 62 is three years. Accordingly, a challenge to a tax subject to Proposition 62 may only be made for those taxes received within three years of the date the action is brought.

Proposition 98. In 1988, California voters approved Proposition 98, a combined initiative, constitutional amendment and statute called the “Classroom Instructional Improvement and Accountability Act” (the “Accountability Act”). The Accountability Act changed State funding of public education below the university level, and the operation of the State’s Appropriations Limit, primarily by guaranteeing State funding for K-12 school districts and community college districts (collectively, “K-14 districts”).

Under Proposition 98 (as modified by Proposition 111, which was enacted on June 5, 1990), K-14 districts are guaranteed the greater of (b) in general, a fixed percent of the State’s General Fund (the “State General Fund”) revenues (“Test 1”), (c) the amount appropriated to K-14 schools in the prior year, adjusted for changes in the cost-of-living (measured as in Article XIII B by reference to State per capita personal income) and enrollment (“Test 2”), or (d) a third test, which would replace Test 2 in any year when the percentage growth in per capita State General Fund revenues from the prior year plus one-half of one percent is less than the percentage growth in State per capita personal income (“Test 3”). Under Test 3, schools would receive the amount appropriated in the prior year adjusted for changes in enrollment and per capita State General Fund revenues, plus an additional small adjustment factor. If Test 3 is used in any year, the difference between Test 3 and Test 2 would become a “credit” to schools which would be the basis of payments in future years when per capita State General Fund revenue growth exceeds per capita personal income growth. Legislation adopted prior to the end of the 1988-89 fiscal year, implementing Proposition 98, determined the K-14 districts’ funding guarantee under Test 1 to be 40.3% of the State General Fund tax revenues, based on 1986-87 appropriations. However, that percentage has been adjusted to 35% to account for a subsequent redirection of local property taxes whereby a greater proportion of education funding now comes from local property taxes.

Proposition 98 permits the State Legislature by a two-thirds vote of both houses, with the Governor’s concurrence, to suspend the K-14 districts’ minimum funding formula for a one-year period. In the fall of 1989, the Legislature and the Governor utilized this provision to avoid having 40.3% of revenues generated by a special supplemental sales tax enacted for earthquake relief go to K-14 districts. Proposition 98 also contains provisions transferring certain State tax revenues in excess of the Article XIII B limit to K-14 districts.

The 2018-19 Budget revises the Proposition 98 minimum funding guarantees for both fiscal years 2016-17 and 2017-18, as a result of higher general fund revenues. The 2018-19 Budget sets the Proposition 98 minimum funding guarantee for fiscal year 2016-17 at \$71.6 billion, an increase of \$252 million from the prior year. The 2018-19 Budget revises the minimum funding guarantee for fiscal year 2017-18 at \$75.6 billion reflecting an increase of \$1.1 billion from the prior year. As part of the 2017-18 increase, the State is making an additional maintenance factor payment of \$789 million, on top of a previous \$536 million payment. After making the approximately \$1.3 billion total payment, the State will have eliminated all remaining maintenance factor for the first time since 2005-06. In both 2016-17 and 2017-18, the State is spending at the calculated minimum guarantee.

Application of Proposition 98

The application of Proposition 98 and other statutory regulations has become increasingly difficult to predict accurately in recent years. One major reason is that Proposition 98 minimum funding

levels under Test 1 and Test 2 are dependent on State General Fund revenues. In past fiscal years, the State made actual allocations to K-14 districts based on an assumption of State General Fund revenues at a level above that which was ultimately realized. In such years, the State has considered the amounts appropriated above the minimum as a loan to K-14 districts, and has deducted the value of these loans from future years' estimated Proposition 98 minimum funding levels. The State determined that there were loans to K-14 districts of \$1.3 billion during fiscal year 1990-91, \$1.1 billion during fiscal year 1991-92, \$1.3 billion during fiscal year 1992-93 and \$787 million during fiscal year 1993-94. These loans have been combined with the K-14 1992-93 loans into one loan totaling \$1.760 billion. The State proposed that repayment of this loan would be from future years' Proposition 98 entitlements, and would be conditioned on maintaining current funding levels per pupil for K-12 schools.

In 1992, a lawsuit, California Teachers' Association et al. v. Gould, was filed, which challenged the validity of the off-budget loans. As part of the negotiations leading to the 1995-96 Budget Act, an agreement was reached to settle this case. The agreement provides that both the State and K-14 districts share in the repayment of prior years' emergency loans to schools. Of the total \$1.76 billion in loans, the State will repay \$935 million, while K-14 districts will repay \$825 million. The State share of the repayment will be reflected as expenditures above the current Proposition 98 base calculation. The K-14 districts' share of the repayment will count as appropriations that count toward satisfying the Proposition 98 guarantee, and thus are treated as from "below" the current base. Repayments are spread over the eight-year period of 1994-95 through 2001-02 to mitigate any adverse fiscal impact. In April 1996, a court settlement was reached and \$360 million in appropriations from the 1995-96 fiscal year was disbursed to districts in August 1996.

Substantially increased State General Fund revenues, above initial budget projections, in the fiscal years 1994-95 and thereafter have resulted or will result in retroactive increases in Proposition 98 appropriations from subsequent fiscal years' budgets. During the period of increasing revenues at the State level, per-pupil funding at the K-12 level increased by about 42% from the level in place from 1991-92 through 1993-94. A significant amount of the "extra" Proposition 98 moneys in the last few years has been allocated to special programs, most particularly an initiative to allow each classroom from grades K-3 to have no more than 20 pupils by the end of the 1997-98 school year. More recently, however, the economy of the State has slowed and it is anticipated that the State may experience budget shortfalls due to COVID-19. For a discussion of State funding of the District, see "FUNDING OF COMMUNITY COLLEGE DISTRICTS IN CALIFORNIA." See also "LEGAL MATTERS - Risks Related to COVID-19 Outbreak."

Proposition 39

On November 7, 2000, voters approved Proposition 39 called the "Smaller Classes, Safer Schools and Financial Accountability Act" (the "Smaller Classes Act"). The Smaller Classes Act amends Section 1 of Article XIII A, Section 18 of Article XVI of the California Constitution and Section 47614 of the California Education Code. With respect to school districts, community colleges and county offices of education and effective upon its passage, Section 18(b) of Article XVI allows an alternative means of seeking voter approval for bonded indebtedness by 55 percent of the vote, rather than the two-thirds majority required under Section 18 of Article XVI of the Constitution. The reduced 55 percent voter requirement applies only if the bond measure submitted to the voters includes, among other items: 1) a restriction that the proceeds of the bonds may be used for "the construction, reconstruction, rehabilitation, or replacement of school facilities, including the furnishing and equipping of school facilities, or the acquisition or lease of real property for school facilities," 2) a list of projects to be funded and a certification that the school district board has evaluated "safety, class size reduction, and information technology needs in developing that list"; and 3) that annual, independent performance and financial audits will be conducted regarding the expenditure and use of the bond proceeds.

Section 1(b)(3) of Article XIII A has been added to except from the one percent *ad valorem* tax limitation under Section 1(a) of Article XIII A of the Constitution levies to pay bonds approved by the 55 percent of the voters, subject to the restrictions explained above.

The Legislature enacted AB 1908, Chapter 44, which became effective upon passage of Proposition 39. AB 1908 amends various sections of the Education Code. Under amendments to Sections 15268 and 15270 of the Education Code, the following limits on *ad valorem* taxes apply in any single election: 1) for a school district, indebtedness shall not exceed \$30 per \$100,000 of taxable property; 2) for a unified school district, indebtedness shall not exceed \$60 per \$100,000 of taxable property; and, 3) for a community college district, indebtedness shall not exceed \$25 per \$100,000 of taxable property. Finally, AB 1908 requires that a citizens' oversight committee must be appointed who will review the use of the bond funds and inform the public about their proper usage.

Jarvis v. Connell

On May 29, 2002, the California Court of Appeal for the Second District decided the case of *Howard Jarvis Taxpayers Association, et al. v. Kathleen Connell* (as Controller of the State of California). The Court of Appeal held that a final budget bill, an emergency appropriation, a self-executing authorization pursuant to state statutes (such as continuing appropriations) or the California Constitution or a federal mandate is necessary for the State Controller to disburse funds. The foregoing requirement could apply to amounts budgeted by the District as being received from the State. To the extent the holding in such case would apply to State payments reflected in the District's budget, the requirement that there be either a final budget bill or an emergency appropriation may result in the delay of such payments to the District if such required legislative action is delayed, unless the payments are self-executing authorizations or are subject to a federal mandate. On May 1, 2003, the California Supreme Court upheld the holding of the Court of Appeal, stating that the Controller is not authorized under State law to disburse funds prior to the enactment of a budget or other proper appropriation, but under federal law, the Controller is required, notwithstanding a budget impasse and the limitations imposed by State law, to timely pay those State employees who are subject to the minimum wage and overtime compensation provisions of the federal Fair Labor Standards Act.

Proposition 1A and Proposition 22

Beginning in fiscal year 1992-93, the State satisfied a portion of its Proposition 98 obligations by shifting part of the property tax revenues otherwise belonging to cities, counties, special districts, and redevelopment agencies, to school and community college districts through a local Educational Revenue Augmentation Fund ("ERAF") in each county. Local agencies, objecting to invasions of their local revenues by the State, sponsored a Statewide ballot initiative intended to eliminate the practice. In response, the Legislature proposed an amendment to the State Constitution, which the State's voters approved as Proposition 1A at the November 2004 election. That measure was generally superseded by the passage of an initiative constitutional amendment at the November 2010 election, known as "Proposition 22."

The effect of Proposition 22 is to prohibit the State, even during a period of severe fiscal hardship, from delaying the distribution of tax revenues for transportation, redevelopment, or local government projects and services. It prevents the State from redirecting or diverting revenues to any other local government, including school and community college districts, or from temporarily shifting property taxes from cities, counties and special districts to K-14 schools, as in the ERAF program. This is intended to, among other things, stabilize local government revenue sources by restricting the State's control over local property taxes. One effect of this amendment is to deprive the State of fuel tax

revenues to pay debt service on most State bonds for transportation projects, reducing the amount of State general fund resources available for other purposes, including education.

Prior to the passage of Proposition 22, the State invoked Proposition 1A to divert \$1.935 billion in local property tax revenues in 2009-10 from cities, counties, and special districts to the State to offset State general fund spending for education and other programs, and included another diversion in the adopted 2009-10 State budget of \$1.7 billion in local property tax revenues from local redevelopment agencies. Redevelopment agencies, through the California Redevelopment Association (“CRA”) engaged in litigation to block the transfer of payments and recoup certain payments already made under certain legislation passed in July 2009 that is beyond the reach of Proposition 22, known as “ABX4 26.” Because Proposition 22 reduced the State’s authority to use or reallocate certain revenue sources, fees and taxes for State general fund purposes, the State has to take other actions to balance its budget, such as reducing State spending or increasing State taxes, and school and college districts that receive Proposition 98 or other funding from the State are more directly dependent upon the State’s general fund.

Redevelopment Agency Dissolution. On December 30, 2011, the California Supreme Court issued its decision in the case of *California Redevelopment Association v. Matosantos*, finding ABx1 26, a trailer bill to the 2011-12 State budget, to be constitutional. As a result, all redevelopment agencies in California were dissolved as of February 1, 2012, and all net tax increment revenues, after payment of redevelopment bonds debt service and administrative costs, will be distributed to cities, counties, special districts and K-14 school districts. The Court also found that ABx1 27, a companion bill to ABx1 26, violated the California Constitution, as amended by Proposition 22. ABx1 27 would have permitted redevelopment agencies to continue operations provided their establishing cities or counties agreed to make specified payments to K-14 school districts and county offices of education, totaling \$1.7 billion statewide. The District is unable to predict what affect the implementation of ABx1 26 will have on the District’s future receipt of tax increment revenues. As a result of the dissolution of California redevelopment agencies and ABx1 26, the tax increment previously paid to redevelopment agencies shall first be used to pay pass-through payments to other taxing entities and second to pay the redevelopment agencies enforceable obligations; with the remaining revenue (if any) paid to the taxing entities by the County Auditor-Controller in the same proportion as other tax revenue.

Proposition 30 and Proposition 55

The passage of the Governor’s November Tax Initiative (“Proposition 30”) on November 6, 2012 ballot resulted in an increase in the State sales tax by a quarter-cent for four years and, for seven years, raising taxes on individuals after their first \$250,000 in income and on couples after their first \$500,000 in earnings. These increased tax rates affect approximately 1 percent of California personal income tax filers and became effective in the 2012 tax year, ending at the conclusion of the 2018 tax year. The LAO estimates that, as a result of Proposition 30, additional State tax revenues of about \$6 billion annually from 2012–13 through 2016–17 will be received by the State with lesser amounts of additional revenue available in fiscal years 2011–12, 2017–18, and 2018–19. These additional monies were available to fund programs in the 2012-13 State Budget and prevented certain “trigger cuts” included in the 2012-13 State Budget from going into effect. Proposition 30 also placed into the State Constitution certain requirements related to the transfer of certain State program responsibilities to local governments, mostly counties, including incarcerating certain adult offenders, supervising parolees, and providing substance abuse treatment services.

Revenues generated by Proposition 30 accounted for an increase of approximately 14 percent over fiscal year 2011–12 in funding for schools and community colleges as set forth in the 2012–13 State Budget. Almost all of this increase was used to pay K–14 expenses from the previous year and reduce delays in certain State K–14 payments. Proposition 30 also provides for additional tax revenues aimed at

balancing the State's budget through 2018–19, providing several billion dollars annually through fiscal year 2018–19 available for purposes including funding existing State programs, ending K–14 education payment delays, and paying other State debts. Future actions of the State Legislature and the Governor will determine the use of these funds. According to the LAO, revenues raised by Proposition 30 could be subject to multibillion-dollar swings, above or below the revenues projections, due to the majority of the additional revenue coming from the personal income tax rate increases on upper-income taxpayers. These fluctuations in incomes of upper-income taxpayers could impact potential State revenue and complicate State budgeting in future years. After the proposed tax increases expire, the loss of the associated tax revenues could also create additional budget pressure in subsequent years.

The California Children's Education and Health Care Protection Act of 2016, also known as Proposition 55, was approved by State voters on November 8, 2016. Proposition 55 extends the increase to personal income tax rates for high-income taxpayers that were approved as part of Proposition 30 through the year 2030. Tax revenues received under Proposition 55 are allocated as follows: 89% to K-12 schools and 11% to community colleges. Proposition 55 did not extend the sales tax rate increase enacted under Proposition 30.

Proposition 2

Proposition 2, also known as The Rainy Day Budget Stabilization Fund Act ("Proposition 2") was approved by California voters on November 4, 2014. Proposition 2 provides for changes to State budgeting practices, including revisions to certain conditions under which transfers are made into and from the State's Budget Stabilization Account (the "BSA") established by the California Balanced Budget Act of 2004 (also known as Proposition 58). Commencing in Fiscal Year 2015-16 and for each fiscal year thereafter, the State is required to make an annual transfer to the BSA in an amount equal to 1.5% of estimated State general fund revenues (the "Annual Stabilization Account Transfer"). For a Fiscal Year in which the estimated State general fund revenues allocable to capital gains taxes exceed 8% of the total estimated general fund tax revenues, supplemental transfers to the BSA (a "Supplemental Stabilization Account Transfer") are also required. Such excess capital gains taxes, which are net of any portion thereof owed to K-14 school districts pursuant to Proposition 98, are required to be transferred to the BSA.

In addition, for each fiscal year, Proposition 2 increases the maximum size of the BSA to 10% of estimated State general fund revenues. Such excess amounts are to be expended on State infrastructure, including deferred maintenance, in any Fiscal Year in which a required transfer to the BSA would result in an amount in excess of the 10% threshold. For the period from Fiscal Year 2015-16 through Fiscal Year 2029-30, Proposition 2 requires that half of any such transfer to the BSA (annual or supplemental), shall be appropriated to reduce certain State liabilities, including repaying State interfund borrowing, reimbursing local governments for State mandated services, making certain payments owed to K-14 school districts, and reducing or prefunding accrued liabilities associated with State-level pension and retirement benefits. After Fiscal Year 2029-30, the Governor and the Legislature are given discretion to apply up to half of any required transfer to the BSA to the reduction of such State liabilities and any amount not so applied shall be transferred to the BSA or applied to infrastructure, as set forth above.

Accordingly, the conditions under which the Governor and the Legislature may draw upon or reduce transfers to the BSA are impacted by Proposition 2. Unilateral discretion to suspend transfers to the BSA are not retained by the Governor. Neither does the Legislature retain discretion to transfer funds from the BSA for any reason, as was previously provided by law. Instead, the Governor must declare a "budget emergency" (defined as an emergency within the meaning of Article XIII B of the Constitution) or a determination that estimated resources are inadequate to fund State general fund expenditure, for the current or ensuing fiscal year, at a level equal to the highest level of State spending within the three

immediately preceding fiscal years, and any such declaration must be followed by a legislative bill providing for a reduction or transfer. Draws on the BSA are limited to the amount necessary to address the budget emergency, and no draw in any fiscal year may exceed 50% of the funds on deposit in the BSA, unless a budget emergency was declared in the preceding fiscal year.

Proposition 2 also provides for the creation of a Public School System Stabilization Account (the “Public School System Stabilization Account”) into which transfers will be made in any fiscal year in which a Supplemental Stabilization Account Transfer is required, requiring that such transfer will be equal to the portion of capital gains taxes above the 8% threshold that would otherwise be paid to K-14 school districts as part of the minimum funding guarantee. Transfers to the Public School System Stabilization Account are only to be made if certain additional conditions are met, including that: (i) the minimum funding guarantee was not suspended in the immediately preceding Fiscal Year, (ii) the operative Proposition 98 formula for the Fiscal Year in which a Public School System Stabilization Account transfer might be made is “Test 1,” (iii) no maintenance factor obligation is being created in the budgetary legislation for the Fiscal Year in which a Public School System Stabilization Account transfer might be made, (iv) all prior maintenance factor obligations have been fully repaid, and (v) the minimum funding guarantee for the Fiscal Year in which a Public School System Stabilization Account transfer might be made is higher than the immediately preceding Fiscal Year, as adjusted for ADA growth and cost of living. Under Proposition 2, the size of the Public School System Stabilization Account is capped at 10% of the estimated minimum guarantee in any fiscal year, and any excess funds must be paid to K-14 school districts. Any reductions to a required transfer to, or draws upon, the Public School System Stabilization Account, are subject to the budget emergency requirements as described above. However, in any Fiscal Year in which the estimated minimum funding guarantee is less than the prior year’s funding level, as adjusted for ADA growth and cost of living, Proposition 2 also mandates draws on the Public School System Stabilization Account.

Proposition 51

The Kindergarten Through Community College Public Education Facilities Bond Act of 2016 (also known as Proposition 51) is a voter initiative that was approved by voters on November 8, 2016. Proposition 51 authorizes the sale and issuance of \$9 billion in general obligation bonds for the new construction and modernization of K-14 facilities.

K-12 School Facilities. Proposition 51 includes \$3 billion for the new construction of K-12 facilities and an additional \$3 billion for the modernization of existing K-12 facilities. K-12 school districts will be required to pay for 50% of the new construction costs and 40% of the modernization costs with local revenues. If a school districts lack sufficient local funding, it may apply for additional state grant funding, up to 100% of the project costs. In addition, a total of \$1 billion will be available for the modernization and new construction of charter school (\$500 million) and technical education (\$500 million) facilities. Generally, 50% of modernization and new construction project costs for charter school and technical education facilities must come from local revenues. However, schools that cannot cover their local share for these two types of projects may apply for state loans. State loans must be repaid over a maximum of 30 years for charter school facilities and 15 years for career technical education facilities. For career technical education facilities, state grants are capped at \$3 million for a new facility and \$1.5 for a modernized facility. Charter schools must be deemed financially sound before project approval.

Community College Facilities. Proposition 51 includes \$2 billion for community college district facility projects, including buying land, constructing new buildings, modernizing existing buildings, and purchasing equipment. In order to receive funding, community college districts must submit project proposals to the Chancellor of the community college system, who then decides which projects to submit to the State legislature and Governor based on a scoring system that factors in the amount of local funds

contributed to the project. The Governor and State legislature will select among eligible projects as part of the annual state budget process.

The District makes no guarantees that it will either pursue or qualify for Proposition 51 State facilities funding.

Future Initiatives

Article XIII A, Article XIII B, Article XIII C and Article XIII D of the California Constitution and Propositions 1A, 22, 26, 30, 39, 98, 51 and 55 were each adopted as measures that qualified for the ballot pursuant to the State's initiative process. From time to time other initiative measures could be adopted further affecting District revenues or the District's ability to expend revenues. The nature and impact of these measures cannot be anticipated by the District.

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APPENDIX B

FORMS OF BOND COUNSEL OPINIONS

Upon issuance and delivery of the Tax-Exempt Bonds, Norton Rose Fulbright US LLP, Bond Counsel, proposes to deliver its final approving opinion with respect to the Tax-Exempt Bonds substantially in the following form:

[Closing Date]

Governing Board
Southwestern Community College District

Re: \$23,140,000 Southwestern Community College District (San Diego County, California)
Election of 2008, General Obligation Bonds, Series 2020E-2 (Tax-Exempt)

\$28,515,000 Southwestern Community College District (San Diego County, California)
Election of 2016, General Obligation Bonds, Series 2020B-2 (Tax-Exempt)

Ladies and Gentlemen:

We have acted as Bond Counsel to the Southwestern Community College District (the “District”), in connection with the issuance by the District of \$23,140,000 aggregate principal amount of its Election of 2008, General Obligation Bonds, Series 2020E-2 (Tax-Exempt) (the “Series E-2 Bonds”) and \$28,515,000 aggregate principal amount of its Election of 2016, General Obligation Bonds, Series 2020B-2 (Tax-Exempt) (the “Series B-2 Bonds” and together with the Series E-2 Bonds, the “Bonds”). The Bonds are issued pursuant to Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code of the State of California, as amended, and the resolution adopted by the Governing Board of the District on June 9, 2020 (the “Resolution”). All terms used herein and not otherwise defined shall have the meanings given to them in the Resolution.

As bond counsel, we have examined copies certified to us as being true and complete copies of the proceedings of the District for the authorization and issuance of the Bonds, including the Resolution and the Tax Exemption Certificate of the District dated the date hereof (the “Tax Certificate”). Our services as such bond counsel were limited to an examination of such proceedings and to the rendering of the opinions set forth below. In this connection we have also examined such certificates of public officials and officers of the District as we have considered necessary for the purposes of this opinion.

Certain agreements, requirements and procedures contained or referred to in the Resolution, the Tax Certificate and other relevant documents may be changed and certain actions (including, without limitation, the defeasance of the Bonds) may be taken or omitted under the circumstances and subject to the terms and conditions set forth in such documents. No opinion is expressed herein as to any New Money Bond or the interest thereon if any such change occurs or action is taken or omitted upon the advice or approval of counsel other than ourselves.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. Our engagement with respect to the Bonds has concluded with their issuance, and we disclaim any obligation to update this letter. We have assumed the genuineness of all documents and signatures presented to us

(whether as originals or as copies) and the due and legal execution and delivery thereof by any parties other than the District. We have not undertaken to verify independently, and have assumed, the accuracy of the factual matters represented, warranted or certified in the documents referred to in the second paragraph hereof. Furthermore, we have assumed compliance with all covenants and agreements contained in the Resolution and the Tax Certificate, including (without limitation) covenants and agreements compliance with which is necessary to assure that future actions, omissions or events will not cause interest on the Bonds to be included in gross income for federal income tax purposes. We call attention to the fact that the rights and obligations under the Bonds, the Resolution and the Tax Certificate may be subject to bankruptcy, insolvency, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors' rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to the limitations on legal remedies against public entities in the State of California. We express no opinion with respect to any indemnification, contribution, choice of law, choice of forum or waiver provisions contained in the foregoing documents. We express no opinion and make no comment with respect to the sufficiency of the security or the marketability of the Bonds. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Official Statement or other offering material relating to the Bonds and express no opinion with respect thereto.

Based on and subject to the foregoing and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Bonds constitute valid and binding obligations of the District, payable as to principal and interest from the proceeds of a levy of *ad valorem* taxes on all property subject to such taxes in the District, which taxes are unlimited as to rate or amount.
2. The Resolution has been duly adopted and constitutes a valid and binding obligation of the District.
3. It is further our opinion, based upon the foregoing, that pursuant to section 103 of the Internal Revenue Code of 1986, as amended and in effect on the date hereof (the "Code"), and existing regulations, published rulings, and court decisions thereunder, and assuming continuing compliance with the provisions of the Resolution and the Tax Certificate and in reliance upon the representations and certifications of the District made in the Tax Certificate of even date herewith pertaining to the use, expenditure, and investment of the proceeds of the Bonds, when the Bonds are delivered to and paid for by the initial purchasers thereof, interest on the Bonds for federal income tax purposes (1) will be excludable from the gross income, as defined in section 61 of the Code, of the owners thereof, and (2) will not be included in computing the alternative minimum taxable income of the owners thereof.

In our opinion, under existing law, interest on the Bonds is exempt from personal income taxes of the State of California.

We express no other opinion with respect to any other federal, state, or local tax consequences under present law or any proposed legislation resulting from the receipt or accrual of interest on, or the acquisition or disposition of, the Bonds. Ownership of tax-exempt obligations such as the Bonds may result in collateral federal tax consequences to, among others, financial institutions, life insurance companies, property and casualty insurance companies, certain S corporations with subchapter C earnings and profits, certain foreign corporations doing business in the United States, owners of an interest in a financial asset securitization investment trust, individuals otherwise qualifying for the earned income tax credit, individual recipients of Social Security or Railroad Retirement benefits, and taxpayers who may be

deemed to have incurred or continued indebtedness to purchase or carry, or who have paid or incurred certain expenses allocable to, tax-exempt obligations.

Our opinions are based on existing law, which is subject to change. Such opinions are further based on our knowledge of facts as of the date hereof. We assume no duty to update or supplement our opinions to reflect any facts or circumstances that may thereafter come to our attention or to reflect any changes in any law that may thereafter occur or become effective. Moreover, our opinions are not a guarantee of result and are not binding on the Internal Revenue Service or the State of California; rather, such opinions represent our legal judgment based upon our review of existing law that we deem relevant to such opinions and in reliance upon the representations and covenants referenced above.

Respectfully submitted,

Upon issuance and delivery of the Taxable Bonds, Norton Rose Fulbright US LLP, Bond Counsel, proposes to deliver its final approving opinion with respect to the Taxable Bonds substantially in the following form:

[Closing Date]

Governing Board
Southwestern Community College District

Re: \$1,860,000 Southwestern Community College District (San Diego County, California)
Election of 2008, General Obligation Bonds, Series 2020E-1 (Federally Taxable)

\$1,485,000 Southwestern Community College District (San Diego County, California)
Election of 2016, General Obligation Bonds, Series 2020B-1 (Federally Taxable)

\$56,530,000 Southwestern Community College District (San Diego County, California)
2020 Refunding Bonds (Federally Taxable)

Ladies and Gentlemen:

We have acted as Bond Counsel to the Southwestern Community College District (the “District”), in connection with the issuance by the District of \$1,860,000 Southwestern Community College District (San Diego County, California) Election of 2008, General Obligation Bonds, Series 2020E-1 (Federally Taxable) (the “Series E-1 Bonds”), \$1,485,000 Southwestern Community College District (San Diego County, California) Election of 2016, General Obligation Bonds, Series 2020B-1 (Federally Taxable) (the “Series B-1 Bonds” and, together with the Series E-1 Bonds, the “Taxable New Money Bonds”) and \$56,530,000 aggregate principal amount of its 2020 General Obligation Refunding Bonds (Federally Taxable) (the “Refunding Bonds” and collectively with the Taxable New Money Bonds, the “Bonds”). The Taxable New Money Bonds are issued pursuant to Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code of the State of California, as amended, and the resolution adopted by the Governing Board of the District on June 9, 2020 (the “New Money Resolution”). The Refunding Bonds are issued pursuant to Articles 9 and 11 of Chapter 3 of Part 1 of Division 2 of Title 5 of the California Government Code (commencing with Sections 53550 and 53580, respectively) (the “Refunding Act”), and the resolution adopted by the Governing Board of the District on June 9, 2020 (the “Refunding Resolution” and together with the New Money Resolution, the “Resolutions”). All terms used herein and not otherwise defined shall have the meanings given to them in the respective Resolution.

As bond counsel, we have examined copies certified to us as being true and complete copies of the proceedings of the District for the authorization and issuance of the Bonds, including the respective Resolutions and a special report of Causey, Demgen & Moore, P.C. (the “Report”) related to the Refunding Bonds. Our services as such bond counsel were limited to an examination of such proceedings and to the rendering of the opinions set forth below. In this connection we have also examined such certificates of public officials and officers of the District as we have considered necessary for the purposes of this opinion.

Certain agreements, requirements and procedures contained or referred to in the respective Resolution and other relevant documents pertaining to the Bonds may be changed and certain actions (including, without limitation, the defeasance of the Refunding Bonds) may be taken or omitted under the circumstances and subject to the terms and conditions set forth in such documents, upon the advice or with the approving opinion of counsel. We express no opinion as to the effect of any change to any

document pertaining to the Bonds or of any action taken or not taken where such change is made or action is taken or not taken without our approval or in reliance upon the advice of counsel other than ourselves.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. Our engagement with respect to the Bonds has concluded with their issuance, and we disclaim any obligation to update this letter. We have assumed the genuineness of all documents and signatures presented to us (whether as originals or as copies) and the due and legal execution and delivery thereof by any parties other than the District. We have not undertaken to verify independently, and have assumed, the accuracy of the factual matters represented, warranted or certified in the documents referred to in the second paragraph hereof. We call attention to the fact that the rights and obligations under the Bonds and the Resolutions may be subject to bankruptcy, insolvency, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors' rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to the limitations on legal remedies against public entities in the State of California. We express no opinion with respect to any indemnification, contribution, choice of law, choice of forum or waiver provisions contained in the foregoing documents. We express no opinion and make no comment with respect to the sufficiency of the security or the marketability of the Bonds. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Official Statement or other offering material relating to the Bonds and express no opinion with respect thereto.

Based on and subject to the foregoing and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Bonds constitute valid and binding obligations of the District, payable as to principal and interest from the proceeds of a levy of *ad valorem* taxes on all property subject to such taxes in the District, which taxes are unlimited as to rate or amount.
2. The respective Resolutions have been duly adopted and each constitute a valid and binding obligation of the District.
3. Under existing law, interest on the Bonds is exempt from personal income taxes of the State of California.

We express no other opinion with respect to any other state, or local tax consequences under present law or any proposed legislation resulting from the receipt or accrual of interest on, or the acquisition or disposition of, the Bonds.

Our opinions are based on existing law, which is subject to change. Such opinions are further based on our knowledge of facts as of the date hereof. We assume no duty to update or supplement our opinions to reflect any facts or circumstances that may thereafter come to our attention or to reflect any changes in any law that may thereafter occur or become effective. Moreover, our opinions are not a guarantee of result and are not binding on the State of California; rather, such opinions represent our legal judgment based upon our review of existing law that we deem relevant to such opinions and in reliance upon the representations and covenants referenced above.

Respectfully submitted,

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APPENDIX C
AUDITED FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED JUNE 30, 2019

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Southwestern Community College District

Chula Vista, California

**Basic Financial Statements,
Single Audit, State Compliance, Supplementary
Information, and Other Information
with Independent Auditors' Reports**

For the Year Ended June 30, 2019



Southwestern Community College District

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Southwestern Community College District

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Southwestern Community College District

Introductory Section

Southwestern Community College District (the “District”) is located in Chula Vista, San Diego County. The District presently operates one primary campus in Chula Vista with extension sites in Otay Mesa, San Ysidro and National City. There have been no changes in the District’s boundaries during the current year.

The Governing Board of the District for the fiscal year ended June 30, 2019 was composed of the following members:

<u>Member</u>	<u>Office</u>	<u>Term Expires</u>
Roberto Alcantar	President	November 2020
Nora E. Vargas	Vice President	November 2022
Leticia Cazares	Board Member	November 2020
Griselda A. Delgado	Board Member	November 2020
Tim Nader	Board Member	November 2022
Rudolph Villegas	Student Trustee	May 2019

The Executive and Senior Administration of the District for the fiscal year ended June 30, 2019 was composed of the following members:

<u>Member</u>	<u>Office</u>
Kindred Murillo, Ed.D.	Superintendent/President
Kelly Hall	Vice-President for Business & Financial Affairs
Rose Del Gaudio	Vice-President, Human Resources
Minou Spradley, Ph.D.	Vice-President for Academic Affairs
Vacant	Vice-President for Student Affairs

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INDEPENDENT AUDITORS' REPORT

To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California

Report on Financial Statements

We have audited the accompanying financial statements of the business-type activities and the fiduciary funds of the Southwestern Community College District (the "District") as of and for the year ended June 30, 2019, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We did not audit the financial statements of the Southwestern College Foundation (the "Foundation"), an aggregate discretely presented component unit of the District. Those financial statements were audited by other auditors, whose report dated October 17, 2019 has been furnished to us, and our opinion on the basic financial statements of the District, insofar as it relates to the Foundation, is based solely on the report of the other auditors.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, based on our audit and the report of other auditors, the basic financial statements referred to above present fairly, in all material respects, the respective financial position of the business-type activities, the fiduciary funds, and the aggregate discretely presented component unit of the District, as of June 30, 2019, and the respective changes in financial position, and cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis and Schedules of Changes in Proportionate Share of the Net Pension Liability – CalSTRS and CalPERS, Schedules of Contributions – CalPERS and CalSTRS, the Schedule of Changes in Net OPEB Liability and Related Ratios, and the Schedule of Contributions – OPEB on pages 5 through 10 and page 62 through 65, respectively, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the Required Supplementary Information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements as a whole. The accompanying Introductory Section, Combining Schedule of Assets, Liabilities, and Fund Balances, Reconciliation of Combining Schedule of Assets, Liabilities, and Fund Balances to Basic Statement of Net Position, Combining Schedule of Revenues, Expenditures (Expenses), and Changes in Fund Equity (Net Position), Reconciliation of Combining Schedule of Revenue, Expenditures (Expenses), and Change in Fund Equity (Net Position) to Basic Statement of Activities and Changes in Net Position, and Other Supplementary Information as listed in the foregoing table of contents are presented for purpose of additional analysis and are not a required part of the basic financial statements.

The Combining Schedule of Assets, Liabilities, and Fund Balances, Reconciliation of Combining Schedule of Assets, Liabilities, and Fund Balances to Basic Statement of Net Position, Combining Schedule of Revenues, Expenditures (Expenses), and Changes in Fund Equity (Net Position), Reconciliation of Combining Schedule of Revenue, Expenditures (Expenses), and Change in Fund Equity (Net Position) to Basic Statement of Activities and Changes in Net Position are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

Our audit was performed for the purpose of forming an opinion on the basic financial statements of the District, taken as a whole. The accompanying Introductory Section, Purpose of Schedules, Schedule of Workload Measures for State General Apportionment and Annual Actual Attendance, Reconciliation of Annual Financial and Budget Report (CCFS-311) with Audited Financial Statements, Reconciliation of the 50% Calculation with Audited Financial Statements, Reconciliation of Education Protection Account Expenditures with Audited Financial Statements, Schedule of Expenditures of State Awards, and Budget Comparison Schedule – General Fund are not a required part of the basic financial statements but are other information required by the State of California Department of Education. This other information is the responsibility of management. We have applied certain limited procedures, which consisted principally of inquiries of management regarding the methods of measurement and presentation of the Introductory Section and Other Information. However, we did not audit the information and express no opinion on these schedules.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 20, 2019, on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

The PwC Group, LLP

San Diego, California
December 20, 2019

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Southwestern Community College District
Management's Discussion and Analysis
For the Year Ended June 30, 2019

This section of the Southwestern Community College District's (the "District") financial statements presents the analysis of the District's financial performance during the fiscal year that ended on June 30, 2019. Please read it in conjunction with the financial statements, which follow this section.

FINANCIAL HIGHLIGHTS

- Ending General Fund fund-balance (unrestricted) at June 30, 2018 was \$19.9 million or 19.3% of General Fund unrestricted expenses. This is a slight decrease from last year of 19.7% and an increase since FY 16/17 of 13.6%.
- Funded FTES (full time equivalent students) were 14,694 in Fiscal Year (FY) 2018-19 and 13,318 in FY 2017-18.
- Budgeted FTES in FY 2019-20 are 14,840
- The General Fund unrestricted revenue over expenses of \$989,568 represent an 84 percent decrease from the prior year. The excess in FY 17-18 was \$6,328,618 which included one-time state funding.
- Bond Proposition R expenses during the year were \$42.6 million with an ending cash balance of \$6.7 million at June 30, 2019.
- Bond Proposition Z expenses during the year were \$21.5 million with an ending cash balance of \$123.4 million at June 30, 2019.
- The District implemented in FY 2015 Government Accounting Standards Board statement #68, Accounting and Financial Reporting for Pensions (GASB 68) which requires the District to report and disclose its liability to California Public Employees' Retirement System (CalPERS) and California State Teachers' Retirement System (CalSTRS). As a result, as disclosed in the notes to these financial statements, and in the Statement of Activities and Changes in Net Position, the District's net asset position was a positive change of \$2.7 million from a deficit of \$10.7 million at the beginning of the year to a deficit of \$8.0 million as of June 30, 2019.

**Southwestern Community College District
Management's Discussion and Analysis (Continued)
For the Year Ended June 30, 2019**

OVERVIEW OF THE FINANCIAL STATEMENTS

The Basic Financial Statements consist of the following four components:

- Management's Discussion and Analysis;
- Financial statements including the Statement of Net Position, Statement of Activities and Changes in Net Position, Statement of Cash Flows, Statement of Fiduciary Net Position and Statement of Changes in Fiduciary Net Position;
- Notes to the financial statements; and
- Required Supplementary Information.

Additional information presented with the Basic Financial Statements includes:

- Introductory Section;
- Supplementary Information:
 - Combining Schedule of Assets, Liabilities, and Fund Balances;
 - Reconciliation of Combining Schedule of Assets, Liabilities, and Fund Balances to Government-Wide Statement of Net Position;
 - Combining Schedule of Revenues, Expenditures/Expenses, and Changes in Fund Equity/Net Position;
 - Reconciliation of Combining Schedule of Revenues, Expenditures/Expenses, and Changes in Fund Equity to Government-Wide Statement of Activities and Changes in Net Position;
- Single Audit
- State Compliance
- Other Information:
 - Purpose of Schedules;
 - Schedule of Workload Measures for State General Apportionment and Annual Actual Attendance;
 - Reconciliation of Annual Financial and Budget Report (CCFS-311) with the Audited Financial Statements;
 - Reconciliation of the 50% Calculation with Audited Financial Statements;
 - Reconciliation of Education Protection Account Expenditures with Audited Financial Statements;
 - Schedule of Expenditures of State Awards; and
 - Budget Comparison Schedule – General Fund Unrestricted and Restricted.

Southwestern Community College District
Management's Discussion and Analysis (Continued)
For the Year Ended June 30, 2019

The **Statement of Net Position** presents the assets, deferred outflows of resources, liabilities, deferred inflows of resources, and net position of the District as of the end of the fiscal year using the accrual basis of accounting, which is similar to the accounting basis used by most private-sector institutions. Net position, the difference between assets and deferred outflows of resources and liabilities and deferred inflows of resources, is one way to measure the financial health of the District. The data allows its readers to determine the assets available to continue the operations of the District. The net position of the District consists of three major categories. The *Net Investment in Capital Assets* category represents the District's equity in property, plant, and equipment net of related debt.

Restricted Net Position is restricted by use constraints placed on it by outside parties such as agreements, laws, regulations of creditors, other governments or as imposed by laws through constitutional provisions or enabling legislation. *Unrestricted Net Position* is the final category. The District can use unrestricted net position for any lawful purpose. Although unrestricted by third parties, the District's Governing Board may place internal restrictions on this net position, but it retains the power to modify or remove such restrictions.

The District's Statement of Net Position is presented in the table below:

Table 1
Statements of Net Position

	June 30, 2019	June 30, 2018	Changes	
Current assets	\$ 181,165,781	\$ 241,092,454	\$ (59,926,673)	-24.9%
Noncurrent assets	419,240,647	367,561,441	51,679,206	14.1%
Total assets	600,406,428	608,653,895	(8,247,467)	-1.4%
Deferred outflows of resources	41,621,515	36,451,626	5,169,889	14.2%
Current liabilities	48,338,712	45,591,551	2,747,161	6.0%
Long-term liabilities	591,086,037	598,161,827	(7,075,790)	-1.2%
Total liabilities	639,424,749	643,753,378	(4,328,629)	-0.7%
Deferred inflows of resources	10,605,981	12,050,835	(1,444,854)	-12.0%
Net position:				
Net investment in capital assets	64,041,032	48,471,163	15,569,869	32.1%
Restricted	30,864,967	36,033,715	(5,168,748)	-14.3%
Unrestricted	(102,908,786)	(95,203,570)	(7,705,216)	8.1%
Total net position	\$ (8,002,787)	\$ (10,698,692)	\$ 2,695,905	-25.2%

The **Statement of Activities and Changes in Net Position** presents the operating results of the District. The purpose of the statement is to present the revenues received by the District, both operating and non-operating, and the expenses paid by the District, operating and non-operating, and any other revenues, expenses, gains and losses received or spent by the District.

Changes in total net position on the Statement of Net Position are based on the activity presented in the Statement of Activities and Changes in Net Position. Generally speaking, operating revenues are received for providing goods and services to the various customers and constituencies of the District. Operating expenses are those expenses paid to acquire or produce the goods and services provided in return for the operating revenues and to carry out the mission of the District. Non-operating revenues are revenues received for which goods and services are not provided. For example, state appropriations are non-operating revenue because they are provided by the legislature to the institution without the legislature directly receiving commensurate goods and services for those revenues.

**Southwestern Community College District
Management's Discussion and Analysis (Continued)
For the Year Ended June 30, 2019**

The District's Statement of Activities and Changes in Net Position is presented in the table below:

**Table 2
Changes in Net Position**

	June 30, 2019	June 30, 2018	Change	
Operating revenues	\$ 27,613,137	\$ 24,432,915	\$ 3,180,222	13.0%
Operating expenses	(175,210,123)	(165,135,109)	(10,075,014)	6.1%
Deficit before depreciation and				
Nonoperating income and expenses	(147,596,986)	(140,702,194)	(6,894,792)	4.9%
Depreciation	(7,716,119)	(7,694,139)	(21,980)	0.3%
Non-operating income and expenses, net	158,009,010	158,078,909	(69,899)	0.0%
Increase (decrease) in net position	\$ 2,695,905	\$ 9,682,576	\$ (6,986,671)	-72.2%

The **Statement of Cash Flows** provides additional information about the District's financial results by reporting the major sources and uses of cash. This information assists readers in assessing the District's ability to generate revenue, meet its obligations as they come due and evaluate its need for external financing. The statement is divided into several parts. The first part deals with operating cash flows and shows the net cash used by the operating activities of the District. The second section reflects cash flows from non-capital financing activities and shows the sources and uses of those funds. The third section deals with cash flows from capital and related financing activities. This section deals with the cash used for the acquisition and construction of capital and related items. The fourth section deals with cash flows from investing activities. This section reflects the cash received and spent for short-term investments and any interest paid or received on those investments.

The District's Statement of Cash Flows is presented in the table below:

**Table 3
Statement of Cash Flows**

	June 30, 2019	June 30, 2018
Cash provided by (used in):		
Operating activities	\$ (145,457,496)	\$ (133,261,992)
Non-capital financing activities	170,161,781	169,977,233
Capital and related financing activities	(99,251,306)	60,723,440
Investing activities	5,796,227	1,543,912
Net change in cash and cash equivalents	(68,750,794)	98,982,593
Cash balance, beginning of year	271,701,948	172,719,355
Cash balance, end of year	\$ 202,951,154	\$ 271,701,948

Southwestern Community College District
Management's Discussion and Analysis (Continued)
For the Year Ended June 30, 2019

CAPITAL ASSETS

The following table summarizes the District's capital assets, net of accumulated depreciation, and changes therein, for the year ended June 30, 2019. These changes are presented in detail in Note 4 to the financial statements.

Table 4
Capital Assets Net of Accumulated Depreciation

	<u>June 30, 2019</u>	<u>June 30, 2018</u>	<u>Change</u>	
Land	\$ 9,703,148	\$ 9,703,148	\$ -	0.0%
Buildings	153,707,425	121,373,652	32,333,773	26.6%
Improvements	105,671,282	40,033,731	65,637,551	164.0%
Equipment	2,793,404	2,210,634	582,770	26.4%
Construction in progress	116,500,421	158,206,561	(41,706,140)	-26.4%
Net capital assets	<u>\$ 388,375,680</u>	<u>\$ 331,527,726</u>	<u>\$56,847,954</u>	<u>17.1%</u>

LONG TERM DEBT

The following table summarizes the District's long term debt and changes therein for the year ended June 30, 2019. Changes in long term debt are presented in detail in Note 6 to the financial statements.

Table 5
Summary of Long-Term Debt

	<u>June 30, 2019</u>	<u>June 30, 2018</u>	<u>Change</u>	
Bonds Payable:				
Lease Revenue	\$ 695,000	\$ 795,000	\$ (100,000)	-12.6%
GO Bond, Series 2004	12,993,974	12,993,974	-	0.0%
GO Bond, Series 2005 Refunding Series	-	465,000	(465,000)	-100.0%
Prop R - Series C	65,490,370	65,835,370	(345,000)	-0.5%
Prop R - Series D	115,984,325	116,119,325	(135,000)	-0.1%
GO Bond, Series 2015, Refunding	21,040,000	23,080,000	(2,040,000)	-8.8%
GO Bond 2016, Refunding Series	3,400,000	3,400,000	-	100.0%
GO Bond 2016, Refunding Series B	84,335,000	84,335,000	-	100.0%
GO Bond 2016, Series A	127,900,000	140,000,000	(12,100,000)	100.0%
Unamortized premiums	32,091,206	34,198,781	(2,107,575)	-6.2%
	<u>\$ 463,929,875</u>	<u>\$ 481,222,450</u>	<u>\$ (17,292,575)</u>	<u>-3.6%</u>

**Southwestern Community College District
Management's Discussion and Analysis (Continued)
For the Year Ended June 30, 2019**

ECONOMIC FACTORS AND 2019-20 BUDGET

The major economic factors that have an effect on the District's financial condition are directly related to the overall economy of the State of California and any future legislation that may impact the funding of community colleges.

The District's FY 2019-2020 Adopted Budget (General Fund-Unrestricted) includes revenue and expense projections based on the best information available to date and is not based on the budgetary basis of accounting. The adopted budget also includes sufficient reserves for the District's stability and security, including a Governing Board reserve of 7%.

The District's unrestricted general fund revenue budget for FY 2019-2020 is \$105.8 million compared to FY 18-19 adopted budget of \$100.7 million an 5.1 percent increase.

- General unrestricted revenues consist of California State principal apportionment (including faculty hiring allocation and Proposition 30 Educational Protection Act) of \$62.0 million, property taxes of \$31.5 million, enrollment fees of \$4.7 million, and \$7.6 million in other revenue including lottery proceeds of \$3.0 million and non-resident tuition of \$1.2 million.

The District's FY 2019-2020 General Fund unrestricted budgeted expenses of \$105.2 million compared to FY 2018-2019 budgeted expenses of \$101.7 million, represent an 18.5 percent increase.

Proposition R Bond construction funds that are separate from the General Fund have an expense budget of \$4. 7 million. Proposition Z construction Bond fund has an expense budget of \$113.2 million including projects for the student and performing arts center.

The total District-wide expense budget for all funds in FY 2019-2020 is \$268.0 million:

	FY 19-20 BUDGET
General Fund Summary	136,103,288
Enterprise Fund Summary	5,207,641
Prop Z Construction Bond Fund	113,196,406
Prop R Construction Bond Fund	4,703,458
Civic Center Leasing	450,000
Capital Outlay	2,248,835
Self Insurance	533,333
Associated Student Organization	480,000
Student Success Completion Fund	4,570,538
Student Center Fund	174,568
	<u>\$267,668,067</u>

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report was designed to provide a general overview of the District's finances for all those interested. Questions concerning any of the information provided in this report or requests for additional information should be addressed to the Vice President of Business and Financial Affairs, Southwestern Community College District, 900 Otay Lakes Road, Chula Vista CA 91910.

BASIC FINANCIAL STATEMENTS

Southwestern Community College District
Statement of Net Position
June 30, 2019

	Primary Government District	Component Unit Foundation
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 35,116,184	\$ 264,980
Investments	27,000	147,118
Accounts receivable, net	7,734,686	2,078
Inventories	1,115,213	-
Prepaid items	64,073	1,525
Due from fiduciary funds	138,622	-
Other assets	-	550
Restricted cash and cash equivalents	136,970,003	284,123
Total current assets	<u>181,165,781</u>	<u>700,374</u>
Noncurrent assets:		
Restricted cash and cash equivalents	30,864,967	-
Restricted investments	-	934,858
Capital assets, net	388,375,680	-
Total noncurrent assets	<u>419,240,647</u>	<u>934,858</u>
Total assets	<u>600,406,428</u>	<u>1,635,232</u>
DEFERRED OUTFLOWS OF RESOURCES		
Pension-related deferred outflows	32,565,755	-
OPEB-related deferred outflows	5,441,816	-
Deferred loss on refunding	3,613,944	-
Total deferred outflows of resources	<u>41,621,515</u>	<u>-</u>

Southwestern Community College District
Statement of Net Position (Continued)
June 30, 2019

	Primary Government	Component Unit
	District	Foundation
LIABILITIES		
Liabilities:		
Current liabilities:		
Accounts payable and accrued liabilities	9,522,799	831
Interest payable	6,728,163	-
Payroll and related liabilities	4,751,970	-
Unearned revenue	9,715,780	5,900
Compensated absences - due within one year	2,500,000	-
Bonds payable - due within one year	16,120,000	-
Total current liabilities	49,338,712	6,731
Noncurrent liabilities:		
Compensated absences - due in more than one year	561,828	-
Aggregate net pension liability - due in more than one year	122,272,544	-
Net OPEB liability - due in more than one year	19,441,790	-
Bonds payable - due in more than one year	447,809,875	-
Total noncurrent liabilities	590,086,037	-
Total liabilities	639,424,749	6,731
DEFERRED INFLOWS OF RESOURCES		
Pension-related deferred inflows	9,528,574	-
OPEB-related deferred inflows	88,687	-
Deferred gain on refunding	988,720	-
Total deferred inflows of resources	10,605,981	-
Net Position:		
Net investment in capital assets	64,041,032	-
Restricted for:		
Special projects	-	1,216,403
Capital projects	-	-
Debt service	30,864,967	-
Total restricted	30,864,967	1,216,403
Unrestricted (deficit) (Note 12)	(102,908,786)	412,098
Total net position (deficit)	\$ (8,002,787)	\$ 1,628,501

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Southwestern Community College District
Statement of Activities and Changes in Net Position
For the Year Ended June 30, 2019

	Primary Government District	Component Unit Foundation
OPERATING REVENUES:		
Tuition and fees	\$ 8,759,751	\$ -
Grants and contracts, non-capital:		
Federal	6,088,178	-
State	5,981,618	-
Local	2,149,485	-
Total grants and contracts, non-capital	14,219,281	-
Auxiliary enterprise sales and charges, net	4,466,313	-
Other operating revenues	167,792	1,081,822
Total operating revenues	27,613,137	1,081,822
OPERATING EXPENSES:		
Salaries	89,132,623	-
Employee benefits	28,667,362	-
Payments to students	33,043,190	199,514
Supplies, materials, and other expenses	21,364,634	691,942
Utilities	3,002,314	-
Depreciation	7,716,119	-
Total operating expenses	182,926,242	891,456
Operating income (loss)	(155,313,105)	190,366
NONOPERATING REVENUE (EXPENSES):		
Federal grants, non-capital	24,545,889	-
State apportionments, non-capital	86,123,616	-
Local property taxes, non-capital	56,414,418	-
Investment income	5,796,227	96,700
Interest expense	(17,948,998)	-
Other nonoperating revenues (expenses)	3,077,858	-
Total nonoperating revenues (expenses), net	158,009,010	96,700
Changes in net position	2,695,905	287,066
NET POSITION (DEFICIT):		
Beginning of year	(10,698,692)	1,341,435
End of year	\$ (8,002,787)	\$ 1,628,501

Southwestern Community College District
Statement of Cash Flows
For the Year Ended June 30, 2019

	Primary Government District	Component Unit Foundation
CASH FLOWS FROM OPERATING ACTIVITIES:		
Tuition and fees	\$ 6,869,562	\$ -
Grants and contracts	14,219,281	-
Payments for supplies and services	(135,083,259)	(682,113)
Payments for utilities	(3,002,314)	-
Payments to students	(33,043,190)	(199,514)
Auxiliary enterprise sales and charges	4,466,313	-
Other operating revenues and expenses	116,111	1,085,222
Net cash provided by (used in) operating activities	<u>(145,457,496)</u>	<u>203,595</u>
CASH FLOWS FROM NON-CAPITAL FINANCING ACTIVITIES:		
Federal Pell Grants	24,545,889	-
State apportionment	86,123,616	-
Local property taxes	56,414,418	-
Other	3,077,858	-
Net cash provided by noncapital financing activities	<u>170,161,781</u>	<u>-</u>
CASH FLOWS FROM CAPITAL FINANCING ACTIVITIES:		
Acquisition of capital assets	(64,815,195)	-
Disposition of capital assets	251,122	-
Principal paid on bonds	(15,185,000)	-
Payment of interest and fees	(19,496,216)	-
Net cash (used in) capital financing activities	<u>(99,245,289)</u>	<u>-</u>
CASH FLOWS FROM INVESTING ACTIVITIES:		
Interest and investment proceeds	5,796,227	(4,067)
Cash provided by (used in) investing activities	<u>5,796,227</u>	<u>(4,067)</u>
Net increase (decrease) in cash and equivalents	(68,744,777)	199,528
CASH AND CASH EQUIVALENTS		
Beginning of year	271,701,948	349,575
End of year	<u>\$ 202,957,171</u>	<u>\$ 549,103</u>
RECONCILIATION OF CASH AND CASH EQUIVALENTS TO STATEMENTS OF NET POSITION:		
Cash and cash equivalents	\$ 35,116,184	\$ 264,980
Restricted cash and investments	167,834,970	284,123
Total cash and cash equivalents	<u>\$ 202,951,154</u>	<u>\$ 549,103</u>

Southwestern Community College District
Statement of Cash Flows (Continued)
For the Year Ended June 30, 2019

	Primary Government District	Component Unit Foundation
RECONCILIATION OF NET OPERATING INCOME (LOSS)		
TO NET CASH PROVIDED BY (USED IN) OPERATING ACTIVITIES:		
Operating income (loss)	\$ (155,313,105)	\$ 190,366
Adjustments to reconcile net income (loss) to net cash provided by (used in) operating activities:		
Depreciation	7,716,119	-
Change in assets and liabilities:		
Receivables	(3,657,713)	1,116
Inventories	65,756	-
Prepaid items	(11,854)	8,475
Due from fiduciary funds	(51,681)	-
Other assets	-	(550)
Pension-related deferred outflows	100,121	-
OPEB-related deferred outflows	(5,441,816)	-
Accounts payable and accrued liabilities	(143,256)	788
Payroll and related liabilities	(360,311)	-
Unearned revenue	1,767,524	3,400
Aggregate net pension liability	5,858,854	-
Net OPEB liability	5,606,477	-
Pension related deferred inflows	(1,367,752)	-
OPEB-related deferred inflows	88,687	-
Compensated absences	(313,546)	-
Net cash provided by (used in) operating activities	\$ (145,457,496)	\$ 203,595
SUPPLEMENTAL DISCLOSURE OF CASH FLOW INFORMATION:		
Noncash Capital and Related Financing Activities:		
Amortization of deferred gain on bond refunding	\$ 165,789	\$ -
Amortization of deferred loss on bond refunding	(171,806)	-
Amortization of bond premiums	(2,107,575)	-
Total noncash capital and related financing activities	\$ (2,113,592)	\$ -

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FUNDS OF THE DISTRICT

Associated Students Trust Fund - This agency fund accounts for funds that the District holds in an agent capacity on behalf of various Associated Students clubs.

Student Services Trust Fund - This fund is used to account for funds that the District holds in an agent capacity on behalf of Student Services.

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Southwestern Community College District
Statement of Fiduciary Net Position
June 30, 2019

	Associated Student Trusts	Student Service Trust Funds	Total
Assets:			
Cash and investments	\$ 359,607	\$ 1,135,766	\$ 1,495,373
Accounts receivable	5,480	7,907	13,387
Due from District	288,914	-	288,914
Other assets	55,318	-	55,318
Total assets	<u>709,319</u>	<u>1,143,673</u>	<u>1,852,992</u>
Liabilities:			
Due to District	84,949	53,673	138,622
Deposits payable	23,317	-	23,317
Amount held in trust for others	112,245	1,057,317	1,169,562
Total liabilities	<u>220,511</u>	<u>1,110,990</u>	<u>1,331,501</u>
Net Position:			
Unrestricted	488,808	32,683	521,491
Total net position	<u><u>\$ 488,808</u></u>	<u><u>\$ 32,683</u></u>	<u><u>\$ 521,491</u></u>

Southwestern Community College District
Statement of Changes in Fiduciary Net Position
For the Year Ended June 30, 2019

	Associated Student Trusts	Student Service Trust Funds	Total
ADDITIONS			
Student fees	\$ 258,490	\$ -	\$ 258,490
Interest and investment income	-	14,365	14,365
Other revenues	2,498	-	2,498
Total additions	<u>260,988</u>	<u>14,365</u>	<u>275,353</u>
DEDUCTIONS			
Salaries and benefits	94,886	-	94,886
Payments to students	42,050	-	42,050
Supplies, materials, and other expenses	194,689	5,694	200,383
Total deductions	<u>331,625</u>	<u>5,694</u>	<u>337,319</u>
Changes in net position	(70,637)	8,671	(61,966)
NET POSITION:			
Beginning of year	559,445	24,012	583,457
End of year	<u>\$ 488,808</u>	<u>\$ 32,683</u>	<u>\$ 521,491</u>

NOTES TO THE BASIC FINANCIAL STATEMENTS

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Southwestern Community College District
Notes to the Basic Financial Statements
For the Year Ended June 30, 2019

Note 1 – Summary of Significant Accounting Policies

A. Reporting Entity

Southwestern Community College District (the “District”) is a political subdivision of the State of California and provides higher educational services in the County of San Diego, State of California. The District is classified as a state instrumentality under Internal Revenue Code Section 115 and is also classified as a charitable organization under Internal Revenue Code 501(c)(3) and is, therefore, exempt from federal and state income taxes.

The financial reporting entity consists of the District, organizations for which the District is financially accountable, and any other organization for which the nature and significance of their relationship with the District is such that exclusion would cause the reporting entity’s financial statements to be misleading or incomplete. The following criteria regarding financial accountability were considered by the District in its evaluation of District organizations and activities for the year ended June 30, 2019:

- Financial interdependency - the District receives financial support or provides financial benefit to the organization, is responsible for or has directly or indirectly guaranteed the organization's debts.
- Authoritative appointment of governing authority - the District's Board of Trustees appoints the organization's governing authority and maintains a significant continuing relationship with the governing authority pertaining to the functions of the organization.

The District determined that the following organization is a discretely presented component unit:

The Southwestern College Foundation

The Southwestern College Foundation (Foundation) is a California not-for-profit public benefit corporation organized and incorporated in 1982. The Foundation was established for the purpose of receiving and distributing contributed funds to promote the general welfare of the Southwestern Community College District. Financial statements can be obtained at 900 Otay Lakes Road, Chula Vista, CA 91910.

B. Basis of Accounting and Measurement Focus

The accounts of the District are organized on the basis of funds, each of which is considered a separate accounting entity. The operations of each fund are accounted for in a separate set of self-balancing accounts that comprise its assets, liabilities, fund equity, revenues, expenditures or expenses, as appropriate. Government resources are allocated to and accounted for in individual funds based upon the purpose for which they are to be spent and the means by which spending activities are controlled.

For financial reporting purposes, the District is considered a special-purpose government engaged only in business-type activities. The basic financial statements include a Statement of Net Position, Statement of Activities and Change in Net Position, and Statement of Cash Flows. Fiduciary activities are reported separately.

The basic financial statements are presented on an “*economic resources*” measurement focus and the accrual basis of accounting. Under the accrual basis of accounting, revenues are recognized when earned while expenses are recognized when the liability is incurred. Property taxes are recognized in the year in which they are levied.

Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 1 – Summary of Significant Accounting Policies (Continued)

B. Basis of Accounting and Measurement Focus (Continued)

The Statement of Net Position reports separate sections for deferred outflows of resources and deferred inflows of resources, when applicable.

Deferred Outflows of Resources represent outflows of resources (consumption of net position) that apply to future periods and that, therefore, will not be recognized as an expense until that time.

Deferred Inflows of Resources represent inflows of resources (acquisition of net position) that apply to future periods and that, therefore, are not recognized as revenue until that time.

C. Cash, Cash Equivalents, and Investments

The District pools its available cash for investment purposes. The District considers pooled cash and investment amounts with original maturities of three months or less to be cash equivalents.

Highly liquid market investments with maturities of one year or less at time of purchase are stated at amortized cost. All other investments are stated at fair value. Market value is used as fair value for those securities for which market quotations are readily available.

The District adheres to certain disclosure requirements, if applicable for deposit and investment risks, which are specified for the following areas:

- Interest rate risk
- Credit risk
 - ◆ overall
 - ◆ custodial credit risk
 - ◆ concentration of credit risk
- Foreign currency risk

D. Restricted Cash, Cash Equivalents and Investments

Cash, Cash Equivalents, and Investments that are externally restricted for contractual obligations such as debt service payments, sinking or reserve funds, or to purchase or construct capital or other non-current assets is classified as a non-current asset in the statement of net assets.

E. Fair Value Measurement

U.S. GAAP defines fair value, establishes a framework for measuring fair value and establishes disclosures about fair value measurement. Investments, unless otherwise specified, recorded at fair value in the Statements of Net Position, are categorized based upon the level of judgment associated with the inputs used to measure their fair value. Levels of inputs are as follows:

Level 1 – Inputs are unadjusted, quoted prices for identical assets and liabilities in active markets at the measurement date.

Level 2 – Inputs, other than quoted prices included in Level 1, which are observable for the asset or liability through corroboration with market data at the measurement date.

Level 3 – Unobservable inputs that reflect management's best estimate of what market participants would use in pricing the asset or liability at the measurement date.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 1 – Summary of Significant Accounting Policies (Continued)

F. Accounts Receivable

Accounts receivable consist of amounts due from the Federal, State and local governments or private resources, in connection with reimbursement of allowable expenditures made pursuant to the District's grants and contracts. Accounts receivable are recorded net of estimated uncollectible amounts. There were no significant receivables, which are not scheduled for collection within one year of year-end.

G. Inventories

Inventory is measured at the lower of cost or net realizable value. . Net realizable value is the estimated selling prices in the ordinary course of business, less reasonably predictable costs of completion, disposal, and transportation. The cost is expensed at the time individual inventory items are withdrawn from the store's inventory for consumption.

H. Bond Discounts, Premiums, and Refunding Losses

Bond discounts, premiums, and refunding losses are amortized over the life of the bond using the straight-line method. Bonds payable are reported net of applicable discount or premium. Issuance costs, with the exception of prepaid bond insurance, are expensed immediately.

I. Compensated Absences

Accrued compensated absences benefits are recorded as liabilities as vested and earned, but not taken. Employees are allowed to carry over a limited number of vacation days from year to year. The unused vacation will be paid to the employee upon leaving the District's employment. The General Fund – Unrestricted is typically used to liquidate compensated absences balances.

Sick leave accumulated without limit for each employee at the rate of one day for each month worked. Leave with pay is provided when employees are absent for health reasons; however, the employees do not gain a vested right to accumulated sick leave. Employees, therefore, are never paid for any sick leave balance at termination of employment or any other time. Therefore, the value of accumulated sick leave is not recorded in the accompanying financial statements.

J. Capital Assets

Capital assets, which include site and site improvements, buildings, equipment and infrastructure assets (e.g. roads, parking lots, sidewalks, and similar items), are defined by the District as assets with an initial cost of \$5,000 or more and an estimated useful life in excess of one year. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated acquisition value at the date of donation.

Costs for assets that do not meet the capitalization threshold of \$5,000 and costs for routine maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are expensed as incurred. Major outlays for capital assets and improvements are capitalized as projects are constructed.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 1 – Summary of Significant Accounting Policies (Continued)

J. Capital Assets (Continued)

Depreciation of capital assets is computed using a half-year convention on a straight-line basis over the estimated useful life of the asset as follows:

Asset	Years
Site improvements	35-60
Buildings	50
Equipment/Vehicles	5-6
Technology equipment	3

Interest paid during capital assets construction, if any, is capitalized as part of the asset cost.

K. Net Position

Net Investment in Capital Assets – This component of net position consists of capital assets net of accumulated depreciation and deferred outflows and deferred inflows of resources related to those assets, reduced by the outstanding balances of debt that are attributable to the acquisition, construction, or improvement of those assets and the deferred inflows of resources related to those assets.

Restricted – This component of net position consists of restricted assets reduced by liabilities and deferred inflows of resources related to those assets.

Unrestricted – This component of net position is the amount of the assets, deferred outflows of resources, liabilities, and deferred inflows of resources that are not included in the determination of net investment in capital assets or the restricted component of net position.

L. Unearned Revenue

Unearned revenues include amounts received for tuition and fees and certain auxiliary activities prior to the end of the fiscal year but that are to be earned in the subsequent accounting period. Unearned revenues also include amounts received from grant and contract sponsors that have not yet been earned.

M. Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the plans and additions to/deductions from the plans' fiduciary net position have been determined on the same basis as they are reported by the plans (Note 8). For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with benefit terms. Investments are reported at fair value.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 1 – Summary of Significant Accounting Policies (Continued)

M. Pensions (Continued)

The following timeframes are used for pension reporting:

CalPERS	
Valuation date	June 30, 2017
Measurement date	June 30, 2018
Measurement period	July 1, 2017 to June 30, 2018
CalSTRS	
Valuation date	June 30, 2017
Measurement date	June 30, 2018
Measurement period	July 1, 2017 to June 30, 2018

Gains and losses related to changes in total pension liability and fiduciary net position are recognized in pension expense systematically over time. The first amortized amounts are recognized in pension expense for the year the gain or loss occurs. The remaining amounts are categorized as deferred outflows and deferred inflows of resources related to pensions and are to be recognized in future pension expense. The amortization period differs depending on the source of the gain or loss. The difference between projected and actual earnings is amortized straight-line over five years. All other amounts are amortized straight-line over the average expected remaining service lives of all members that are provided with benefits (active, inactive, and retired) as of the beginning of the measurement period.

N. Other Postemployment Benefits (OPEB)

For purposes of measuring the Total OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB, and OPEB expense, information about the fiduciary net position of the plans and additions to/deductions from the plans' fiduciary net position have been determined on the same basis as they are reported by the plans (Note 7).

The following timeframes are used for OPEB reporting:

OPEB	
Valuation date	June 30, 2018
Measurement date	June 30, 2018
Measurement period	July 1, 2017 to June 30, 2018

O. Property Taxes

The County of San Diego (County) bills and collects property taxes on behalf of numerous special districts and incorporated cities, including the District. The District's collections of current year's taxes are received through periodic apportionments from the County. The County's tax calendar is from July 1 to June 30. Property taxes attach as a lien on property on March 1. Taxes are levied on July 1 and are payable in two equal installments on November 15 and March 15, and become delinquent after December 10 and April 10, respectively.

Since the passage of California's Proposition 13, beginning with Fiscal Year 1978-79, general property taxes are based either on a flat 1% rate applied to the 1975-76 full value of the property or on 1% of the sales price of any property sold or the cost of any new construction after the 1975-76 valuation.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 1 – Summary of Significant Accounting Policies (Continued)

O. Property Taxes (Continued)

Taxable values of properties (exclusive of increases related to sales and new construction) can rise at a maximum of 2% per year.

This Proposition 13 limitation on general property taxes does not apply to taxes levied to pay the debt service on any indebtedness approved by the voters prior to June 6, 1978 (the date of the passage of Proposition 13).

Property tax revenue is recognized in the fiscal year for which the taxes have been levied based on actual and estimated receipts. Adjustments to estimates are made at the time of final apportionment for the applicable fiscal year.

P. On-Behalf Payments

GASB Statement No. 24 requires that direct on-behalf payments for fringe benefits and salaries made by one entity to a third-party recipient for the employees of another, legally separate entity be recognized as revenue and expenditures by the employer government.

The State of California makes direct on-behalf payments for retirement benefits to the State Teachers Retirement System (STRS) on behalf of all community college districts in California. The District recorded \$3,286,017 of revenues and expenditures for on-behalf payments in 2019.

Q. Classification of Revenues

The District has classified its revenues as either operating or non-operating. Certain significant revenue streams relied upon for operations are recorded as non-operating revenues including state appropriations, local property taxes and investment income.

Revenues are classified according to the following criteria:

Operating Revenues

Operating revenues include activities that have the characteristics of exchange transactions, such as (1) student tuition and fees, net of scholarship discounts and allowances, (2) sales and services of auxiliary enterprises, net of scholarship discounts and allowances, (3) most federal, state and local grants and contracts and federal appropriations, and (4) interest on institutional student loans.

Non-operating Revenues

Non-operating revenues include activities that have the characteristics of non-exchange transactions, such as gifts and contributions, and other revenue sources as described in GASB Statement No. 34, such as state appropriations, state and local property taxes and investment income.

R. Scholarship Discounts and Allowances

Student tuition and fee revenues and certain other revenues from students are reported net of scholarship discounts and allowances in the statement of revenues, expenses, and changes in net assets. Scholarship discounts and allowances are the difference between the stated charge for goods and services provided by the District and the amount that is paid by students and/or third parties making payments on the students' behalf. Certain governmental grants, such as Pell Grants, and other federal, state or non-governmental programs are recorded as non-operating revenues in the District's financial statements.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 1 – Summary of Significant Accounting Policies (Continued)

S. Use of Estimates

The preparation of the basic financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and revenues and expenses in the basic financial statements and the accompanying notes. Actual results could differ from those estimates. Management believes that the estimates are reasonable.

T. Accounting Changes

Implementation of New GASB Pronouncements for the Year Ended June 30, 2019

The requirements of the following accounting standards are effective for the purpose of implementation, if applicable to the District, for the year ended June 30, 2019. The financial statements included herein apply the requirements and provisions of these statements, including necessary retroactive adjustments to financial statement classifications and presentations.

GASB Statement No. 83

In November 2016, GASB issued Statement No. 83, *Certain Asset Retirement Obligations*. This Statement addresses accounting and financial reporting for certain asset retirement obligations (AROs). An ARO is a legally enforceable liability associated with the retirement of a tangible capital asset. A government that has legal obligations to perform future asset retirement activities related to tangible capital assets should recognize a liability based on guidance in this Statement. Application of this Statement did not affect the District's financial reporting for the fiscal year ended June 30, 2019.

GASB Statement No. 88

In April 2018, GASB issued Statement No. 88, *Certain Disclosures Related to Debt, Including Direct Borrowings and Direct Placements*. This Statement improves the information that is disclosed in notes to government financial statements related to debt, including direct borrowings and direct placements. It also clarifies which liabilities governments should include when disclosing information related to debt. Application of this Statement did not affect the District's financial reporting for the year ended June 30, 2019.

Note 2 – Cash and Investments

The following is a summary of cash and investments at June 30, 2019:

	Business-Type Activities	Fiduciary Fund Financial Statements	Foundation	Total
Cash and cash equivalents	\$ 35,116,184	\$ 1,495,373	\$ 264,980	\$ 36,876,537
Restricted cash and cash equivalents	167,834,970	-	284,123	168,119,093
Total cash and cash equivalents	202,951,154	1,495,373	549,103	204,995,630
Investments	27,000	-	147,118	174,118
Restricted investments	-	-	934,858	934,858
Total investments	27,000	-	1,081,976	1,108,976
Total cash and investments	\$ 202,978,154	\$ 1,495,373	\$ 1,631,079	\$ 206,104,606

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 2 – Cash and Investments (Continued)

Cash, cash equivalents, and investments consisted of the following at June 30, 2019:

	Business-Type Activities	Fiduciary Fund Financial Statements	Foundation	Total
Cash and cash equivalents:				
Cash on hand	\$ 76,572	\$ 2,450	\$ -	\$ 79,022
Cash in bank accounts	5,295,984	1,492,923	549,103	7,338,010
Cash in County treasury	197,578,598	-	-	197,578,598
Total cash and cash equivalents	202,951,154	1,495,373	549,103	204,995,630
Investments:				
Certificates of deposit	27,000	-	-	27,000
Mutual funds	-	-	167,953	167,953
Fixed income	-	-	358,558	358,558
Equities	-	-	440,479	440,479
Closed-end funds and exchange traded products	-	-	114,986	114,986
Total investments	27,000	-	1,081,976	1,108,976
Total cash and investments	\$ 202,978,154	\$ 1,495,373	\$ 1,631,079	\$ 206,104,606

San Diego County Investment Pool

As provided for by Education Code §41001, a significant portion of the District's cash balances are deposited with the County Treasurer to enhance interest earnings through County investment activities. In accordance §53601 and §53602 of the California Government Code, the County may invest in the following types of investments:

- Local bonds or notes
- Securities of the U.S. Government or its agencies
- Registered State warrants or treasury notes or bonds of the State
- Small Business Administration loans
- Negotiable Certificates of Deposit
- Bankers Acceptances
- Commercial Paper (Prime Quality)
- Local Agency Investment Fund (State Pool) Deposits
- Passbook Savings Account Demand Deposits
- Medium-term notes (remaining maturity of five years or less; rated "A" or better)
- Repurchase agreements or reverse repurchase agreements
- Mortgage pass-through securities

The District is a participant in the San Diego County Treasury Pool (County Pool) which is regulated under the oversight of the Treasurer of the County of San Diego. The fair value of the District's investment in the County Pool is reported in the accompanying financial statements based upon the District's pro-rata share of the fair value provided by the County Pool for the entire portfolio. The balance available for withdrawal is based on the accounting records maintained by the Pool. Included in the County Pool's investment portfolio are collateralized and negotiable certificates of deposit, floating rate securities issued by federal agencies and corporations, money market funds, repurchase agreements and commercial paper.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 2 – Cash and Investments (Continued)

San Diego County Investment Pool (Continued)

At June 30, 2019, the District had \$197,578,598 invested in the San Diego County Investment Pool. The District reports its investment in the County Pool at the fair value amounts provided by the County, which is the same value of the pool share. At June 30, 2019, the fair value approximated the District's cost.

Restricted Cash and Investments

As of June 30, 2019, the District and Foundation had restricted cash and investments totaling \$167,834,970 and \$1,218,981, respectively. This amount is restricted to be used for acquisition, construction, renovation, repair, and modernization of certain District property and facilities and to refund or advance refund certain obligations of the District.

Fair Value Measurement

As of June 30, 2019, the District's investments had the following recurring fair value measurements:

Investments measured by fair value level:	June 30, 2019	Level 1
Mutual funds	\$ 167,953	\$ 167,953
Fixed income	358,558	358,558
Equities	440,479	440,479
Closed-end funds and exchange traded products	114,986	114,986
Total investments by fair value level	\$ 1,081,976	\$ 1,081,976
Investments not subject to the fair value hierarchy:		
Certificates of deposit	\$ 27,000	
Total investments not subject to the fair value hierarchy	27,000	
Total investments	\$ 1,108,976	

Disclosures Relating to Interest Rate Risk

Interest rate risk is the risk that a change in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment is, the greater the sensitivity its fair value will be to changes in market interest rates. None of the District's investments are highly sensitive to interest rate fluctuation.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 2 – Cash and Investments (Continued)

Disclosures Relating to Credit Risk

The District's investments are rated by the nationally recognized statistical rating organizations as follows:

	Business-Type Activities Fair Value	Foundation Fair Value	Moody's	Standard & Poor's
Mutual funds	\$ -	\$ 167,953	A2	A
Fixed income	-	358,558	A2	A
Equities	-	440,479	Not Rated	Not Rated
Closed-end funds and exchange traded products	-	114,986	Not Rated	Not Rated
Certificates of deposit	27,000	-	Not Rated	Not Rated
	<u>\$ 27,000</u>	<u>\$ 1,081,976</u>		

Disclosures Relating to Concentration of Credit Risk

The investment policy limits the percentage of the portfolio that can be invested in certain types of investments. The District is in compliance with the investment policy with respect to investment type percentages for the total portfolio.

Disclosures Relating to Custodial Credit Risk

The custodial credit risk for deposits is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover collateral securities that are in the possession of an outside party. The custodial credit risk for investments is the risk that, in the event of the failure of the broker or dealer to a transaction, a government will not be able to recover the value of its investments or collateral securities that are in the possession of another party.

The California Government Code requires California banks and savings and loan associations to secure the District's cash deposits by pledging securities as collateral. This Code states that collateral pledged in this manner shall have the effect of perfecting a security interest in such collateral superior to those of a general creditor. Thus, collateral for cash deposits is considered to be held in the District's name.

The market value of pledged securities must equal at least 110% of the District's cash deposits. California law also allows institutions to secure District deposits by pledging first trust deed mortgage notes having a value of 150% of the District's total cash deposits. The District may waive collateral requirements for cash deposits which are fully insured up to \$250,000 by the Federal Deposit Insurance Corporation. The District, however, has not waived the collateralization requirements.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 3 – Accounts Receivable

The following is a summary of receivables at June 30, 2019:

	Business-type Activities	Fiduciary Fund Financial Statements	Foundation	Total
Grants:				
Federal	\$ 2,193,631	\$ -	\$ -	\$ 2,193,631
State	1,521,014	-	-	1,521,014
Local	888,857	-	-	888,857
Total grants	4,603,502	-	-	4,603,502
Other	3,131,184	13,387	2,078	3,146,649
Total	\$ 7,734,686	\$ 13,387	\$ 2,078	\$ 7,750,151

Note 4 – Capital Assets

The following summarizes the changes in the various capital asset categories for the year ended June 30, 2019:

	Balance July 1, 2018	Additions	Deletions	Reclassification	Balance June 30, 2019
Nondepreciable:					
Land	\$ 9,703,148	\$ -	\$ -	\$ -	\$ 9,703,148
Construction in progress	158,206,561	64,141,177	(128,172)	(105,719,145)	116,500,421
Total nondepreciable	167,909,709	64,141,177	(128,172)	(105,719,145)	126,203,569
Depreciable:					
Site improvements	64,005,143	30,299	-	86,345,123	150,380,565
Buildings	164,281,769	-	-	18,707,599	182,989,368
Equipment	8,103,683	643,719	(362,320)	666,423	9,051,505
Total depreciable, at cost	236,390,595	674,018	(362,320)	105,719,145	342,421,438
Less accumulated depreciation:					
Site improvements	(23,971,412)	(3,583,969)	-	(17,153,902)	(44,709,283)
Buildings	(42,908,117)	(3,527,728)	-	17,153,902	(29,281,943)
Equipment	(5,893,049)	(604,422)	239,370	-	(6,258,101)
Total accumulated depreciation	(72,772,578)	(7,716,119)	239,370	-	(80,249,327)
Total depreciable, net	163,618,017	(7,042,101)	(122,950)	105,719,145	262,172,111
Total capital assets, net	\$ 331,527,726	\$ 57,099,076	\$ (251,122)	\$ -	\$ 388,375,680

Depreciation expense for capital assets for the year ended June 30, 2019 was \$7,716,119.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 5 – Unearned Revenue

Unearned revenue consists of grant monies, student fees, and other revenues that have been received as of June 30, 2019 for the subsequent 2019-2020 year. As of June 30, 2019, the District's unearned revenue balance consists of the following:

	Business-Type	Fiduciary		
	Activities	Fund Financial	Foundation	Total
	Statements			
Federal sources	\$ 153,799	\$ -	\$ -	\$ 153,799
State sources	7,005,353	-	-	7,005,353
Enrollment fees	950,228	-	-	950,228
Other local sources	1,606,400	-	5,900	1,612,300
	<u>\$ 9,715,780</u>	<u>\$ -</u>	<u>\$ 5,900</u>	<u>\$ 9,721,680</u>

Note 6 – Long-Term Debt

The following is a summary of the changes in long-term debt for the year ended June 30, 2019:

	Balance			Balance	Due Within	Due In More
	June 30, 2018	Additions	Reductions	June 30, 2019	One Year	Than One Year
Bonds payable:						
Lease Revenue Bonds	\$ 795,000	\$ -	\$ (100,000)	\$ 695,000	\$ 100,000	\$ 595,000
GO Bond 2004	12,993,974	-	-	12,993,974	-	12,993,974
GO Bond 2005, Refunding Series B	465,000	-	(465,000)	-	-	-
GO Bond 2008, Series C	65,835,370	-	(345,000)	65,490,370	440,000	65,050,370
GO Bond 2008, Series D	116,119,325	-	(135,000)	115,984,325	-	115,984,325
GO Bond 2015, Refunding	23,080,000	-	(2,040,000)	21,040,000	2,230,000	18,810,000
GO Bond 2016, Refunding Series A	3,400,000	-	-	3,400,000	-	3,400,000
GO Bond 2016, Refunding Series B	84,335,000	-	-	84,335,000	-	84,335,000
GO Bond 2016, Series A	140,000,000	-	(12,100,000)	127,900,000	13,350,000	114,550,000
Unamortized premiums	34,198,781	-	(2,107,575)	32,091,206	-	32,091,206
Total bonds payable	<u>481,222,450</u>	<u>-</u>	<u>(17,292,575)</u>	<u>463,929,875</u>	<u>16,120,000</u>	<u>447,809,875</u>
Compensated absences	3,375,374	2,539,034	(2,852,580)	3,061,828	2,500,000	561,828
Total	<u>\$ 484,597,824</u>	<u>\$ 2,539,034</u>	<u>\$ (20,145,155)</u>	<u>\$ 466,991,703</u>	<u>\$ 18,620,000</u>	<u>\$ 448,371,703</u>

Lease Revenue Bonds

In January 1999, the District entered into a trust indenture with the California Community College Financing Authority to issue lease revenue bonds in order to provide funds for public capital improvements. The bonds consist of Series 1999A bonds of which the District's portion of the issuance was \$4,460,000.

On October 1, 2010 the District, along with two other local California Community College Districts, refinanced these bonds in order to achieve a savings in debt service. The new bonds have a principal amount due of \$1,410,000 with the first payment due on October 1, 2011 and the final payment due on October 1, 2023. The bonds have coupon rates ranging from 3.0% to 4.0%. As part of the refinancing, additional principal was paid from the existing reserve account in the amount of \$215,000.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 6 – Long-Term Debt (Continued)

Lease Revenue Bonds (Continued)

The District pledged all lease revenue to repay the outstanding principal and interest of the Lease Revenue Bonds. Total principal and interest remaining on the bonds at June 30, 2019 is \$771,328 payable through 2024.

The annual requirements for debt service outstanding at June 30, 2019 are as follows:

Year Ending June 30,	Principal	Interest	Total
2020	\$ 100,000	\$ 23,644	\$ 123,644
2021	105,000	20,044	125,044
2022	115,000	15,931	130,931
2023	115,000	11,834	126,834
2024	260,000	4,875	264,875
Total	\$ 695,000	\$ 76,328	\$ 771,328

General Obligation Bonds – 2004

In September 2004, the District authorized the sale and issuance of the 2004 General Obligation Bonds in the amount of \$49,353,974. Proceeds from the sale of the bonds are to be used to finance the renovation of classrooms and other college facilities throughout the District. These bonds were partially refunded in August 2005. Interest on the remaining amount is payable August 1, commencing August 1, 2024 at rates ranging from 2.5% to 5.0%. Principal is payable August 1, commencing August 1, 2024 and through the maturity date August 1, 2029.

The bonds are solely payable from *ad valorem* property taxes levied. The District pledged all *ad valorem* property tax levied and collected to repay the outstanding principal and interest of the General Obligation Bonds - 2004. Total principal and interest remaining on the bonds is \$42,435,000, payable through 2030.

The annual requirements for debt service outstanding at June 30, 2019 are as follows:

Year Ending June 30,	Principal	Interest	Total
2020	\$ -	\$ -	\$ -
2021	-	-	-
2022	-	-	-
2023	-	-	-
2024	-	1,237,906	1,237,906
2025-2029	11,441,775	26,076,719	37,518,494
2030	1,552,199	2,126,401	3,678,600
Total	\$ 12,993,974	\$ 29,441,026	\$ 42,435,000

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 6 – Long-Term Debt (Continued)

General Obligation Bonds – 2005 Refunding Series B

In August 2005, the District authorized the sale and issuance of 2005 General Obligation Refunding Bonds, Series B, in the amount of \$37,456,116. Proceeds from the sale of the bonds were used to advance refund a portion of the District's 2004 General Obligation Bonds, Election of 2000, Series 2004. Interest is payable February 1 and August 1, commencing February 1, 2006 at 5.25%. Principal is payable August 1, commencing August 1, 2006 and through the maturity date August 1, 2018. The bonds were issued at a premium of \$5,786,135. In addition, there were \$649,857 of bond issuance costs and a \$947,394 refunding adjustment associated with the partial refunding of the 2004 General Obligation Bonds that are amortized over the life of the bond.

The bonds are solely payable from *ad valorem* property taxes levied. The Board of Supervisors of San Diego County is empowered and is obligated to levy *ad valorem* taxes for the payment of interest on and principal of the bonds when due. The District pledged *ad valorem* property tax levied and collected to repay the outstanding principal and interest of the General Obligation Bonds – 2005 Refunding Series B. The remaining balance of the liability was paid in fiscal year 2019.

General Obligation Bonds – 2008, Series C and D

On October 22, 2009, as authorized by the registered voters of the Southwestern Community College District in the election of November 4, 2008, the District issued \$10,225,000 of Election of 2008 General Obligation Bonds, Series A, and \$89,775,000 of Election of 2008 General Obligation Bonds, Series B bonds. The Series A bonds are tax exempt. The Series B bonds were issued as "Build America Bonds" for purposes of the American Recovery and Reinvestment Act of 2009 ("Recovery Act"). Pursuant to the Recovery Act, the District expects to receive a cash subsidy payment from the United States Treasury equal to 35% of the interest payable on the Series B bonds on or about each interest payment date. The cash payment does not constitute the full faith and credit of the United States, but is required to be paid by the Treasury under the Recovery Act. Interest is payable semiannually on February 1 and August 1 of each year, commencing February 1, 2010 at 5.5%. The bonds are being issued to finance the repair, construction, acquisition and equipping of certain District sites and facilities and to pay costs of issuance with the bonds. The bonds were issued at a premium of \$1,212,387. In fiscal year 2018, both the Election of 2008 General Obligation Bonds, Series A and Series B were refunded via issuance of the General Obligation Refunding Bonds, Series A and Series B. At June 30, 2018, the outstanding balances of the refunded issuances remaining to be paid through a non-revocable trust were \$4,550,000 and \$89,775,000 for the Election of 2008 General Obligation Bonds, Series A and Series B, respectively. The District's liability was \$0 for both at June 30, 2019.

In June, 2011, the District authorized the sale and issuance of 2008 General Obligation Bonds, Series C in the amount of \$68,730,371. Proceeds from the sale of the bonds will be used to finance the construction and renovation of classrooms and other college facilities throughout the District. The bonds were issued at a premium of \$716,045.

Interest on the Series C current interest bonds with principal of \$58,355,000 is payable February 1 and August 1, commencing August 1, 2011 at rates ranging from 1.0% to 5.25%. Principal is payable August 1, commencing August 1, 2011 and through the maturity date of August 1, 2030.

Interest on the Series C bonds with principal of \$10,375,371 will accrete in value commencing August 1, 2011 at rates ranging from 7.15% to 7.3% to the respective maturity amounts on August 1, 2041 and August 1, 2046.

In August, 2015, the District authorized the sale and issuance of 2008 General Obligation Bonds, Series D in the amount of \$121,649,325. Proceeds from the sale of the bonds are used to finance the construction and renovation of classrooms and other college facilities throughout the District. The bonds were issued at a premium of \$8,387,579. In addition, there were bond issuance costs of \$791,597.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 6 – Long-Term Debt (Continued)

General Obligation Bonds – 2008, Series C and D (Continued)

Interest on the Series D current interest bonds with principal of \$79,525,000 is payable February 1 and August 1, commencing February 1, 2017 at rates ranging from 2.0% to 5.0%. Principal is payable August 1, commencing August 1, 2017 and through the maturity date of August 1, 2044.

Interest on the Series D capital appreciation bonds with principal of \$42,124,325 will accrete in value commencing August 1, 2015 at rates ranging from 2.29% to 5.01% to the maturity date of August 1, 2039.

The bonds are solely payable from ad valorem property taxes levied. The District pledged all ad valorem property tax levied and collected to repay the outstanding principal and interest of the 2008 General Obligation Bonds Series D.

The annual requirements for debt service outstanding at June 30, 2019 are as follows:

Year Ending June 30,	SERIES C		
	Principal	Interest	Total
2020	\$ 440,000	\$ 2,787,863	\$ 3,227,863
2021	545,000	2,763,238	3,308,238
2022	655,000	2,733,238	3,388,238
2023	775,000	2,697,488	3,472,488
2024	900,000	2,655,613	3,555,613
2025-2029	6,695,000	12,407,188	19,102,188
2030-2034	11,360,000	10,154,494	21,514,494
2035-2039	17,855,000	6,396,463	24,251,463
2040-2044	21,706,155	47,770,366	69,476,521
2045-2047	4,559,215	48,077,716	52,636,931
Total	\$ 65,490,370	\$ 138,443,667	\$ 203,934,037

Year Ending June 30,	SERIES D		
	Principal	Interest	Total
2020	\$ -	\$ 3,693,000	\$ 3,693,000
2021	276,219	3,726,780	4,002,999
2022	547,488	3,785,512	4,333,000
2023	812,378	3,875,622	4,688,000
2024	1,063,335	3,994,665	5,058,000
2025-2029	8,515,421	23,164,577	31,679,998
2030-2034	12,359,405	32,210,593	44,569,998
2035-2039	15,271,979	45,938,021	61,210,000
2040-2044	58,908,100	20,813,899	79,721,999
2045-2046	18,230,000	455,750	18,685,750
Total	\$ 115,984,325	\$ 141,658,419	\$ 257,642,744

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 6 – Long-Term Debt (Continued)

General Obligation Refunding Bonds – 2015

In August 2014, the District authorized the sale and issuance of 2015 General Obligation Refunding Bonds, in the amount of \$27,045,000. Proceeds from the sale of the bonds were used to advance refund a portion of the District's 2005 General Obligation Bonds, Election of 2000, Series 2005. Interest is payable February 1 and August 1, commencing August 1, 2015 at 5.0%. Principal is payable August 1, commencing August 1, 2015 and through the maturity date February 1, 2026. The bonds were issued at a premium of \$4,030,391 and the refunding transaction resulted in a deferred loss on refunding of \$1,823,862 to be amortized through the remaining life of the new bonds. The aggregate debt service payments of the new debt are \$3,698,626 less than the old debt. The issuance of the new debt and refunding of the old debt resulted in an economic gain (the difference between the present value of the old debt and new debt service payments) of approximately \$3,247,455. Total principal and interest remaining on the bonds as of June 30, 2019 is \$25,104,000.

The annual requirements for debt service outstanding at June 30, 2019 are as follows:

Year Ending June 30,	Principal	Interest	Total
2020	\$ 2,230,000	\$ 996,250	\$ 3,226,250
2021	2,460,000	879,000	3,339,000
2022	2,710,000	749,750	3,459,750
2023	2,970,000	607,750	3,577,750
2024	3,250,000	452,250	3,702,250
2025-2026	7,420,000	379,000	7,799,000
Total	\$ 21,040,000	\$ 4,064,000	\$ 25,104,000

General Obligation Refunding Bonds – 2016 Series A and B

In August 2016, the District authorized the sale and issuance of the 2016 General Obligation Refunding Bonds Series A and B, in the amounts of \$3,400,000 and \$84,335,000, respectively. Proceeds from the sale of the bonds were used to advance refund the remaining balances of the District's Election of 2008 General Obligation Bonds, Series A and B and to pay costs of issuing the bonds. Interest is payable February 1 and August 1, commencing February 1, 2017 at interest rates ranging from 3.0% to 5.0%. Principal is payable August 1, commencing August 1, 2020 and August 1, 2022 for Series A and B, respectively, and through the maturity dates of August 1, 2021 and August 1, 2039 for Series A and B, respectively. The bonds were issued at premiums of \$335,362 and \$13,491,677, for Series A and B, respectively, and the refunding transaction resulted in a deferred loss on refunding of \$4,123,345 to be amortized through the remaining life of the new bonds. The aggregate debt service payments of the new debt are \$7,438,394 less than the old debt. The issuance of the new debt and refunding of the old debt resulted in an economic gain (the difference between the present value of the old debt and new debt service payments) of approximately \$13,147,462.

The bonds are general obligations of the District payable solely from *ad valorem* property taxes. The Board of Supervisors of San Diego County is empowered and is obligated to levy *ad valorem* taxes for the payment of interest on and principal of the bonds when due. The District has pledged *ad valorem* property tax levied and collected to pay repay the outstanding principal and interest of the bonds. Total principal and interest remaining on the bonds as of June 30, 2019 is \$3,607,000 and \$132,005,750 for Series A and Series B, respectively.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 6 – Long-Term Debt (Continued)

General Obligation Refunding Bonds – 2016 Series A and B (Continued)

The annual requirements for debt service outstanding at June 30, 2019 are as follows:

Year Ending June 30,	SERIES A		
	Principal	Interest	Total
2020	\$ -	\$ 102,000	\$ 102,000
2021	1,600,000	78,000	1,678,000
2022	1,800,000	27,000	1,827,000
Total	\$ 3,400,000	\$ 207,000	\$ 3,607,000

Year Ending June 30,	SERIES B		
	Principal	Interest	Total
2020	\$ -	\$ 3,391,100	\$ 3,391,100
2021	-	3,391,100	3,391,100
2022	-	3,391,100	3,391,100
2023	1,905,000	3,353,000	5,258,000
2024	2,150,000	3,271,900	5,421,900
2025-2029	14,795,000	14,716,600	29,511,600
2030-2034	23,315,000	10,747,550	34,062,550
2035-2039	33,860,000	5,242,200	39,102,200
2040	8,310,000	166,200	8,476,200
Total	\$ 84,335,000	\$ 47,670,750	\$ 132,005,750

At June 30, 2019, the refunded 2008 General Obligation Bonds, Series A and Series B had remaining balances to be paid through escrow of \$4,550,000 and \$89,775,000, respectively. The District has no liability for them.

General Obligation Bonds – 2016 Series A

On November 9, 2016, voters of the District approved ballot Proposition Z, which allowed the District to issue up to \$400 million in general obligation bonds to repair/upgrade the campus and to provide job training and support for students and veterans. On November 30, 2017, the District issued \$140,000,000 of Election of 2016, General Obligation Bonds, Series A. The bonds were issued at a premium of \$10,216,377. Net proceeds of \$139,266,675 were deposited in the District's building fund and \$10,216,277 was deposited in the debt service fund.

The bonds are general obligations of the District payable solely from *ad valorem* property taxes. The Board of Supervisors of San Diego County is empowered and is obligated to levy *ad valorem* taxes for the payment of interest on and principal of the bonds when due. The District has pledged *ad valorem* property tax levied and collected to pay repay the outstanding principal and interest of the bonds. Total principal and interest remaining on the bonds as of June 30, 2019 is \$218,157,975.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 6 – Long-Term Debt (Continued)

General Obligation Bonds – 2016 Series A (Continued)

The annual requirements for debt service outstanding at June 30, 2019 are as follows:

Year Ending June 30,	SERIES A		
	Principal	Interest	Total
2020	\$ 13,350,000	\$ 4,828,543	\$ 18,178,543
2021	10,790,000	4,345,743	15,135,743
2022	-	4,129,943	4,129,943
2023	-	4,129,943	4,129,943
2024	160,000	4,127,543	4,287,543
2025-2029	3,795,000	20,276,915	24,071,915
2030-2034	10,535,000	18,637,465	29,172,465
2035-2039	19,650,000	15,748,265	35,398,265
2040-2044	32,025,000	10,872,715	42,897,715
2045-2048	37,595,000	3,160,900	40,755,900
Total	\$ 127,900,000	\$ 90,257,975	\$ 218,157,975

Compensated Absences

The District's liability for vested and unpaid compensated absences (accrued vacation) has been accrued and amounts to \$3,061,828 at June 30, 2019.

Notes 7 – Other Postemployment Benefits

Plan Description

The District provides post-employment health care benefits for eligible retirees. The retiree must have worked for at least ten years (administrators) to fifteen years (classified/academic). The following is a summary description of the current retiree benefit plan:

	Faculty	Classified	Management*
Benefit Types Provided	Medical and Dental	Medical Only	Medical, Dental and Medicare Part B
Duration of Benefits	Lifetime	Lifetime	Lifetime
Required Service	15 Years	15 Years	10 Years
Minimum Age	55	50	55
Dependent Coverage	No	No	No
College Contribution %	50% (not less than \$1,000 per year)	100%	100%
College Cap	None	\$1,000 per year after age 65	\$1,000 per year after age 65**

* Educational administrators hired after 12/31/2003 are not entitled to any District-paid benefits.

** Employees hired prior to 01/01/2004 are not subject to this cap.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Notes 7 – Other Postemployment Benefits (Continued)

Employees Covered by Benefit Terms

	OPEB
Inactive employees entitled to but not yet receiving benefits	268
Active Employees	677
	<u>945</u>

Contributions

Through June 30, 2013, the District had contributed \$3.2 million to an irrevocable trust with the Community College League of California – Joint Powers Authority (CCLC-JPA). The District contributed \$878,349 during fiscal year 2019. At June 30, 2019, the market value of the irrevocable trust was \$5,446,752.

The obligation of the District to contribute to the plan is established and may be amended by the Board of Directors. The Board of Directors has established a policy of funding the actuarially determined contribution (ADC). For the fiscal year ended June 30, 2019, the District's average contribution rate was 0.33 % of covered-employee payroll. Employees are not required to contribute to the plan.

Net OPEB Liability

The City's net OPEB liability was measured as of June 30, 2018, and the actuarial valuation used to calculate the net OPEB liability was as of June 30, 2017.

Actuarial Assumptions Used to Determine the Total OPEB Liability

The net OPEB liability in the June 30, 2017 actuarial valuation was determined using the following actuarial assumptions:

Actuarial Cost Method	Entry age normal
Valuation Date	June 30, 2017
Measurement Date	June 30, 2018
Actuarial Assumptions:	
Discount Rate	4.40%
Inflation	2.75%
Expected Net Long-Term Rate of Return on Investments	4.40%
Mortality Rate Table	2009 CalSTRS Mortality for Certificated Employees 2014 CalPERS Active Mortality for Miscellaneous Employees
Salary Increases	2.75%
Medical Trend	4.00%

The long-term expected rate of return on OPEB plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of OPEB plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Notes 7 – Other Postemployment Benefits (Continued)

Net OPEB Liability (Continued)

The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	New Strategic Allocation	Real Return Years 1-10	Real Return Years 11+
US Large Cap	60%	7.80%	5.71%
US Small Cap	15%	7.80%	2.43%
Long-Term Corporate Bonds	20%	5.30%	3.36%
Short-Term Government Fixed	2%	3.25%	6.95%

Discount Rate

The discount rate used to measure the total OPEB liability was 4.40 percent, which was changed from 6.50 percent in the 2018. The projection of cash flows used to determine the discount rate assumed that City contributions will be made at rates equal to the actuarially determined contribution rates. Based on those assumptions, the Town plan's fiduciary net position was projected to be available to make all projected OPEB payments for current active and inactive employees. Therefore, the long-term expected rate of return on OPEB plan investments was applied to all periods of projected benefit payments to determine the total OPEB liability.

Changes in Net OPEB Liability

	Total OPEB Liability	Fiduciary Net Position	Net OPEB Liability
Balance at June 30, 2017	\$ 18,062,870	\$ 4,227,557	\$ 13,835,313
Changes during the year:			
Service costs	803,347	-	803,347
Interest on the total OPEB liability	793,810	-	793,810
Changes of benefit terms	-	-	-
Effect of economic/demographic gains or losses	-	-	-
Differences between actual and expected experience	-	-	-
Change in assumptions	5,148,527	-	5,148,527
Contributions - employer	-	846,834	(846,834)
Contribution - employer (paid by employer)	-	-	-
Net investment income	-	296,861	(296,861)
Administrative expenses	-	(4,488)	4,488
Benefit Payments, including refunds of employee contributions	(846,834)	(846,834)	-
Net changes	5,898,850	292,373	5,606,477
Balance at June 30, 2018	\$ 23,961,720	\$ 4,519,930	\$ 19,441,790

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Notes 7 – Other Postemployment Benefits (Continued)

Net OPEB Liability (Continued)

Sensitivity of the Net OPEB Liability to Changes in the Discount Rate

The following presents the net OPEB liability of the plan as of the measurement date, calculated using the discount rate of 4.40%, as well as what the net OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower (3.40%) or 1 percentage point higher (5.40%) than the current rate:

Plan's Net OPEB Liability		
Discount Rate - 1% (3.40%)	Current Discount Rate (4.40%)	Discount Rate + 1% (5.40%)
\$ 22,826,986	\$ 19,441,790	\$ 17,046,921

Sensitivity of the Net OPEB Liability to Changes in the Healthcare Cost Trend Rates

The following presents the net OPEB liability of the plan as of the measurement date, calculated using healthcare cost trend rates, as well as what the net OPEB liability would be if it were calculate using a trend that are one percentage point lower or one percentage higher than the current healthcare cost trend rates:

Plan's Net OPEB Liability		
Cost Trend Rate - 1% (3.00%)	Healthcare Cost Trend Rates Current Trend (4.00%)	Cost Trend Rate + 1% (5.00%)
\$ 17,150,153	\$ 19,441,790	\$ 22,370,041

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

At June 30, 2019, the District reported deferred outflows of resources and deferred inflows of resources related to the OPEB plan from the following sources:

	Deferred outflows of Resources	Deferred inflows of Resources
Contribution made after measurement date	\$ 878,349	\$ -
Changes in assumptions	4,563,467	-
Difference between expected and actual earnings on investments	-	88,687
Total	\$ 5,441,816	\$ 88,687

For the year ended June 30, 2019, the City recognized OPEB expense of \$1,974,543. The \$878,349 reported as deferred outflows of resources related to contributions subsequent to the measurement date will be recognized as a reduction of the net OPEB liability in the year ended June 30, 2020. Other amount reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized as pension expense as follows:

Measurement Period Ended June 30	
2019	\$ 562,888
2020	562,888
2021	562,888
2022	562,889
2023	585,060
Thereafter	1,638,167
	<u>\$ 4,474,780</u>

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 8 – Pension Plans

A. Summary

Net Pension Liability

Aggregate net pension liability is reported in the accompanying statement of net position as follows:

	Net Pension Liability
CalPERS Pension Plan	\$ 53,342,294
CalSTRS Pension Plan	68,930,250
Total	\$ 122,272,544

Deferred Outflows of Resources

Deferred outflows of resources are reported in the accompanying statement of net position as follows:

	Deferred Outflows of Resources		
	CalPERS	CalSTRS	Total
Pension contribution made after measurement date	\$ 5,119,561	\$ 7,178,963	\$ 12,298,524
Difference between expected and actual experience	3,496,925	-	3,496,925
Changes in assumptions	5,325,993	10,708,500	16,034,493
Difference between projected and actual earnings on pension plan investments	437,527	-	437,527
Difference between employer contribution and proportionate share of contributions	-	298,286	298,286
Total deferred outflows of resources	\$ 14,380,006	\$ 18,185,749	\$ 32,565,755

Deferred Inflows of Resources

Deferred inflows of resources are reported in the accompanying statement of net position as follows:

	Deferred Inflows of Resources		
	CalPERS	CalSTRS	Total
Difference between expected and actual experience	\$ -	\$ 787,500	\$ 787,500
Difference between projected and actual earnings on pension plan investments	-	2,654,250	2,654,250
Difference between employer contribution and proportionate share of contributions	146,017	-	146,017
Changes in employer's proportionate share	535,198	5,405,609	5,940,807
Total deferred inflows of resources	\$ 681,215	\$ 8,847,359	\$ 9,528,574

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 8 – Pension Plans (Continued)

A. Summary (Continued)

Pension Expense

Pension expenses are included in the accompanying statement of revenues, expenses, and change in net position as follows:

	Pension Expense
CalPERS Pension Plan	\$ 10,242,069
CalSTRS Pension Plan	7,716,750
Total	\$ 17,958,819

B. CalPERS Pension Plan

Plan Description

Most full-time classified (non-academic) employees participate in the School Employer Pool under CalPERS, a cost-sharing multiple-employer contributory public employee retirement system defined benefit pension plan administered by CalPERS. The plan provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State statutes, as legislatively amended, within the Public Employees' Retirement Law (Part 3 of the California Government Code, §22000 et seq.). CalPERS issues a separate comprehensive annual financial report that includes financial statements and required supplementary information. Copies of the CalPERS' annual financial report may be obtained from the CalPERS Executive Office located at 400 P Street, Sacramento, CA 95814.

Benefits Provided

CalPERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. A classic CalPERS member becomes eligible for Service Retirement upon attainment of age 55, with at least 5 years of credited service. Public Employee Pension Reform Act (PEPRA) members become eligible for service retirement upon attainment of age 62, with at least 5 years of service. The service retirement benefit is a monthly allowance equal to the product of the benefit factor, years of service, and final compensation. The final compensation is the monthly average of the member's highest 12 full-time equivalent monthly pay. Retirement benefits for classic employees are calculated as 2.0%, of the average final 12 months compensation multiplied by years of service. Retirement benefits for PEPRA employees are calculated as 2.0% of the average final 36 months compensation multiplied by years of service.

Participant is eligible for non-industrial disability retirement if becomes disabled and has at least 5 years of credited service. There is no special age requirement. The standard non-industrial disability retirement benefit is a monthly allowance equal to 1.8% of final compensation, multiplied by service. Industrial disability benefits are not offered to miscellaneous employees.

An employee's beneficiary may receive the basic death benefit if the employee dies while actively employed. The employee must be actively employed with the District to be eligible for this benefit. An employee's survivor who is eligible for any other pre-retirement death benefit may choose to receive that death benefit instead of this basic death benefit. The basic death benefit is a lump sum in the amount of the employee's accumulated contributions, where interest is currently credited at 7.5% per year, plus a lump sum in the amount of one month's salary for each completed year of current service, up to a maximum of six months' salary. For purposes of this benefit, one month's salary is defined as the member's average monthly full-time rate of compensation during the 12 months preceding death.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

Upon the death of a retiree, a one-time lump sum payment of \$500 will be made to the retiree's designated survivor(s), or to the retiree's estate.

Benefit terms provide for annual cost-of-living adjustments to each employee's retirement allowance. Beginning the second calendar year after the year of retirement, retirement and survivor allowances will be annually adjusted on a compound basis by 2%.

Contributions

Section 20814(c) of the California Public Employees' Retirement Law (PERL) requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. The total plan contributions are determined through the CalPERS' annual actuarial valuation process. For public agency cost-sharing plans covered by either the Miscellaneous or Safety risk pools, the Plan's actuarially determined rate is based on the estimated amount necessary to pay the Plan's allocated share of the risk pool's costs of benefits earned by employees during the year, and any unfunded accrued liability. The employer is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. For the measurement period ended June 30, 2018 (the measurement date), the active contribution rate was 7.0% (non-PEPRA) and 6.5% (PEPRA) of annual payroll. The required employer's contribution rate was 15.531% of annual payroll.

For the year ended June 30, 2019, the plan's proportionate share of aggregate employer contributions made was as follows:

	<u>CalPERS Plan</u>
Contributions - employer	<u><u>\$ 5,119,561</u></u>

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions

The District's net pension liability is measured as the proportionate share of the net pension liability. The net pension liability of the Plan is measured as of June 30, 2018, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2017 rolled forward to June 30, 2018 using standard update procedures. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plans relative to the projected contributions of all participating employers, actuarially determined.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

As of June 30, 2019, the District reported net pension liability for its proportionate shares of the net pension liability as follows:

		Increase (Decrease)	
	Plan Total Pension Liability	Plan Fiduciary Net Position	Plan Net Pension Liability/(Asset)
Balance at: 6/30/17 (Valuation date)	\$ 170,573,787	\$ 122,594,557	\$ 47,979,230
Balance at: 6/30/18 (Measurement date)	182,973,443	129,631,149	53,342,294
Net Changes during 2017-2018	\$ 12,399,656	\$ 7,036,592	\$ 5,363,064

The following is the approach established by the plan actuary to allocate the net pension liability and pension expense to the individual employers within the risk pool.

- (1) In determining a cost-sharing plan's proportionate share, total amounts of liabilities and assets are first calculated for the risk pool as a whole on the valuation date (June 30, 2017). The risk pool's fiduciary net position ("FNP") subtracted from its total pension liability ("TPL") determines the net pension liability ("NPL") at the valuation date.
- (2) Using standard actuarial roll forward methods, the risk pool TPL is then computed at the measurement date (June 30, 2018). Risk pool FNP at the measurement date is then subtracted from this number to compute the NPL for the risk pool at the measurement date. For purposes of FNP in this step and any later reference thereto, the risk pool's FNP at the measurement date denotes the aggregate risk pool's FNP at June 30, 2017 less the sum of all additional side fund (or unfunded liability) contributions made by all employers during the measurement period (2017-18).
- (3) The individual plan's TPL, FNP and NPL are also calculated at the valuation date.
- (4) Two ratios are created by dividing the plan's individual TPL and FNP as of the valuation date from (3) by the amounts in step (1), the risk pool's total TPL and FNP, respectively.
- (5) The plan's TPL as of the Measurement Date is equal to the risk pool TPL generated in (2) multiplied by the TPL ratio generated in (4). The plan's FNP as of the Measurement Date is equal to the FNP generated in (2) multiplied by the FNP ratio generated in (4) plus any additional side fund (or unfunded liability) contributions made by the employer on behalf of the plan during the measurement period.
- (6) The plan's NPL at the Measurement Date is the difference between the TPL and FNP calculated in (5).

The District's proportionate share of the net pension liability for the Plan as of June 30, 2017 and 2018 was as follows:

	CalPERS Plan
Proportion June 30, 2017	0.20098%
Proportion June 30, 2018	0.20006%
Change - Increase (Decrease)	-0.00092%

For the year ended June 30, 2019, the District recognized pension expense in the amount of \$10,242,069 for the Plan.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions (Continued)

The amortization period differs depending on the source of the gain or loss. The difference between projected and actual earnings is amortized over 5-years straight line. All other amounts are amortized straight-line over the average expected remaining service lives of all members that are provided with benefits (active, inactive and retired) as of the beginning of the measurement period.

The Expected Average Remaining Service Lifetime (“EARSL”) is calculated by dividing the total future service years by the total number of plan participants (active, inactive, and retired) in the risk pool. The EARSL for risk pool for the 2017-18 measurement period is 4.0 years, which was obtained by dividing the total service years of the active employees by the total number of participants (active, inactive, and retired).

At June 30, 2019, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

CalPERS Plan		
	Deferred outflows of Resources	Deferred inflows of Resources
Contributions made after the measurement date	\$ 5,119,561	\$ -
Difference between projected and actual earning on pension plan investments	437,527	-
Difference between expected and actual experience	3,496,925	-
Changes in assumptions	5,325,993	-
Changes in employer's proportionate share	-	535,198
Difference between District contributions and proportionate share of contributions	-	146,017
Total	<u>\$ 14,380,006</u>	<u>\$ 681,215</u>

For the Plan, \$5,119,561 was reported as a deferred outflow of resources related to pensions resulting from District’s contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2020. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/ (Inflows) of Resources
2020	\$ 5,193,708
2021	3,833,733
2022	(133,363)
2023	(314,848)
2024	-
Thereafter	-
	<u>\$ 8,579,230</u>

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

Actuarial Methods and Assumptions Used to Determine Total Pension Liability

For the measurement period ended June 30, 2018 (the measurement date), the total pension liability was determined by rolling forward the June 30, 2017 total pension liability. The June 30, 2018 total pension liability was based on the following actuarial methods and assumptions:

Actuarial Cost Method	Entry Age Normal
Actuarial Assumptions:	
Discount Rate	7.15%
Inflation	2.50%
Salary Increases	3.3% to 14.2% depending on age, service, and type of employment
Investment Rate of Return	7.15%
Mortality Rate Table	Derived using CalPERS' Membership Data for all Funds.
Post Retirement Benefit Increase	Contract COLA up to 2.0% until Purchasing Power Protection Allowance Floor on Purchasing Power applies, 2.5% thereafter.

The underlying mortality assumptions and all other actuarial assumptions used in the June 30, 2017 valuation were based on the results of a January 2015 actuarial experience study for the period 1997 to 2014. Further details of the Experience Study can be found on the CalPERS website.

Discount Rate

In determining the long-term expected rate of return, CalPERS took into account, both short-term and long-term market return expectations as well as the expected pension fund cash flows. Such cash flows were developed assuming that both members and employers will make their required contributions on time and as scheduled in all future years. Using historical returns of all the funds' asset classes, expected compound (geometric) returns were calculated over the short-term (first 10 years) and the long-term (11-60 years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equivalent to the single equivalent rate calculated above and rounded down to the nearest one quarter of one percent.

The table below reflects the long-term expected real rate of return by asset class. The rate of return was calculated using the capital market assumptions applied to determine the discount rate and asset allocation. The target allocation shown was adopted by the Board effective July 1, 2016.

Asset Class	New Strategic Allocation	Real Return Years 1-10 ¹	Real Return Years 11+ ²
Global equity	50.00%	4.80%	5.98%
Global fixed income	28.00%	1.00%	2.62%
Inflation sensitive assets	0.00%	0.77%	1.81%
Private equity	8.00%	6.30%	7.23%
Real assets	13.00%	3.75%	4.93%
Liquidity	1.00%	0.00%	-0.92%

¹ An expected inflation of 2.0% was used for this period.

² An expected inflation of 2.92% was used for this period.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

Sensitivity of the Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the District's proportionate share of the net pension liability for calculated using the discount rate for as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is one percentage point lower or one percentage point higher than the current rate:

Plan's Aggregate Net Pension Liability/(Asset)		
Discount Rate - 1% (6.15%)	Current Discount Rate (7.15%)	Discount Rate + 1% (8.15%)
\$ 77,663,829	\$ 53,342,294	\$ 33,164,099

Pension Plan Fiduciary Net Position

Detailed information about each pension plan's fiduciary net position is available in the separately issued CalPERS financial reports.

C. CalSTRS Pension Plan

Plan Description

Most full-time certificated (academic) employees participate in CalSTRS, a cost-sharing multiple-employer contributory public employee retirement system defined benefit pension plan. The plan provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State statutes, as legislatively amended, within the State Teachers' Retirement Law (Part 13 of the California Education Code, §22000 et seq.). Public Employee Pension Reform Act (PEPRA) members become eligible for service retirement upon attainment of age 62 with at least five years of service. CalSTRS issues a separate comprehensive annual financial report that includes financial statements and required supplementary information. Copies of the CalSTRS' annual financial report may be obtained from the CalSTRS Executive Office located at 7667 Folsom Boulevard, Sacramento, California 95826.

Under State Teachers' Retirement Law, certain early retirement incentives require the employer to pay the present value of the additional benefit, which may be paid on either a current or deferred basis. The District has no obligations to CalSTRS for early retirement incentives granted to terminate employees as of June 30, 2019.

Benefits Provided

CalSTRS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State statutes, as legislatively amended, within the Public Employees' Retirement Law. Retirement benefits for classic employees are calculated as 2.0% of the average final 12 months compensation multiplied by years of service. Retirement benefits for PEPRA employees are calculated as 2.0% of the average final 36 months compensation multiplied by years of service.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

Section 20814(c) of the California Public Employees' Retirement Law (PERL) requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. The total plan contributions are determined through the CalSTRS' annual actuarial valuation process. For public agency cost-sharing plans, the Plan's actuarially determined rate is based on the estimated amount necessary to pay the Plan's allocated share of the risk pool's costs of benefits earned by employees during the year, and any unfunded accrued liability. The employer is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. For the measurement period ended June 30, 2018 (the measurement date), the active contribution rate was 10.25% of annual payroll for the Plan. The average employer's contribution rate was 14.43% for the Plan.

Consistent with Section 22955.1 of the California Education Code, the State of California makes contributions to CalSTRS on behalf of employees working for the District. These amounts are reported as both revenues and expenditures of the District. Accordingly, these amounts have been recorded in these financial statements. Contributions each fiscal year are based on the contribution rate multiplied by salaries creditable to CalSTRS from the fiscal year two periods prior to the measurement period.

For the year ended June 30, 2019, the Plan's proportionate share of aggregate employer contributions made for the Plan was as follows:

	<u>CalSTRS Plan</u>
Contributions - employer	\$ 7,178,963
Contributions - State on-behalf payments	3,286,017
Total contributions	\$ 10,464,980

On-Behalf payments reported by the District for the past three fiscal years are as follows:

<u>Year Ended June 30,</u>	<u>Contribution Rate</u>	<u>Contribution Amount</u>
2017	12.200%	\$ 2,366,680
2018	11.700%	2,907,777
2019	11.700%	3,286,017

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions

The District's net pension liability for the Plan is measured as the proportionate share of the net pension liability. The net pension liability of the Plan is measured as of June 30, 2018, and the total pension liability the Plan used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2017 rolled forward to June 30, 2018 for the Plan using standard update procedures. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plans relative to the projected contributions of all participating employers, actuarially determined.

As of June 30, 2019, the District reported a liability for its proportionate share of the net pension liability that reflected a reduction for State pension support provided to the District. The amount recognized by the District as its proportionate shares of the net pension liability, the related State support, and the total portion of the net pension liability that was associated with the District were as follows:

	Increase (Decrease)		
	Plan Total Pension Liability	Plan Fiduciary Net Position	Plan Net Pension Liability/(Asset)
Balance at: 6/30/17 (Valuation date)	\$ 224,049,060	\$ 155,614,600	\$ 68,434,460
Balance at: 6/30/18 (Measurement date)	237,582,000	168,651,750	68,930,250
Net Changes during 2017-2018	<u>\$ 13,532,940</u>	<u>\$ 13,037,150</u>	<u>\$ 495,790</u>

The following is the approach established by the plan actuary to allocate the net pension liability and pension expense to the individual employers within the risk pool.

- (1) In determining a cost-sharing plan's proportionate share, total amounts of liabilities and assets are first calculated for the risk pool as a whole on the valuation date (June 30, 2017). The risk pool's fiduciary net position ("FNP") subtracted from its total pension liability ("TPL") determines the net pension liability ("NPL") at the valuation date.
- (2) Using standard actuarial roll forward methods, the risk pool TPL is then computed at the measurement date (June 30, 2018). Risk pool FNP at the measurement date is then subtracted from this number to compute the NPL for the risk pool at the measurement date. For purposes of FNP in this step and any later reference thereto, the risk pool's FNP at the measurement date denotes the aggregate risk pool's FNP at June 30, 2017 less the sum of all additional side fund (or unfunded liability) contributions made by all employers during the measurement period (2016-17).
- (3) The individual plan's TPL, FNP and NPL are also calculated at the valuation date.
- (4) Two ratios are created by dividing the plan's individual TPL and FNP as of the valuation date from (3) by the amounts in step (1), the risk pool's total TPL and FNP, respectively.
- (5) The plan's TPL as of the Measurement Date is equal to the risk pool TPL generated in (2) multiplied by the TPL ratio generated in (4). The plan's FNP as of the Measurement Date is equal to the FNP generated in (2) multiplied by the FNP ratio generated in (4) plus any additional side fund (or unfunded liability) contributions made by the employer on behalf of the plan during the measurement period.
- (6) The plan's NPL at the Measurement Date is the difference between the TPL and FNP calculated in (5).

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions (Continued)

The District's proportionate share of the net pension liability as of June 30, 2017 and 2018 was as follows:

	CalSTRS Plan
Proportion June 30, 2017	0.07400%
Proportion June 30, 2018	0.07500%
Change - Increase (Decrease)	0.00100%

For the year ended June 30, 2019, the District recognized pension expense in the amount of \$7,716,750 for the Plan.

The amortization period differs depending on the source of the gain or loss. The difference between projected and actual earnings is amortized over 5-years straight line. All other amounts are amortized straight-line over the average expected remaining service lives of all members that are provided with benefits (active, inactive and retired) as of the beginning of the measurement period.

The Expected Average Remaining Service Lifetime ("EARSL") is calculated by dividing the total future service years by the total number of plan participants (active, inactive, and retired) in the risk pool. The EARSL for risk pool for the 2017-18 measurement period is 7 years.

At June 30, 2019, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred outflows of Resources	Deferred inflows of Resources
Contributions made after the measurement date	\$ 7,178,963	\$ -
Difference between projected and actual earning on pension plan investments	-	2,654,250
Difference between expected and actual experience	-	787,500
Changes in assumptions	10,708,500	-
Changes in employer's proportionate share	-	5,405,609
Difference between District contributions and proportionate share of contributions	298,286	-
Total	<u>\$ 18,185,749</u>	<u>\$ 8,847,359</u>

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions (Continued)

For the Plan, \$7,178,963 was reported as deferred outflows of resources related to pensions resulting from District's contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2020. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/ (Inflows) of Resources
2020	\$ 1,341,029
2021	(376,293)
2022	(1,075,996)
2023	705,730
2024	1,420,867
Thereafter	144,090
	\$ 2,159,427

Actuarial Methods and Assumptions Used to Determine Total Pension Liability

For the measurement period ended June 30, 2018 (the measurement date), the total pension liability was determined by rolling forward the June 30, 2017 total pension liability. The June 30, 2018 total pension liability was based on the following actuarial methods and assumptions:

Actuarial Cost Method	Entry Age Normal
Actuarial Assumptions:	
Discount Rate	7.10%
Inflation	2.75%
Salary Increases	3.50%
Investment Rate of Return	7.00%, net of investment and administrative expenses
Mortality Rate Table	Custom tables based on RP2016 series tables adjusted to fit CalSTRS experience
Post Retirement Benefit Increase	2.00% simple for DB, Not applicable for DBS/CBB

All other actuarial assumptions used in the June 30, 2017 valuation were based on the results of an actuarial experience study for the period July 1, 2010 – June 30, 2015, including updates to salary increase, mortality and retirement rates.

Discount Rate

The discount rate used to measure the total pension liability was 7.10%. The projection of cash flows used to determine the discount rate assumed that contributions from plan members and employers will be made at statutory contribution rates in accordance with the rate increases per AB1469. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return (7.10%) and assuming that contributions, benefit payments, and administrative expenses occur mid-year. Based on those assumptions, the Plan's fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine the total pension liability.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

According to Paragraph 30 of Statement 68, the long-term discount rate should be determined without reduction for pension plan administrative expense. The 7.00% investment return assumption used in this accounting valuation is net of administrative expenses. Administrative expenses are assumed to be 10 basis points. An investment return excluding administrative expenses would have been 7.0%. Using this lower discount rate has resulted in a slightly higher total pension liability and net pension liability. This difference was deemed immaterial to the Public Agency Cost-Sharing Multiple-Employer Defined Benefit Pension Plan.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. The best-estimate ranges were developed using capital market assumptions from CalSTRS general investment consultant (“Consultant”) as an input to the process. Based on the model from CalSTRS consulting actuary’s investment practice, a best estimate range was determined by assuming the portfolio is re-balanced annually and that annual returns are lognormally distributed and independent from year to year to develop expected percentiles for the long-term distribution of annualized returns. The assumed asset allocation by the Consultant is based on CalSTRS board policy for target asset allocation in effect on February 2, 2012, the date the current experience study was approved by the board. Best estimates of 10-year geometric real rates of return and the assumed asset allocation for each major asset class used as an input to develop the actuarial investment rate of return are summarized in the following table:

Asset Class	New Strategic Allocation	Long-Term Expected Real Rate of Return ¹
Global Equity	47.00%	6.30%
Fixed Income	12.00%	0.30%
Real Estate	13.00%	5.20%
Private Equity	13.00%	9.30%
Absolute Return	9.00%	2.90%
Inflation Sensitive	4.00%	3.80%
Cash / Liquidity	2.00%	-1.00%
	<u>100%</u>	

¹20-year geometric average

Sensitivity of the Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the District’s proportionate share of the net pension liability calculated using the discount rate of 7.10%, as well as what the District’s proportionate share of the net pension liability would be if it were calculated using a discount rate that is one percentage point lower (6.10%) or one percentage point higher (8.10%) than the current rate:

Plan's Aggregate Net Pension Liability/(Asset)		
Discount Rate - 1% (6.10%)	Current Discount Rate (7.10%)	Discount Rate + 1% (8.10%)
\$ 100,974,750	\$ 68,930,250	\$ 42,362,250

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

Pension Plan Fiduciary Net Position

Detailed information about each pension plan's fiduciary net position is available in the separately issued CalSTRS financial reports.

Note 9 – Risk Management

The District's risks management activities include property and liability and worker's compensation insurance programs.

The District is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters.

Significant losses are covered by commercial insurance for all major programs. For insured programs, there have been no significant reductions in insurance coverage. Settlement amounts have not exceeded insurance coverage for the current year or the three prior years.

Note 10 – Joint Ventures (Joint Powers Agreement)

The District participates in a joint powers agreement (JPA) entity called the Statewide Association of Community Colleges (SWACC). The relationship between the District and the JPA is such that the JPA is not a component unit of the District. The JPA is governed by a board consisting of a representative from each member district.

SWACC provides liability and property insurance for approximately nineteen community colleges. SWACC is governed by a board comprised of a member of each of the participating districts. The board controls the operation of SWACC, including the selection of management and approval of board members beyond their representation on the board. Each member shares in the surpluses and deficits proportionally to its participation in SWACC.

This entity has budgeting and financial reporting requirements independent of member units and the financial statements are not presented in these financial statements; however, fund transactions between the entity and the District are included in these statements. The District's share of year-end assets, liabilities or fund equity has not been calculated.

Note 11 – Commitments and Contingencies

Litigation

The District is periodically involved in various litigations. In the opinion of management and legal counsel, the disposition of all litigation pending will not have a material effect on the District's financial statements.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2019

Note 11 – Commitments and Contingencies (Continued)

Grants and Contracts

The District has received state and federal funds for specific purposes that are subject to review and audit by the grantor agencies. Although such audits could generate expenditure disallowances under terms of the grants, it is believed that any required reimbursements will not be material.

Construction Contracts

In addition to construction amounts in accounts payable and accrued liabilities, the District has construction commitments of approximately \$34,211,162 remaining on open construction contracts as of June 30, 2019.

Note 12 – Deficit Net Position

At June 30, 2019 the District had an unrestricted net position deficit of \$(102,908,786) and a total net position deficit of \$(8,002,787). These deficits were caused by the reporting of the net pension liability and net OPEB liability.

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REQUIRED SUPPLEMENTARY INFORMATION.

Southwestern Community College District
Schedule of Changes in Proportionate Share of the Net Pension Liability
Last Ten Years
For the Year Ended June 30, 2019

California Public Employees' Retirement System ("CalPERS")

Measurement Period	June 30, 2014 ¹	June 30, 2015 ¹	June 30, 2016 ¹	June 30, 2017 ¹	June 30, 2018 ¹
District's Proportion of the Net Pension Liability	0.20990%	0.20900%	0.19845%	0.20098%	0.20006%
District's Proportionate Share of the Net Pension Liability	\$ 23,828,761	\$ 30,806,804	\$ 39,193,398	\$ 47,979,230	\$ 53,342,294
District's Covered-Employee Payroll	\$ 22,245,705	\$ 23,993,385	\$ 24,031,265	\$ 24,659,008	\$ 26,109,642
District's Proportionate Share of the Net Pension Liability as a Percentage of Its Covered-Employee Payroll	<u>107.12%</u>	<u>128.40%</u>	<u>163.09%</u>	<u>194.57%</u>	<u>204.30%</u>
Plan's Proportionate Share of the Fiduciary Net Position as a Percentage of the Total Pension Liability	<u>83.38%</u>	<u>79.43%</u>	<u>79.43%</u>	<u>71.87%</u>	<u>70.85%</u>

California State Teachers' Retirement System ("CalSTRS")

Measurement Period	June 30, 2014 ¹	June 30, 2015 ¹	June 30, 2016 ¹	June 30, 2017 ¹	June 30, 2018 ¹
District's Proportion of the Net Pension Liability	0.08000%	0.08000%	0.07787%	0.07400%	0.07500%
District's Proportionate Share of the net Pension Liability	\$ 46,749,600	\$ 53,859,200	\$ 62,982,608	\$ 68,434,460	\$ 68,930,250
District's Covered-Employee Payroll	\$ 35,763,671	\$ 39,853,588	\$ 38,688,844	\$ 39,727,305	\$ 41,966,316
District's Proportionate Share of the Net Pension Liability as a Percentage of Its Covered-Employee Payroll	<u>130.72%</u>	<u>135.14%</u>	<u>162.79%</u>	<u>172.26%</u>	<u>164.25%</u>
Plan's Proportionate Share of the Fiduciary Net Position as a Percentage of the Total Pension Liability	<u>76.52%</u>	<u>74.02%</u>	<u>74.02%</u>	<u>69.46%</u>	<u>70.99%</u>

Notes to Schedule:

Changes in assumptions In 2017, CalPERS the accounting discount rate reduced from 7.65 percent to 7.15 percent.

Changes in assumptions In 2017, CalSTRS the accounting discount rate reduced from 7.60 percent to 7.10 percent.

¹ Historical information is presented only for measurement periods for which GASB 68 is applicable.

Southwestern Community College District
Schedules of Contributions
Last Ten Years
For the Year Ended June 30, 2019

California Public Employees' Retirement System ("CalPERS")

	2013-14 ¹	2014-15 ¹	2015-16 ¹	2016-17 ¹	2017-18 ¹	2018-19 ¹
Actuarially Determined Contribution ²	\$ 2,545,353	\$ 2,824,261	\$ 2,824,088	\$ 3,424,643	\$ 4,055,088	\$ 5,119,561
Contribution in Relation to the Actuarially Determined Contribution ²	(2,545,353)	(2,824,261)	(2,824,088)	(3,424,643)	(4,055,088)	(5,119,561)
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Covered Payroll ³	\$ 22,245,705	\$ 23,993,385	\$ 24,713,187	\$ 24,659,008	\$ 26,109,642	\$ 26,892,931
Contributions as a Percentage of Covered Payroll	11.44%	11.77%	11.43%	13.89%	15.53%	19.04%

California State Teachers' Retirement System ("CalSTRS")

	2013-14 ¹	2014-15 ¹	2015-16 ¹	2016-17 ¹	2017-18 ¹	2018-19 ¹
Actuarially Determined Contribution	\$ 2,954,523	\$ 3,539,234	\$ 4,510,356	\$ 4,997,695	\$ 6,055,739	\$ 7,178,963
Contribution in Relation to the Actuarially Determined Contribution	(2,954,523)	(3,539,234)	(4,510,356)	(4,997,695)	(6,055,739)	(7,178,963)
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Covered Payroll ³	\$ 35,763,671	\$ 39,853,588	\$ 41,049,196	\$ 39,727,305	\$ 41,966,316	\$ 43,904,504
Contributions as a Percentage of Covered Payroll	8.26%	8.88%	10.99%	12.58%	14.43%	16.35%

¹ Historical information is presented only for measurement periods for which GASB 68 is applicable.

² Employers are assumed to make contributions equal to the actuarially determined contributions (which is the actuarially determined contribution). However, some employers may choose to make additional contributions towards their side fund or their unfunded liability. Employer contributions for such plans exceed the actuarially determined contributions. CalPERS has determined that employer obligations referred to as "side funds" are not considered separately financed specific liabilities.

³ Covered Payroll represented above is based on pensionable earnings provided by the employer. However, GASB 68 defines covered payroll as the total payroll of employees that are provided pensions through the pension plan. Accordingly, if pensionable earnings are different than total earnings for covered employees, the employer should display in the disclosure footnotes the payroll based on total earnings for the covered group and recalculate the required payroll-related ratios.

Notes to Schedule

Change in Benefit Terms: The figures above do not include any liability impact that may have resulted from plan changes which occurred after June 30, 2013 as they have minimal cost impact. This applies for voluntary benefit changes as well as any offers of Two Years Additional Service Credit (a.k.a Golden Handshakes).

Changes of Assumptions: CalPERS discount rate was changed from 7.65% (net of administrative expenses) to 7.15% for the June 30, 2017 valuation date.

Southwestern Community College District
Schedule of Changes in Net OPEB Liabilities and Related Ratios
Last Ten Years
For the Year Ended June 30, 2019

	2018	2019
	2016-2017	2017-2018
Measurement period, year ended:		
Total OPEB liability		
Service cost	\$ 781,846	\$ 803,347
Interest	1,103,513	793,810
Changes of benefit terms	-	-
Differences between expected and actual experience	-	-
Changes of assumptions	-	5,148,527
Benefit payments, including refunds of member contributions	(838,883)	(846,834)
Net change in total OPEB liability	1,046,476	5,898,850
Total OPEB liability - beginning	17,016,394	18,062,870
Total OPEB liability - ending (a)	<u>\$ 18,062,870</u>	<u>\$ 23,961,720</u>
OPEB fiduciary net position		
Contributions - employer	\$ 1,180,577	\$ 846,834
Net investment income	345,663	296,861
Benefit payments, including refunds of member contributions	(838,883)	(846,834)
Administrative expense	(500)	(4,488)
Net change in plan fiduciary net position	686,857	292,373
Plan fiduciary net position - beginning	3,540,700	4,227,557
Plan fiduciary net position - ending (b)	4,227,557	4,519,930
Plan net OPEB liability - ending (a) - (b)	<u>\$ 13,835,313</u>	<u>\$ 19,441,790</u>
Plan fiduciary net position as a percentage of the total OPEB liability	30.56%	23.25%
Covered payroll	\$ 48,511,146	\$ 49,966,480
Plan net OPEB liability as a percentage of covered payroll	28.52%	38.91%

* Information is only available for periods in which GASB 75 is applicable.

Southwestern Community College District
Schedule of Contributions – OPEB
Last Ten Years
For the Year Ended June 30, 2019

	2018 <u>2016-2017</u>	2019 <u>2017-2018</u>
For the Measurement Period:		
Actuarially determined contribution	\$ 1,180,577	\$ 878,349
Contributions in relation to the actuarially determined contribution	<u>(1,180,577)</u>	<u>(878,349)</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>
 Covered-employee payroll	 \$ 48,511,146	 \$ 49,966,480
 Contributions as a percentage of covered payroll	 2.43%	 1.76%

* Information is only available for periods in which GASB 75 is applicable.

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SUPPLEMENTARY INFORMATION

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FUNDS OF THE DISTRICT

The following funds are included in the combining financial statements of the District. They are included as supplementary information in accordance with the requirements of the State Department of Education, California Community College Chancellor's Office's (the "CCCCO") Contracted District Audit Manual.

General Fund - Unrestricted - This fund is the primary operating account of the District and is used to account for resources which are not required to be accounted for in another fund. The fund includes the general activities of the District and other administrative functions.

General Fund - Restricted - This fund is used to account for categorical and other restricted resources of the District.

Capital Outlay Fund - This fund is used to account for the acquisition or construction of major property, equipment, or facilities.

Prop R Bond Fund - This fund is used to account for the acquisition or construction of major property, equipment, or facilities from funds provided through Proposition R.

Prop Z Bond Fund - This fund is used to account for the acquisition or construction of major property, equipment, or facilities from funds provided through Proposition Z.

Student Center Fund - This fund is used to account for the operations of the Student Center.

Bond Interest and Redemption Fund - This fund is used to account for property tax revenues and the payment of debt service.

Bookstore Fund - This enterprise fund is used to account for the operations of the Southwestern Community College bookstore.

Cafeteria Fund - This enterprise fund is used to account for the operations of the Southwestern Community College cafeteria and other various cafes on campus.

Federal Financial Aid Fund - This fund is used to account for federal financial aid receipts and payments to students.

Fitness Center Fund - This fund is used to account for the operations of the fitness center.

Self Insurance Fund - This fund is used to account for the District's self-insurance claims.

Southwestern Community College District
Combining Schedule of Assets, Liabilities, and Fund Balances
June 30, 2019

	General Fund - Unrestricted	General Fund - Restricted	Capital Outlay	Prop R Bond Fund	Prop Z Bond Fund
ASSETS					
Current assets:					
Cash and investments	\$ 26,606,612	\$ -	\$ 2,586,817	\$ -	\$ -
Accounts receivable	1,879,827	3,952,221	25,158	125,988	1,417,142
Inventories	58,357	-	-	-	-
Prepaid items	64,073	-	-	-	-
Due from other funds	2,128,413	-	-	-	-
Due from Fiduciary	138,622	-	-	-	-
Restricted cash and investments	-	6,735,521	-	6,770,839	123,463,643
Total current assets	30,875,904	10,687,742	2,611,975	6,896,827	124,880,785
Noncurrent assets:					
Restricted cash and investments	-	-	-	-	-
Capital assets, net	-	-	-	-	-
Total noncurrent assets	-	-	-	-	-
Total assets	\$ 30,875,904	\$ 10,687,742	\$ 2,611,975	\$ 6,896,827	\$ 124,880,785
LIABILITIES AND FUND BALANCES					
Liabilities:					
Accounts payable and accrued liabilities	\$ 2,242,602	\$ 965,515	\$ 31,599	\$ 2,177,701	\$ 3,541,612
Payroll and related liabilities	4,732,911	-	-	-	-
Compensated absences	3,061,828	-	-	-	-
Unearned revenue	950,739	8,624,103	-	-	-
Due to other funds	1,924	70,000	-	25,631	-
Total liabilities	10,990,004	9,659,618	31,599	2,203,332	3,541,612
Fund balances	19,885,900	1,028,124	2,580,376	4,693,495	121,339,173
Total liabilities and fund balances	\$ 30,875,904	\$ 10,687,742	\$ 2,611,975	\$ 6,896,827	\$ 124,880,785

Southwestern Community College District
Combining Schedule of Assets, Liabilities, and Fund Balances (Continued)
June 30, 2019

	Student Center	Bond Interest and Redemption Fund	Bookstore	Cafeteria	Federal Financial Aid
ASSETS					
Current assets:					
Cash and investments	\$ 371,501	\$ -	\$ 1,478,627	\$ 783,231	\$ 2,060,824
Accounts receivable	1,065	-	289,011	11,862	20,569
Inventories	-	-	1,011,242	45,592	-
Prepaid items	-	-	-	-	-
Due from other funds	-	-	30,448	26,435	70,000
Due from Fiduciary	-	-	-	-	-
Restricted cash and investments	-	-	-	-	-
Total current assets	<u>372,566</u>	<u>-</u>	<u>2,809,328</u>	<u>867,120</u>	<u>2,151,393</u>
Noncurrent assets:					
Restricted cash and investments	-	30,864,967	-	-	-
Capital assets, net	-	-	-	12,975	-
Total noncurrent assets	<u>-</u>	<u>30,864,967</u>	<u>-</u>	<u>12,975</u>	<u>-</u>
Total assets	<u><u>\$ 372,566</u></u>	<u><u>\$ 30,864,967</u></u>	<u><u>\$ 2,809,328</u></u>	<u><u>\$ 880,095</u></u>	<u><u>\$ 2,151,393</u></u>
LIABILITIES AND FUND BALANCES					
Liabilities:					
Accounts payable and accrued liabilities	\$ -	\$ -	\$ 81,329	\$ 15,064	\$ 1,862
Payroll and related liabilities	-	-	-	-	-
Compensated absences	-	-	-	-	-
Unearned revenue	-	-	35,187	19,854	-
Due to other funds	-	-	260,101	447,640	1,450,000
Total liabilities	<u>-</u>	<u>-</u>	<u>376,617</u>	<u>482,558</u>	<u>1,451,862</u>
Fund balances	<u>372,566</u>	<u>30,864,967</u>	<u>2,432,711</u>	<u>397,537</u>	<u>699,531</u>
Total liabilities and fund balances	<u><u>\$ 372,566</u></u>	<u><u>\$ 30,864,967</u></u>	<u><u>\$ 2,809,328</u></u>	<u><u>\$ 880,095</u></u>	<u><u>\$ 2,151,393</u></u>

Southwestern Community College District
Combining Schedule of Assets, Liabilities, and Fund Balances (Continued)
June 30, 2019

	Fitness Center	Self Insurance	Total
ASSETS			
Current assets:			
Cash and investments	\$ 338,523	\$ 917,049	\$ 35,143,184
Accounts receivable	1,810	10,033	7,734,686
Inventories	22	-	1,115,213
Prepaid items	-	-	64,073
Due from other funds	-	-	2,255,296
Due from Fiduciary	-	-	138,622
Restricted cash and investments	-	-	136,970,003
Total current assets	<u>340,355</u>	<u>927,082</u>	<u>183,421,077</u>
Noncurrent assets:			
Restricted cash and investments	-	-	30,864,967
Capital assets, net	-	-	12,975
Total noncurrent assets	<u>-</u>	<u>-</u>	<u>30,877,942</u>
Total assets	<u><u>\$ 340,355</u></u>	<u><u>\$ 927,082</u></u>	<u><u>\$ 214,299,019</u></u>
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable and accrued liabilities	\$ 465,515	\$ -	\$ 9,522,799
Payroll and related liabilities	19,059	-	4,751,970
Compensated absences	-	-	3,061,828
Unearned revenue	85,897	-	9,715,780
Due to other funds	-	-	2,255,296
Total liabilities	<u>570,471</u>	<u>-</u>	<u>29,307,673</u>
Fund balances	<u>(230,116)</u>	<u>927,082</u>	<u>184,991,346</u>
Total liabilities and fund balances	<u><u>\$ 340,355</u></u>	<u><u>\$ 927,082</u></u>	<u><u>\$ 214,299,019</u></u>

Southwestern Community College District
Reconciliation of Combining Schedule of Assets, Liabilities, and Fund Balances
to Basic Statement of Net Position
June 30, 2019

Total Fund Balances reported in the Combining Balance Sheet	\$ 184,991,346
Amounts reported in the Statement of Net Position are differently because:	
Capital assets used in governmental activities are not financial resources and therefore are not reported in governmental funds.	
Government-Wide capital assets	388,375,680
Less enterprise funds capital assets	<u>(12,975)</u>
Total capital assets not reported in the funds	<u>388,362,705</u>
Long-term liabilities are not due and payable in the current period and therefore are not reported in the governmental funds.	
Aggregate net pension liability	(122,272,544)
Net OPEB liability	(19,441,790)
Bonds payable - due within one year	(16,120,000)
Bonds payable - due in more than one year	<u>(447,809,875)</u>
Total long-term liabilities not reported in the funds	<u>(605,644,209)</u>
Deferred loss on bond refunding did not require current financial resources. Therefore, it is not reported in the governmental funds.	3,613,944
Deferred gain on bond refunding did not require current financial resources. Therefore, it is not reported in the governmental funds.	(988,720)
Actuarially determined deferred outflows of resources are reported in the government-wide statements:	
Pension-related deferred outflows	32,565,755
OPEB-related deferred outflows	<u>5,441,816</u>
Total actuarially determined deferred outflows of resources	<u>38,007,571</u>
Actuarially determined deferred inflows of resources are reported in the government-wide statements:	
Pension-related deferred inflows	(9,528,574)
OPEB-related deferred inflows	<u>(88,687)</u>
Total actuarially determined deferred inflows of resources	<u>(9,617,261)</u>
Interest payable on long-term debt did not require current financial resources. Therefore, interest payable was not reported in the governmental funds.	<u>(6,728,163)</u>
Net Position	<u><u>\$ (8,002,787)</u></u>

Southwestern Community College District
Combining Schedule of Revenues, Expenditures/Expenses
and Changes in Fund Equity/Net Position
For the Year Ended June 30, 2019

	General Fund - Unrestricted	General Fund - Restricted	Capital Outlay	Prop R Bond Fund	Prop Z Bond Fund
OPERATING REVENUES					
Tuition and fees	\$ 6,046,711	\$ 1,393,594	\$ -	\$ -	\$ -
Federal grant, non-capital	257,016	4,137,364	-	-	-
State grant, non-capital	-	-	-	-	-
Local grant, non-capital	888,847	1,260,638	-	-	-
Auxiliary enterprise sales and charges	-	-	-	-	-
Other operating revenues	-	-	-	-	-
Total operating revenues	<u>7,192,574</u>	<u>6,791,596</u>	<u>-</u>	<u>-</u>	<u>-</u>
OPERATING EXPENDITURES/EXPENSES:					
Salaries	67,473,734	14,353,459	-	67,089	-
Employee benefits	23,288,802	4,531,310	-	22,684	-
Payments to students	69,185	1,200,440	-	-	-
Supplies, materials, and other expenses	9,159,276	7,354,117	1,795,585	42,538,731	21,543,223
Utilities	2,988,899	9,634	-	-	-
Depreciation	-	-	-	-	-
Total operating expenditures/expenses	<u>102,979,896</u>	<u>27,448,960</u>	<u>1,795,585</u>	<u>42,628,504</u>	<u>21,543,223</u>
OPERATING REVENUES OVER (UNDER) EXPENDITURES/EXPENSES	<u>(95,787,322)</u>	<u>(20,657,364)</u>	<u>(1,795,585)</u>	<u>(42,628,504)</u>	<u>(21,543,223)</u>
NONOPERATING REVENUE(EXPENSES):					
Federal grant, non-capital	-	-	-	-	-
State apportionments, non-capital	67,551,428	18,572,188	-	-	-
Local property taxes, non-capital	27,572,876	-	-	-	-
Investment income	898,706	-	78,544	785,788	3,617,507
Other non-operating revenue(expense)	1,676,073	887,932	544,186	-	-
Debt service:					
Principal payment	-	-	-	-	-
Interest and fiscal charges	-	-	-	-	-
Total non-operating expenditures/expenses	<u>97,699,083</u>	<u>19,460,120</u>	<u>622,730</u>	<u>785,788</u>	<u>3,617,507</u>
INCOME(LOSS) BEFORE TRANSFERS	<u>1,911,761</u>	<u>(1,197,244)</u>	<u>(1,172,855)</u>	<u>(41,842,716)</u>	<u>(17,925,716)</u>
TRANSFERS:					
Transfers in	206,558	1,154,439	-	-	-
Transfers out	(1,128,751)	(232,246)	-	-	-
Transfers	<u>(922,193)</u>	<u>922,193</u>	<u>-</u>	<u>-</u>	<u>-</u>
Changes in fund balance/net position	989,568	(275,051)	(1,172,855)	(41,842,716)	(17,925,716)
FUND EQUITY/NET POSITION:					
Beginning of year	18,896,332	1,303,175	3,753,231	46,536,211	139,264,889
End of year	<u>\$ 19,885,900</u>	<u>\$ 1,028,124</u>	<u>\$ 2,580,376</u>	<u>\$ 4,693,495</u>	<u>\$ 121,339,173</u>

Southwestern Community College District
Combining Schedule of Revenues, Expenditures/Expenses
and Changes in Fund Equity/Net Position (Continued)
For the Year Ended June 30, 2019

	Student Center	Bond Interest and Redemption Fund	Bookstore	Cafeteria	Federal Financial Aid
OPERATING REVENUES					
Tuition and fees	\$ 144,565	\$ -	\$ -	\$ -	\$ -
Federal grant, non-capital	-	-	-	-	1,693,798
State grant, non-capital	-	-	-	-	5,981,618
Local grant, non-capital	-	-	-	-	-
Auxiliary enterprise sales and charges	-	-	2,600,545	1,865,768	-
Other operating revenues	-	-	-	-	-
Total operating revenues	144,565	-	2,600,545	1,865,768	7,675,416
OPERATING EXPENDITURES/EXPENSES:					
Salaries	-	-	523,360	794,470	-
Employee benefits	-	-	166,162	230,621	-
Payments to students	-	-	-	-	31,773,565
Supplies, materials, and other expenses	55,278	-	1,908,673	1,293,618	-
Utilities	-	-	2,758	1,023	-
Depreciation	-	-	205	10,095	-
Total operating expenditures/expenses	55,278	-	2,601,158	2,329,827	31,773,565
OPERATING REVENUES OVER (UNDER) EXPENDITURES/EXPENSES	89,287	-	(613)	(464,059)	(24,098,149)
NONOPERATING REVENUE(EXPENSES):					
Federal grant, non-capital	-	-	-	-	24,545,889
State apportionments, non-capital	-	-	-	-	-
Local property taxes, non-capital	-	28,841,542	-	-	-
Investment income	3,399	386,980	628	-	180
Other non-operating revenue(expense)	-	190,082	30,707	-	-
Debt service:					
Principal payment	(100,000)	(15,085,000)	-	-	-
Interest and fiscal charges	-	(19,502,352)	-	-	-
Total non-operating expenditures/expenses	(96,601)	(5,168,748)	31,335	-	24,546,069
INCOME(LOSS) BEFORE TRANSFERS	(7,314)	(5,168,748)	30,722	(464,059)	447,920
TRANSFERS:					
Transfers in	-	-	-	-	-
Transfers out	-	-	-	-	-
Transfers	-	-	-	-	-
Changes in fund balance/net position	(7,314)	(5,168,748)	30,722	(464,059)	447,920
FUND EQUITY/NET POSITION:					
Beginning of year	379,880	36,033,715	2,401,989	861,596	251,611
End of year	<u>\$ 372,566</u>	<u>\$ 30,864,967</u>	<u>\$ 2,432,711</u>	<u>\$ 397,537</u>	<u>\$ 699,531</u>

Southwestern Community College District
Combining Schedule of Revenues, Expenditures/Expenses
and Changes in Fund Equity/Net Position (Continued)
For the Year Ended June 30, 2019

	Fitness Center	Self Insurance	Total
OPERATING REVENUES			
Tuition and fees	\$ 1,174,881	\$ -	\$ 8,759,751
Federal grant, non-capital	-	-	6,088,178
State grant, non-capital	-	-	5,981,618
Local grant, non-capital	-	-	2,149,485
Auxiliary enterprise sales and charges	-	-	4,466,313
Other operating revenues	40,738	127,054	167,792
Total operating revenues	<u>1,215,619</u>	<u>127,054</u>	<u>27,613,137</u>
OPERATING EXPENDITURES/EXPENSES:			
Salaries	1,075,940	-	84,288,052
Employee benefits	300,729	127,054	28,667,362
Payments to students	-	-	33,043,190
Supplies, materials, and other expenses	531,328	-	86,179,829
Utilities	-	-	3,002,314
Depreciation	-	-	10,300
Total operating expenditures/expenses	<u>1,907,997</u>	<u>127,054</u>	<u>235,191,047</u>
OPERATING REVENUES OVER (UNDER) EXPENDITURES/EXPENSES	<u>(692,378)</u>	<u>-</u>	<u>(207,577,910)</u>
NONOPERATING REVENUE(EXPENSES):			
Federal grant, non-capital	-	-	24,545,889
State apportionments, non-capital	-	-	86,123,616
Local property taxes, non-capital	-	-	56,414,418
Investment income	16	24,479	5,796,227
Other non-operating revenue(expense)	-	-	3,328,980
Debt service:			
Principal payment	-	-	(15,185,000)
Interest and fiscal charges	-	-	(19,502,352)
Total non-operating expenditures/expenses	<u>16</u>	<u>24,479</u>	<u>141,521,778</u>
INCOME(LOSS) BEFORE TRANSFERS	<u>(692,362)</u>	<u>24,479</u>	<u>(66,056,132)</u>
TRANSFERS:			
Transfers in	-	-	1,360,997
Transfers out	-	-	(1,360,997)
Transfers	<u>-</u>	<u>-</u>	<u>-</u>
Changes in fund balance/net position	(692,362)	24,479	(66,056,132)
FUND EQUITY/NET POSITION:			
Beginning of year	462,246	902,603	251,047,478
End of year	<u>\$ (230,116)</u>	<u>\$ 927,082</u>	<u>\$ 184,991,346</u>

Southwestern Community College District
Reconciliation of Combining Schedule of Revenues, Expenditures/Expenses and Changes in
Fund Equity to Basic Statement of Activities and Changes in Net Position
For the Year Ended June 30, 2019

Revenues and other financing sources over (under) expenditures/expenses and other financing use:	<u>\$ (66,056,132)</u>
Amounts reported in the Statement of Activities were different because:	
Capital outlay expenditures reported in the governmental funds that were not capitalized on the Government-Wide Statement of Net Position were reclassified as Supplies, Materials, and Other Expenses.	<u>64,815,195</u>
Disposal of capital assets provided current financial resources to governmental funds, but disposal of capital assets decreased capital assets in the Government-Wide Statement of Net Position.	<u>(251,122)</u>
Depreciation expense on capital assets was reported in the Government-Wide Statement of Activities and Changes in Net Position, but it did not require the use of current financial resources. Therefore, depreciation was not reported as an expenditure in governmental funds (net of \$10,300 in enterprise funds).	<u>(7,705,819)</u>
Interest expense on long-term debt was reported in the Government-Wide Statement of Activities and Changes in Net Position, but it did not require the use of current financial resources. Therefore, accrued interest was not reported as an expenditure in governmental funds.	<u>(548,204)</u>
Repayment of long-term liabilities was an expenditure in governmental funds, but the repayment reduced long-term liabilities in the Government-Wide Statement of Net Position:	
Lease revenue bonds	100,000
General Obligation bonds	<u>15,085,000</u>
Total repayment of long-term liabilities	<u>15,185,000</u>
Amortization expenses were reported in the Government-Wide Statement of Activities and Changes in Net Position, but they did not require the use of current financial resources. Therefore, amortization expenses were not reported as expenditures in the Governmental Funds.	
Bond premium and discount	(2,107,575)
Deferred gain and loss on refunding	<u>(6,017)</u>
Total amortization expenses	<u>(2,113,592)</u>
Changes in the net pension liability and related deferred outflows and deferred inflows reported in the Statement of Activities did not require the use of current financial resources and, therefore, were not reported as expenditures in the governmental funds.	<u>(4,591,223)</u>
Changes in the net OPEB liability and related deferred outflows and deferred inflows reported in the Statement of Activities did not require the use of current financial resources and, therefore, were not reported as expenditures in the governmental funds.	<u>(253,348)</u>
Change in Net Position	<u><u>\$ 2,695,905</u></u>

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SINGLE AUDIT

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**REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND
OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN
ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS**

Independent Auditors' Report

To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the basic financial statements of the Southwestern Community College District (the "District") as of and for the year ended June 30, 2019, and the related notes to the financial statements, and have issued our report thereon dated December 20, 2019.

Our report includes a reference to other auditors who audited the financial statements of the Southwestern College Foundation, a discretely presented component unit of the District as described in our report on the District's financial statements. This report does not include the results of the other auditors' testing of internal control over financial reporting or compliance and other matters that are reported on separately by those auditors.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or, significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of basic financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly we do not express such an opinion. The results of our tests disclosed no instance of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

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To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California
Page 2

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

The PwC Group, LLP

San Diego, California
December 20, 2019



**REPORT ON COMPLIANCE FOR EACH MAJOR FEDERAL PROGRAM AND ON INTERNAL
CONTROL OVER COMPLIANCE AND ON THE SCHEDULE OF EXPENDITURES OF FEDERAL
AWARDS REQUIRED BY THE UNIFORM GUIDANCE**

Independent Auditors' Report

To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California

Report on Compliance for Each Major Federal Program

We have audited the Southwestern Community College District's (the "District") compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2019. The District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditors' Responsibility

Our responsibility is to express an opinion on compliance for each of the District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of the District's compliance.

Opinion on Each Major Federal Program

In our opinion, the District, complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2019.

Report on Internal Control Over Compliance

Management of the District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Schedule of Expenditures of Federal Awards

We have audited the accompanying basic financial statements of the District as of and for the year ended June 30, 2019, and the related notes to the financial statements. We issued our report thereon dated December 20, 2019 which contained unmodified opinions on those financial statements. Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the basic financial statements. The accompanying Schedule of Expenditures of Federal Awards, as required by Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, is presented for purposes of additional analysis and is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedule of expenditures of federal awards is fairly stated in all material respects in relation to the basic financial statements as a whole.



San Diego, California
December 20, 2019

Southwestern Community College District
Schedule of Expenditures of Federal Awards
For the Year Ended June 30, 2019

Federal Agency	Grant Name/Program Name	CFDA No.	Agency or Pass-Through No.	Expenditure	Amount Provided to Subrecipients
<u>U.S. Department of Education:</u>					
	Direct Programs:				
	Financial Aid Cluster:				
	PELL	84.063	P063P131184	\$ 24,545,889	\$ -
	SEOG	84.007	P0078130617	512,285	-
	Direct Loans	84.268	P268K131184	1,034,049	-
	Federal Work Study	84.033	P033A130617	368,108	-
	Total Financial Aid Cluster			26,460,331	-
	Child Care Access Means Parents in School (CCAMPIS)	84.335	P335A100052	115,887	-
	Puertas al Futuro - "Doorways to the Future"	84.031S	P031S140041	395,460	-
	Passed through California Department of Education				-
	Perkins, Title IC	84.051	11-C01-63	747,028	-
	CTE Transitions	84.051	11-112-090	34,362	-
	Sub-total			781,390	-
	Passed through State of California Department of Rehabilitation:				
	State Vocational Rehabilitation Program	84.126A	29018/SCPRS 1324967	162,099	-
	Total U.S. Department of Education			27,915,167	-
<u>U.S. Department of Agriculture:</u>					
	Passed through The Foundation for California Community Colleges:				
	SNAP Cluster:				
	Fresh Success Program	10.561	FRS-010-17	31,662	-
	Total SNAP Cluster			31,662	-
	Total U.S. Department of Agriculture			31,662	-
<u>U.S. Department of Defense:</u>					
	Direct Programs:				
	Procurement Technical Assistance (DLA)	12.002	SP4800-11-2-1149	368,091	-
	Total U.S. Department of Defense			368,091	-
<u>U.S. Department of Housing and Urban Development:</u>					
	Passed through The Foundation for California Community Colleges:				
	CDBG - Entitlement Grant Cluster:				
	Community Development Block Grant	14.218	CED-FY18-003-02	304,429	-
	Total CDBG - Entitlement Grant Cluster			304,429	-
	Total U.S. Department of Housing and Urban Development			304,429	-
<u>National Science Foundation:</u>					
	Passed through University of San Diego:				
	Malate Dehydrogenase Course	47.076	DUE-1726932	1,450	-
	Passed through Jefferson Community College and Technical College:				
	Geopatial Technology Center of Excellence: "Growing the Workforce"	47.076	DUE-1700496	40,058	-
	Sub-total			41,508	-
	Total National Science Foundation			41,508	-

Southwestern Community College District
Schedule of Expenditures of Federal Awards (Continued)
For the Year Ended June 30, 2019

Federal Agency	Grant Name/Program Name	CFDA No.	Agency or Pass-Through No.	Expenditure	Amount Provided to Subrecipients
<u>Small Business Administration:</u>					
	Direct Programs:				
	Women's Business Ownership Assistance	59.043	OWBO-2018-02	111,105	-
	Direct Programs:				
	2019 US SBA Grant	59.037	SBAHQ-19-B-0056	715,816	449,012
	2018 US SBA Grant	59.037	SBAHQ-18-B-0056	702,349	382,222
	Portable Assistance Program	59.037	SBAHQ-17-B-0073	21,573	-
	Sub-total			1,439,738	831,234
	Total Small Business Administration			1,550,843	831,234
<u>U.S. Veterans Affairs Education Services Outreach:</u>					
	Direct Programs:				
	Veterans Reporting Fees	64.270	38 USC 3684	9,758	-
	Total U.S. Department of Veterans Affairs			9,758	-
<u>U.S. Department of Justice:</u>					
	Direct Programs:				
	SDSU Bridges to Baccalaureate Program	16.525	2018-WA-AX-0044	7,830	-
	Total U.S. Department of Justice			7,830	-
<u>U.S. Department of Homeland Security</u>					
	Direct Programs:				
	Paramedic Refresher Training Course	97.036	AR3586.12	300	-
	Total U.S. Department of Homeland Security			300	-
	Total Expenditures of Federal Awards			\$ 30,229,588	\$ 831,234

Southwestern Community College District
Notes to the Schedule of Expenditures of Federal Awards
For the Year Ended June 30, 2019

Note 1 – Reporting Entity

The financial reporting entity consists of the primary government, Southwestern Community College District (District), (b) organizations for which the primary government is financially accountable, and (c) other organizations for which the primary government is not accountable, but for which the nature and significance of their relationship with the primary government are such that exclusion would cause the reporting entity's financial statements to be misleading or incomplete.

Note 2 – Schedule of Expenditures of Federal Awards

The accompanying Schedule of Expenditures of Federal Awards includes the federal grant activity of the District and is presented on the accrual basis of accounting. The information in this schedule is presented in accordance with the requirements of the Uniform Guidance. Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of, the basic financial statements.

Consistent with management's policy, federal, state and local awards are recorded in various revenue categories. As a result, the amount of total awards expended on the Schedule does not agree to total grant and contract revenues on the Statement of Revenues, Expenditures and Changes in Net Position.

Note 3 – Indirect Cost Rate

The District did not use the 10% de-minimis indirect cost rate as allowed under the Uniform Guidance.

Southwestern Community College District
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2019

Section I – Summary of Audit Results

Financial Statements

Type of report the auditor issued on whether the financial statements audited were prepared in accordance with GAAP **Unmodified**

Internal control over financial reporting:

- Material weakness(es) identified? **No**
- Significant deficiency(ies) identified? **None Reported**

Non-compliance material to the financial statements identified? **No**

Federal Awards

Internal control over major programs:

- Material weakness(es) identified? **No**
- Significant deficiency(ies) identified? **None Reported**

Type of auditor's report issued on compliance for major programs **Unmodified**

Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)? **No**

Identification of major programs:

<u>Major Program</u>	<u>CFDA</u>	<u>Expenditures</u>
Financial Aid Cluster:		
PELL	84.063	\$ 24,545,889
SEOG	84.007	512,285
Federal Direct Student Loans	84.268	1,034,049
Federal Work Study	84.033	368,108
	Total financial aid cluster	26,460,331
	Total Major Program Expenditures	\$ 26,460,331
	Total Expenditures of Federal Awards	\$ 30,229,588
	Percent of Total Expenditures of Federal Awards	87.53%

Dollar threshold used to distinguish between type A and type B programs **\$906,888**

Auditee qualified as low-risk auditee in accordance with 2 CFR 200.520? **Yes**

**Southwestern Community College District
Schedule of Findings and Questioned Costs (Continued)
For the Year Ended June 30, 2019**

Section II – Financial Statement Findings

A. Current Year Financial Statement Findings

No financial statement findings were noted for the year ended June 30, 2019.

B. Prior Year Financial Statement Findings

No financial statement findings were noted for the year ended June 30, 2018.

Section III- Federal Awards Findings

A. Current Year Findings and Questioned Costs – Major Federal Award Program Audit

No findings or questioned costs were noted on the District's major programs for the year ended June 30, 2019.

B. Prior Year Findings and Questioned Costs – Major Federal Award Program Audit

No findings or questioned costs were noted on the District's major programs for the year ended June 30, 2018.

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STATE COMPLIANCE

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INDEPENDENT AUDITORS' REPORT ON STATE COMPLIANCE

To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California

We have audited Southwestern Community College District's (the "District") compliance with the types of compliance requirements described in the California Community Colleges Contracted District Audit Manual (the "CDAM") 2018-2019, issued by the California Community Colleges Chancellor's Office for the year ended June 30, 2019.

Management's Responsibility

Management is responsible for the District's compliance with those requirements. Our responsibility is to express an opinion on the District's compliance based on our audit.

Auditors' Responsibility

Our responsibility is to express an opinion on compliance based on our audit of the types of compliance referred to above. We conducted our audit in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the California Community Colleges Contracted Audit Manual (CDAM) 2018-2019, issued by the California Community Colleges Chancellor's Office. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinion. Our audit does not provide legal determination on the District's compliance with the state laws and regulations referred to above.

In connection with our audit referred to above, we selected and tested transactions and records to determine the District's compliance with the following state laws and regulations in accordance with Section 400 of the Chancellor's Office's California Community College Contracted District Audit Manual (CDAM).

Compliance Requirements Tested

In connection with the audit referred to above, we selected and tested transactions and records to determine the District's compliance with the laws and regulations applicable to the following items:

Section	Description	Procedures Performed
421	Salaries of Classroom Instructors (50 Percent Law)	Yes
423	Apportionment for Activities Funded from Other Sources	Not applicable
424	State General Apportionment Funding System	Yes
425	Residency Determination for Credit Courses	Yes
426	Students Actively Enrolled	Yes
427	Dual Enrollment (CCAP and Non-CCAP)	Yes
430	Scheduled Maintenance Program	Yes
431	Gann Limit Calculation	Yes
435	Open Enrollment	Yes
439	Proposition 39 Clean Energy Fund	Yes
444	Apprenticeship Related and Supplemental Instruction (RSI) Funds	Yes
475	Disabled Student Programs and Services (DSPS)	Yes
479	To Be Arranged Hours (TBA)	Yes
490	Proposition 1D and 51 State Bond Funded Projects	Not applicable
491	Education Protection Account Funds	Yes

Opinion on State Compliance

In our opinion, the District complied with the laws and regulations of the state programs referred to above in all material respects for the year ended June 30, 2019.

Purpose of this Report

The purpose of this report on state compliance is solely to describe the results of testing based on the requirements of the *2018-2019 Contracted District Audit Manual*. Accordingly, this report is not suitable for any other purpose.



San Diego, California
December 20, 2019

OTHER INFORMATION

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Southwestern Community College District
Other Information
Purpose of Schedules
For the Year Ended June 30, 2019

PURPOSE OF SCHEDULES

Schedule of Workload Measures for Program-Based Funding

Full-time Equivalent Students (FTES) is a measurement of the number of pupils attending classes of the District on a full-time basis. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of State funds are made to community college districts. This schedule provides information regarding the attendance of students throughout the District.

Reconciliation of Annual Financial and Budget Report (CCFS-311) with Audited Financial Statements

This schedule provides the information necessary to reconcile the fund balance of all funds reported on the Form CCFS-311 to the audited financial statements.

Reconciliation of the 50% Calculation with Audited Financial Statements

This schedule provides the information necessary to reconcile the numbers used in the District's 50% Law calculation reported on the form CCFS-311 to the District's accounting records.

Reconciliation of the Education Protection Account Expenditures with Audited Financial Statements

This schedule provides the information necessary to reconcile the expenditures of Education Protection Account funds reported on the Form CCFS-311 to the District's accounting records.

Schedule of Expenditures of State Awards

This schedule provides information about the types and amounts of State funding the District spent during the fiscal year.

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Southwestern Community College District
Schedule of Workload Measures for State General Apportionment
and Annual Actual Attendance
For the Year Ended June 30, 2019

	Reported Data	Audit Adjustments	Revised Data
A. Summer Intersession (Summer 2018 only)			
1. Noncredit	5.99	-	5.99
2. Credit	1,238.29	-	1,238.29
B. Summer Intersession (Summer 2019 - Prior to July 1, 2019)			
1. Noncredit	-	-	-
2. Credit	-	-	-
C. Primary Terms (Exclusive of Summer Intersession)			
1. Census Procedure Courses			
(a) Weekly Census Contact Hours	9,768.98	-	9,768.98
(b) Daily Census Contact Hours	880.79	-	880.79
2. Actual Hours of Attendance Procedure Courses			
(a) Noncredit	224.77	-	224.77
(b) Credit	430.01	-	430.01
3. Independent Study/Work Experience			
(a) Weekly Census Contact Hours	1,524.03	-	1,524.03
(b) Daily Census Contact Hours	621.43	-	621.43
(c) Noncredit Independent Study/Distance Education Courses	-	-	-
D. Total FTES	<u>14,694.29</u>	<u>-</u>	<u>14,694.29</u>
Supplemental Information (subset of above information)			
E. In-Service Training Courses (FTES)	-	-	-
H. Basic Skills courses and Immigrant Education			
(a) Noncredit	-	-	-
(b) Credit	747.84	-	747.84
<u>CCFS-320 Addendum</u>			
CDCP Noncredit FTES	-	-	-
Centers FTES			
(a) Noncredit	-	-	-
(b) Credit	-	-	-

Southwestern Community College District
Reconciliation of Annual Financial and Budget Report (CCFS-311)
with Audited Financial Statements
For the Year Ended June 30, 2019

These fund financial statement balances are prior to various eliminations and reclassifications necessary to convert to the presentation of the financial statements as identified in the accompanying table of contents.

	General Fund Unrestricted	General Fund Restricted	Capital Outlay	Prop R Fund	Prop Z Fund	Student Center	Bond Interest and Redemption Fund
Fund balance/net position per the CCFS-311 at June 30, 2019	\$ 19,885,900	\$ 1,028,124	\$ 2,580,376	\$ 4,693,495	\$121,339,173	\$ 372,566	\$ 30,864,967
Audit adjustments	-	-	-	-	-	-	-
Miscellaneous adjustments and reclassifications	-	-	-	-	-	-	-
Net adjustments and reclassifications	-	-	-	-	-	-	-
Fund balance/net position per the audited fund financial statements at June 30, 2019	\$ 19,885,900	\$ 1,028,124	\$ 2,580,376	\$ 4,693,495	\$121,339,173	\$ 372,566	\$ 30,864,967

Southwestern Community College District
Reconciliation of Annual Financial and Budget Report (CCFS-311)
with Audited Financial Statements (Continued)
For the Year Ended June 30, 2019

These fund financial statement balances are prior to various eliminations and reclassifications necessary to convert to the presentation of the financial statements as identified in the accompanying table of contents.

						Fiduciary Funds	
						ASO Student	Student
	Bookstore	Cafeteria	Federal Financial Aid	Fitness Center	Self Insurance	Clubs	Service Trust Funds
Fund balance/net position per the CCFS-311 at June 30, 2019	\$ 2,432,711	\$ 397,537	\$ 699,531	\$ (230,116)	\$ 927,082	\$ 488,808	\$ 32,683
Audit adjustments	-	-	-	-	-	-	-
Miscellaneous adjustments and reclassifications	-	-	-	-	-	-	-
Net adjustments and reclassifications	-	-	-	-	-	-	-
Fund balance/net position per the audited fund financial statements at June 30, 2019	\$ 2,432,711	\$ 397,537	\$ 699,531	\$ (230,116)	\$ 927,082	\$ 488,808	\$ 32,683

Southwestern Community College District
Reconciliation of 50% Calculation with
Audited Financial Statements
For the Year Ended June 30, 2019

Activity (ECSA)				Activity (ECSB)			
ECS 84362 A				ECS 84362 B			
Instructional Salary Cost				Total CEE			
AC 0100-5900 & AC 6110				AC 0100-6799			
Object /TOP	Reported	Audit	Revised	Reported	Audit	Revised	
Codes	Data	Adjustments	Data	Data	Adjustments	Data	
<u>Academic Salaries</u>							
Instructional Salaries:							
Contract or Regular	1100	\$ 17,688,082	\$ -	\$ 17,688,082	\$ 17,688,082	\$ -	
Other	1300	16,499,047	-	16,499,047	16,499,047	-	
Total Instructional Salaries		34,187,129	-	34,187,129	34,187,129	-	
Non-Instructional Salaries:							
Contract or Regular	1200	-	-	8,702,079	-	8,702,079	
Other	1400	-	-	856,276	-	856,276	
Total Non-Instructional Salaries		-	-	9,558,355	-	9,558,355	
Total Academic Salaries		34,187,129	-	34,187,129	43,745,484	-	
<u>Classified Salaries</u>							
Non-Instructional Salaries:							
Regular Status	2100	-	-	17,137,533	-	17,137,533	
Other	2300	-	-	1,939,831	-	1,939,831	
Total Non-Instructional Salaries		-	-	19,077,364	-	19,077,364	
Instructional Aides:							
Regular Status	2200	2,125,619	-	2,125,619	2,125,619	-	
Other	2400	764,711	-	764,711	798,232	-	
Total Instructional Aides		2,890,330	-	2,890,330	2,923,851	-	
Total Classified Salaries		2,890,330	-	2,890,330	22,001,215	-	
Employee Benefits	3000	12,276,460	-	12,276,460	22,525,241	-	
Supplies and Materials	4000	-	-	1,786,622	-	1,786,622	
Other Operating Expenses	5000	489,755	-	489,755	9,914,100	-	
Equipment Replacement	6420	-	-	-	-	-	
Total Expenditures Prior to Exclusions		\$ 49,843,674	\$ -	\$ 49,843,674	\$ 99,972,662	\$ -	
<u>Exclusions</u>							
Activities to Exclude:							
Instructional Staff-Retirees' Benefits and Retirement Services	5900	\$ 313,799	\$ -	\$ 313,799	\$ 313,799	\$ -	
Student Health Services Above Amount Collected	6441	-	-	-	-	-	
Student Transportation	6491	-	-	-	-	-	
Noninstructional Staff-Retirees' Benefits and Retirement Incentives	6740	-	-	-	-	-	
Objects to Exclude:							
Rents and Leases	5060	-	-	-	-	-	
Lottery Expenditures		-	-	-	-	-	
Academic Salaries	1000	-	-	-	-	-	
Classified Salaries	2000	-	-	-	-	-	
Employee Benefits	3000	-	-	-	-	-	
Supplies and Materials:							
Software	4100	-	-	-	-	-	
Books, Magazines, & Periodicals	4200	-	-	-	-	-	
Instructional Supplies & Materials	4300	-	-	-	-	-	
Noninstructional, Supplies & Materials	4400	-	-	-	-	-	
Total Supplies and Materials		-	-	-	-	-	
Other Operating Expenses and Services	5000	-	-	-	-	-	
Capital Outlay:							
Capital Outlay	6000	-	-	-	-	-	
Library Books	6300	-	-	69,279	-	69,279	
Equipment - Additional	6410	-	-	181,282	-	181,282	
Equipment - Replacement	6420	-	-	-	-	-	
Total Capital Outlay		-	-	250,561	-	250,561	
Other Outgo	7000	-	-	1,128,751	-	1,128,751	
Total Exclusions		\$ 313,799	\$ -	\$ 313,799	\$ 1,693,111	\$ -	
Total for ECS 84362, 50% Law		\$ 49,529,875	\$ -	\$ 49,529,875	\$ 98,279,551	\$ -	
Percent of CEE (Instructional Salary Cost / Total CEE)		50.40%	-	50.40%	100.00%	-	
50% of Current Expense of Education				\$ 49,139,776	-	\$ 49,139,776	

Southwestern Community College District
Reconciliation of Education Protection Account Expenditures
with Audited Financial Statements
For the Year Ended June 30, 2019

Education Protection Account proceeds per the CCFS-311: \$ 13,909,859

	Activity Code (0100-5900)	Salaries & Benefits (1000-3000)	Operating Expenses (4000-5000)	Capital Outlay (6000)	Total
Instructional Activities	\$ -	\$ 13,909,859	\$ -	\$ -	\$ 13,909,859

Southwestern Community College District
Schedule of Expenditures of State Awards
For the Year Ended June 30, 2019

State Agency	Program Name	Cash Received	Accounts Receivable	Unearned Income	Total	Total Program Expenditures
<u>State Department of Education</u>						
Direct Programs:						
	AB104 - Adult Education Consortium Block Grant	\$ 1,046,678	\$ -	\$ 493,250	\$ 553,428	\$ 553,428
	Total direct programs	1,046,678	-	493,250	553,428	553,428
Passed through California Community College Chancellor's Office:						
	CA Apprenticeship Grant	71,204	-	-	71,204	71,204
	Deputy Sector Navigator (DSN)	111,369	80,083	-	191,452	191,452
	Industry Sector Proj in Common	90,321	-	-	90,321	90,321
	Instructional Supplies and Materials	663,917	-	401,932	261,985	261,985
	Instructional Equipment and Library	649,391	-	-	649,391	649,391
	Total passed through California Community Colleges Chancellor's Office	1,586,202	80,083	401,932	1,264,353	1,264,353
Passed through Umoja Community Education Foundation:						
	Umoja Community Education Foundation Grant	32,000	-	18,650	13,350	13,350
	Total passed through Umoja Community Education Foundation	32,000	-	18,650	13,350	13,350
	Total State Department of Education	2,664,880	80,083	913,832	1,831,131	1,831,131
<u>California Community Colleges Chancellor's Office:</u>						
Direct Programs:						
	Basic Skills	1,022,699	-	241,235	781,464	781,464
	EOPS Category A	2,462,384	-	30,345	2,432,039	2,432,039
	EOPS CARE Support	228,100	-	-	228,100	228,100
	DSPS Programs and Services	1,902,895	-	-	1,902,895	1,902,895
	California Work Opportunity and Responsibility for Kids (Calworks)	500,011	-	-	500,011	500,011
	Matriculation Assessment	3,369,029	-	259,214	3,109,815	3,109,815
	Matriculation Non Credit	91,113	-	25,843	65,270	65,270
	Temporary Cash Assistance for Needy Family (TANF)	86,411	-	-	86,411	86,411
	Nursing Education	200,190	-	-	200,190	200,190
	Guided Pathways Project	513,011	-	235,653	277,358	277,358
	Food Security-Hunger Free	158,725	-	139,902	18,823	18,823
	Strong Workforce	2,285,162	-	603,245	1,681,917	1,681,917
	Staff Diversity	100,294	-	66,564	33,730	33,730
	BFAP Financial Aid Allowance	907,275	-	153,799	753,476	753,476
	Student Equity	2,162,619	-	273,756	1,888,863	1,888,863
	Non Resident Dreamer Aid	6,423	-	-	6,423	6,423
	Veteran Resource Center	247,428	-	175,912	71,516	71,516
	Proposition 39 Program Improvement Funding	28,782	-	-	28,782	28,782
	California Promise Program	601,518	-	521,382	80,136	80,136
	Mental Health	141,206	-	110,737	30,469	30,469
Passed through Grossmont CCD:						
	Work Based Learning Program	70,000	10,000	59,562	20,438	20,438
	Basic Skills Partnership Pilot	47,277	-	-	47,277	47,277
Passed through San Diego CCD:						
	Innovation & Effectiveness Grant	83,069	-	29,642	53,427	53,427
	Total California Community Colleges Chancellor's Office	17,215,621	10,000	2,926,791	14,298,830	14,298,830
<u>California Governor's Office of Business and Economic Development:</u>						
Direct Programs:						
	Go-Biz	530,102	707,230	-	1,237,332	1,237,332
	Technical Assistance Expansion Program	225,413	519,434	-	744,847	744,847
	Total California Governor's Office of Business and Economic Development	755,515	1,226,664	-	1,982,179	1,982,179
<u>California Department of Boating and Waterways:</u>						
Direct Programs:						
	Aquatic Center Grant	95,648	-	27,437	68,211	68,211
	Total California Department of Boating and Waterways	95,648	-	27,437	68,211	68,211
Total State Programs		\$ 20,731,664	\$ 1,316,747	\$ 3,868,060	\$ 18,180,351	\$ 18,180,351

Southwestern Community College District
Budget Comparison Schedule - General Fund
For the Year Ended June 30, 2019

	General Fund - Unrestricted			General Fund-Restricted		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
REVENUES:						
Federal	\$ 216,600	\$ 257,016	\$ 40,416	\$ 3,450,310	\$ 4,137,364	\$ 687,054
State	65,269,156	67,551,428	2,282,272	17,760,006	18,572,188	812,182
Local	35,196,325	37,083,213	1,886,888	4,928,565	3,542,164	(1,386,401)
Total revenues	<u>100,682,081</u>	<u>104,891,657</u>	<u>4,209,576</u>	<u>26,138,881</u>	<u>26,251,716</u>	<u>112,835</u>
EXPENDITURES:						
Salaries	65,176,041	67,473,734	(2,297,693)	13,815,942	14,353,459	(537,517)
Employee benefits	21,116,611	23,288,802	(2,172,191)	3,784,195	4,531,310	(747,115)
Payments to students	175,000	69,185	105,815	1,607,692	1,200,440	407,252
Supplies, materials, and other expenses	12,704,007	9,159,276	3,544,731	6,893,779	7,354,117	(460,338)
Utilities	2,510,422	2,988,899	(478,477)	37,273	9,634	27,639
Total expenditures	<u>101,682,081</u>	<u>102,979,896</u>	<u>(1,297,815)</u>	<u>26,138,881</u>	<u>27,448,960</u>	<u>(1,310,079)</u>
REVENUES OVER (UNDER) EXPENDITURES	<u>(1,000,000)</u>	<u>1,911,761</u>	<u>2,911,761</u>	<u>-</u>	<u>(1,197,244)</u>	<u>(1,197,244)</u>
OTHER FINANCING SOURCES (USES):						
Transfers in	-	206,558	206,558	-	1,154,439	1,154,439
Transfers out	-	(1,128,751)	(1,128,751)	-	(232,246)	(232,246)
Total other financing sources (uses)	<u>-</u>	<u>(922,193)</u>	<u>(922,193)</u>	<u>-</u>	<u>922,193</u>	<u>922,193</u>
CHANGES IN FUND BALANCES	<u>\$ (1,000,000)</u>	<u>989,568</u>	<u>\$ 1,989,568</u>	<u>\$ -</u>	<u>(275,051)</u>	<u>\$ (275,051)</u>
FUND BALANCES:						
Beginning of year		18,896,332			1,303,175	
End of year		<u>\$ 19,885,900</u>			<u>\$ 1,028,124</u>	

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APPENDIX D

FORM OF CONTINUING DISCLOSURE UNDERTAKING

This Continuing Disclosure Undertaking (this “Disclosure Undertaking”) is executed and delivered by Southwestern Community College District (the “District”) as of August 5, 2020 in connection with the execution and delivery of its (i) Election of 2008, General Obligation Bonds, Series 2020E-1 (Federally Taxable), (ii) Election of 2008, General Obligation Bonds, Series 2020E-2 (Tax-Exempt), (iii) Election of 2016, General Obligation Bonds, Series 2020B-1 (Federally Taxable), (iv) Election of 2016, General Obligation Bonds, Series 2020B-2 (Tax-Exempt) and (v) 2020 General Obligation Refunding Bonds (Federally Taxable) (collectively, the “Bonds”). The Bonds are being issued pursuant to Resolutions adopted by the Governing Board of the District on June 9, 2020 (the “Resolution”). Capitalized terms used but not defined herein shall have the meanings ascribed thereto in the respective Resolution.

In consideration of the execution and delivery of the Bonds by the District and the purchase of such Bonds by the Underwriters described below, the District hereby covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Undertaking. This Disclosure Undertaking is being executed and delivered by the District for the benefit of the Bondholders and in order to assist the Participating Underwriters in complying with Rule 15c2-12(b)(5) (the “Rule”) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as amended.

SECTION 2. Additional Definitions. In addition to the above definitions and the definitions set forth in the Resolution, the following capitalized terms shall have the following meanings:

“Annual Report” shall mean any Annual Report provided by the District pursuant to, and as described in, Sections 4 and 5 of this Disclosure Undertaking.

“Bondholder” or “Holder” means any holder of the Bonds or any beneficial owner of the Bonds so long as they are immobilized with DTC.

“Commission” means the Securities and Exchange Commission.

“Dissemination Agent” shall mean KNN Public Finance or any alternate or successor dissemination agent, designated in writing by the Superintendent/President or the Assistant Superintendent/Vice President for Business and Financial Affairs (or otherwise by the District), which Dissemination Agent has evidenced its acceptance in writing.

“Financial Obligation” as used in this Disclosure Undertaking is defined in the Rule as (i) a debt obligation; (ii) derivative instrument entered into in connection with, or pledged as a security or a source of payment for, an existing or planned debt obligation; or (iii) guarantee of (i) or (ii). The term “Financial Obligation” shall not include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

“Listed Event” means any of the events listed in Section 6 of this Disclosure Undertaking.

“MSRB” shall mean the Municipal Securities Rulemaking Board, through its Electronic Municipal Market Access (“EMMA”) website located at <http://emma.msrb.org>, or any other entity designated or authorized by the Commission.

“Participating Underwriters” shall mean RBC Capital Markets, Morgan Stanley & Co. LLC, and Mischler Financial Group, Inc., as the original underwriters of the Bonds required to comply with the Rule in connection with the offering of the Bonds.

SECTION 3. CUSIP Numbers and Final Official Statement. The CUSIP Numbers for the Bonds have been assigned. The Final Official Statement relating to the Bonds is dated July 22, 2020.

SECTION 4. Provision of Annual Reports.

(a) The District shall, or shall cause the Dissemination Agent (if other than the District), not later than nine months after the end of the District’s fiscal year (currently ending June 30), commencing on or prior to March 31, 2021 with the report for the fiscal year ending June 30, 2020, to provide to the MSRB, in a format prescribed by the MSRB, an Annual Report that is consistent with the requirements of Section 5 of this Disclosure Undertaking. As of the date of this Certificate, the format prescribed by the MSRB is the Electronic Municipal Market Access system. Information regarding requirement for submissions to EMMA is available at <http://emma.msrb.org>.

The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 5 of this Disclosure Undertaking; provided that the audited financial statements of the District may be submitted, when and if available, separately from the balance of the relevant Annual Report. If the District does not have audited financial statements available when it submits the relevant Annual Report, it shall submit unaudited financial statements, as described in Section 5(a) below.

(b) Not later than 15 Business Days prior to the filing date required in paragraph (a) above for providing the Annual Report to the MSRB, the District shall provide the Annual Report to the Dissemination Agent (if other than the District). If the District is unable to provide to the MSRB an Annual Report by the date required in paragraph (a) above, the District shall send a notice to the MSRB in substantially the form attached as Exhibit A.

(c) The Dissemination Agent (if other than the District) shall:

- (i) determine each year prior to the date for providing the Annual Report the format for filing with the MSRB; and
- (ii) file a report with the District certifying that the Annual Report has been provided pursuant to this Disclosure Undertaking, stating the date it was provided to the MSRB.

SECTION 5. Content of Annual Report. The District’s Annual Report shall contain or incorporate by reference the following:

(a) Audited financial statements of the District for the preceding fiscal year, prepared in conformity with generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board and the American Institute of Certified Public Accountants. If audited financial information is not available by the time the Annual Report is required to be filed pursuant to Section 4(a) hereof, the financial information included in the Annual Report may be unaudited, and the District will provide audited financial information to the MSRB as soon as practical after it has been made available to the District.

(b) Operating data, including the following information with respect to the District's preceding fiscal year (to the extent not included in the audited financial statements described in paragraph (a) above):

- (i) State funding received by the District for the last completed fiscal year;
- (ii) Outstanding District indebtedness;
- (iii) Secured *ad valorem* tax delinquencies, if the County is no longer on the Teeter Plan;
- (iv) Full-time equivalent students, or equivalent information, as may be reasonably available;
- (v) Summary financial information on revenues, expenditures and fund balances for the District's general fund reflecting adopted budget for the current fiscal year; and
- (vi) Assessed valuations.

(c) Any or all of the items listed above may be incorporated by reference from other documents, including official statements of debt issues of the District or related public entities, which have been submitted to the MSRB or to the Commission. If the document incorporated by reference is a final official statement, it must be available from the MSRB. The District shall clearly identify each other document so incorporated by reference.

SECTION 6. Reporting of Designated Listed Events.

(a) The District agrees to provide or cause to be provided to the MSRB notice of the occurrence of any of the following events with respect to the Bonds not later than ten (10) Business Days after the occurrence of the event:

- (i) Principal and interest payment delinquencies;
- (ii) Unscheduled draws on any debt service reserves reflecting financial difficulties;
- (iii) Unscheduled draws on any credit enhancements reflecting financial difficulties;
- (iv) Substitution of credit or liquidity providers, or their failure to perform;
- (v) Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability or of a Notice of Proposed Issue (IRS Form 5701 TEB);
- (vi) Tender offers;
- (vii) Defeasances;
- (viii) Rating changes;
- (ix) Bankruptcy, insolvency, receivership or similar event of the District; or

(x) Default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of the District, any of which reflect financial difficulties.

For purposes of item (ix) above, the described event shall be deemed to occur when any of the following shall occur: the appointment of a receiver, fiscal agent or similar officer for the District in a proceeding under the United States Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or other governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority have supervision or jurisdiction over substantially all of the assets or business of the District.

(b) The District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds, if material, not later than ten (10) business days after the occurrence of the event:

(i) Unless described in paragraph 6(a)(v) hereof, other material notices or determinations with respect to the tax status of the Bonds or other material events affecting the tax status of the Bonds;

(ii) Modifications to rights of Owners;

(iii) Optional, unscheduled or contingent Bond calls;

(iv) Release, substitution or sale of property securing repayment of the Bonds, if applicable;

(v) Non-payment related defaults;

(vi) The consummation of a merger, consolidation, or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms;

(vii) Appointment of a successor or additional Paying Agent or the change of name of a Paying Agent; or

(viii) Incurrence of a Financial Obligation, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation, any of which affect security holders.

(c) The District shall give, or cause to be given, in a timely manner, notice of a failure to provide the annual financial information on or before the date specified in Section 4 hereof, as provided in Section 4(b) hereof.

(d) If the District determines that the occurrence of a Listed Event described in Section 6(b) hereof is material under applicable federal security laws, the District shall within ten (10) business days of occurrence file a notice of such occurrence with the MSRB in electronic format, accompanied by such identifying information as is prescribed by the MSRB. Notwithstanding the foregoing, notice of the

Listed Event described in subsections (a)(vii) or (b)(iii) need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to Holders of affected Bonds pursuant to the Resolution.

SECTION 7. Termination of Reporting Obligation. The District's obligations under this Disclosure Undertaking shall terminate when the District is no longer an obligated person with respect to the Bonds, as provided in the Rule, upon the defeasance, prior redemption or payment in full of all of the Bonds.

SECTION 8. Dissemination Agent. The Superintendent/President or Assistant Superintendent/Vice President for Business and Financial Affairs may, from time to time, appoint or engage an alternate or successor Dissemination Agent to assist in carrying out the District's obligations under this Disclosure Undertaking, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. If at any time there is no other designated Dissemination Agent in place, the District shall act as the Dissemination Agent.

The Dissemination Agent, if other than the District, shall be paid compensation for its services provided hereunder, and reimbursement for its costs and expenses. The Dissemination Agent shall not be responsible for the form or content of any document provided by the District hereunder.

SECTION 9. Amendment. Notwithstanding any other provision of this Disclosure Undertaking, the District may amend this Disclosure Undertaking under the following conditions, provided no amendment to this Disclosure Undertaking shall be made that affects the rights, duties or obligations of the Dissemination Agent without its written consent:

(a) The amendment may be made only in connection with a change in circumstances that arises from a change in legal requirements, change in law or change in the identity, nature or status of the obligated person, or type of business conducted;

(b) This Disclosure Undertaking, as amended, would have complied with the requirements of the Rule at the time of the primary offering of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(c) The amendment does not materially impair the interests of Holders, as determined either by parties unaffiliated with the District or another obligated person (such as the Bond Counsel) or by the written approval of the Bondholders; provided, that the Annual Report containing the amended operating data or financial information shall explain, in narrative form, the reasons for the amendment and the impact of the change in the type of operating data or financial information being provided.

SECTION 10. Additional Information. If the District chooses to include any information from any document or notice of occurrence of a Material Event in addition to that which is specifically required by this Disclosure Undertaking, the District shall have no obligation under this Disclosure Undertaking to update such information or to include it in any future disclosure or notice of occurrence of a Designated Material Event.

Nothing in this Disclosure Undertaking shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Undertaking or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Designated Material Event, in addition to that which is required by this Disclosure Undertaking.

SECTION 11. Default. The District shall give notice to the MSRB of any failure to provide the Annual Report when the same is due hereunder, which notice shall be given prior to July 1 of that year. In the event of a failure of the District to comply with any provision of this Disclosure Undertaking, any Bondholder may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Undertaking. A default under this Disclosure Undertaking shall not be deemed an event of default under the Resolution, and the sole remedy under this Disclosure Undertaking in the event of any failure of the District to comply with this Disclosure Undertaking shall be an action to compel performance.

SECTION 12. Beneficiaries. This Disclosure Undertaking shall inure solely to the benefit of the District, the Dissemination Agent, the Underwriters and Holders from time to time of the Bonds, and shall create no rights in any other person or entity.

SECTION 13. Record Keeping. The District shall maintain records of all Annual Reports and notices of material Listed Events including the content of such disclosure, the names of the entities with whom the such disclosure were filed and the date of filing such disclosure.

SECTION 14. Governing Law. This Disclosure Undertaking shall be governed by the laws of the State of California, applicable to contracts made and performed in such State of California.

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IN WITNESS WHEREOF, Southwestern Community College District has executed this Continuing Disclosure Undertaking as of the date first set forth herein.

SOUTHWESTERN COMMUNITY COLLEGE
DISTRICT

By: _____
Assistant Superintendent/Vice President for
Business and Financial Affairs

EXHIBIT A

NOTICE TO REPOSITORIES OF FAILURE TO FILE ANNUAL REPORT

Name of Issuer: Southwestern Community College District (San Diego County, California)

Name of Issues: \$1,860,000 Election of 2008, General Obligation Bonds, Series 2020E-1 (Federally Taxable)
\$23,140,000 Election of 2008, General Obligation Bonds, Series 2020E-2 (Tax-Exempt)
\$1,485,000 Election of 2016, General Obligation Bonds, Series 2020B-1 (Federally Taxable)
\$28,515,000 Election of 2016, General Obligation Bonds, Series 2020B-2 (Tax-Exempt)
\$56,530,000 2020 General Obligation Refunding Bonds (Federally Taxable)

Date of Issuance: August 5, 2020

NOTICE IS HEREBY GIVEN that the above-named Issuer has not provided an Annual Report with respect to the above-named Bonds as required by Section 4(a) of the Disclosure Undertaking dated as of _____, 2020. The Issuer anticipates that the Annual Report will be filed by _____.

Dated: _____

[ISSUER/DISSEMINATION AGENT]

By: _____

APPENDIX E

BOOK-ENTRY ONLY SYSTEM

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy or completeness thereof. The District cannot and does not give any assurances that DTC, DTC Participants or Indirect Participants will distribute to the Beneficial Owners (a) payments of interest, principal or premium, if any, with respect to the Bonds, (b) Bonds representing ownership interest in or other confirmation or ownership interest in the Bonds, or (c) redemption or other notices sent to DTC or Cede & Co., its nominee, as the registered owner of the Bonds, or that they will so do on a timely basis or that DTC, DTC Participants or DTC Indirect Participants will act in the manner described in this Official Statement. The current "Rules" applicable to DTC are on file with the Securities and Exchange Commission and the current "Procedure" of DTC to be followed in dealing with DTC Participants are on file with DTC.

General

The Depository Trust Company ("DTC") will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for each maturity of the Bonds, each in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.6 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation, and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has an S&P Global Ratings' rating of "AA+". The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com. *The foregoing internet address is included for reference only, and the information on this internet site is not incorporated by reference herein.*

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their

purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not affect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, defaults, and proposed amendments to the Bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District (or the Paying Agent on behalf thereof) as soon as possible after the Record Date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the Record Date (identified in a listing attached to the Omnibus Proxy).

Principal, premium, if any and interest payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the District or Paying Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Paying Agent, or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal, premium, if any, and interest payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or the Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the District or the Paying Agent. Under such circumstances, in the event that a successor depository is not obtained, certificates for the Bonds are required to be printed and delivered in such principal amount or amounts, in authorized denominations, and registered in whatever name or names DTC shall designate.

The District may decide to discontinue use of the system of book-entry transfers through DTC (or a successor securities depository). Discontinuance of use of the system of book-entry transfers through DTC may require the approval of DTC Participants under DTC's operational arrangements. In that event, printed certificates for the Bonds will be printed and delivered in such principal amount or amounts, in authorized denominations, and registered in whatever name or names DTC shall designate.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy thereof.

Discontinuation of Book-Entry Only System; Payment to Beneficial Owners

In the event that the book-entry system described above is no longer used with respect to the Bonds, the following provisions will govern the payment, transfer and exchange of the Bonds.

The principal of the Bonds and any premium and interest upon the redemption thereof prior to maturity will be payable in lawful money of the United States of America upon presentation and surrender of the Bonds at the office of the Paying Agent, initially located in Los Angeles, California. Interest on the Bonds will be paid by the Paying Agent by check or draft mailed to the person whose name appears on the registration books of the Paying Agent as the registered owner, and to that person's address appearing on the registration books as of the close of business on the Record Date. At the written request of any registered owner of at least \$1,000,000 in aggregate principal, payments shall be wired to a bank and account number on file with the Paying Agent as of the Record Date.

Any Bond may be exchanged for a Bond of any authorized denomination of like tenor upon presentation and surrender at the office of the Paying Agent, initially located in Los Angeles, California, together with a request for exchange signed by the registered owner or by a person legally empowered to do so in a form satisfactory to the Paying Agent. A Bond may be transferred only on the Bond registration books upon presentation and surrender of the Bond at such office of the Paying Agent together with an assignment executed by the registered owner or by a person legally empowered to do so in a form satisfactory to the Paying Agent. Upon exchange or transfer, the Paying Agent shall complete, authenticate and deliver a new Bond or Bonds of any authorized denomination or denominations requested by the owner equal in the aggregate to the unmatured principal amount of the Bond surrendered and bearing interest at the same rate and maturing on the same date.

Neither the District nor the Paying Agent will be required to exchange or transfer any Bond during the period from the Record Date through the next Interest Payment Date.

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APPENDIX F

THE SAN DIEGO COUNTY INVESTMENT POOL

The following information concerning the Treasury Pool of San Diego County (the "Treasury Pool") has been provided by the Treasurer and has not been confirmed or verified by the District or the Underwriters. No representation is made herein as to the accuracy or adequacy of such information or as to the absence of material adverse changes in such information subsequent to the date hereof, or that the information contained or incorporated hereby by reference is correct as of any time subsequent to its date.

County of San Diego County Investment Pool general information and portfolio statistics can be found at <http://www.sdttc.com/content/ttc/en/treasury/financial-reports.html>. The foregoing internet address is included for reference only, and the information on such internet site is not incorporated by reference herein.

In accordance with Government Code Section 53600 et seq., the Treasurer manages funds deposited with it by the District. The County is required to invest such funds in accordance with California Government Code Sections 53635 et seq. In addition, counties are required to establish their own investment policies which may impose limitations beyond those required by the Government Code.

All investments in the Treasurer's investment portfolio conform to the statutory requirements of Government Code Section 53635 et seq., authorities delegated by the County Board of Supervisors and the Treasurer's investment policy.

General

Pursuant to a resolution adopted July 8, 1958, the Board of Supervisors delegated to the County Treasurer the authority to invest and reinvest funds of the County. Applicable law limits this delegation of authority to a one-year period and must be renewed annually by action of the Board of Supervisors. In addition to funds of the County funds of certain local agencies within the County, including school districts in the County, are required under state law to be deposited into County Treasury ("Involuntary Depositors"). In addition, certain agencies, such as cities and special districts, invest certain of their funds in the County Treasury on a voluntary basis ("Voluntary Depositors" and together with the Involuntary Depositors, the "Depositors"). Deposits made by the County and the various local agencies are commingled in a pooled investment fund (the "Treasury Pool" or the "Pool"). No particular deposits are segregated for separate investment.

Under State law, Depositors in the Pool are permitted to withdraw funds which they have deposited on 30 days' notice. The County does not expect that the Pool will encounter liquidity shortfalls based on its current portfolio and investment guidelines or realize any losses that may be required to be allocated among all Depositors in the Pool.

The County has established an Oversight Committee pursuant to State law. The members of the Oversight Committee include the County Treasurer, the County Auditor–Controller, the County Superintendent of Schools or designee, a representative from the special districts, a representative from the school districts and community college districts in the County, and members of the public. The role of the Oversight Committee is to review and approve the Investment Policy that is prepared by the County Treasurer.

The Treasury Pool's Portfolio

As of June 30, 2020, the securities in the Treasury Pool had a market value of \$10,333,403,151 and a book value of \$10,191,372,698, for a net unrealized gain of \$142,030,454 of the book value of the Treasury Pool.

The effective duration for the Treasury Pool was 1.00 years as of June 30, 2020. "Duration" is a measure of the price volatility of the portfolio and reflects an estimate of the projected increase or decrease in the value of the portfolio based upon a decrease or increase in interest rates. A duration of 1.00 means that for every one percent increase in interest rates the market value of the portfolio would decrease by 1.00%.

As of June 30, 2020, approximately 8.68% of the total funds in the Pool were deposited by Voluntary Depositors, such as cities and fire districts, 8.00% by community colleges, 39.63% by the County, 1.17% by the Non-County and 42.52% by K-12 school districts.

Fitch Ratings maintains ratings of "AAAF" (highest underlying credit quality) and "S1" (very low sensitivity to market risk) on the Pool. The ratings reflect only the view of the rating agency and any explanation of the significance of such ratings may be obtained from such rating agency as follows: Fitch Ratings, Inc., 33 Whitehall Street, New York, New York 10004.

Investments of the Treasury Pool

Authorized Investments: Investments of the Pool are placed in those securities authorized by various sections of the California Government Code, which include obligations of the United States Treasury, Agencies of the United States Government, local and State bond issues, bankers acceptances, commercial paper of prime quality, certificates of deposit (both collateralized and negotiable), repurchase and reverse repurchase agreements, medium term corporate notes, shares of beneficial interest in diversified management companies (mutual funds), asset backed (including mortgage related), pass-through securities, and specific Supranational debt securities

Legislation which would modify the currently authorized investments and place restrictions on the ability of municipalities to invest in various securities is considered from time to time by the California State Legislature. At all times, the Pool's investments will comply with California Government Code and the County's Investment Policy (the "Investment Policy").

The Investment Policy currently states the primary goals of the County Treasurer when investing public funds to be as follows: the primary objective is to safeguard the principal of the funds under the County Treasurer's control, the secondary objective is to meet the liquidity needs of the Pool Participants, and the third objective is to achieve an investment return on the funds under the control of the County Treasurer within the parameters of prudent risk management. The Investment Policy contains a requirement that at least 35% of the Pool should be invested in securities maturing in one year or less, with the remainder of the portfolio being invested in debt securities with maturities spread over more than one year to five years. Furthermore, at least 15% of the securities must mature within 90 days. The maximum effective duration for the Pool shall be 2.0 years.

Certain Information Relating to Pool

The following reflects information with respect to the Pool as of the close of business June 30, 2020. As described above, a wide range of investments is authorized by state law. Therefore, there can be no assurances that the investments in the Pool will not vary significantly from the investments described below. In addition, the value of the various investments in the Pool will fluctuate on a daily basis as a result of a multitude of factors, including generally prevailing interest rates and other economic

conditions. Therefore, there can be no assurance that the values of the various investments in the Pool will not vary significantly from the values described below. In addition, the values specified in the following table were based upon estimates of market values provided to the County by a third party. Accordingly, there can be no assurance that if these securities had been sold on June 30, 2020, the Pool necessarily would have received the values specified.

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COUNTY OF SAN DIEGO INVESTMENT POOL TREASURY INVESTMENT RESULTS

**JUNE
2020**

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Note: The Information provided, including all charts, tables, graphs and numerical representations, are provided to readers solely as a general overview of the economic and market conditions which the Treasurer utilizes in making investment decisions.

SUMMARY PORTFOLIO STATISTICS

County of San Diego Pooled Money Fund

As of June 30, 2020

Investment Type	Par Value	Book Value	Market Value	% of Portfolio	Market Price	WAM Days	YTM	Accrued Interest	Unrealized Gain/Loss
Asset Backed Securities	827,923,574	828,653,323	841,701,493	8.13	101.664	1032	2.12	1,173,785	13,048,171
Commercial Paper	2,030,000,000	2,028,019,985	2,029,637,650	19.90	99.982	45	1.24	-	1,617,665
Federal Agency Securities	1,853,853,000	1,859,470,461	1,906,249,137	18.25	102.826	1116	1.67	7,379,119	46,778,677
Medium-Term Notes	1,016,597,000	1,018,411,932	1,038,249,252	9.99	102.130	585	2.33	8,525,439	19,837,320
Municipal Bonds	76,535,000	76,998,608	79,188,658	0.76	103.467	944	1.90	523,766	2,190,050
Negotiable CDs	2,210,000,000	2,210,000,000	2,213,172,700	21.69	100.144	92	1.28	13,888,182	3,172,700
Supranational Securities	1,057,415,000	1,063,261,443	1,101,660,959	10.43	104.184	1175	2.14	7,703,183	38,399,516
U.S. Treasuries	500,000,000	502,805,164	519,791,520	4.93	103.984	1049	1.50	2,150,812	16,986,356
Money Market Funds	601,192,171	601,192,171	601,192,171	5.90	100.000	1	0.24	299,330	-
Bank Deposit	534,455	534,455	534,455	0.01	100.000	1	0.00	-	-
Sweep Fund	2,025,156	2,025,156	2,025,156	0.02	100.000	1	0.00	-	-
Totals for June 2020	10,176,075,356	10,191,372,698	10,333,403,151	100.00	101.558	556	1.56	41,643,615	142,030,454
Totals for May 2020	11,155,046,083	11,168,259,850	11,310,979,395	100.00	101.409	516	1.64	42,191,270	142,719,545
Change from Prior Month	(978,970,727)	(976,887,152)	(977,576,244)		0.149	40	-0.08	(547,656)	(689,091)
Portfolio Effective Duration	1.00 years								

Return Information	Monthly Return	Annualized	Fiscal Year To Date Return	Annualized	Calendar Year To Date Return	Annualized
Book Value	0.134%	1.629%	2.060%	2.055%	0.934%	1.874%

Notes

Yield to maturity (YTM) is the estimated rate of return on a bond given its purchase price, assuming all coupon payments are made on a timely basis and reinvested at this same rate of return to the maturity date.

Weighted Average Maturity (WAM) is average time it takes for securities in a portfolio to mature, weighted in proportion to the dollar amount that is invested in the portfolio.

Yields for the portfolio are aggregated based on the book value of each security.

Monthly Investment Returns are reported gross of fees. Administration fees since fiscal year 17-18 have averaged approximately 7 basis points per annum.

**All Investments held during the month of June 2020 were in compliance with the Investment Policy dated January 1, 2020.

PROJECTED LIQUIDITY

County of San Diego Pooled Money Fund

As of June 30, 2020

(\$000)

	Jul-20	Aug-20	Sep-20	Oct-20	Nov-20	Dec-20
Beginning Pool Book Balance	10,191,373	8,786,926	8,364,153	8,106,507	8,164,582	8,263,977
Inflows						
Investment Inflows	1,630,511	1,003,738	655,000	395,000	265,000	217,594
Projected Credits	885,399	1,255,183	894,050	1,213,125	1,310,675	3,398,450
	2,515,910	2,258,921	1,549,050	1,608,125	1,575,675	3,616,044
Outflows						
Investment Purchases	150,000	-	-	-	-	-
Projected Debits	2,289,846	1,677,956	1,151,696	1,155,050	1,211,280	1,738,932
	2,439,846	1,677,956	1,151,696	1,155,050	1,211,280	1,738,932
Net Cash Flows	(1,404,447)	(422,773)	(257,646)	58,075	99,395	1,659,518
MONTH END POOL BALANCE	8,786,926	8,364,153	8,106,507	8,164,582	8,263,977	9,923,495
PROJECTED MONTH END LIQUIDITY	\$ 864,301	\$ 1,445,266	\$ 1,842,620	\$ 2,295,695	\$ 2,660,090	\$ 4,537,202

Note: The above is not meant to be a complete Cash Flow Statement. The data represents a subset of the main cash flow items and does not include accrued interest or other adjustment items.

The projected cash flows indicate sufficient liquidity to meet all scheduled expenditures for the next 6 months.

PARTICIPANT CASH BALANCES

County of San Diego Pooled Money Fund

As of June 30, 2020

(\$000)

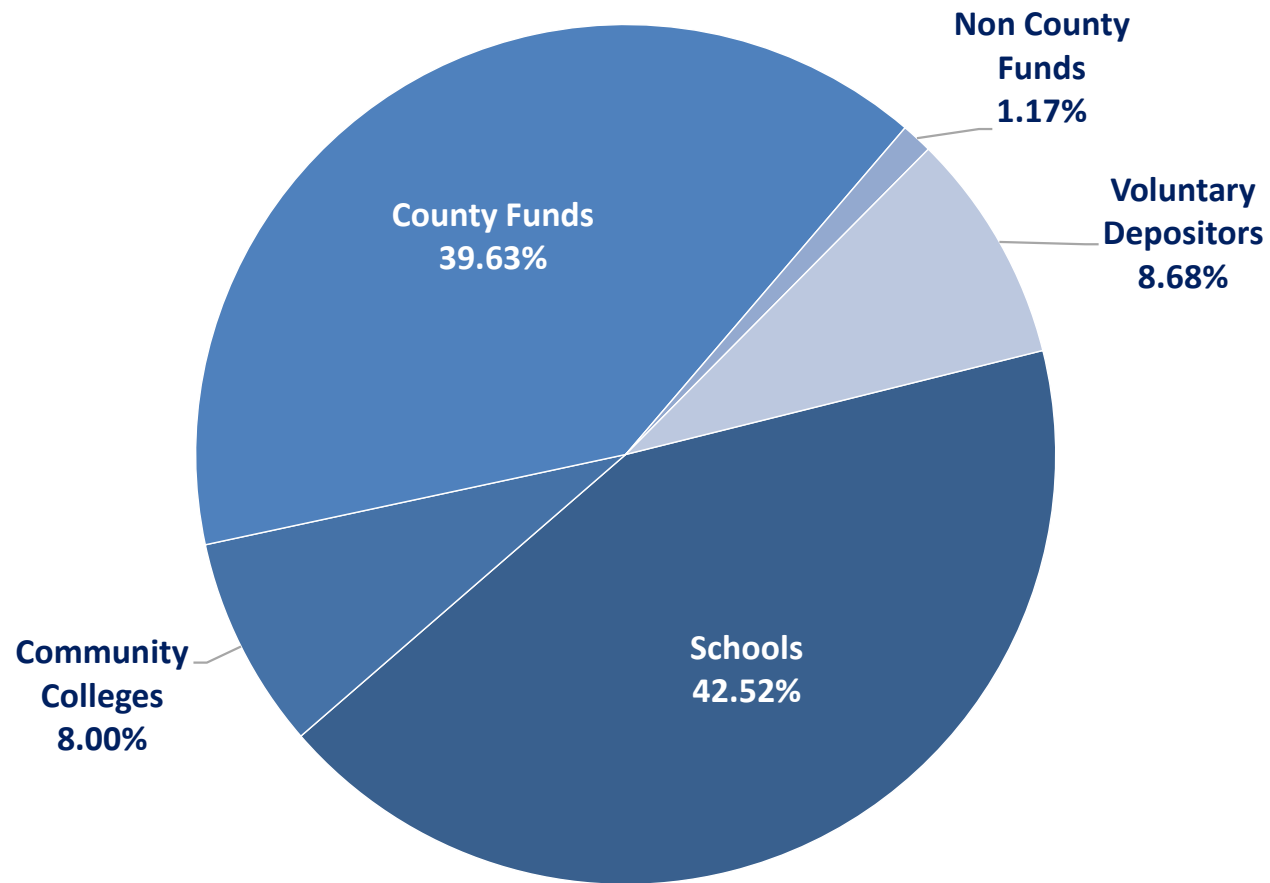
PARTICIPANT	FMV 04/30/20	FMV 05/31/20	FMV 06/30/20	% of Total
COUNTY	\$ 1,500,287	\$ 1,453,312	\$ 1,012,375	9.80%
COUNTY - SPECIAL TRUST FUNDS	3,306,777	3,065,183	3,082,718	29.83%
NON-COUNTY INVESTMENT FUNDS	126,756	117,785	120,957	1.17%
SCHOOLS - (K THRU 12)	5,320,217	5,000,605	4,393,500	42.52%
COMMUNITY COLLEGES				
San Diego	203,980	186,939	180,682	1.76%
Grossmont-Cuyamaca	166,237	140,871	149,558	1.45%
MiraCosta	136,524	121,982	116,985	1.13%
Palomar	249,042	232,548	239,406	2.32%
Southwestern	147,528	139,991	139,831	1.35%
Total Community Colleges	903,311	822,332	826,463	8.00%
FIRST 5 COMMISSION				
SANCAL	48,021	45,208	46,374	
SDCERA	3,895	3,893	3,919	
	2,175	7,323	7,774	
CITIES				
Chula Vista	35,685	35,664	35,889	
Coronado	20,934	20,922	41,386	
Del Mar	2,763	2,762	2,778	
El Cajon	5,171	5,168	5,198	
Encinitas	4,191	4,188	4,212	
National City	36,254	36,233	36,442	
Oceanside	0	0	0	
INDEPENDENT AGENCIES				
Alpine FPD	2,774	2,612	2,413	
Bonita-Sunnyside FPD	7,054	6,505	6,620	
Borrego Springs FPD	1,692	1,647	1,648	
Canebrake County Water District	54	54	55	
Deer Springs FPD	12,827	11,722	11,961	
Fallbrook Public Utility District	16	16	0	
Grossmont Healthcare District	2	2	2	
Julian-Cuyamaca FPD	498	503	514	

PARTICIPANT	FMV 04/30/20	FMV 05/31/20	FMV 06/30/20	% of Total
Lake Cuyamaca Rec & Park District	38	38	39	
Lakeside FPD	10,702	11,799	11,356	
Leucadia Wastewater District	3,970	3,967	3,990	
Lower Sweetwater FPD	831	781	793	
Metropolitan Transit System	38,242	37,908	39,348	
Mission Resource Conservation District	118	119	120	
North County Transit District	0	0	20,261	
North County Cemetery District	6,725	6,667	6,713	
North County Dispatch	4,517	4,535	4,926	
North County FPD	5,711	5,020	4,268	
Otay Water District	291	291	5,155	
Pomerado Cemetery District	2,137	2,148	2,113	
Public Agencies Self-Insurance System	3,617	3,615	3,636	
Ramona Cemetery District	965	948	948	
Rancho Santa Fe FPD	14,845	13,873	12,672	
Rincon del Diablo Municipal Water District	4,804	4,801	5,842	
SANDAG	193,730	191,903	189,134	
SD County Regional Airport Authority	293,987	293,913	294,027	
San Diego Housing Commission	22,085	22,072	22,200	
San Diego Geographic Information Source	811	829	707	
San Diego Law Library	4,201	4,186	3,997	
San Diego Local Agency Formation Comm	1,649	1,481	1,356	
San Diego Regional Training Center	640	838	1,040	
San Dieguito River Park	808	658	575	
San Marcos FPD	1	1	1	
San Miguel Consolidated FPD	18,159	16,815	16,429	
Santa Fe Irrigation District	4,496	4,494	4,520	
Serra Cooperative Library System	2	2	2	
Upper San Luis Rey Resource Conserv Dist	70	70	71	
Vallecitos Water District	5,523	5,519	5,551	
Valley Center FPD	2,645	2,355	2,383	
Valley Center Cemetery District	487	488	491	
Valley Center Water District	22,123	21,271	22,311	
Vista FPD	3,939	3,937	3,227	
Total Voluntary Participants	856,875	851,762	897,390	8.68%
Pooled Money Fund Total	\$ 12,014,223	\$ 11,310,979	\$ 10,333,403	100.00%

INVESTMENT FUND PARTICIPANTS

San Diego Pooled Money Fund

As of June 30, 2020

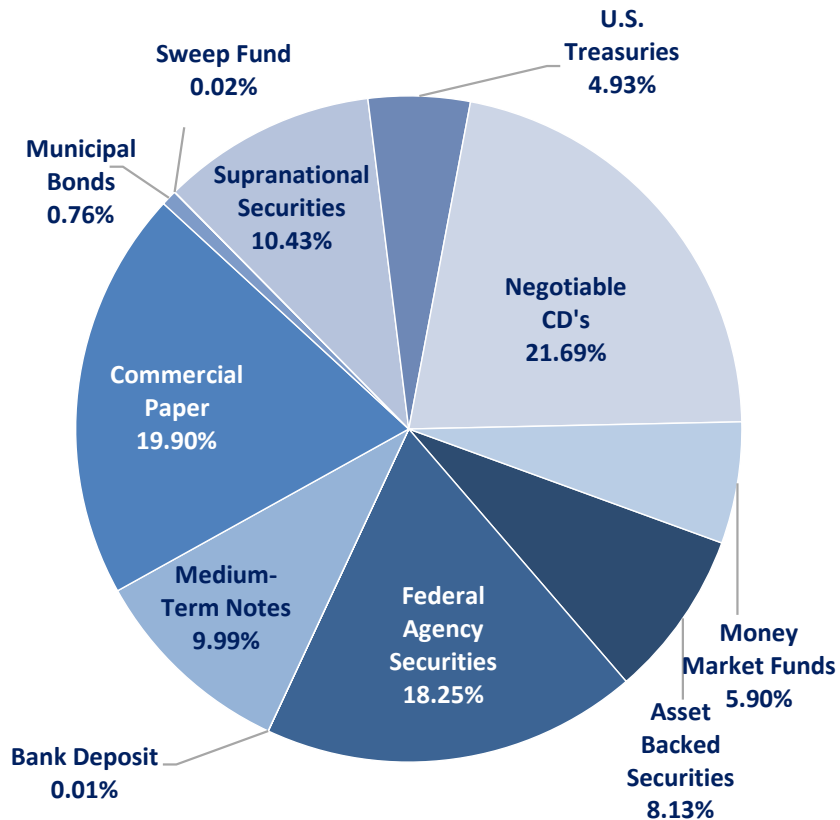


*Totals may not add to 100% due to rounding

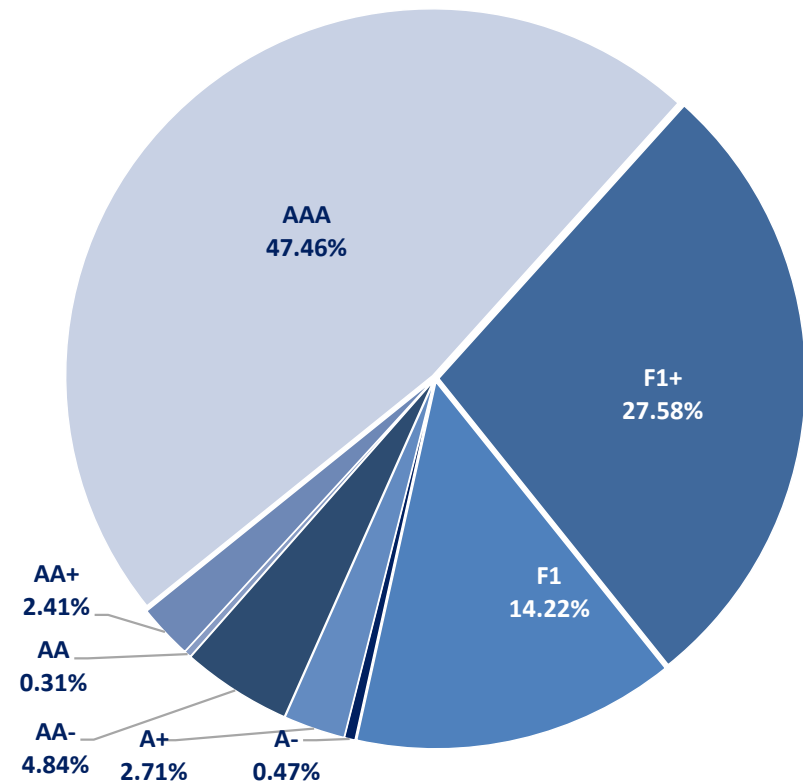
INVESTMENT FUND OVERVIEW

As of June 30, 2020

Asset Allocation



Credit Quality



*Totals may not add to 100% due to rounding



APPENDIX



INVESTMENT POLICY COMPLIANCE REPORT

County of San Diego Pooled Money Fund As of June 30, 2020

Category	Standard	Comment
Treasury Issues	No Limit	Complies - 4.9%
Agency Issues	35% per issuer	Complies - 18.2%
Local Agency Obligations	SP-1/"A" by S&P or MIG1/"A" by Moody's or F-1/"A" by Fitch minimum rating by 1 of 3 NRSROs; (ST ratings for 1 year or less; LT ratings for over 1 year) ; 30% maximum; 10% per issuer	Complies - 0.8%
Banker's Acceptance	A-1 by S&P or P-1 by Moody's or F-1 by Fitch minimum rating by 1 of 3 NRSROs; 40% maximum; 5% per issuer; 180 days max maturity	Complies
Commercial Paper	A-1/"A" by S&P or P-1/"A" by Moody's or F-1/"A" by Fitch minimum rating by 1 of 3 NRSROs; 40% maximum; 10% per issuer; 270 days max maturity	Complies - 19.9%
Medium Term Notes	A-1/"A" by S&P or P-1/"A" by Moody's or F-1/"A" by Fitch minimum rating by 1 of 3 NRSROs; (ST ratings for 1 year or less; LT ratings for over 1 year); 30% maximum; 5% per issuer	Complies - 10.0%
Negotiable Certificates of Deposit	A-1/"A" by S&P or P-1/"A" by Moody's or F-1/"A" by Fitch minimum rating by 1 of 3 NRSROs; (ST ratings for 1 year or less; LT ratings for over 1 year); 30% maximum; 10% per issuer; 5 years maximum maturity for NCDs; 13 months max maturity for FDIC insured	Complies - 21.7%
Repurchase Agreements	40% maximum; 10% per issuer if avg weighted maturity >5 days; 15% per issuer if avg weighted maturity <5 days; 1-year maximum maturity;	Complies
Reverse Repurchase Agreements	20% maximum combined with Securities Lending; 10% per issuer; 92-day maximum maturity	N/A
Collateralized Certificates of Deposit	A-1 by S&P or P-1 by Moody's, or F-1 by Fitch minimum rating; 5% maximum; 5% per issuer; 13 months maximum maturity; 110% collateral required	Complies
FDIC & NCUA Insured Deposit	5% maximum; 5% per issuer; 13 months maximum maturity; No minimum credit requirement for FDIC or NCUA insured deposit accounts	Complies - 0.0%
Covered Call Option/ Put Option	10% maximum; 90-day maximum maturity	N/A
Money Market Mutual Funds	AAAm by S&P, or Aaa-mf by Moody's, or AAAmmf by Fitch minimum rating by 1 of 3 NRSROs; 20% maximum; 10% per fund	Complies - 5.9%
Investment Trust of California - CalTRUST	2.5% maximum	Complies - 0.0%
Supranationals	A-1/"AA" by S&P or P-1/"Aa" by Moody's, or F-1/"AA" by Fitch minimum rating by 1 of 3 NRSROs; 30% maximum; 10% per issuer; USD denominated senior unsecured unsubordinated obligations issued by IBRD, IFC, and IADB	Complies - 10.4%
Pass-Through Securities	Non-mortgaged backed; "A" minimum rated issuer by 1 of 3 NRSROs; "AA" minimum rated by 1 of 3 NRSROs; 20% maximum; 5% per issuer	Complies - 8.1%
Maximum Maturity	5 years	Complies
Illiquidity Limitations	10% maximum for combined categories for Collateralized CDs and FDIC Insured Deposit Accounts	Complies
Maximum Issuer Exposure	10% per any single CP and CD issuer, and 5% per any single issuer for the other categories listed above (does not include US Government, repurchase agreements, supranationals, money market fund)	Complies
Maturity Policy - Portfolio Structure	Minimum 15% ≤ 90 days; and minimum 35% ≤ 1 year; maximum effective duration for portfolio 2 years	Complies
Prohibited Securities	Inverse floaters; Ranges notes, Interest-only strips from mortgaged backed securities; Zero interest accrual securities	Complies
Credit Rating Policy - monitoring ratings	Overall credit rating of AAAs/S1, by Fitch; Investments rated below A-1 (short term) or below the "A" category (long term), at the time of purchase, are prohibited in this policy	Complies
Securities Lending	92-day maximum maturity; 10% per counterparty; 20% maximum combined with Reverse Repurchase Agreements	N/A

*Complied at time of purchase

INVESTMENT INVENTORY - MARKET VALUE

County of San Diego Pooled Money Fund As of June 30, 2020

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM	Maturity Date	Accrued Interest	Unrealized Gain/Loss
Asset Backed Securities									
Nissan Auto Receivables Owner	04/29/2020	4,236,321.51	4,236,321.51	4,239,826.64	0.98	0.98	04/15/2021	1,695.51	3,505.13
GM Financial Securitized Term	04/22/2020	4,718,640.51	4,718,640.51	4,723,468.15	1.26	1.26	04/16/2021	1,746.90	4,827.64
Ford Credit Auto Owner Trust	05/12/2020	4,797,202.81	4,797,202.81	4,797,084.32	0.27	0.27	05/17/2021	506.43	(118.49)
Honda Auto Rec Owner Trust	04/29/2020	3,372,501.61	3,372,501.61	3,378,096.25	1.20	1.20	05/17/2021	1,660.95	5,594.64
Toyota Auto Receivables	04/29/2020	5,237,769.08	5,237,769.08	5,244,638.41	1.14	1.14	05/17/2021	2,447.08	6,869.33
Toyota Auto Receivables	03/12/2019	970,581.09	964,780.34	971,996.39	1.76	2.66	07/15/2021	12,141.17	7,216.05
Toyota Auto Receivables	11/07/2018	3,987,266.04	3,986,917.15	4,000,983.83	2.98	3.01	08/15/2021	7,931.96	14,066.68
Honda Auto Rec Owner Trust	02/27/2019	6,347,717.14	6,347,308.35	6,380,640.84	3.10	3.12	09/20/2021	70,617.34	33,332.49
Toyota Auto Receivables	02/13/2019	2,975,782.09	2,975,511.89	2,989,975.38	2.83	2.85	10/15/2021	3,742.87	14,463.49
John Deere Owner Trust	03/13/2019	4,568,593.28	4,568,384.95	4,589,385.86	2.85	2.87	12/15/2021	5,786.94	21,000.91
Toyota Auto Receivables	11/30/2018	2,371,747.91	2,332,095.25	2,385,791.98	1.93	2.97	01/18/2022	2,034.41	53,696.73
Ford Credit Auto Owner Trust	06/21/2019	6,010,693.53	6,010,504.79	6,043,689.23	2.35	2.36	02/15/2022	6,277.80	33,184.44
Honda Auto Rec Owner Trust	08/27/2019	19,125,322.31	19,123,983.54	19,258,763.51	1.90	1.91	04/15/2022	16,150.27	134,779.97
Toyota Auto Receivables	08/14/2019	7,719,482.97	7,719,124.01	7,768,808.92	2.00	2.01	04/15/2022	6,306.20	49,684.91
Harley-Davidson Motorcycle Tru	06/26/2019	3,452,795.31	3,452,752.15	3,469,507.88	2.37	2.38	05/15/2022	3,636.95	16,755.73
John Deere Owner Trust	07/24/2019	7,274,577.65	7,274,550.01	7,319,098.79	2.28	2.29	05/16/2022	7,371.57	44,548.78
BMW Vehicle Owner Trust	09/18/2019	5,744,442.06	5,744,320.85	5,782,521.39	2.05	2.06	05/25/2022	1,962.74	38,200.54
GM Financial Securitized Term	03/27/2020	3,848,196.33	3,834,667.53	3,862,337.68	2.66	2.92	06/16/2022	4,264.98	27,670.15
Hyundai Auto Receivables Trust	11/06/2019	4,798,040.92	4,797,743.93	4,832,027.84	1.93	1.94	07/15/2022	4,115.66	34,283.91
Toyota Auto Receivables	11/13/2019	19,963,286.70	19,961,811.41	20,134,781.31	1.92	1.93	07/15/2022	17,035.33	172,969.90
GM Financial Securitized Term	07/24/2019	8,736,832.82	8,736,496.45	8,786,133.02	2.23	2.24	08/16/2022	8,117.53	49,636.57
Honda Auto Rec Owner Trust	05/03/2019	15,981,172.29	16,094,788.44	16,261,418.13	2.95	2.48	08/22/2022	13,095.79	166,629.69
Nissan Auto Receivables Owner	06/30/2020	20,000,000.00	19,999,404.00	20,002,352.00	0.47	0.47	10/17/2022	261.11	2,948.00
Honda Auto Rec Owner Trust	02/26/2020	14,000,000.00	13,998,581.80	14,149,263.80	1.63	1.64	10/21/2022	6,338.92	150,682.00
Honda Auto Rec Owner Trust	05/27/2020	5,000,000.00	4,999,626.00	5,015,106.50	0.74	0.75	11/15/2022	1,644.44	15,480.50
Toyota Auto Receivables	02/12/2020	30,000,000.00	29,999,631.00	30,308,463.00	1.67	1.68	11/15/2022	22,266.65	308,832.00
GM Financial Securitized Term	03/25/2020	17,749,607.92	17,552,004.79	17,857,914.25	1.84	3.76	11/16/2022	13,607.83	305,909.46
Toyota Auto Receivables	05/03/2019	19,940,000.00	20,138,621.08	20,346,165.84	3.02	2.50	12/15/2022	26,763.77	207,544.76
Toyota Auto Receivables	08/01/2019	24,540,000.00	24,907,141.41	25,039,865.08	3.02	2.05	12/15/2022	32,938.03	132,723.67
Bank of America Corp	12/11/2018	63,738,000.00	62,450,791.17	63,861,358.53	1.84	1.67	01/17/2023	52,123.90	1,410,567.36
Harley-Davidson Motorcycle Tru	01/29/2020	6,000,000.00	5,999,697.60	6,036,193.20	1.83	1.84	01/17/2023	4,880.00	36,495.60
Citibank Credit Card Issuance	04/16/2019	28,310,000.00	28,271,720.39	28,648,092.18	2.49	2.55	01/20/2023	315,255.44	376,371.79
Ford Credit Auto Owner Trust	06/19/2020	23,000,000.00	22,998,988.00	23,007,320.90	0.50	0.50	02/15/2023	3,833.34	8,332.90
Toyota Auto Receivables	11/07/2018	15,000,000.00	14,996,755.50	15,387,006.00	3.18	3.21	03/15/2023	21,199.99	390,250.50
Honda Auto Rec Owner Trust	02/27/2019	9,750,000.00	9,749,738.70	10,017,145.12	3.11	3.13	03/20/2023	47,349.81	267,406.42
American Express Credit Accoun	04/02/2019	11,738,000.00	11,656,842.76	11,794,493.82	2.04	1.23	05/15/2023	10,642.45	137,651.06
Citibank Credit Card Issuance	03/18/2019	7,000,000.00	6,994,297.21	7,152,358.50	2.68	2.71	06/07/2023	12,506.67	158,061.29
Nissan Auto Receivables Owner	12/06/2019	9,006,000.00	9,194,914.92	9,286,650.38	3.22	1.91	06/15/2023	12,888.59	91,735.46
Honda Auto Rec Owner Trust	05/29/2019	28,500,000.00	28,498,936.95	29,354,615.25	2.52	2.54	06/21/2023	19,950.00	855,678.30
Bank of America Corp	03/20/2019	22,790,000.00	22,772,195.31	23,137,855.17	2.70	2.73	07/17/2023	27,348.00	365,659.86
Toyota Auto Receivables	02/13/2019	20,000,000.00	19,996,356.00	20,585,594.00	2.91	2.94	07/17/2023	25,866.66	589,238.00
Honda Auto Rec Owner Trust	08/27/2019	24,000,000.00	23,999,800.80	24,493,341.60	1.78	1.79	08/15/2023	18,986.76	493,540.80
Nissan Auto Receivables Owner	05/28/2019	28,000,000.00	27,993,669.20	28,817,300.40	2.50	2.52	11/15/2023	33,362.66	823,631.20

INVESTMENT INVENTORY - MARKET VALUE

County of San Diego Pooled Money Fund As of June 30, 2020

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM	Maturity Date	Accrued Interest	Unrealized Gain/Loss
American Express Credit Accoun	12/17/2018	38,000,000.00	37,881,250.00	38,878,389.00	2.99	3.14	12/15/2023	50,497.42	997,139.00
Discover Card Execution Note T	03/27/2019	30,000,000.00	30,460,546.88	30,857,586.00	3.11	2.43	01/16/2024	41,466.52	397,039.12
Toyota Auto Receivables	11/13/2019	13,500,000.00	13,499,025.30	13,853,388.15	1.92	1.93	01/16/2024	11,520.00	354,362.85
Honda Auto Rec Owner Trust	11/26/2019	22,500,000.00	22,495,990.50	23,083,161.75	1.83	1.85	01/18/2024	14,868.76	587,171.25
BMW Vehicle Owner Trust	09/18/2019	10,500,000.00	10,498,588.80	10,749,405.45	1.92	1.93	01/25/2024	3,360.00	250,816.65
American Express Credit Accoun	03/27/2019	40,253,000.00	40,825,347.34	41,360,251.35	3.06	2.42	02/15/2024	54,744.08	534,904.01
Hyundai Auto Receivables Trust	11/06/2019	8,500,000.00	8,499,608.15	8,712,257.75	1.94	1.95	02/15/2024	7,328.89	212,649.60
Discover Card Execution Note T	07/11/2019	8,750,000.00	8,959,179.69	9,057,602.75	3.32	2.20	03/15/2024	12,910.99	98,423.06
American Express Credit Accoun	06/13/2019	22,120,000.00	22,584,865.63	22,879,109.74	3.18	2.23	04/15/2024	31,262.93	294,244.11
Honda Auto Rec Owner Trust	02/26/2020	16,500,000.00	16,496,766.00	16,899,889.05	1.61	1.62	04/22/2024	7,379.14	403,123.05
Nissan Auto Receivables Owner	10/23/2019	12,000,000.00	11,999,366.40	12,333,814.80	1.93	1.94	07/15/2024	10,293.33	334,448.40
John Deere Owner Trust	03/11/2020	12,000,000.00	11,999,266.80	12,101,581.20	1.10	1.11	08/15/2024	5,866.67	102,314.40
GM Financial Securitized Term	01/15/2020	13,000,000.00	12,996,938.50	13,303,638.40	1.84	1.86	09/16/2024	8,637.77	306,699.90
Harley-Davidson Motorcycle Tru	01/29/2020	6,000,000.00	5,998,691.40	6,111,986.40	1.87	1.89	10/15/2024	4,986.67	113,295.00
Asset Backed Securities Subtotal:		827,923,573.88	828,653,322.54	841,701,493.06	2.25	2.12		1,173,784.57	13,048,170.52
Bank Deposit									
Wells Fargo Bank NA	07/01/2017	534,454.83	534,454.83	534,454.83	0.00	0.00		0.00	0.00
Bank Deposit Subtotal:		534,454.83	534,454.83	534,454.83	0.00	0.00		0.00	0.00
Commercial Paper									
ING (US) Funding LLC	01/06/2020	60,000,000.00	60,000,000.00	59,999,400.00	1.80	1.82	07/01/2020	0.00	(600.00)
Toyota Motor Credit Corp	12/02/2019	50,000,000.00	50,000,000.00	49,999,500.00	1.86	1.91	07/01/2020	0.00	(500.00)
Toyota Motor Credit Corp	12/06/2019	50,000,000.00	50,000,000.00	49,999,500.00	1.83	1.88	07/01/2020	0.00	(500.00)
Natixis US Finance Co.	12/26/2019	70,000,000.00	69,981,333.33	69,998,600.00	1.92	1.97	07/06/2020	0.00	17,266.67
Natixis US Finance Co.	04/23/2020	45,000,000.00	44,996,250.00	44,999,100.00	0.60	0.60	07/06/2020	0.00	2,850.00
Toyota Motor Credit Corp	11/25/2019	100,000,000.00	99,974,305.56	99,998,000.00	1.85	1.89	07/06/2020	0.00	23,694.44
Toyota Motor Credit Corp	12/02/2019	150,000,000.00	149,961,250.00	149,997,000.00	1.86	1.91	07/06/2020	0.00	35,750.00
BNP Paribas NY	01/03/2020	50,000,000.00	49,985,000.00	49,999,000.00	1.80	1.84	07/07/2020	0.00	14,000.00
ING (US) Funding LLC	04/07/2020	25,000,000.00	24,993,923.62	24,999,000.00	1.25	1.25	07/08/2020	0.00	5,076.38
BNP Paribas NY	01/03/2020	50,000,000.00	49,980,000.00	49,998,500.00	1.80	1.84	07/09/2020	0.00	18,500.00
ING (US) Funding LLC	04/07/2020	65,000,000.00	64,979,687.49	64,996,750.00	1.25	1.25	07/10/2020	0.00	17,062.51
BNP Paribas NY	04/13/2020	25,000,000.00	24,991,666.67	24,999,000.00	1.00	1.00	07/13/2020	0.00	7,333.33
ING (US) Funding LLC	04/07/2020	40,000,000.00	39,977,777.81	39,998,000.00	1.25	1.25	07/17/2020	0.00	20,222.19
ING (US) Funding LLC	04/07/2020	25,000,000.00	24,976,562.49	24,997,250.00	1.25	1.25	07/28/2020	0.00	20,687.51
ING (US) Funding LLC	04/06/2020	110,000,000.00	109,890,000.00	109,986,800.00	1.20	1.20	07/31/2020	0.00	96,800.00
ING (US) Funding LLC	04/14/2020	30,000,000.00	29,973,500.00	29,996,400.00	1.06	1.06	07/31/2020	0.00	22,900.00
BNP Paribas NY	02/05/2020	20,000,000.00	19,969,933.33	19,997,400.00	1.64	1.65	08/03/2020	0.00	27,466.67
Credit Agricole CIB	01/27/2020	85,000,000.00	84,870,658.33	84,990,650.00	1.66	1.69	08/03/2020	0.00	119,991.67
Cooperatieve Rabo	04/07/2020	65,000,000.00	64,932,075.00	64,993,500.00	1.14	1.14	08/03/2020	0.00	61,425.00
Cooperatieve Rabo	04/09/2020	25,000,000.00	24,971,736.11	24,997,000.00	1.10	1.10	08/07/2020	0.00	25,263.89
Cooperatieve Rabo	04/06/2020	130,000,000.00	129,828,111.11	129,983,100.00	1.19	1.19	08/10/2020	0.00	154,988.89
Prudential Funding LLC	06/17/2020	10,000,000.00	9,997,388.89	9,998,400.00	0.20	0.20	08/17/2020	0.00	1,011.11
Cooperatieve Rabo	04/07/2020	35,000,000.00	34,943,475.00	34,993,700.00	1.14	1.14	08/21/2020	0.00	50,225.00

INVESTMENT INVENTORY - MARKET VALUE

County of San Diego Pooled Money Fund As of June 30, 2020

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM	Maturity Date	Accrued Interest	Unrealized Gain/Loss
ING (US) Funding LLC	04/09/2020	60,000,000.00	59,887,150.00	59,985,000.00	1.11	1.11	08/31/2020	0.00	97,850.00
Cooperatieve Rabo	04/13/2020	75,000,000.00	74,857,916.67	74,981,250.00	1.10	1.10	09/01/2020	0.00	123,333.33
Cooperatieve Rabo	04/13/2020	50,000,000.00	49,903,750.00	49,987,000.00	1.10	1.10	09/02/2020	0.00	83,250.00
Cooperatieve Rabo	04/13/2020	25,000,000.00	24,951,111.11	24,993,250.00	1.10	1.10	09/03/2020	0.00	42,138.89
ING (US) Funding LLC	12/24/2019	60,000,000.00	59,779,200.00	59,984,400.00	1.92	1.98	09/08/2020	0.00	205,200.00
BNP Paribas NY	06/01/2020	25,000,000.00	24,989,791.67	24,991,250.00	0.21	0.21	09/09/2020	0.00	1,458.33
BNP Paribas NY	06/15/2020	25,000,000.00	24,987,500.00	24,990,750.00	0.25	0.25	09/11/2020	0.00	3,250.00
BNP Paribas NY	06/01/2020	25,000,000.00	24,988,625.00	24,988,500.00	0.21	0.21	09/17/2020	0.00	(125.00)
Cooperatieve Rabo	04/13/2020	50,000,000.00	49,860,972.22	49,973,500.00	1.10	1.11	09/30/2020	0.00	112,527.78
JP Morgan	04/28/2020	70,000,000.00	69,882,361.11	69,986,700.00	0.50	0.51	10/30/2020	0.00	104,338.89
JP Morgan	06/03/2020	100,000,000.00	99,919,333.34	99,981,000.00	0.24	0.24	10/30/2020	0.00	61,666.66
JP Morgan	05/06/2020	50,000,000.00	49,939,722.22	49,988,000.00	0.35	0.35	11/02/2020	0.00	48,277.78
Cooperatieve Rabo	06/03/2020	50,000,000.00	49,957,125.00	49,949,500.00	0.21	0.21	11/25/2020	0.00	(7,625.00)
Toyota Motor Credit Corp	06/29/2020	50,000,000.00	49,940,791.67	49,942,000.00	0.29	0.29	11/25/2020	0.00	1,208.33
Commercial Paper Subtotal:		2,030,000,000.00	2,028,019,984.75	2,029,637,650.00	1.22	1.24		0.00	1,617,665.25

Federal Agency

Federal National Mtg Assn	11/03/2017	25,000,000.00	25,000,000.00	25,138,750.00	1.85	1.85	10/30/2020	78,368.06	138,750.00
Federal Home Loan Mtg Corp	11/27/2017	15,000,000.00	15,000,000.00	15,094,800.00	1.88	1.88	11/27/2020	26,562.50	94,800.00
Federal Home Loan Mtg Corp	11/27/2017	25,000,000.00	25,000,000.00	25,158,000.00	1.88	1.88	11/27/2020	44,270.83	158,000.00
Federal Home Loan Mtg Corp	12/18/2017	15,000,000.00	15,000,000.00	15,118,650.00	2.00	2.00	12/18/2020	10,833.33	118,650.00
Federal Home Loan Bank	09/21/2016	25,000,000.00	25,017,261.01	25,183,500.00	1.38	1.26	02/18/2021	126,996.53	166,238.99
Federal Home Loan Bank	02/14/2017	25,000,000.00	24,938,337.43	25,183,500.00	1.38	1.78	02/18/2021	126,996.53	245,162.57
Federal Home Loan Bank	02/17/2017	25,000,000.00	25,000,000.00	25,294,750.00	1.82	1.82	03/17/2021	131,444.44	294,750.00
Federal National Mtg Assn	06/17/2016	15,000,000.00	15,001,638.57	15,135,000.00	1.25	1.24	05/06/2021	28,645.83	133,361.43
Federal National Mtg Assn	09/21/2016	25,000,000.00	24,987,268.77	25,225,000.00	1.25	1.31	05/06/2021	47,743.06	237,731.23
Federal Home Loan Bank	07/14/2016	15,000,000.00	15,091,185.63	15,225,750.00	1.88	1.21	06/11/2021	15,625.00	134,564.37
Federal Home Loan Bank	08/04/2016	35,000,000.00	34,969,049.38	35,341,250.00	1.13	1.21	07/14/2021	182,656.25	372,200.62
Federal Home Loan Mtg Corp	10/05/2016	20,000,000.00	19,946,518.03	20,212,800.00	1.13	1.37	08/12/2021	86,875.00	266,281.97
Federal National Mtg Assn	09/21/2016	35,000,000.00	34,959,285.05	35,417,200.00	1.25	1.36	08/17/2021	162,847.22	457,914.95
Federal National Mtg Assn	11/08/2016	35,000,000.00	34,970,497.91	35,524,300.00	1.38	1.44	10/07/2021	112,291.67	553,802.09
Federal Home Loan Bank	03/27/2017	25,000,000.00	25,091,465.81	25,826,500.00	2.25	2.02	03/11/2022	171,875.00	735,034.19
Federal Home Loan Bank	04/05/2019	18,290,000.00	18,336,275.78	18,995,445.30	2.50	2.34	03/11/2022	139,715.28	659,169.52
Federal National Mtg Assn	04/12/2019	50,000,000.00	49,902,662.96	51,828,500.00	2.25	2.36	04/12/2022	246,875.00	1,925,837.04
Federal Farm Credit Bank	09/26/2019	29,425,000.00	29,388,054.40	30,154,151.50	1.55	1.62	06/01/2022	38,007.29	766,097.10
Federal Farm Credit Bank	09/26/2019	25,000,000.00	24,979,800.52	25,619,500.00	1.55	1.59	06/01/2022	32,291.67	639,699.48
Federal Home Loan Bank	04/08/2019	10,000,000.00	10,006,059.63	10,407,500.00	2.38	2.34	06/10/2022	13,854.17	401,440.37
Federal Farm Credit Bank	12/16/2019	40,000,000.00	39,998,433.82	41,072,000.00	1.63	1.63	06/15/2022	28,977.78	1,073,566.18
Federal Home Loan Bank	10/24/2019	25,000,000.00	25,199,759.90	25,967,500.00	2.00	1.62	09/09/2022	155,555.56	767,740.10
Federal Farm Credit Bank	09/23/2019	25,000,000.00	25,000,000.00	25,095,500.00	2.00	2.00	09/23/2022	136,111.11	95,500.00
Federal Farm Credit Bank	10/11/2019	10,000,000.00	9,991,420.37	10,250,300.00	1.38	1.41	10/11/2022	30,555.56	258,879.63
Federal Farm Credit Bank	07/01/2019	50,000,000.00	49,997,837.21	52,004,000.00	1.85	1.85	02/01/2023	385,416.67	2,006,162.79
Federal Farm Credit Bank	07/03/2019	20,000,000.00	20,013,574.53	20,801,600.00	1.85	1.82	02/01/2023	154,166.67	788,025.47
Federal Home Loan Bank	04/04/2019	29,195,000.00	29,507,667.93	31,021,147.25	2.75	2.33	03/10/2023	247,549.27	1,513,479.32

INVESTMENT INVENTORY - MARKET VALUE

County of San Diego Pooled Money Fund As of June 30, 2020

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM	Maturity Date	Accrued Interest	Unrealized Gain/Loss
Federal Home Loan Bank	04/04/2019	10,000,000.00	10,107,096.40	10,625,500.00	2.75	2.33	03/10/2023	84,791.67	518,403.60
Federal Home Loan Bank	06/28/2019	48,500,000.00	48,909,131.80	51,107,845.00	2.13	1.83	06/09/2023	62,982.64	2,198,713.20
Federal Farm Credit Bank	07/03/2019	11,008,000.00	11,227,012.44	11,723,079.68	2.52	1.82	06/15/2023	12,328.96	496,067.24
Federal Farm Credit Bank	06/26/2019	32,250,000.00	32,206,423.31	33,671,257.50	1.77	1.82	06/26/2023	7,928.13	1,464,834.19
Federal Farm Credit Bank	07/03/2019	3,425,000.00	3,418,936.34	3,575,939.75	1.77	1.83	06/26/2023	841.98	157,003.41
Federal Home Loan Mtg Corp	04/26/2019	25,000,000.00	25,000,000.00	25,421,500.00	2.49	2.49	07/26/2023	112,395.83	421,500.00
Federal Home Loan Mtg Corp	08/07/2019	25,000,000.00	25,000,000.00	25,041,500.00	2.19	2.19	08/07/2023	219,000.00	41,500.00
Federal Home Loan Mtg Corp	12/11/2019	11,385,000.00	11,385,000.00	11,416,194.90	1.85	1.85	09/11/2023	64,356.88	31,194.90
Federal National Mtg Assn	04/18/2019	10,000,000.00	10,130,432.13	10,837,100.00	2.88	2.44	09/12/2023	87,048.61	706,667.87
Federal National Mtg Assn	06/27/2019	25,000,000.00	25,799,812.05	27,092,750.00	2.88	1.83	09/12/2023	217,621.53	1,292,937.95
Federal Farm Credit Bank	07/03/2019	50,000,000.00	50,005,006.42	52,566,500.00	1.88	1.88	11/01/2023	156,666.67	2,561,493.58
Federal Home Loan Mtg Corp	12/04/2019	12,590,000.00	12,590,000.00	12,664,029.20	1.80	1.80	12/04/2023	16,996.50	74,029.20
Federal Home Loan Mtg Corp	12/18/2019	25,000,000.00	25,000,000.00	25,168,500.00	1.85	1.85	12/18/2023	16,701.39	168,500.00
Federal Home Loan Mtg Corp	03/29/2019	25,000,000.00	25,000,000.00	25,151,750.00	2.73	2.73	01/09/2024	155,458.33	151,750.00
Federal Home Loan Bank	02/15/2019	15,000,000.00	14,961,548.28	16,194,600.00	2.50	2.58	02/13/2024	143,750.00	1,233,051.72
Federal Home Loan Bank	02/22/2019	23,175,000.00	23,175,000.00	23,497,364.25	2.80	2.80	02/22/2024	232,522.50	322,364.25
Federal Farm Credit Bank	07/08/2019	50,000,000.00	50,496,038.44	53,421,000.00	2.23	1.94	02/23/2024	396,444.44	2,924,961.56
Federal Home Loan Mtg Corp	03/22/2019	20,000,000.00	20,000,000.00	20,320,200.00	2.75	2.75	03/22/2024	151,250.00	320,200.00
Federal Home Loan Bank	03/25/2020	12,300,000.00	12,300,000.00	12,318,204.00	1.62	1.62	03/25/2024	53,136.00	18,204.00
Federal Farm Credit Bank	06/13/2019	15,000,000.00	14,957,577.00	15,925,950.00	1.95	2.03	06/13/2024	14,625.00	968,373.00
Federal Farm Credit Bank	06/26/2019	105,350,000.00	105,649,699.23	111,853,255.50	1.95	1.87	06/13/2024	102,716.25	6,203,556.27
Federal Home Loan Mtg Corp	06/17/2020	25,000,000.00	25,000,000.00	25,025,000.00	0.63	0.63	06/17/2024	6,125.00	25,000.00
Federal Farm Credit Bank	06/17/2020	25,000,000.00	25,000,000.00	25,009,750.00	0.68	0.68	06/17/2024	6,611.11	9,750.00
Federal Farm Credit Bank	06/17/2020	50,000,000.00	50,000,000.00	50,019,500.00	0.68	0.68	06/17/2024	13,222.22	19,500.00
Federal Farm Credit Bank	07/23/2019	54,000,000.00	54,000,000.00	54,876,420.00	2.04	2.04	07/19/2024	495,720.00	876,420.00
Federal Home Loan Bank	10/16/2019	21,555,000.00	22,609,094.39	23,800,168.80	2.88	1.66	09/13/2024	185,911.88	1,191,074.41
Federal Home Loan Bank	11/06/2019	25,000,000.00	26,118,204.92	27,604,000.00	2.88	1.76	09/13/2024	215,625.00	1,485,795.08
Federal Home Loan Bank	11/26/2019	20,000,000.00	20,956,928.78	22,083,200.00	2.88	1.68	09/13/2024	172,500.00	1,126,271.22
Federal Farm Credit Bank	09/17/2019	14,000,000.00	13,956,372.89	14,698,180.00	1.60	1.68	09/17/2024	64,711.11	741,807.11
Federal Farm Credit Bank	09/17/2019	11,000,000.00	10,964,980.40	11,548,570.00	1.60	1.68	09/17/2024	50,844.44	583,589.60
Federal Home Loan Mtg Corp	11/12/2019	25,000,000.00	25,000,000.00	25,136,750.00	2.03	2.03	11/12/2024	69,076.39	136,750.00
Federal Home Loan Mtg Corp	11/12/2019	25,000,000.00	25,000,000.00	25,136,750.00	2.03	2.03	11/12/2024	69,076.39	136,750.00
Federal National Mtg Assn	01/10/2020	50,000,000.00	49,855,677.80	52,676,500.00	1.63	1.69	01/07/2025	385,937.50	2,820,822.20
Federal Home Loan Bank	02/27/2020	25,405,000.00	25,405,000.00	25,581,564.75	1.80	1.80	02/19/2025	157,511.00	176,564.75
Federal Home Loan Mtg Corp	02/27/2020	11,000,000.00	11,000,000.00	11,073,370.00	1.75	1.75	02/24/2025	66,305.55	73,370.00
Federal Home Loan Mtg Corp	05/12/2020	25,000,000.00	24,996,352.42	25,009,250.00	0.90	0.90	05/06/2025	30,625.00	12,897.58
Federal Home Loan Mtg Corp	05/19/2020	25,000,000.00	25,000,000.00	25,002,500.00	0.75	0.75	05/19/2025	21,875.00	2,500.00
Federal Home Loan Mtg Corp	05/27/2020	25,000,000.00	25,000,000.00	25,003,250.00	0.83	0.83	05/27/2025	19,597.22	3,250.00
Federal Home Loan Mtg Corp	05/29/2020	50,000,000.00	50,000,000.00	50,011,000.00	0.75	0.75	05/28/2025	33,333.33	11,000.00
Federal Home Loan Mtg Corp	06/02/2020	25,000,000.00	24,995,080.73	25,005,500.00	0.75	0.75	05/28/2025	15,104.17	10,419.27
Federal National Mtg Assn	06/11/2020	25,000,000.00	25,000,000.00	25,030,000.00	0.80	0.80	06/11/2025	11,111.11	30,000.00
Federal National Mtg Assn	06/16/2020	50,000,000.00	50,000,000.00	50,027,000.00	0.75	0.75	06/16/2025	15,625.00	27,000.00
Federal Agency Subtotal:		1,853,853,000.00	1,859,470,460.81	1,906,249,137.38	1.76	1.67		7,379,119.01	46,778,676.57

INVESTMENT INVENTORY - MARKET VALUE

County of San Diego Pooled Money Fund As of June 30, 2020

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM	Maturity Date	Accrued Interest	Unrealized Gain/Loss
Medium-Term Notes									
JP Morgan	06/27/2019	24,306,000.00	24,336,599.04	24,357,528.72	4.40	2.20	07/22/2020	472,346.60	20,929.68
JP Morgan	07/25/2019	7,779,000.00	7,788,549.87	7,795,491.48	4.40	2.26	07/22/2020	151,171.90	6,941.61
JP Morgan	08/01/2019	54,451,000.00	54,519,119.60	54,566,436.12	4.40	2.22	07/22/2020	1,058,164.43	47,316.52
American Honda Finance	03/04/2019	8,710,000.00	8,723,049.78	8,827,062.40	3.15	2.85	01/08/2021	131,847.63	104,012.62
Toyota Motor Credit Corp	01/08/2019	20,000,000.00	19,996,883.33	20,283,600.00	3.05	3.08	01/08/2021	293,138.89	286,716.67
US Bank NA Cincinnati	04/01/2019	12,000,000.00	12,029,954.93	12,160,440.00	3.00	2.54	02/04/2021	147,000.00	130,485.07
Apple Inc	05/06/2019	10,000,000.00	9,980,851.93	10,109,800.00	2.25	2.55	02/23/2021	80,000.00	128,948.07
Apple Inc	05/03/2019	8,137,000.00	8,161,199.98	8,314,386.60	2.85	2.49	05/06/2021	35,429.85	153,186.62
JP Morgan	10/22/2019	50,000,000.00	50,000,000.00	49,055,000.00	1.83	1.91	06/01/2021	76,783.70	(945,000.00)
JP Morgan	10/21/2019	10,570,000.00	10,604,848.53	10,750,218.50	2.40	2.04	06/07/2021	16,912.00	145,369.97
American Honda Finance	04/05/2019	14,338,000.00	14,193,262.89	14,499,445.88	1.65	2.67	07/12/2021	111,059.76	306,182.99
JP Morgan	03/07/2019	14,780,000.00	14,662,209.80	14,810,890.20	2.30	3.77	08/15/2021	128,142.60	148,680.40
JP Morgan	04/05/2019	8,816,000.00	8,770,662.11	8,834,425.44	2.30	3.47	08/15/2021	76,434.72	63,763.33
American Honda Finance	09/09/2019	25,000,000.00	24,917,669.44	25,355,000.00	1.70	1.98	09/09/2021	132,222.22	437,330.56
Procter & Gamble	07/02/2019	5,000,000.00	4,982,003.80	5,088,400.00	1.70	1.98	11/03/2021	13,694.44	106,396.20
JP Morgan	01/22/2020	10,554,000.00	10,966,888.12	11,200,749.12	4.50	1.94	01/24/2022	207,122.25	233,861.00
US BANKCORP	04/04/2019	25,000,000.00	24,998,606.44	25,823,000.00	2.63	2.63	01/24/2022	286,197.92	824,393.56
US BANKCORP	04/05/2019	5,000,000.00	4,999,246.73	5,164,600.00	2.63	2.63	01/24/2022	57,239.58	165,353.27
Microsoft Corp	04/05/2019	50,000,000.00	49,928,308.03	51,595,500.00	2.40	2.49	02/06/2022	483,333.33	1,667,191.97
Procter & Gamble	07/02/2019	16,857,000.00	16,945,521.81	17,402,661.09	2.30	1.96	02/06/2022	156,161.38	457,139.28
Apple Inc	04/12/2019	25,000,000.00	24,978,971.48	25,845,500.00	2.50	2.55	02/09/2022	246,527.78	866,528.52
Apple Inc	04/22/2019	20,000,000.00	19,855,815.69	20,577,400.00	2.15	2.62	02/09/2022	169,611.11	721,584.31
Apple Inc	04/25/2019	8,355,000.00	8,349,035.66	8,637,566.10	2.50	2.55	02/09/2022	82,389.58	288,530.44
Apple Inc	04/29/2019	4,950,000.00	4,946,509.46	5,117,409.00	2.50	2.55	02/09/2022	48,812.50	170,899.54
Apple Inc	06/07/2019	15,100,000.00	15,172,852.63	15,610,682.00	2.50	2.18	02/09/2022	148,902.78	437,829.37
Apple Inc	06/13/2019	13,876,000.00	13,928,014.68	14,345,286.32	2.50	2.25	02/09/2022	136,832.78	417,271.64
Toyota Motor Credit Corp	03/18/2019	50,000,000.00	50,000,000.00	50,759,500.00	2.85	2.85	02/18/2022	407,708.33	759,500.00
Toyota Motor Credit Corp	04/12/2019	25,000,000.00	24,990,652.08	25,898,000.00	2.65	2.67	04/12/2022	145,381.94	907,347.92
Toyota Motor Credit Corp	04/29/2019	50,000,000.00	50,000,000.00	50,777,500.00	2.70	2.70	04/29/2022	232,500.00	777,500.00
JP Morgan	04/30/2019	50,000,000.00	50,000,000.00	50,763,000.00	2.75	2.75	04/30/2022	232,986.11	763,000.00
Apple Inc	09/04/2019	10,157,000.00	10,254,046.09	10,516,557.80	2.30	1.77	05/11/2022	32,445.97	262,511.71
US Bank NA OH	05/23/2019	35,000,000.00	34,976,572.04	36,450,400.00	2.65	2.69	05/23/2022	97,902.78	1,473,827.96
Toyota Motor Credit Corp	02/27/2019	25,000,000.00	24,946,725.33	26,078,000.00	2.80	2.52	07/13/2022	326,666.67	1,131,274.67
Procter & Gamble	07/16/2019	20,000,000.00	20,023,109.50	20,762,400.00	2.15	2.09	08/11/2022	167,222.22	739,290.50
Procter & Gamble	08/21/2019	10,000,000.00	10,087,506.54	10,381,200.00	2.15	1.72	08/11/2022	83,611.11	293,693.46
Procter & Gamble	08/21/2019	20,000,000.00	20,175,013.08	20,762,400.00	2.15	1.72	08/11/2022	167,222.22	587,386.92
Exxon Mobil	08/16/2019	5,000,000.00	5,000,000.00	5,155,850.00	1.90	1.90	08/16/2022	35,662.50	155,850.00
Bank of America Corp	08/26/2019	10,000,000.00	10,000,000.00	9,928,700.00	2.20	2.20	08/26/2022	76,388.89	(71,300.00)
Bank of America Corp	08/26/2019	25,000,000.00	25,000,000.00	24,821,750.00	2.20	2.20	08/26/2022	190,972.22	(178,250.00)
Toyota Motor Credit Corp	01/15/2020	32,538,000.00	32,771,234.30	33,632,252.94	2.15	1.81	09/08/2022	219,586.31	861,018.64
Apple Inc	09/11/2019	20,000,000.00	19,997,512.96	20,597,200.00	1.70	1.71	09/11/2022	103,888.89	599,687.04
Apple Inc	07/12/2019	10,475,000.00	10,475,000.00	10,871,793.00	2.10	2.10	09/12/2022	66,603.54	396,793.00
Toyota Motor Credit Corp	09/23/2019	25,000,000.00	25,000,000.00	25,361,250.00	2.10	2.10	09/23/2022	142,916.67	361,250.00

INVESTMENT INVENTORY - MARKET VALUE

County of San Diego Pooled Money Fund As of June 30, 2020

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM	Maturity Date	Accrued Interest	Unrealized Gain/Loss
JP Morgan	01/24/2020	25,000,000.00	25,000,000.00	25,300,000.00	2.00	2.00	10/24/2022	93,055.56	300,000.00
JP Morgan	01/24/2020	25,000,000.00	25,000,000.00	25,300,000.00	2.00	2.00	10/24/2022	93,055.56	300,000.00
US Bank NA Cincinnati	12/09/2019	35,000,000.00	34,975,950.27	36,277,500.00	1.95	1.98	01/09/2023	382,958.33	1,301,549.73
Toyota Motor Credit Corp	01/21/2020	13,000,000.00	13,248,610.22	13,612,690.00	2.63	1.84	01/10/2023	151,666.67	364,079.78
JP Morgan	03/17/2020	10,000,000.00	10,149,849.31	10,354,700.00	2.97	2.36	01/15/2023	85,857.78	204,850.69
JP Morgan	05/28/2020	16,848,000.00	17,603,514.55	17,758,128.96	2.70	1.11	05/18/2023	41,698.80	154,614.41
Medium-Term Notes Subtotal:		1,016,597,000.00	1,018,411,932.03	1,038,249,251.67	2.57	2.33		8,525,438.80	19,837,319.64
Money Market Accounts									
BlackRock CalTrust	02/07/2019	50,000,000.00	50,000,000.00	50,000,000.00	0.10	0.10		4,118.60	0.00
BlackRock FedFund	07/06/2018	1,000,000.00	1,000,000.00	1,000,000.00	0.10	0.10		2,060.45	0.00
CAMP	01/24/2020	200,292,171.24	200,292,171.24	200,292,171.24	0.51	0.51		84,222.76	0.00
Fidelity Government Fund	07/01/2017	348,100,000.00	348,100,000.00	348,100,000.00	0.10	0.10		1,514.79	0.00
Federated Government Fund	07/01/2017	800,000.00	800,000.00	800,000.00	0.11	0.11		208,766.18	0.00
Morgan Stanley Govnt Fund	07/01/2017	1,000,000.00	1,000,000.00	1,000,000.00	0.05	0.05		(1,352.71)	0.00
Money Market Accounts Subtotal:		601,192,171.24	601,192,171.24	601,192,171.24	0.24	0.24		299,330.07	0.00
Municipal Bonds									
New York State	10/30/2019	20,000,000.00	20,000,000.00	20,131,200.00	1.84	1.84	02/15/2021	139,022.22	131,200.00
New York State	10/30/2019	10,000,000.00	10,000,000.00	10,316,300.00	1.95	1.95	02/15/2023	73,666.67	316,300.00
State of California	10/24/2019	26,535,000.00	26,998,607.83	28,034,758.20	2.40	1.84	10/01/2023	159,210.02	1,036,150.37
New York State	10/30/2019	20,000,000.00	20,000,000.00	20,706,400.00	2.01	2.01	02/15/2024	151,866.67	706,400.00
Municipal Bonds Subtotal:		76,535,000.00	76,998,607.83	79,188,658.20	2.09	1.90		523,765.58	2,190,050.37
Negotiable CDs									
Bank of Nova Scotia	10/28/2019	75,000,000.00	75,000,000.00	75,003,750.00	1.90	1.90	07/01/2020	977,708.33	3,750.00
Royal Bk of Canada/Dain Rausch	07/08/2019	25,000,000.00	25,000,000.00	25,001,500.00	2.11	2.11	07/01/2020	526,034.72	1,500.00
Toronto Dominion NY	09/23/2019	25,000,000.00	25,000,000.00	25,001,250.00	2.00	2.00	07/01/2020	391,666.67	1,250.00
Toronto Dominion NY	03/02/2020	65,000,000.00	65,000,000.00	65,001,950.00	1.18	1.18	07/01/2020	257,797.22	1,950.00
Royal Bk of Canada/Dain Rausch	03/26/2020	50,000,000.00	50,000,000.00	50,005,500.00	2.07	2.07	07/02/2020	278,875.00	5,500.00
Bank of Nova Scotia	11/07/2019	50,000,000.00	50,000,000.00	50,015,000.00	1.87	1.87	07/06/2020	615,541.67	15,000.00
Bank of Nova Scotia	12/05/2019	100,000,000.00	100,000,000.00	100,029,000.00	1.85	1.85	07/06/2020	1,074,027.78	29,000.00
Canadian Imp Bk Comm NY	12/11/2019	50,000,000.00	50,000,000.00	50,014,500.00	1.86	1.86	07/06/2020	524,416.66	14,500.00
Canadian Imp Bk Comm NY	12/12/2019	50,000,000.00	50,000,000.00	50,014,500.00	1.86	1.86	07/06/2020	521,833.33	14,500.00
Sumitomo Mitsui Bank NY	04/27/2020	25,000,000.00	25,000,000.00	25,001,000.00	0.35	0.35	07/06/2020	15,798.61	1,000.00
Bank of Nova Scotia	09/23/2019	20,000,000.00	20,000,000.00	20,032,000.00	1.99	1.99	07/31/2020	311,766.66	32,000.00
Bank of Nova Scotia	09/26/2019	25,000,000.00	25,000,000.00	25,040,750.00	2.03	2.03	07/31/2020	393,312.50	40,750.00
Toronto Dominion NY	09/24/2019	25,000,000.00	25,000,000.00	25,039,000.00	2.00	2.00	07/31/2020	390,277.77	39,000.00
Bank of Nova Scotia	10/29/2019	125,000,000.00	125,000,000.00	125,208,750.00	1.90	1.90	08/03/2020	1,622,916.67	208,750.00
Toronto Dominion NY	09/20/2019	20,000,000.00	20,000,000.00	20,034,600.00	2.02	2.02	08/03/2020	319,833.34	34,600.00
Royal Bk of Canada/Dain Rausch	12/06/2019	100,000,000.00	100,000,000.00	100,014,000.00	0.38	1.24	08/03/2020	27,502.79	14,000.00
Bank of Nova Scotia	10/29/2019	50,000,000.00	50,000,000.00	50,093,000.00	1.90	1.90	08/07/2020	649,166.67	93,000.00
Bank of Nova Scotia	10/30/2019	50,000,000.00	50,000,000.00	50,099,000.00	1.88	1.88	08/10/2020	639,722.23	99,000.00
Bank of Nova Scotia	10/21/2019	40,000,000.00	40,000,000.00	40,066,800.00	1.90	1.90	08/30/2020	536,222.22	66,800.00

INVESTMENT INVENTORY - MARKET VALUE

County of San Diego Pooled Money Fund As of June 30, 2020

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM	Maturity Date	Accrued Interest	Unrealized Gain/Loss
Bank of Nova Scotia	09/26/2019	25,000,000.00	25,000,000.00	25,079,750.00	2.02	2.02	08/31/2020	391,375.00	79,750.00
Toronto Dominion NY	04/06/2020	100,000,000.00	100,000,000.00	100,172,000.00	1.21	1.21	08/31/2020	289,055.55	172,000.00
Toronto Dominion NY	11/12/2019	75,000,000.00	75,000,000.00	75,225,000.00	1.85	1.85	09/04/2020	894,166.67	225,000.00
Bank of Montreal	09/06/2018	15,000,000.00	15,000,000.00	15,081,750.00	3.13	3.16	09/08/2020	386,033.27	81,750.00
Credit Agricole CIB	04/30/2020	25,000,000.00	25,000,000.00	25,005,500.00	0.29	0.29	09/14/2020	12,486.11	5,500.00
Credit Agricole CIB	04/29/2020	25,000,000.00	25,000,000.00	25,006,750.00	0.32	0.32	09/18/2020	14,000.00	6,750.00
Bank of Montreal	04/09/2020	80,000,000.00	80,000,000.00	80,200,800.00	1.20	1.20	09/30/2020	221,333.33	200,800.00
Canadian Imp Bk Comm NY	04/16/2020	50,000,000.00	50,000,000.00	50,092,000.00	0.91	0.91	09/30/2020	96,055.55	92,000.00
Svenska Handelsbanken NY	04/14/2020	50,000,000.00	50,000,000.00	50,117,000.00	1.09	1.09	09/30/2020	118,083.33	117,000.00
Canadian Imp Bk Comm NY	03/12/2020	50,000,000.00	50,000,000.00	50,136,500.00	1.25	1.25	10/01/2020	192,708.34	136,500.00
Credit Agricole CIB	06/02/2020	25,000,000.00	25,000,000.00	24,997,750.00	0.20	0.20	10/02/2020	4,027.78	(2,250.00)
Credit Agricole CIB	06/02/2020	25,000,000.00	25,000,000.00	24,997,750.00	0.20	0.20	10/05/2020	4,027.78	(2,250.00)
Credit Agricole CIB	06/02/2020	25,000,000.00	25,000,000.00	24,997,500.00	0.20	0.20	10/06/2020	4,027.78	(2,500.00)
Canadian Imp Bk Comm NY	03/12/2020	50,000,000.00	50,000,000.00	50,146,500.00	1.25	1.25	10/08/2020	192,708.33	146,500.00
UBS AG Stamford	04/15/2020	25,000,000.00	25,000,000.00	25,077,250.00	1.20	1.20	11/04/2020	64,166.67	77,250.00
UBS AG Stamford	04/15/2020	25,000,000.00	25,000,000.00	25,080,250.00	1.20	1.20	11/09/2020	64,166.67	80,250.00
Credit Agricole CIB	06/09/2020	25,000,000.00	25,000,000.00	24,995,000.00	0.23	0.23	11/25/2020	3,513.89	(5,000.00)
Credit Agricole CIB	05/28/2020	100,000,000.00	100,000,000.00	99,985,000.00	0.25	0.25	12/01/2020	23,611.11	(15,000.00)
Credit Agricole CIB	05/29/2020	50,000,000.00	50,000,000.00	49,992,500.00	0.25	0.25	12/01/2020	11,458.33	(7,500.00)
Credit Agricole CIB	06/02/2020	50,000,000.00	50,000,000.00	49,995,000.00	0.26	0.26	12/01/2020	10,472.22	(5,000.00)
Royal Bk of Canada/Dain Rausch	03/16/2020	80,000,000.00	80,000,000.00	80,465,600.00	1.29	1.29	01/15/2021	306,733.33	465,600.00
Canadian Imperial Holding	06/24/2020	25,000,000.00	25,000,000.00	24,999,750.00	0.27	0.27	01/19/2021	1,312.50	(250.00)
UBS AG Stamford	02/18/2020	80,000,000.00	80,000,000.00	80,609,600.00	1.62	1.62	02/11/2021	482,400.00	609,600.00
Canadian Imp Bk Comm NY	06/25/2020	35,000,000.00	35,000,000.00	35,000,350.00	0.39	0.39	05/28/2021	2,275.00	350.00
Toronto Dominion NY	06/01/2020	25,000,000.00	25,000,000.00	24,998,500.00	0.39	0.39	05/28/2021	8,125.00	(1,500.00)
Toronto Dominion NY	06/08/2020	25,000,000.00	25,000,000.00	24,999,750.00	0.40	0.40	06/08/2021	6,388.89	(250.00)
Toronto Dominion NY	06/10/2020	25,000,000.00	25,000,000.00	25,006,750.00	0.43	0.43	06/08/2021	6,270.83	6,750.00
Toronto Dominion NY	06/26/2020	50,000,000.00	50,000,000.00	49,995,000.00	0.40	0.40	06/30/2021	2,777.78	(5,000.00)
Negotiable CDs Subtotal:		2,210,000,000.00	2,210,000,000.00	2,213,172,700.00	1.24	1.28		13,888,181.88	3,172,700.00

Supranationals

Inter-American Development Bk	04/19/2018	100,000,000.00	99,941,333.33	101,872,000.00	2.63	2.70	04/19/2021	525,000.00	1,930,666.67
International Finance Corp	07/20/2016	25,000,000.00	24,973,522.64	25,205,250.00	1.13	1.23	07/20/2021	124,452.50	231,727.36
International Finance Corp	10/07/2016	12,500,000.00	12,470,139.73	12,602,625.00	1.13	1.36	07/20/2021	62,906.88	132,485.27
Inter-American Development Bk	04/04/2019	15,000,000.00	15,062,018.51	15,834,150.00	2.50	2.33	01/18/2023	169,791.67	772,131.49
Inter-American Development Bk	04/04/2019	10,000,000.00	10,041,950.73	10,556,100.00	2.50	2.33	01/18/2023	113,194.44	514,149.27
Inter-American Development Bk	10/30/2019	54,650,000.00	55,659,637.98	57,689,086.50	2.50	1.75	01/18/2023	618,607.64	2,029,448.52
Inter-American Development Bk	12/16/2019	15,050,000.00	15,329,864.36	15,886,930.50	2.50	1.75	01/18/2023	170,357.64	557,066.14
Intl Bank For Recon and Dev	12/20/2019	14,750,000.00	14,814,313.28	15,417,142.50	1.88	1.72	06/19/2023	9,145.00	602,829.22
Inter-American Development Bk	04/16/2019	50,000,000.00	50,000,000.00	51,095,000.00	2.53	2.53	07/06/2023	298,791.67	1,095,000.00
Inter-American Development Bk	04/16/2019	25,000,000.00	25,000,000.00	25,547,500.00	2.53	2.53	07/06/2023	149,395.84	547,500.00
Inter-American Development Bk	09/27/2019	25,000,000.00	25,000,000.00	25,413,750.00	1.95	1.95	09/27/2023	10,833.34	413,750.00
Intl Bank For Recon and Dev	04/22/2019	10,000,000.00	10,165,286.90	10,866,500.00	3.00	2.46	09/27/2023	78,333.33	701,213.10
Intl Bank For Recon and Dev	04/25/2019	6,000,000.00	6,105,115.78	6,519,900.00	3.00	2.43	09/27/2023	47,000.00	414,784.22

INVESTMENT INVENTORY - MARKET VALUE

County of San Diego Pooled Money Fund As of June 30, 2020

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM	Maturity Date	Accrued Interest	Unrealized Gain/Loss
Intl Bank For Recon and Dev	11/26/2019	25,000,000.00	26,052,650.62	27,166,250.00	3.00	1.65	09/27/2023	195,833.33	1,113,599.38
Intl Bank For Recon and Dev	12/10/2019	22,846,000.00	23,782,534.92	24,825,605.90	3.00	1.69	09/27/2023	178,960.33	1,043,070.98
Inter-American Development Bk	03/21/2019	25,000,000.00	25,344,788.73	27,157,000.00	3.00	2.55	10/04/2023	181,250.00	1,812,211.27
Inter-American Development Bk	10/31/2019	7,883,000.00	8,199,078.17	8,563,145.24	3.00	1.72	10/04/2023	57,151.75	364,067.07
Inter-American Development Bk	10/31/2019	17,117,000.00	17,801,905.32	18,593,854.76	3.00	1.72	10/04/2023	124,098.25	791,949.44
Intl Bank For Recon and Dev	12/02/2019	50,000,000.00	50,000,000.00	50,026,500.00	2.00	2.00	01/02/2024	500,000.00	26,500.00
Intl Bank For Recon and Dev	12/02/2019	50,000,000.00	50,000,000.00	50,026,500.00	2.00	2.00	01/02/2024	500,000.00	26,500.00
Inter-American Development Bk	04/25/2019	25,000,000.00	25,150,099.21	26,980,000.00	2.63	2.44	01/16/2024	300,781.25	1,829,900.79
Inter-American Development Bk	04/29/2019	25,000,000.00	25,186,892.31	26,980,000.00	2.63	2.40	01/16/2024	300,781.25	1,793,107.69
Inter-American Development Bk	05/06/2019	34,750,000.00	34,980,707.10	37,502,200.00	2.63	2.45	01/16/2024	418,085.94	2,521,492.90
Inter-American Development Bk	04/02/2019	50,000,000.00	50,000,000.00	53,019,000.00	2.29	2.29	01/31/2024	480,250.00	3,019,000.00
Inter-American Development Bk	10/31/2019	11,869,000.00	12,385,808.42	13,056,968.21	3.00	1.75	02/21/2024	128,580.83	671,159.79
Inter-American Development Bk	04/08/2019	50,000,000.00	50,000,000.00	53,117,000.00	2.33	2.33	02/29/2024	392,076.28	3,117,000.00
Intl Bank For Recon and Dev	03/11/2019	25,000,000.00	25,000,000.00	25,383,750.00	2.89	2.89	03/11/2024	220,131.94	383,750.00
Intl Bank For Recon and Dev	03/19/2019	25,000,000.00	24,969,709.17	26,962,750.00	2.50	2.53	03/19/2024	177,083.33	1,993,040.83
Intl Bank For Recon and Dev	03/26/2019	25,000,000.00	25,000,000.00	27,251,500.00	2.77	2.77	03/26/2024	182,743.06	2,251,500.00
Intl Bank For Recon and Dev	07/02/2019	50,000,000.00	50,000,000.00	53,734,500.00	2.20	2.20	07/01/2024	549,944.44	3,734,500.00
International Finance Corp	10/16/2019	25,000,000.00	24,937,127.08	25,999,500.00	1.38	1.44	10/16/2024	71,489.58	1,062,372.92
Intl Bank For Recon and Dev	11/13/2019	50,000,000.00	50,000,000.00	50,250,000.00	2.05	2.05	11/13/2024	136,666.67	250,000.00
Intl Bank For Recon and Dev	12/12/2019	50,000,000.00	50,000,000.00	50,327,000.00	2.00	2.00	12/12/2024	52,777.78	327,000.00
Intl Bank For Recon and Dev	03/03/2020	25,000,000.00	25,000,000.00	25,029,750.00	1.80	1.80	03/03/2025	146,739.13	29,750.00
Intl Bank For Recon and Dev	04/22/2020	25,000,000.00	24,906,958.75	25,202,250.00	0.63	0.70	04/22/2025	29,947.92	295,291.25
Supranationals Subtotal:		1,057,415,000.00	1,063,261,443.04	1,101,660,958.61	2.32	2.14		7,703,183.01	38,399,515.57

Sweep Fund

JP Morgan	12/11/2018	2,025,156.38	2,025,156.38	2,025,156.38	0.00	0.00		0.00	0.00
Sweep Fund Subtotal:		2,025,156.38	2,025,156.38	2,025,156.38	0.00	0.00		0.00	0.00

Treasury Coupon Securities

U.S. Treasury	01/06/2017	20,000,000.00	19,957,696.84	20,137,600.00	1.38	1.75	01/31/2021	114,835.16	179,903.16
U.S. Treasury	02/01/2019	13,000,000.00	13,001,042.07	13,173,680.00	2.50	2.49	01/31/2021	135,714.29	172,637.93
U.S. Treasury	06/17/2016	35,000,000.00	35,090,873.76	35,382,900.00	1.38	1.08	05/31/2021	40,761.61	292,026.24
U.S. Treasury	09/07/2016	5,000,000.00	4,999,352.59	5,047,050.00	1.13	1.14	06/30/2021	152.85	47,697.41
U.S. Treasury	09/07/2016	5,000,000.00	5,057,516.14	5,111,350.00	2.25	1.15	07/31/2021	46,978.02	53,833.86
U.S. Treasury	10/06/2016	25,000,000.00	24,961,341.00	25,297,000.00	1.13	1.25	09/30/2021	70,696.72	335,659.00
U.S. Treasury	12/09/2016	15,000,000.00	14,984,161.63	15,334,650.00	1.75	1.83	11/30/2021	22,233.61	350,488.37
U.S. Treasury	11/21/2019	20,000,000.00	20,072,130.30	20,643,000.00	1.75	1.57	07/15/2022	161,538.46	570,869.70
U.S. Treasury	09/11/2019	10,000,000.00	10,009,112.90	10,314,100.00	1.63	1.58	08/31/2022	54,313.86	304,987.10
U.S. Treasury	04/30/2019	50,000,000.00	49,361,675.46	52,021,500.00	1.75	2.27	01/31/2023	365,384.62	2,659,824.54
U.S. Treasury	01/07/2020	15,000,000.00	15,069,634.49	15,606,450.00	1.75	1.57	01/31/2023	109,615.38	536,815.51
U.S. Treasury	09/16/2019	12,000,000.00	11,918,850.74	12,436,440.00	1.50	1.75	03/31/2023	45,245.90	517,589.26
U.S. Treasury	12/17/2019	15,000,000.00	14,863,455.23	15,536,700.00	1.38	1.69	06/30/2023	560.46	673,244.77
U.S. Treasury	02/05/2020	5,000,000.00	4,993,112.91	5,178,900.00	1.38	1.42	06/30/2023	186.82	185,787.09
U.S. Treasury	09/06/2019	10,000,000.00	9,940,130.68	10,329,300.00	1.25	1.45	07/31/2023	52,197.80	389,169.32

INVESTMENT INVENTORY - MARKET VALUE

County of San Diego Pooled Money Fund As of June 30, 2020

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM	Maturity Date	Accrued Interest	Unrealized Gain/Loss
U.S. Treasury	10/10/2019	10,000,000.00	9,933,291.65	10,329,300.00	1.25	1.47	07/31/2023	52,197.80	396,008.35
U.S. Treasury	10/11/2019	5,000,000.00	5,173,693.12	5,394,150.00	2.75	1.58	07/31/2023	57,417.58	220,456.88
U.S. Treasury	05/31/2019	40,000,000.00	39,290,526.40	41,508,000.00	1.38	1.96	08/31/2023	183,831.52	2,217,473.60
U.S. Treasury	09/03/2019	15,000,000.00	15,136,138.86	15,715,500.00	1.63	1.34	10/31/2023	41,066.58	579,361.14
U.S. Treasury	09/05/2019	10,000,000.00	10,051,706.96	10,477,000.00	1.63	1.46	10/31/2023	27,377.72	425,293.04
U.S. Treasury	02/01/2019	10,000,000.00	10,011,767.55	10,818,000.00	2.50	2.46	01/31/2024	104,395.60	806,232.45
U.S. Treasury	04/02/2019	15,000,000.00	14,934,949.06	16,071,150.00	2.13	2.25	03/31/2024	80,122.95	1,136,200.94
U.S. Treasury	06/11/2019	15,000,000.00	15,327,723.96	16,320,150.00	2.50	1.91	05/15/2024	47,894.02	992,426.04
U.S. Treasury	07/15/2019	25,000,000.00	25,132,191.64	26,766,500.00	2.00	1.86	06/30/2024	1,358.70	1,634,308.36
U.S. Treasury	05/04/2020	10,000,000.00	10,572,645.92	10,618,400.00	1.75	0.34	07/31/2024	27,884.61	45,754.08
U.S. Treasury	08/29/2019	10,000,000.00	10,391,646.71	10,879,700.00	2.38	1.39	08/15/2024	89,388.74	488,053.29
U.S. Treasury	03/10/2020	15,000,000.00	15,536,830.83	15,759,900.00	1.38	0.58	01/31/2025	64,028.16	223,069.17
U.S. Treasury	03/13/2020	15,000,000.00	15,449,210.55	15,759,900.00	1.38	0.71	01/31/2025	62,328.29	310,689.45
U.S. Treasury	04/28/2020	20,000,000.00	21,490,432.58	21,595,400.00	2.00	0.37	02/15/2025	70,329.67	104,967.42
U.S. Treasury	04/13/2020	15,000,000.00	15,056,600.98	15,159,900.00	0.50	0.42	03/31/2025	16,188.53	103,299.02
U.S. Treasury	06/01/2020	15,000,000.00	15,035,720.64	15,067,950.00	0.38	0.33	04/30/2025	4,585.60	32,229.36
Treasury Coupon Securities Subtotal:		500,000,000.00	502,805,164.15	519,791,520.00	1.61	1.50		2,150,811.63	16,986,355.85

TRANSACTION ACTIVITY REPORT

Investment #	Instrument Type	Issuer	Coupon	Transaction Type	Total Cash	Transaction Date
2909	U.S. Treasury Notes	U.S. Treasury	1.50	Redemption	15,000,000.00	06/01/20
3608	Money Market Funds	Fidelity Government	0.12	Redemption	60,000,000.00	06/01/20
4393	Bank Deposit	Wells Fargo Bank NA	0.00	Purchase	-14,948.84	06/01/20
5309	Sweep Fund	JP Morgan	0.00	Purchase	-150,952.35	06/01/20
5990	Commercial Paper	JP Morgan	1.95	Redemption	20,000,000.00	06/01/20
5994	Negotiable CD	Toronto Dominion NY	2.05	Redemption	25,000,000.00	06/01/20
6076	Commercial Paper	Natixis US Finance C	1.88	Redemption	50,000,000.00	06/01/20
6077	Commercial Paper	Natixis US Finance C	1.88	Redemption	35,000,000.00	06/01/20
6079	Commercial Paper	Natixis US Finance C	1.87	Redemption	40,000,000.00	06/01/20
6081	Commercial Paper	Natixis US Finance C	1.87	Redemption	35,000,000.00	06/01/20
6179	Money Market Funds	CAMP	0.67	Purchase	-99,347.30	06/01/20
6276	Commercial Paper	MUFG Bank NY	1.19	Redemption	60,000,000.00	06/01/20
6334	Negotiable CD	Toronto Dominion NY	0.39	Purchase	-25,000,000.00	06/01/20
6335	Commercial Paper	BNP Paribas NY	0.21	Purchase	-24,985,416.67	06/01/20
6336	Commercial Paper	BNP Paribas NY	0.21	Purchase	-24,984,250.00	06/01/20
6337	U.S. Treasury Notes	U.S. Treasury	0.38	Purchase	-15,041,219.43	06/01/20
3630	Money Market Funds	Federated Government	0.12	Redemption	142,000,000.00	06/02/20
5309	Sweep Fund	JP Morgan	0.00	Purchase	-497,806.63	06/02/20
6100	Commercial Paper	Natixis US Finance C	1.86	Redemption	25,000,000.00	06/02/20
6338	Federal Agencies	Federal Home Loan Mt	0.75	Purchase	-24,996,562.50	06/02/20
6339	Negotiable CD	Credit Agricole CIB	0.26	Purchase	-50,000,000.00	06/02/20
6340	Negotiable CD	Credit Agricole CIB	0.20	Purchase	-25,000,000.00	06/02/20
6341	Negotiable CD	Credit Agricole CIB	0.20	Purchase	-25,000,000.00	06/02/20
6342	Negotiable CD	Credit Agricole CIB	0.20	Purchase	-25,000,000.00	06/02/20
3630	Money Market Funds	Federated Government	0.12	Redemption	77,000,000.00	06/03/20
4393	Bank Deposit	Wells Fargo Bank NA	0.00	Purchase	-67,314.55	06/03/20
5309	Sweep Fund	JP Morgan	0.00	Purchase	-152,961.76	06/03/20
5727	Negotiable CD	UBS AG Stamford	2.44	Redemption	25,000,000.00	06/03/20
6247	Federal Agencies	Federal Farm Credit	1.75	Redemption	61,650,000.00	06/03/20
6343	Commercial Paper	JP Morgan	0.24	Purchase	-99,900,666.67	06/03/20
6344	Commercial Paper	Cooperatieve Rabo	0.21	Purchase	-49,948,958.33	06/03/20
3608	Money Market Funds	Fidelity Government	0.12	Purchase	-12,000,000.00	06/04/20
4393	Bank Deposit	Wells Fargo Bank NA	0.00	Purchase	-3.00	06/04/20
5309	Sweep Fund	JP Morgan	0.00	Redemption	459,554.62	06/04/20

TRANSACTION ACTIVITY REPORT

Investment #	Instrument Type	Issuer	Coupon	Transaction Type	Total Cash	Transaction Date
3608	Money Market Funds	Fidelity Government	0.12	Purchase	-78,000,000.00	06/05/20
4393	Bank Deposit	Wells Fargo Bank NA	0.00	Purchase	-6,049.04	06/05/20
5309	Sweep Fund	JP Morgan	0.00	Redemption	115,748.32	06/05/20
5730	Federal Agencies	Federal Home Loan Mt	2.65	Redemption	30,000,000.00	06/05/20
6101	Federal Agencies	Federal Home Loan Ba	1.75	Redemption	49,904,000.00	06/05/20
3608	Money Market Funds	Fidelity Government	0.12	Redemption	21,800,000.00	06/08/20
4393	Bank Deposit	Wells Fargo Bank NA	0.00	Purchase	-2,848.64	06/08/20
5309	Sweep Fund	JP Morgan	0.00	Redemption	773,965.47	06/08/20
6099	Commercial Paper	Natixis US Finance C	1.86	Redemption	50,000,000.00	06/08/20
6289	Commercial Paper	MUFG Bank NY	1.07	Redemption	20,000,000.00	06/08/20
6345	Negotiable CD	Toronto Dominion NY	0.40	Purchase	-25,000,000.00	06/08/20
3608	Money Market Funds	Fidelity Government	0.12	Redemption	38,400,000.00	06/09/20
5309	Sweep Fund	JP Morgan	0.00	Purchase	-36,406.01	06/09/20
6346	Negotiable CD	Credit Agricole CIB	0.23	Purchase	-25,000,000.00	06/09/20
3608	Money Market Funds	Fidelity Government	0.11	Redemption	33,100,000.00	06/10/20
4393	Bank Deposit	Wells Fargo Bank NA	0.00	Redemption	61.40	06/10/20
5309	Sweep Fund	JP Morgan	0.00	Purchase	-35,597.42	06/10/20
6248	Federal Agencies	Federal Farm Credit	1.55	Redemption	14,533,860.25	06/10/20
6347	Negotiable CD	Toronto Dominion NY	0.43	Purchase	-25,000,000.00	06/10/20
3608	Money Market Funds	Fidelity Government	0.11	Redemption	32,000,000.00	06/11/20
4393	Bank Deposit	Wells Fargo Bank NA	0.00	Purchase	-3,167.71	06/11/20
5309	Sweep Fund	JP Morgan	0.00	Purchase	-103,629.57	06/11/20
6348	Federal Agencies	Federal National Mtg	0.80	Purchase	-25,000,000.00	06/11/20
3608	Money Market Funds	Fidelity Government	0.11	Redemption	30,500,000.00	06/12/20
4393	Bank Deposit	Wells Fargo Bank NA	0.00	Purchase	-3,500.68	06/12/20
5309	Sweep Fund	JP Morgan	0.00	Redemption	17,398.98	06/12/20
6098	Commercial Paper	Natixis US Finance C	1.86	Redemption	50,000,000.00	06/12/20
6349	Commercial Paper	Prudential Funding L	0.17	Purchase	-24,997,875.00	06/12/20
3608	Money Market Funds	Fidelity Government	0.11	Purchase	-58,000,000.00	06/15/20
4393	Bank Deposit	Wells Fargo Bank NA	0.00	Purchase	-3,089.68	06/15/20
5143	Asset Backed Securities	Toyota Auto Receivab	2.98	Redemption	1,147,630.42	06/15/20
5209	Asset Backed Securities	Toyota Auto Receivab	1.93	Redemption	297,665.24	06/15/20
5309	Sweep Fund	JP Morgan	0.00	Purchase	-841,094.31	06/15/20
5374	Asset Backed Securities	Toyota Auto Receivab	2.83	Redemption	594,787.19	06/15/20

TRANSACTION ACTIVITY REPORT

Investment #	Instrument Type	Issuer	Coupon	Transaction Type	Total Cash	Transaction Date
5449	Asset Backed Securities	Toyota Auto Receivab	1.76	Redemption	307,657.21	06/15/20
5465	Asset Backed Securities	John Deere Owner Tru	2.85	Redemption	800,057.88	06/15/20
5758	Asset Backed Securities	Ford Credit Auto Own	2.35	Redemption	870,965.48	06/15/20
5769	Asset Backed Securities	Harley-Davidson Moto	2.37	Redemption	584,210.81	06/15/20
5833	Asset Backed Securities	John Deere Owner Tru	2.28	Redemption	853,940.50	06/15/20
5920	Asset Backed Securities	Toyota Auto Receivab	2.00	Redemption	753,911.72	06/15/20
5939	Asset Backed Securities	Honda Auto Rec Owner	1.90	Redemption	1,780,909.17	06/15/20
6063	Asset Backed Securities	Hyundai Auto Receivea	1.93	Redemption	450,188.10	06/15/20
6071	Asset Backed Securities	Toyota Auto Receivab	1.92	Redemption	36,713.30	06/15/20
6123	Federal Agencies	Federal Home Loan Mt	1.95	Redemption	25,000,000.00	06/15/20
6281	Commercial Paper	JP Morgan	1.00	Redemption	50,000,000.00	06/15/20
6317	Asset Backed Securities	Nissan Auto Receivab	0.98	Redemption	1,128,602.84	06/15/20
6318	Asset Backed Securities	Honda Auto Rec Owner	1.20	Redemption	660,035.12	06/15/20
6319	Asset Backed Securities	Toyota Auto Receivab	1.14	Redemption	1,380,156.04	06/15/20
6325	Asset Backed Securities	Ford Credit Auto Own	0.27	Redemption	3,702,797.19	06/15/20
6350	Commercial Paper	BNP Paribas NY	0.25	Purchase	-24,984,722.22	06/15/20
3608	Money Market Funds	Fidelity Government	0.11	Redemption	58,000,000.00	06/16/20
4393	Bank Deposit	Wells Fargo Bank NA	0.00	Purchase	-7,126.00	06/16/20
5309	Sweep Fund	JP Morgan	0.00	Redemption	75,357.65	06/16/20
5829	Asset Backed Securities	GM Financial Securit	2.23	Redemption	1,158,662.56	06/16/20
6262	Asset Backed Securities	GM Financial Securit	1.84	Redemption	1,852,892.10	06/16/20
6272	Asset Backed Securities	GM Financial Securit	2.66	Redemption	997,529.61	06/16/20
6304	Negotiable CD	Sumitomo Mitsui Bank	0.55	Redemption	10,000,000.00	06/16/20
6308	Asset Backed Securities	GM Financial Securit	1.26	Redemption	1,967,267.15	06/16/20
6351	Federal Agencies	Federal National Mtg	0.75	Purchase	-50,000,000.00	06/16/20
3630	Money Market Funds	Federated Government	0.13	Redemption	127,000,000.00	06/17/20
5309	Sweep Fund	JP Morgan	0.00	Purchase	-2,431,326.75	06/17/20
6305	Negotiable CD	Sumitomo Mitsui Bank	0.55	Redemption	15,000,000.00	06/17/20
6352	Federal Agencies	Federal Farm Credit	0.68	Purchase	-25,000,000.00	06/17/20
6353	Federal Agencies	Federal Home Loan Mt	0.63	Purchase	-25,000,000.00	06/17/20
6354	Commercial Paper	Prudential Funding L	0.20	Purchase	-9,996,611.11	06/17/20
6355	Federal Agencies	Federal Farm Credit	0.68	Purchase	-50,000,000.00	06/17/20
4393	Bank Deposit	Wells Fargo Bank NA	0.00	Purchase	-1.50	06/18/20

TRANSACTION ACTIVITY REPORT

Investment #	Instrument Type	Issuer	Coupon	Transaction Type	Total Cash	Transaction Date
5309	Sweep Fund	JP Morgan	0.00	Purchase	-1,957,756.09	06/18/20
5409	Asset Backed Securities	Honda Auto Rec Owner	3.10	Redemption	1,207,595.07	06/18/20
6311	Negotiable CD	Sumitomo Mitsui Bank	1.30	Redemption	13,000,000.00	06/18/20
3608	Money Market Funds	Fidelity Government	0.12	Purchase	-310,000,000.00	06/19/20
3630	Money Market Funds	Federated Government	0.11	Redemption	298,000,000.00	06/19/20
4393	Bank Deposit	Wells Fargo Bank NA	0.00	Purchase	-1.50	06/19/20
5309	Sweep Fund	JP Morgan	0.00	Redemption	3,419,173.69	06/19/20
6356	Asset Backed Securities	Ford Credit Auto Own	0.50	Purchase	-22,998,988.00	06/19/20
4393	Bank Deposit	Wells Fargo Bank NA	0.00	Redemption	264.84	06/22/20
5309	Sweep Fund	JP Morgan	0.00	Purchase	-2,653,717.27	06/22/20
5671	Asset Backed Securities	Honda Auto Rec Owner	2.95	Redemption	1,222,386.84	06/22/20
3608	Money Market Funds	Fidelity Government	0.12	Purchase	-33,000,000.00	06/23/20
4393	Bank Deposit	Wells Fargo Bank NA	0.00	Purchase	-2,088.11	06/23/20
5309	Sweep Fund	JP Morgan	0.00	Purchase	-2,723,243.19	06/23/20
5988	Federal Agencies	Federal Home Loan Mt	2.13	Redemption	25,000,000.00	06/23/20
3608	Money Market Funds	Fidelity Government	0.11	Purchase	-75,000,000.00	06/24/20
4393	Bank Deposit	Wells Fargo Bank NA	0.00	Purchase	-51.18	06/24/20
5309	Sweep Fund	JP Morgan	0.00	Redemption	5,678,870.86	06/24/20
6261	Commercial Paper	Toyota Motor Credit	2.30	Redemption	95,000,000.00	06/24/20
6357	Negotiable CD	Canadian Imperial Ho	0.27	Purchase	-25,000,000.00	06/24/20
3608	Money Market Funds	Fidelity Government	0.11	Redemption	23,700,000.00	06/25/20
4393	Bank Deposit	Wells Fargo Bank NA	0.00	Purchase	-1.50	06/25/20
5309	Sweep Fund	JP Morgan	0.00	Redemption	1,339,774.11	06/25/20
5981	Asset Backed Securities	BMW Vehicle Owner Tr	2.05	Redemption	633,513.80	06/25/20
6358	Negotiable CD	Canadian Imp Bk Comm	0.39	Purchase	-35,000,000.00	06/25/20
3608	Money Market Funds	Fidelity Government	0.10	Purchase	-24,300,000.00	06/26/20
4393	Bank Deposit	Wells Fargo Bank NA	0.00	Redemption	255,947.86	06/26/20
5309	Sweep Fund	JP Morgan	0.00	Redemption	30,869.70	06/26/20
6359	Negotiable CD	Toronto Dominion NY	0.40	Purchase	-50,000,000.00	06/26/20
3608	Money Market Funds	Fidelity Government	0.11	Redemption	69,500,000.00	06/29/20
4393	Bank Deposit	Wells Fargo Bank NA	0.00	Purchase	-15,877.70	06/29/20
5309	Sweep Fund	JP Morgan	0.00	Purchase	-4,566,273.08	06/29/20
6360	Commercial Paper	Toyota Motor Credit	0.29	Purchase	-49,939,986.11	06/29/20

TRANSACTION ACTIVITY REPORT

Investment #	Instrument Type	Issuer	Coupon	Transaction Type	Total Cash	Transaction Date
3608	Money Market Funds	Fidelity Government	0.10	Redemption	23,700,000.00	06/30/20
4393	Bank Deposit	Wells Fargo Bank NA	0.00	Purchase	-0.51	06/30/20
5309	Sweep Fund	JP Morgan	0.00	Redemption	3,214,845.22	06/30/20
5824	Negotiable CD	Toronto Dominion NY	2.12	Redemption	50,000,000.00	06/30/20
5982	Negotiable CD	Bank of Nova Scotia	2.03	Redemption	35,000,000.00	06/30/20
5993	Negotiable CD	Toronto Dominion NY	2.04	Redemption	25,000,000.00	06/30/20
6027	Commercial Paper	ING (US) Funding LLC	1.89	Redemption	25,000,000.00	06/30/20
6033	Commercial Paper	Canadian Imperial Ho	1.86	Redemption	40,000,000.00	06/30/20
6054	Commercial Paper	ING (US) Funding LLC	1.85	Redemption	100,000,000.00	06/30/20
6058	Commercial Paper	Canadian Imperial Ho	1.84	Redemption	100,000,000.00	06/30/20
6059	Commercial Paper	Canadian Imperial Ho	1.85	Redemption	70,000,000.00	06/30/20
6073	Negotiable CD	Toronto Dominion NY	1.84	Redemption	20,000,000.00	06/30/20
6264	Negotiable CD	UBS AG Stamford	1.80	Redemption	50,000,000.00	06/30/20
6269	Negotiable CD	Royal Bk of Canada/D	2.07	Redemption	50,000,000.00	06/30/20
6349	Commercial Paper	Prudential Funding L	0.17	Redemption	25,000,000.00	06/30/20
6361	Asset Backed Securities	Nissan Auto Receivab	0.47	Purchase	-19,999,404.00	06/30/20
Grand Total					994,108,926.40	

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**SAN DIEGO COUNTY TREASURER'S
POOLED MONEY FUND
INVESTMENT POLICY**

January 1, 2020

The Investment Policy and practices of the County Treasurer are based on prudent money management principles and California State Law, specifically Government Code Sections 27000.1 - 27000.5, 27130 - 27137, and 53600 - 53686. Section 53635 shall apply to a local agency that is a county or other local agency that pools money in deposits or investments with other local agencies, including local agencies that have the same governing body. However, Section 53601 shall apply to all local agencies that pool money in deposits or investments exclusively with local agencies that have the same governing body.

The practices of this office will always comply with the legal authority and limitations placed on it by the governing legislative bodies. The implementation of these laws, allowing for the dynamics of the money markets, will be the focus of this policy statement. All matters contained in this policy are to be read and applied pursuant to and consistent with state law. Where this Investment Policy specifies a percentage limitation, compliance will be measured as of the date of purchase. When investing, reinvesting, purchasing, acquiring, exchanging, selling and managing the Pooled Money Fund (the "Fund") the objectives of this office shall be as follows.

- 1. The primary objective shall be to safeguard the principal of the funds under the County Treasurer's control.**
- 2. The secondary objective shall be to meet the liquidity needs of the participants.**
- 3. The third objective shall be to achieve an investment return on the funds under control of the County Treasurer within the parameters of prudent risk management.**

The Fund is an actively managed portfolio. By this, it is meant that the County Treasurer and his staff will observe, review, and adjust to changing conditions that affect the Fund. This shall be viewed as a full-time responsibility by the County Treasurer and his staff. The authority to execute investment transactions that will affect the Fund will be limited to:

**County Treasurer-Tax Collector
Assistant Treasurer-Tax Collector
Chief Deputy Treasurer
Chief Investment Officer
Investment Officers**

The County Treasurer and the above staff will meet on a regular basis to discuss current market conditions and future trends and how each of these affects the Fund.

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**2020 SAN DIEGO COUNTY TREASURER'S
POOLED MONEY FUND INVESTMENT POLICY**

The purpose of the County Treasurer's Investment Policy is to implement the legislated parameters of the investment authority of the Fund. As an elected official of the County of San Diego, the County Treasurer must manage public monies in a way that is consistent with its objectives, investment oversight, and sound investment practices and not solely to maximize returns. The basic concept of investment return is based on a risk/reward relationship; the higher the risk, the higher the expected return. Risk management must be an integral part of any investment policy. Risk management must include adequate internal controls so that Fund depositors and the public have confidence that public monies are secure. The policy stated below will concern itself with risk management.

1. **SECURITY OF PRINCIPAL POLICY** - The policy issues directed to protecting the principal entrusted to this office are:
 - A. Limiting the Fund's exposure to each type of security.
 - B. Limiting the Fund's exposure to each issuer of debt.
 - C. Determining the minimum credit requirement for each type of security.
2. **LIQUIDITY POLICY** - The policy issues directed to provide the necessary liquidity to the participants are:
 - A. Limiting the length of maturity for securities in the Fund.
 - B. Limiting the Fund's exposure to Moderately Liquid and Illiquid securities.
3. **RETURN POLICY** - The policy issues directed to achieving a return are:
 - A. Attaining a market rate of return while taking into account the investment risk constraints and liquidity needs.
 - B. Limiting a majority of the investments to low-risk securities in anticipation of earning a fair return relative to the risk being taken.
4. **MATURITY POLICY**
 - A. The maximum maturity allowed by the California Government Code is 5 years, with shorter limitations specified for certain types of securities. The guidelines for maturities of investments and duration of the Fund, as established under this Policy, shall be:
 - At least 35% of the Fund maturing within 1 year
 - At least 15% of the Fund maturing within 90 days, and
 - A maximum effective duration of 2.0 years

- B. The Fund will be considered in compliance with the maturity policy if it meets the maturity targets above. In the event that the Fund distribution does not comply with the table above, until such time as the Fund is within maturity targets, all securities purchased shall be of a maturity or duration that will lower the maturity and or duration of the Fund. In the event a compliance violation has occurred, a variance report shall be made to the Oversight Committee as part of the normal monthly reporting.

5. **GENERAL STRATEGY**

The County Treasurer will generally use a buy and hold investment strategy, where securities are purchased with the intent of holding them to maturity. The investment staff will update the Treasury Oversight Committee on its asset allocation and investment strategy at its regularly scheduled meetings. Securities may be sold prior to maturity when deemed prudent. Reasons for selling include, but are not limited to:

- A security with declining credit quality
- A financially advantageous sale and replacement of a security that improves the quality, yield, or target duration of the portfolio
- Meeting the liquidity needs of the portfolio
- Portfolio rebalancing to bring the portfolio back into compliance

6. **PROHIBITED SECURITIES**

The California Government Code prohibits a local agency from investing in any of the following derivative notes:

- Inverse Floaters
- Range Notes
- Interest-only strips derived from a pool of mortgages
- Any security that could result in zero interest accrual

7. **CREDIT RATING POLICY**

- A. This Investment Policy sets forth minimum credit ratings for each type of security. These credit limits apply to the initial purchase of a security and do not automatically force the sale of a security if the credit ratings of the security fall below the policy limits.
- B. Minimum credit ratings:
- a. For securities with maturities of 13 months or less, the rating must be in the highest short-term rating category (without regard to qualification of such rating symbol such as "+" or "-") by at least one nationally recognized statistical rating organization (the "NRSRO").
 - b. For securities with maturities greater than 13 months, the rating must be "A" or higher by at least one NRSRO.
- C. The monitoring of credit ratings consists of the following procedures:

1. When a credit rating downgrade occurs which results in a rating below the minimum credit requirement, the Chief Investment Officer and staff will analyze and evaluate the credit to determine whether to hold or sell the security.
2. In the event a security in the Fund receives a credit rating downgrade which results in a rating below the minimum credit requirement, the Investment Group will report the rating change to the Oversight Committee in the monthly report. In the same manner, the Oversight Committee will be informed on the Investment Group's decision to hold or sell a downgraded security.
3. The Investment Group shall meet at least quarterly to review and update the approved list of securities and establish credit criteria for each category of security.

To ensure that the Fund maintains the highest overall credit rating with the contracted NRSRO, the asset allocation and portfolio holdings will be provided to the contracted NRSRO on a monthly basis.

8. INTERNAL CONTROLS

- A. The Chief Deputy Treasurer is responsible for establishing and maintaining an internal control structure designed to ensure that the assets of the entity are protected from loss, theft or misuse. The internal control structure shall be designed to provide reasonable assurance that these objectives are met. The concept of reasonable assurance recognizes that:
 1. The cost of a control should not exceed the benefits likely to be derived; and
 2. The valuation of costs and benefits requires estimates and judgments by management.
- B. Accordingly, the Chief Deputy Treasurer shall establish and maintain internal controls that shall address the following points:
 1. Control of Collusion - Collusion is a situation where two or more employees are working in conjunction to defraud their employer. To achieve a segregation of duties, individuals who authorize investment transactions shall not also record or reconcile said transactions.
 2. Clear Delegation of Authority to Subordinate Staff Members - Subordinate staff members must have a clear understanding of their authority and responsibilities to avoid improper actions. Clear delegation of authority also preserves the internal control structure that is contingent on the various staff positions and their respective responsibilities.
 3. Custodial Safekeeping - Securities purchased from any bank or dealer, including appropriate collateral (as defined by California Government Code), that are not

insured by the FDIC, shall be placed with an independent third party for custodial safekeeping.

4. Avoidance of Physical Delivered Bearer Securities - Book entry securities are much easier to transfer and account for since actual delivery of a document never takes place. Bearer securities must be properly safeguarded against loss or destruction. The potential for fraud and loss increases with such securities.
5. Written Confirmation of Telephone Wire Transfers - Due to the potential for error and improprieties arising from telephone transactions, all telephone transactions should be supported by written or electronic communications and approved by the appropriate person.
6. Development of a Wire Transfer Agreement with the Lead Bank or Third-Party Custodian - This agreement should outline the various controls, security provisions, and responsibilities of each party making and receiving wire transfers.
7. A treasury operations manual, as overseen by the Chief Deputy Treasurer, will be reviewed and updated by the treasury staff every two years or on an as needed basis.
9. **ANNUAL AUDIT** - The Treasury Oversight Committee shall cause an independent review to be conducted annually on a fiscal year basis by an external auditor to determine if the County Treasury is in compliance with the Investment Policy, other internal policies and procedures, and the California Government Code.
10. **PERMISSIBLE INVESTMENTS** - Government Codes 53601, 53601.1, 53601.2, 53601.8, 53635, 53635.8, 53637, 53638, 53651, 53652, and 53653 address permissible investments. These investment categories are addressed individually in sections 11-26 below.
11. **GOVERNMENT OBLIGATIONS** - The Fund invests in two categories of Government Obligations: U.S. Treasury and Agency obligations. Both are issued at the Federal level. U.S. Treasury obligations are bills, notes, and bonds issued by the Treasury and are direct obligations of the Federal Government. Agency obligations are notes and bonds of federal agencies and government sponsored enterprises, including:
 - Federal National Mortgage Association (FNMA)
 - Federal Home Loan Bank (FHLB)
 - Federal Farm Credit Bank (FFCB)
 - Federal Home Loan Mortgage Corporation (FHLMC)
 - Government National Mortgage Corporation (GNMA)
 - Tennessee Valley Authority (TVA)
- A. Maximum Maturity - The maximum maturity of a security shall be 5 years from the settlement date.

2020 San Diego County Treasurer's
Pooled Money Fund Investment Policy

- B. Maximum Exposure of Fund - The maximum exposure to the Fund for this category is unlimited.
 - C. Maximum Exposure Per Issuer - The maximum exposure to the Fund for an individual issuer shall be:
 - 1. Treasury - Unlimited
 - 2. Agency - No more than 35% of the Fund value shall be invested in any single issuer.
 - D. Minimum Credit Requirement - None
 - E. Liquidity Category - Liquid
12. **LOCAL AGENCY AND STATE OBLIGATIONS** -These include registered state warrants or treasury notes or bonds of the state of California and registered bonds of any of the other 49 states, including bonds payable solely out of the revenues from a revenue-producing property owned, controlled, or operated by the state or by a department, board, agency, or authority of the state and bonds, notes, warrants, or other evidences of indebtedness of a local agency within the state of California, including bonds payable solely out of the revenues from a revenue-producing property owned, controlled, or operated by the local agency, or by a department, board, agency, or authority of the local agency.
- A. Maximum Maturity - The maximum maturity of a security shall be 5 years from the settlement date.
 - B. Maximum Exposure of Fund - The maximum exposure to the Fund for this category shall be 30%.
 - C. Maximum Exposure Per Issuer - The maximum exposure to a single issuer shall be 10% of the Fund value.
 - D. Minimum Credit Requirement - Issuers must be at or above the following ratings:
 - a. For securities with maturities of 13 months or less, the rating must be in the highest short-term rating category (without regard to qualification of such rating symbol such as "+" or "-") by at least one NRSRO.
 - b. For securities with maturities greater than 13 months, the rating must be "A" or higher by at least one NRSRO.
 - E. Liquidity Category - Moderately Liquid
13. **BANKER'S ACCEPTANCES** - This is a draft or bill of exchange accepted by a bank or trust company and brokered to investors in a secondary market. The purpose of the Banker's Acceptance (BA) is to facilitate trade and provide liquidity to the import-export markets. Acceptances are collateralized by the pledge of documents such as invoices, trust

receipts, and other documents evidencing ownership and insurance of the goods financed. Since their inception in 1914, there has been no known loss of principal to investors holding Banker's Acceptances.

- A. Maximum Maturity - The maximum maturity of a security shall be 180 days from the settlement date.
 - B. Maximum Exposure of Fund - The maximum exposure to the Fund for this category shall be 40%.
 - C. Maximum Exposure Per Issuer - The maximum exposure to a single issuer shall be 5% of the Fund value.
 - D. Minimum Credit Requirement – The rating must be in the highest short-term rating category (without regard to qualification of such rating symbol such as “+” or “-”) by at least one NRSRO.
 - E. Liquidity Category – Liquid
14. **COMMERCIAL PAPER** - These are short-term, unsecured, promissory notes issued by firms in the open market. Commercial paper (CP) is generally backed by a bank credit facility, guarantee/bond of indemnity, or some other support agreement.
- A. Maximum Maturity - The maximum maturity of a security shall be 270 days from the settlement date.
 - B. Maximum Exposure of Fund - The maximum exposure to the Fund for this category shall be 40%.
 - C. Maximum Exposure Per Issuer - The maximum exposure to a single issuer shall be 10% of the Fund value, inclusive of any other non-CP investments with said issuer.
 - D. Minimum Credit Requirements - The Rating must be in the highest short-term rating category (without regard to qualification of such rating symbol such as “+” or “-”) by at least one NRSRO.
 - E. Liquidity Category - Liquid
15. **MEDIUM-TERM NOTES (“MTN”)** - These are corporate notes, deposit notes, and bank notes sold by an agent in the open market on a continually offered basis. Issuers include well-recognized banks and bank holding companies, thrifts, finance companies, insurance companies, and industrial corporations. These medium-term notes are generally unsecured debt obligations, although some issues come to market on a collateralized or secured basis.
- A. Maximum Maturity - The maximum maturity of a security shall be 5 years from the settlement date.

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- B. Maximum Exposure of Fund - The maximum exposure to the Fund for this category shall be 30%.
 - C. Maximum Exposure Per Issuer - The maximum exposure to a single issuer shall be 10% of the Fund value, inclusive of any other non-MTN investments with said issuer.
 - D. Minimum Credit Requirements - Issuers must be at or above the following ratings:
 - a. For securities with maturities of 13 months or less, the rating must be in the highest short-term rating category (without regard to qualification of such rating symbol such as "+" or "-") by at least one NRSRO.
 - b. For securities with maturities greater than 13 months, the rating must be "A" or higher by at least one NRSRO.
 - E. Liquidity Category - Liquid
16. **NEGOTIABLE CERTIFICATES OF DEPOSIT** - These are issued by commercial banks and thrift institutions against funds deposited for specified periods of time, and they earn specified or variable rates of interest. Negotiable certificates of deposit ("NCD") differ from other certificates of deposit by their liquidity. NCD's are traded actively in secondary markets.
- A. Maximum Maturity
 - 1. The maximum maturity of an NCD security shall be 5 years from the settlement date.
 - 2. The maximum maturity of any FDIC insured CDs, whether directly placed or placed through a private sector entity, shall be 13 months.
 - B. Maximum Exposure of Fund - The maximum exposure to the Fund for this category shall be 30%.
 - D. Maximum Exposure per Issuer - The maximum exposure to a single issuer shall be 10% of the Fund value, inclusive of any other non-NCD investments with said issuer.
 - E. Minimum Credit Requirement – Issuers must be at or above the following ratings:
 - a. For securities with maturities of 13 months or less, the rating must be in the highest short-term rating category (without regard to qualification of such rating symbol such as "+" or "-") by at least one NRSRO.
 - b. For securities with maturities greater than 13 months, the rating must be "A" or higher by at least one NRSRO.
 - F. Liquidity Category - Liquid
17. **REPURCHASE AGREEMENTS** - A repurchase agreement (RP) consists of two simultaneous transactions. One is the purchase of securities by an investor (the Fund); the other is the commitment by the seller (i.e. a broker/dealer) to repurchase the securities at the same price, plus interest, at some mutually agreed-upon future date.

- A. Maximum Maturity - The maximum maturity of repurchase agreements shall be one year.
 - B. Maximum Exposure of Fund - The maximum exposure to the Fund for this category shall be 40%.
 - C. Maximum Exposure Per Broker/Dealer - The maximum exposure to a single broker/dealer shall be 10% of the Fund when the dollar-weighted average maturity is greater than 5 days or 15% of the Fund when the dollar-weighted average maturity is 5 days or less.
 - D. Eligible Broker/Dealers - Broker/Dealers shall sign a PSA Master Repurchase Agreement or a Tri-Party Repurchase Agreement. The Agreement must specify a minimum margin percentage of 102% and also provide for daily mark-to-market of the collateral by the custodian bank.
 - E. Eligible Collateral - The securities eligible for repurchase agreement transactions shall be securities authorized in Section 53601 of the California Government Code. Collateral eligible for repurchase agreements maturing from 7 days to 1 year shall be Treasury and Agency obligations.
 - F. Delivery of Collateral - Broker/Dealers shall deliver the underlying securities to the County's safekeeping bank, a mutually agreed-upon third party custodian bank, or a counterparty bank's customer book-entry account. When a third-party custodian is used, it will be the custodian's responsibility to transfer funds and securities between the broker/dealer and the Fund in accordance with the terms of the repurchase agreement.
 - G. Liquidity Category - Liquid
18. **REVERSE REPURCHASE AGREEMENTS** - Reverse repurchase agreements (RRPs) are essentially the mirror image of RPs. In this instance, the Fund is the seller of securities and the broker or bank is the investor.

Due to the nature of RRP, the policy regarding this instrument is different from the above RP policy.

- A. Maximum Maturity - The maximum maturity of a securities lending loan shall be 92 days unless the agreement includes a written guarantee of a minimum earning or spread for the entire period of the RRP.
- B. Maximum Exposure of Fund - No more than 20% of the Fund shall be exposed to RRP and/or securities lending at any one time.
- C. Maximum Exposure Per Broker/Dealer – No more than 10% of the Fund shall be invested in RRP with any one broker/dealer at any one time.

- D. Purpose of RRP - The uses of RRP shall be to invest the proceeds from the agreement into permissible securities that are in the highest short-term rating category; to supplement the yield on securities owned; or to provide funds for the immediate payment of an obligation. The maturity of the RRP and the maturity of the security purchased shall be the same.
 - E. Eligible Securities - A RRP may only be entered into with a security authorized in California Government Code 53601 which has been owned and paid for 30 days prior to the settlement of the RRP.
 - F. Eligible Broker/Dealer - Broker/Dealers shall be primary broker/dealers of the Federal Reserve Bank of New York.
 - G. Liquidity Category - Liquid
19. **SECURITIES LENDING** - This is a program conducted by an agent authorized to execute securities lending under the guidelines listed under RRP and as detailed in the "Services for Securities Lending Agreement." A securities lending transaction is when the Fund transfers its securities to broker/dealers and other entities for collateral which may be cash or securities and simultaneously agrees to return the collateral for the same securities in the future. The loans must be secured continuously by cash collateral or securities and maintained at a value of at least equal to 102 % of the market value of the securities loaned. During the term of the loan, the Fund will continue to receive the equivalent of the interest paid by the issuer of the securities loaned. The Fund will have the right to call the loan and receive the securities loaned at any time with one day's notice.
- A. Maximum Maturity - The maximum maturity of a securities lending loan shall be 92 days.
 - B. Maximum Exposure of Fund - No more than 20% of the Fund shall be exposed to securities lending and/or RRP at any one time.
 - C. Maximum Exposure Per Counterparty - No more than 10% of the Fund shall be on loan with any single counterparty at any one time.
 - D. Proceeds shall be invested in securities authorized by California Government Code and this Investment Policy.
20. **COLLATERALIZED CERTIFICATES OF DEPOSIT** - This is the deposit of funds in state or national banks, state or federal savings and loan associations, federal credit unions, or FDIC-insured industrial loan companies in California per California Government Code Section 53652. The deposit of the funds will be made under the following conditions:
- A. The deposit may not exceed the total of the paid-in capital and surplus of a depository.

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- B. The depository must maintain securities with a market value of at least 10% in excess of the total amount of the Fund's deposits. These securities will be placed in the institution's pooled collateral account and monitored by the State Treasurer of California or a mutually agreed-upon third party custodian bank.
 - C. The County Treasurer may waive the first \$250,000 of collateral for each depository, so long as that amount is insured by an agency of the Federal Government. The documents listed below in D will not be required for deposits of \$250,000 or less.
 - D. Each institution that receives Fund deposits must provide the County Treasurer with an up-to-date Contract, Annual Report, Affirmative Action Policy, Community Reinvestment Act Statement, and EEO-1 Form.
 - E. Maximum Maturity – The maximum maturity of a collateralized CD shall be 13 months.
 - F. Maximum Exposure of Fund – The maximum exposure to the Fund for this category shall be 5%.
 - G. Maximum Exposure Per Issuer - The maximum exposure to a single issuer shall be 5% of the Fund value.
 - H. Institutions at or above the highest short-term rating category (without regard to qualification of such rating symbol such as "+" or "-") by at least one NRSRO may pledge mortgage-based collateral for County deposits.
 - I. Liquidity Category - Illiquid
21. **FDIC & NCUA INSURED DEPOSIT ACCOUNTS** – This is the deposit of funds in a nationally or state chartered commercial bank, savings bank, savings and loan association, or credit union in this state per California Government Code Section 53635.8. The deposit of funds will be made under the following conditions:
- A. The deposit of funds may be placed directly with a selected depository institution, not to exceed the issuance limit from the Federal Deposit Insurance Corporation (FDIC) or the National Credit Union Administration (NCUA).
 - B. A selected depository may use a private sector entity to help place deposits with one or more commercial bank, savings bank, savings and loan association, or credit union located in the United States.
 - C. The full amount of each deposit and the interest that may accrue on each such deposit shall at all times be insured by the Federal Deposit Insurance Corporation (FDIC) or the National Credit Union Administration (NCUA).
 - D. Maximum Maturity - The maximum maturity of an FDIC or NCUA Insured Deposit Account shall be 13 months.

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- E. Maximum Exposure of Fund - The maximum exposure to the Fund for this category shall be 5%.
 - F. Maximum Exposure Per Issuer - The maximum exposure to a single issuer shall be 5% of the Fund value.
 - G. Minimum Credit Requirement - There is no minimum credit requirement for FDIC or NCUA insured deposit accounts whether directly placed or placed through a private sector entity.
 - H. California Government Code Section 53636.8 shall remain in effect until January 1, 2021.
 - I. Liquidity Category - Illiquid
22. **COVERED CALL OPTION/PUT OPTION** - An option is the right to buy or sell a specific security within a specific time period at a specific price.
- A. A covered call is when the County Treasurer sells the option to another party giving them the right to buy an existing security in the Fund at a specific price within a specific time period.
 - B. A put option is when the County Treasurer sells the option to another party giving them the right to sell to the County Treasurer a security at a specific price within a specific time period.
 - C. The seller of a covered call option/put option is paid at the time of the sale of the option. At the end of the option period, if the option is not exercised, the right to buy or sell the security is canceled.
 - D. The County Treasurer will act only as a seller of covered call and put options with the following exception: County Treasurer may buy an option to offset an existing open option position.
 - E. Securities subject to covered calls shall not be used for Reverse Repurchase Agreements.
 - F. Cash sufficient to pay for outstanding puts shall be invested in securities maturing on or before the expiration date of the options.
 - G. Maximum Maturity - The maximum maturity of a covered call option/put option shall be 90 days.
 - H. Maximum Exposure of Fund - No more than 10% of the Fund may have options written against it at any given time.
 - I. Counterparty Risk - Options shall only be written with primary broker/dealers of the Federal Reserve Bank of New York.

- J. Liquidity Category - Liquid
23. **MONEY MARKET MUTUAL FUND** – These investments consist of shares of beneficial interest issued by management companies. Such shares represent ownership of a diversified portfolio of securities, which are redeemable at their net asset value. The Government Code allows for purchases of many types of mutual funds, but the Fund will limit use to money market mutual funds managed to maintain a stable NAV.
- A. Maximum Exposure - The maximum exposure to the Fund for this category shall be 20%.
 - B. Maximum Exposure Per Fund - The maximum exposure to a single mutual fund shall be 10% of the Fund value.
 - C. Purchase Price - The purchase price of the mutual fund shall not include any commission.
 - D. Minimum Credit Requirement - Mutual fund ratings must be in the highest rating category by at least two NRSROs or retain an investment advisor registered or exempt from registration with the Securities and Exchange Commission with not less than five years of experience in managing money market mutual funds and with assets under management in excess of five hundred million dollars.
 - E. Liquidity Category - Liquid
24. **LOCAL GOVERNMENT INVESTMENT POOLS (LGIPs)** – These investments consist of (i) shares of beneficial interest issued by a joint powers authority (JPA) organized pursuant to Government Code Section 6509.7 and authorized by Government Code Section 53601(p) or (ii) the Local Agency Investment Fund (LAIF), established by Government Code Section 16429.1. The Fund shall only invest in LGIPs that comply with the California Government Code and all relevant sections of this Investment Policy and are managed to maintain a stable NAV.
- A. Maximum Exposure - The maximum exposure to the Fund for this category shall be 5%.
 - B. Minimum Credit Requirement – LGIP ratings must be in the highest rating category by at least one NRSRO.
 - C. Liquidity Category - Liquid
25. **PASS-THROUGH SECURITIES** - These will be limited to equipment lease-backed certificates, consumer receivable pass-through certificates, or consumer receivable-backed bonds.
- A. Maximum Maturity - The maximum maturity of a security shall be 5 years from the settlement date.

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- B. Maximum Exposure - The maximum exposure to the Fund for this category shall be 20%.
 - C. Maximum Exposure Per Issuer - The maximum exposure to a single issuer shall be 10% of the Fund value.
 - D. Minimum Credit Requirement - The security must be rated "AA" or higher by at least one NRSRO.
 - E. Liquidity Category - Liquid
26. **WHEN-ISSUED SECURITIES** - The Fund may invest in new issues of Government Obligations offered on a when-issued basis; that is, delivery and payment take place after the date of the commitment to purchase, normally within 15 days. Both price and interest rate are fixed at the time of commitment. This allows the Fund to lock in an interest rate that may not be available on the issue date. The Fund does not earn interest on the securities until settlement, and the market value of the securities may fluctuate between purchase and settlement. Such securities can be sold before settlement.
27. **SUPRANATIONALS** – The fund may invest in United States dollar denominated senior unsecured unsubordinated obligations issued or unconditionally guaranteed by multi-national organizations, including:
- Inter-American Development Bank (IADB)
 - International Bank for Reconstruction and Development (IBRD)
 - International Finance Corporation (IFC)
- A. Maximum Maturity - The maximum maturity of a security shall be 5 years from the settlement date.
 - B. Maximum Exposure of Fund - The maximum exposure to the Fund for this category shall be 30%.
 - C. Maximum Exposure Per Issuer - The maximum exposure to a single issuer shall be 10% of the Fund value.
 - D. Minimum Credit Requirement - The security must be rated "AA "or higher by at least one NRSRO.
 - E. Liquidity Category - Liquid
28. **QUALIFIED BROKERS AND DEALERS** - In order to minimize risk in executing security transactions under this Investment Policy, all transactions will be made only through qualified dealers.
- A. A qualified dealer must be a bank, savings and loan association, or an investment securities dealer. Commercial Paper and Certificate of Deposit issuers may be considered qualified dealers for direct issuance of their paper.

- B. Any dealer entering into a new business relationship to conduct security transactions with the County Treasurer is required to make application to the County Treasurer.
 - C. The dealer must ensure that its staff is aware of the County Treasurer's Investment Policy and the California Government Code Sections 53601 and 53635.
 - D. Investment securities dealers for Reverse Repurchase Agreements must be primary dealers regularly reporting to the Federal Reserve Bank.
 - E. The dealer is required to have net capital in excess of \$10 million with liquidity lines of \$50 million or more.
 - F. The dealer is required to maintain an active secondary market for securities sold to the County and must be competitive in price for bids and offers.
 - G. The dealer will be monitored by the Chief Investment Officer and staff to ensure the services the County requires are delivered in a timely and efficient manner.
 - H. The primary account representative must be in the institutional or middle market fixed income division with 5 years or more experience covering large municipalities.
 - I. A qualified dealer must not have made any political contributions to the County Treasurer, any member of the Board of Supervisors, or any candidate for these offices within any consecutive 48-month period following January 1996. The exception is if the broker/dealer is entitled to vote for any of these offices, in which case the contributions shall not be in excess of \$250 to each official per election.
 - J. Each dealer, at minimum every three years, or more frequently if requested, will be required to respond to the County's Request for Information (RFI) providing the County with up-to-date financial and investment experience information in order to continue in its role.
29. **DELEGATION OF INVESTMENT AUTHORITY TO THE COUNTY TREASURER** - The State of California gives the Board of Supervisors the ability to delegate investment authority to the County Treasurer for a one-year period in accordance with Section 53607 of the California Government Code. The delegation will require renewal each year.
30. **SAFEKEEPING AUTHORITY**
- A. The State of California gives the Board of Supervisors the ability to delegate the deposit for safekeeping authority to the County Treasurer in accordance with Section 53608 of the California Government Code. Board Resolution 109 adopted September 29, 1959 delegated this authority to the County Treasurer.
 - B. In exercising this safekeeping function, the County Treasurer will require depositories to provide evidence that they are taking reasonable measures to prevent unauthorized access to the depository's electronic data files.

- C. The County Treasurer's Continuity of Operations Plan (COOP) addresses contingency plans in the event that a disaster, natural or otherwise, disrupts normal operations. Contingency plans vary depending upon the severity and expected longevity of the disruption.

- 31. **EXTERNAL OVERSIGHT** - The County Treasurer shall retain an independent third-party investment advisor to provide oversight and compliance monitoring.

The County Treasurer will also retain an NRSRO to provide a rating for the Fund and will have in place an internal system to provide credit and compliance monitoring.

- 32. **COUNTY TREASURY OVERSIGHT COMMITTEE** - The Board of Supervisors has established a County Treasury Oversight Committee pursuant to Sections 27130-27137 of the California Government Code. The County Treasurer shall annually prepare an investment policy that will be reviewed and monitored by the County Treasury Oversight Committee and shall be reviewed and approved at a public hearing by the Board of Supervisors.

- 33. **RULES GOVERNING THE ACCEPTANCE OF HONORARIA, GIFTS, AND GRATUITIES:**

A. The County Treasury Oversight Committee:

- 1. Gifts and Gratuity Limits: - Members may not accept a gift or gifts aggregating more than the Fair Political Practices Commission (FPPC) guidelines in a calendar year from an advisor, broker, dealer, banker, or other persons with whom the County Treasurer conducts business.
- 2. Honorarium Limits - Members may not accept any honorarium from advisors, brokers, dealers, bankers, or other persons with whom the County Treasurer conducts business.
- 3. Employment - A member may not be employed by an entity that has contributed to the campaign of a candidate for the office of the County Treasurer or a candidate for a legislative body of a local agency that has deposited funds in the County Treasury in the previous three years or during the period the employee is a member of the Oversight Committee. A member may not secure employment with bond underwriters, bond counsel, security brokers or dealers, or financial services firms during the period that the person is a member of the Committee or for one year after leaving the Committee.
- 4. Contributions - A member may not directly or indirectly raise money for a candidate for County Treasurer or a member of the governing board of any local agency that has deposited funds in the County Treasury while a member of the Committee.

B. The County Treasurer and Designated Employees:

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1. Gifts and Gratuity Limits - The County Treasurer and designated employees may not accept a gift or gifts aggregating more than the Fair Political Practices Commission (FPPC) guidelines in a calendar year from a single source that does business with the County Treasurer's Office.
 2. Honorarium Limits - The County Treasurer and designated employees may not accept any honorarium.
 3. Form 700 "Statement of Economic Interests" - The County Treasurer and designated employees are required to file a Form 700 annually.
34. **REPORTING** - The County Treasurer shall prepare an investment report monthly to be posted on the County Treasurer Tax-Collector's website.
- A. The report will be available to the following officials:
 1. Board of Supervisors
 2. Oversight Committee
 3. Chief Administrative Officer
 4. Auditor & Controller
 5. Pool Participants
 - B. The report will include the following:
 1. A summary of Fund statistics
 2. The type of investment, issuer, maturity date, par value, and dollar amount invested for all securities, investments, and monies held by the Fund
 3. A description of any of the Fund's investments or programs that are under management of contracted parties, including the securities lending program
 4. Current market value and the source of the valuation as of the date of the report for all securities held by the Fund
 5. Securities lending portfolio, if applicable
 6. Pool purchases, sales, and maturities
 7. Pooled Money Fund cash flow forecast demonstrating the Fund's ability to meet cash flow requirements for the next six months
 8. Statement of compliance with the Investment Policy

35. COSTS AND EARNINGS APPORTIONMENT

- A. Prior to quarterly interest distribution, investment costs incurred by the County Treasurer will be deducted from the interest earnings of the pool and Dedicated Portfolios based on an equitable distribution formula. The costs, which are authorized by Government Code Section 27013, are made up of direct costs (salaries, banking services, computer services, and supplies) and indirect costs (department overhead and external overhead).
- B. The Pool earnings distributed to each participant are proportionate to the average daily balance of the amounts on deposit by the participant. The County Auditor and Controller conducts the apportionment process based on the net earnings of the Fund each quarter.
- C. In the event there is a negative balance in a participant's fund at any time, it shall reduce the average daily balance for the fund. If at quarter-end there is a negative average daily balance in a participant's fund, that fund will be charged the higher of the pool's earning rate for the quarter or a proxy TRANS cost.
- D. The apportionment rate is set approximately ten business days after each calendar quarter end. Apportionments are not paid out by warrants; all earnings are credited to the participant's fund balance.

36. TERMS AND CONDITIONS FOR DEPOSITING FUNDS BY VOLUNTARY PARTICIPANTS -
California Government Code Section 53684 allows local agencies, upon adoption of a resolution by the governing body of the agency, the option of depositing excess funds in the County Treasury for the purpose of investment by the County Treasurer.

- A. The County, in its regional role to assist and aid other local agencies, adopted Board Resolution 11 on March 24, 1987, to allow agencies to deposit excess funds with the County Treasurer for investment. The limitation on acceptance of voluntary deposits and this Investment Policy are structured to help to ensure that, pursuant to Section 27133 of the California Government Code, the County Treasurer shall be able to find that all proposed deposits/withdrawals will not adversely affect the interests of the other depositors in the Fund.
- B. The policy for the acceptance of local agency deposits is:
 - 1. The local agency must sign an Investment Management Agreement.
 - 2. The local agency may be asked to provide cash flows on a quarterly basis indicating projected withdrawals from the Fund.
- C. Before any deposits for new accounts from Voluntary Participants can be accepted by the County Treasurer, the local agency must perform the following:

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1. Provide a resolution adopted by the Board or governing body that authorizes the local agency to deposit excess funds in the County Treasury for the purpose of investment by the County Treasurer. The resolution must:
 - a) be signed by an authorized official
 - b) indicate the resolution number and date passed by the Board or governing body,
 - c) indicate the persons authorized to initiate deposits to and instruct withdrawals from the Fund,
 - d) bear the seal of the local agency, if the local agency has a seal.
2. Provide wire/ACH transfer instructions for cash withdrawals from the Fund. All withdrawals will be paid by electronic funds transfer.
3. Establish a trust account through the County Auditor and Controller's General Accounting Division.

37. CRITERIA FOR WITHDRAWAL OF MONIES FROM THE FUND BY VOLUNTARY PARTICIPANTS

- A. Before a local agency withdraws monies from the Fund, it must submit a withdrawal request a minimum of 2 working days prior to the desired withdrawal date. Although not encouraged, shorter notice may be honored at the discretion of the County Treasurer's Office if the withdrawal does not cause the Fund to fall out of compliance with its maturity policy or jeopardize its ability to meet cash flow requirements.
- B. When monies are requested for withdrawal, the County Treasurer's Office must find that the withdrawal will not adversely affect the interests of all other depositors in the Fund.

38. GRANDFATHERED AGENCIES

- A. Grandfathered agencies that use the services of the County to keep their records and/or issue warrants/wires for the agency can continue to function in this manner and will be treated as a mandatory participant (assuming the agency continues to make deposits into the Fund).
- B. These agencies can also opt to be treated as Voluntary Participants and elect to withdraw funds in the same fashion as the other Voluntary Participants. However, any agency so opting shall be subject to all restrictions placed upon the other Voluntary Participants.

GLOSSARY OF TERMS

BID - The price offered by a buyer of securities.

CREDIT RATING - The alphanumeric score which provides an assessment of the credit opinion of one of the Nationally Recognized Statistical Rating Organizations for a particular investment or issuing entity.

DEDICATED PORTFOLIO - Any assets, besides those held in the Fund, invested by the County Treasurer on behalf of any San Diego County agency.

DOLLAR-WEIGHTED AVERAGE MATURITY - The sum of the amount of each security investment multiplied by the number of days to maturity, divided by the total amount of security investments.

DURATION - A measure of the price volatility of a portfolio that reflects an estimate of the projected increase or decrease in the value of a portfolio based upon a decrease or increase in the interest rates. A duration of 1.0 means that for every 1.0 percent increase in interest rates, the market value of a portfolio would decrease by 1.0 percent.

EARNINGS APPORTIONMENT - The quarterly interest distribution to the Pool Participants after the actual investment costs incurred by the County Treasurer are deducted from the interest earnings of the Fund.

EFFECTIVE DURATION OR OPTION-ADJUSTED DURATION - The approximate percentage price change of a bond for a 100 basis point parallel shift in the yield curve, allowing for the cash flow to change as a result of the change in yield.

GRANDFATHERED AGENCIES- Some fire districts and other agencies that use the County's banking and accounting services.

ILLIQUID – Investments for which 1) the secondary market is non-existent or thinly traded, 2) it is not possible to access funds prior to maturity, or 3) One cannot liquidate at the cost of principal.

ISSUER - The entity identified as the counterparty or obligator related to a security trade.

INVESTMENT GROUP - Group consisting of the County Treasurer, Chief Deputy Treasurer, Chief Investment Officer, and Investment Officers.

INVESTMENT MANAGEMENT AGREEMENT - An agreement between a voluntary participant and the San Diego County Treasurer-Tax Collector. The agreement addresses the terms and conditions of local agencies' deposits of funds for investment into the Fund.

LIQUID – Term for securities that can be converted to cash quickly.

MODERATELY LIQUID - Securities that can be converted to cash quickly with the potential for minimum loss of principal.

NATIONALLY RECOGNIZED STATISTICAL RATING ORGANIZATION (NRSRO) - A credit rating agency that issues credit ratings that the U.S. Securities and Exchange Commission (SEC) permits other financial firms to use for certain regulatory purposes.

OFFER - The price at which a holder of a security would be willing to sell the security.

PORTFOLIO VALUE - The total book value of all the securities held in the Fund.

PRUDENT RISK - An investment system in which the investor will invest conservatively to receive a stable income with little risk.

SAFEKEEPING - A custodian bank's action to store and protect an investor's securities by segregating and identifying the securities.

SELECTED DEPOSITORY INSTITUTION - A nationally or state chartered commercial bank, savings bank, savings and loan association, or credit union in the state of California.

SHORT-TERM - The term used to describe a security when the maturity is one year or less.

VOLUNTARY PARTICIPANTS - Local agencies that are not required to deposit their funds with the County Treasurer.

WHEN-ISSUED SECURITIES - A security traded before it receives final trading authorization, with the investor receiving the certificate/security only after the final approval is granted.

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Appendix A
Approved Broker/Dealers

[Link to approved broker/dealers](#)

APPENDIX B - POLICY GUIDELINES

Investment Type	Maximum Maturity	Maximum % of Portfolio	Maximum % With One Issuer	Minimum Rating
US Treasury Obligations	5 years	No Limit	No Limit	No Limit
Agency Obligations	5 years	No Limit	35%	No Limit
Local Agency Obligations	5 years	30%	10%	A
Banker's Acceptances	180 days	40%	5%	A-1
Commercial Paper (1)	270 days	40%	10% (2)	A-1
Medium Term Notes	5 years	30%	10% (2)	A
Negotiable Certificate of Deposits	5 years	30%	10% (2)	A-1/A
Repurchase Agreements	1 year	40%	Note (3)	No Limit
Reverse Repurchase Agreements	92 days	20%	10%	No Limit
Collateralized Certificates of Deposit	13 months	5%	5%	No Limit
FDIC & NCUA Insured Deposit Accounts	13 months	5%	5%	No Limit
Money Market Funds	N/A	20%	10%	AAAm
Local Government Investment Pools (LGIPs)	N/A	5%	5%	AAAm
Pass-Through Securities	5 years	20%	10%	AA
Supranationals	5 years	30%	10%	AA

(1) Government Code Section 53635(a) (1-2) specifies percentage limitations for this security type for county investment pools.

(2) 10% issuer limit includes CP, MTN, and NCD exposure combined, if applicable.

(3) Maximum exposure per issue – The maximum exposure to a single Repurchase Agreement (RP) issue shall be 10% of the portfolio value for RPs with maturities greater than 5 days and 15% of the portfolio for RPs maturing in 5 days or less. The maximum exposure to a single broker/dealer of RPs shall be 10% of the portfolio value for maturities greater than 5 days and 15% of the portfolio value for maturities of 5 days or less.

APPENDIX G

GENERAL INFORMATION REGARDING THE CITY OF CHULA VISTA AND SAN DIEGO COUNTY

The following information concerning the Chula Vista (the “City”) and San Diego County (the “County”) is included only for the purpose of supplying general information regarding the area of the City. The Bonds are not a debt of the City, the County, the State or any of its political subdivisions, and neither the City, the County, the State nor any of its political subdivisions is liable therefor.

General

The City. Chula Vista is the second largest city in the San Diego metropolitan area, covering approximately 50 square miles. The City is located on San Diego Bay, eight miles south of the City of San Diego and seven miles north of the Mexico border, in an area generally known as “South Bay.” The City is a charter city and operates under a Council-Manager form of government. The City Council is composed of the Mayor and four Councilmembers who are elected at-large and are limited to two terms of office. The City Council also appoints the City Manager who is the Executive Officer of the City and the City Clerk. Neighboring communities include the City of San Diego and National City to the north and the City of Imperial Beach and the communities of San Ysidro and Otay Mesa to the south.

City Council

The City has a five-member City Council comprised of members elected in four City Council districts and a citywide elected mayor. Each Council Member and the Mayor are elected for four-year staggered terms. The City Council members and the expiration dates of their respective terms are as follows:

<u>Name</u>	<u>Office</u>	<u>Term Expiration</u>
Mary Casillas Salas	Mayor	December 2022
John McCann, District 1	Council member	December 2022
Jill M. Galvez, District 2	Council member	December 2022
Stephen C. Padilla, District 3	Council member	December 2020
Mike Diaz, District 4	Council member	December 2020

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Population

The populations of the City of Chula Vista, San Diego County and the State of California during the period from 2015 through 2020 are set forth in the following table.

Population Figures 2015 through 2020

Calendar Year	City of Chula Vista	San Diego County	State of California
2015	263,028	3,266,192	38,952,462
2016	264,911	3,286,717	39,214,803
2017	267,917	3,316,192	39,504,609
2018	268,060	3,333,128	39,740,508
2019	271,411	3,351,786	39,927,315
2020	272,202	3,343,355	39,782,870

Figures as of January of the year indicated.

Source: California State Department of Finance.

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Employment

The following chart compares labor force, employment, civilian employment and the unemployment rate in the City of Chula Vista, San Diego County, the State of California and the United States during the period from 2015 through May 2020.

CITY OF CHULA VISTA, SAN DIEGO COUNTY, STATE OF CALIFORNIA AND UNITED STATES OF AMERICA LABOR FORCE, EMPLOYMENT AND UNEMPLOYMENT⁽¹⁾⁽²⁾⁽³⁾⁽⁴⁾

Year and Area	Labor Force	Civilian Employment	Civilian Unemployment	Unemployment Rate (%)
<u>2015</u>				
City of Chula Vista	120,700	112,800	7,900	6.5
San Diego County	1,550,100	1,469,500	80,600	5.2
California	18,851,100	17,681,800	1,169,200	6.2
United States	157,130,000	148,834,000	8,296,000	5.3
<u>2016</u>				
City of Chula Vista	120,600	114,400	6,200	5.2
San Diego County	1,564,300	1,490,500	73,900	4.7
California	19,044,500	18,002,800	1,041,700	5.5
United States	159,187,000	151,436,000	7,751,000	4.9
<u>2017</u>				
City of Chula Vista	122,000	116,700	5,400	4.4
San Diego County	1,574,600	1,511,400	63,200	4.0
California	19,205,300	18,285,500	919,800	4.8
United States	160,320,000	153,337,000	6,982,000	4.4
<u>2018</u>				
City of Chula Vista	122,900	118,400	4,500	3.7
San Diego County	1,592,200	1,539,500	52,700	3.3
California	19,398,200	18,582,800	815,400	4.2
United States	162,075,000	155,761,000	6,314,000	3.9
<u>2019</u>				
City of Chula Vista	123,600	119,300	4,300	3.5
San Diego County	1,590,600	1,539,900	50,700	3.2
California	19,411,600	18,627,400	784,200	4.0
United States	163,539,000	157,538,000	6,001,000	3.7
<u>2020⁽⁴⁾</u>				
City of Chula Vista	125,100	105,500	19,600	15.7
San Diego County	1,580,400	1,361,100	219,200	13.9
California	18,912,000	16,065,400	2,846,600	15.1
United States ⁽⁵⁾	159,932,000	142,182,000	17,750,000	11.1

(1) Data reflects employment status of individuals by place of residence.

(2) Data not seasonally adjusted.

(3) Unemployment rate is based on unrounded data.

(4) 2020 figures as of June, 2020.

(5) Data seasonally adjusted.

Source: State of California Employment Development Department; U.S. Department of Labor, Bureau of Labor Statistics.

Major Employers

The following table lists the major employers in San Diego County.

SAN DIEGO COUNTY Major Employers 2019

<u>Employer</u>	<u>Number of Employees</u>	<u>Organization Description</u>
Qualcomm Inc.	37,000	Computers and related technology
Naval Base San Diego	30,713	Principal homeport of the Pacific Fleet
Sharp HealthCare	18,770	Health care, hospitals, medical groups, health services, health plan
Kaiser Permanente San Diego Medical Center	9,630	Nonprofit health maintenance hospital, outpatient medical, urgent care, medical offices
San Diego Community College District	6,805	Higher education institution which includes City, Mesa & Miramar college & continuing education
General Atomics Aeronautical Systems, Inc.	6,777	Remotely piloted aircraft systems, radars & electro-optic & related missions systems solutions
San Diego State University	6,635	Higher education
Rady Children's Hospital-San Diego	5,541	Not for profit health care facility for newborns to young adults; regional pediatric trauma center
YMCA of San Diego County	5,517	Programs & services focused on youth development, healthy living & social responsibility
Sweetwater Union High	5,199	Secondary school district
Chula Vista Elementary School District	5,019	Primary school district
Northrop Grumman Corp.	5,000	Autonomous systems, cyber solutions, C4ISR, strike, missile defense, space systems, logistics
Sempra Energy	4,741	Electric and natural gas infrastructure company
BD (Becton, Dickinson and Co.)	4,500	Medical technology company helping to advance discovery, diagnostics & delivery of care
Palomar Health	4,200	Inpatient hospital services, outpatient services, home care, health education
University of San Diego	3,884	Private university
Veterans Affairs San Diego Healthcare System	3,735	Comprehensive health care for veterans in inpatient & outpatient settings
Barona Resort & Casino	3,332	Gaming, hospitality, golf & dining
General Dynamics NASSCO	3,000	Design, construction, repair of oceangoing vessels for the U.S. Navy and commercial customers
Viasat Inc.	2,773	Satellite & wireless systems & services, digital communications, cybersecurity

Source: San Diego Business Journal.